OAG ZIMBABWE
Office of the Auditor - General

REPORT OF THE

AUDITOR-GENERAL

FOR THE YEAR ENDED DECEMBER 31, 2025

ON

APPROPRIATION ACCOUNTS, FINANCE AND REVENUE STATEMENTS, STATUTORY AND RETENTION FUNDS

Presented to the Parliament of Zimbabwe

2026



Office of the Auditor-General of Zimbabwe
Pax House
89 Kwame Nkurumah Avenue
Harare, Zimbabwe.

The Hon. Professor. M. Ncube
Minister of Finance, Economic Development and Investment Promotion
Mgandane Dlodlo Building
Samora Machel Avenue
Harare

Dear Sir,

I hereby submit my Report on the audit of Appropriation Accounts, Finance and Revenue Statements, Statutory and Retention Funds of Zimbabwe in terms of Section 309(2) of the Constitution of Zimbabwe as read together with Section 10(1) of the Audit Office Act [*Chapter 22:18*].

Yours faithfully,

V. CHIKWENHERE,
AUDITOR-GENERAL.

HARARE

June 26, 2026.

We assure accountability

OAG ZIMBABWE

Office of the Auditor-General

Vision Statement

A model Supreme Audit Institution fostering transparency and accountability for the benefits of citizens.

Mission Statement

To audit and report on the management of public resources and provide, through Parliament, an independent assurance that enhances service delivery by 2030.

Core Values

Professionalism
We act independently demonstrating objectivity, expertise, skills and high level of competence maintaining confidentiality and transparency.

Integrity
We act honestly, reliably, in good faith and in the public interest.

Excellence
We are committed to continuous improvement and delivering value-adding audit services that meet international standards.

Teamwork
We collaborate and work together towards a common goal, respecting each other, valuing diverse perspectives, demonstrating empathy, leveraging each other's strengths & expertise to drive collective success.

Accountability
We uphold and comply with applicable laws, regulations and conventions and avoid any conduct that may discredit the SAI.

LIST OF ACRONYMS

APG	Agriculture Producer Group
ARDAS	Agriculture Rural Development Advisory Services
BEAM	Basic Education Assistance Module
BOQ	Bill Of Quantities
CMED	Central Mechanical Equipment Department
CPU	Central Processing Unit
CSA	Constitutional and Statutory Appropriations
DAED	District Agriculture Extension Officer
DDC	District Development Chairperson
DMFAS	Debt Management Financial Analysis System
DNP	Defects Notification Period
DSA	Debt Sustainability Analysis
DSR	Debt Sustainability Reports
DWSSC	District Water Sanitation Sub-Committee
ECD	Early Childhood Development
GMU	Grant Management Units
IMF	International Monetary Fund
IFAD	International Fund for Agriculture Development
JICA	Japan International Co-operation Agency
MSE	Micro and Small Enterprises
MTR	Mid-Term Review
NAC	National Action Committee
PDS	Public Debt Statement
PFMS	Public Financial Management System
PDMO	Public Debt Management Office
PMG	Paymaster-General's Account
PMU	Project Management Unit
RFQ	Request For Quotation
RIDA	Rural Infrastructure Development Agency
SACP	Smallholder Agricultural Competitiveness Programme
SAP	Systems Applications and Products in data processing
SDC	School Development Committee
SHEP	Smallholder Horticulture Empowerment and Promotion
SMEDCO	Small and Medium Enterprises Development Corporation
SOP	Standard Operating Procedures
SSF	School Services Fund
UMP	Uzumba Maramba Pfungwe
VBU	Village Business Unit
WASH	Water Sanitation and Hygiene
ZFRM	Zimbabwe Financial Reporting Manual
ZINWA	Zimbabwe National Water Authority
ZMDC	Zimbabwe Mining Development Corporation
ZPDMO	Zimbabwe Public Debt Management Office

DEFINITION OF TERMS

"Appropriation Account" – financial statements related to voted funds for a ministry, commission or agency in terms of the Appropriation Act.

"Biological Assets" – is a living animal or plant.

"Consolidated Revenue Fund" – main government account where all public revenues are collected and from which government spending is made.

"Constitutional and Statutory Appropriation" – these are monies appropriated by Parliament for the fulfilment of Constitutional obligations.

"Direct Payment" – payments made on behalf of MDAs to service providers by Treasury.

"Exchequer Account" – is a government account that receives revenue.

"Fund" – is an account established in terms of the Public Finance Management Act [*Chapter 22:19*] to facilitate accounting for public resources.

"Going concern assumption" – an entity is viewed as continuing in business for the foreseeable future. Financial statements are prepared on going concern basis, unless management intends to liquidate the entity or cease operations or has no realistic alternative to do so.

"Misstatement of financial statements"- according to the International Standards on Auditing (ISAs) a misstatement represents: "A difference between the amount, classification, presentation or disclosure of a reported financial statement item and the amount classification, presentation, or disclosure that is required for the item to be in accordance with the applicable financial reporting framework.

"Sub-PMG Account" – is a government bank account used by MDAs for processing expenditure.

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PREAMBLE

1. SUBMISSION OF ANNUAL REPORT

In terms of Section 309(2) of the Constitution of Zimbabwe Amendment (No. 20) Act 2013 and Section 10 of the Audit Office Act [*Chapter 22:18*], I am required, after examining the public accounts of Zimbabwe submitted to me in terms of Section 35(6) and (7) of the Public Finance Management Act [*Chapter 22:19*] and signing a certificate recording the results of such examination, to prepare and submit to the Minister of Finance, Economic Development, and Investment Promotion not later than June 30 of each year, a report of my examination and audit of the public accounts of Zimbabwe.

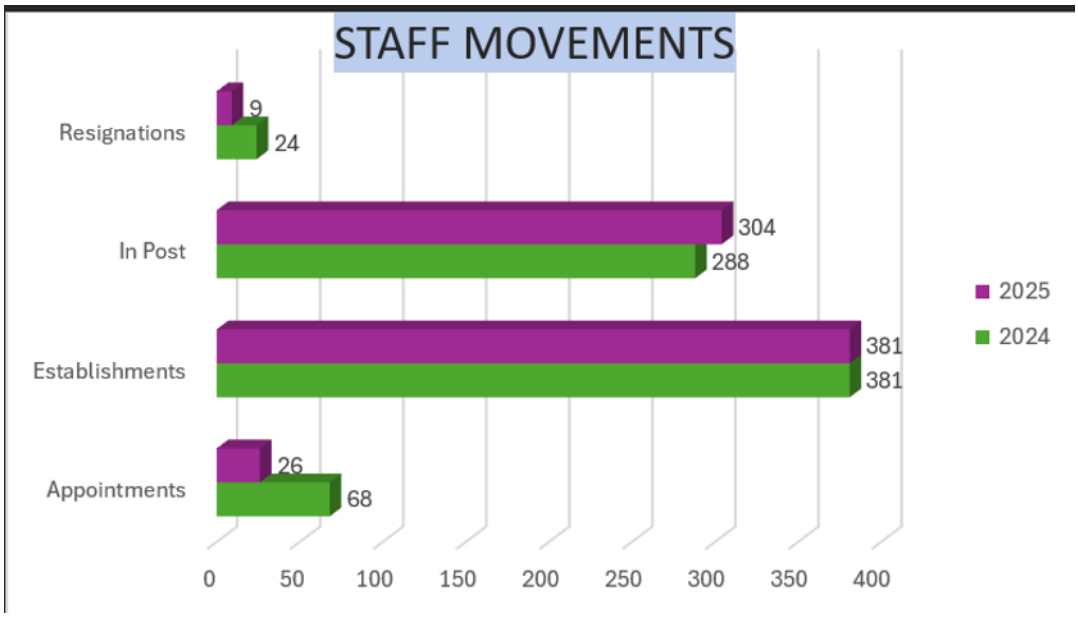
2. MANDATE OF THE AUDITOR-GENERAL

My duties as set out in the Constitution of Zimbabwe Amendment (No. 20) Act 2013 and amplified in the Audit Office Act [*Chapter 22:18*] are: -

- to audit the accounts, financial systems and financial management of all departments, institutions and agencies of government, all provincial and metropolitan councils and all local authorities:
- at the request of Government, to carry out special audits of the accounts of any statutory body or government–controlled entity;
- to satisfy myself that the receipt and disbursement of public moneys has been made in accordance with proper authority and has been correctly accounted for and that all reasonable precautions have been taken to safeguard State property; and
- to carry out Value for Money audits, which entail the examination into the economy, efficiency and effectiveness with which those entrusted with financial and material resources have utilized them in carrying out their mandates.

3. STAFF LEVELS, MOVEMENTS, TRAINING AND DEVELOPMENT

There was a decline in staff turnover by 63%. Also, the staff in post marginally increased by 6%. Due to a lower level of staff turnover, appointments declined by 62%. The graph below shows the staff establishment as at December 31, 2025, and movements during 2025 compared with 2024.



Staff training and development has remained as one of the key objectives of my Office. This was made possible with the assistance of the African Organisation of English-speaking Supreme Audit Institutions (AFROSAI-E) to which Zimbabwe is a member, Swedish National Audit Office (SNAO) for technical support and other Development Partners, study visits to other Supreme Audit Institutions (SAIs), Professional Accountants Bodies and other stakeholders. Several training programmes, technical updates and Continuous Professional Developments (CPDs) were attended by my staff to keep up to date with the developments taking place in their different professions. Audit guidance materials were developed and updated during the year to enhance the quality of audits.

4. BASIS OF PREPARATION OF PUBLIC ACCOUNTS

Management of public funds is governed primarily by the Constitution of Zimbabwe and the Public Finance Management Act [*Chapter 22:19*]. The regulator of the accountancy profession in Zimbabwe, Public Accountants and Auditors Board (PAAB) prescribed the International Public Sector Accounting Standards (IPSASs) for use in Zimbabwe on March 1, 2019, following the gazetting of Statutory Instrument 41 of 2019. IPSASs have been adopted by the Government of Zimbabwe as the financial reporting framework for Central Government with effect from January 1, 2025. The Financial statements in this report were prepared based on cash and accrual basis of accounting.

The Ministries Departments and Agencies (MDAs) prepared IPSAS transitional financial statements for the financial years 2023 and 2024. I issued a report on IPSAS migration based on the review of the transitional financial statements for the year ended December 31, 2024, highlighting the status of preparedness by MDAs for the full adoption of IPSASs reporting framework. The MDAs were expected to have fully implemented the IPSAS reporting framework from January 1, 2025.

5. AUDIT APPROACH

I conducted my statutory audits in accordance with the International Standards of Supreme Audit Institutions (ISSAIs). These Standards require that I comply with ethical requirements, plan and perform the audit to obtain reasonable assurance whether the financial statements are free from material misstatement. My audit approach was designed to enable me to express an opinion on the financial statements.

All aspects of the entities' activities and procedures may not have been examined. I consider maintenance of adequate internal controls to be the responsibility of management. My work cannot, therefore, be expected to identify all weaknesses in the systems and procedures, which a special investigation directed at those areas might reveal. As to the possibility of fraud, I plan my audits to have a reasonable expectation of its disclosure if the potential effects of the fraud would be material in the financial statements. However, there are many kinds of fraudulent activities, particularly those involving defalcation, forgery, collusion and management override of controls, which would be unreasonable to expect the normal audit to uncover.

I audited 132 Provincial and District offices. Financial constraints adversely affected the number of stations audited. Resources permitting, in 2026, I would like to increase audit visits to outstations, given that a lot of functions have been decentralised.

6. CERTIFICATION OF PUBLIC ACCOUNTS

I certify that I have examined the Appropriation Accounts, Finance and Revenue Statements, other supporting returns and Funds of Zimbabwe made available to me in accordance with the Constitution of Zimbabwe Amendment (No 20) Act 2013, the Audit Office Act [*Chapter 22:18*], the Public Finance Management Act [*Chapter 22:19*] and other relevant Statutory Instruments.

AUDIT OPINION

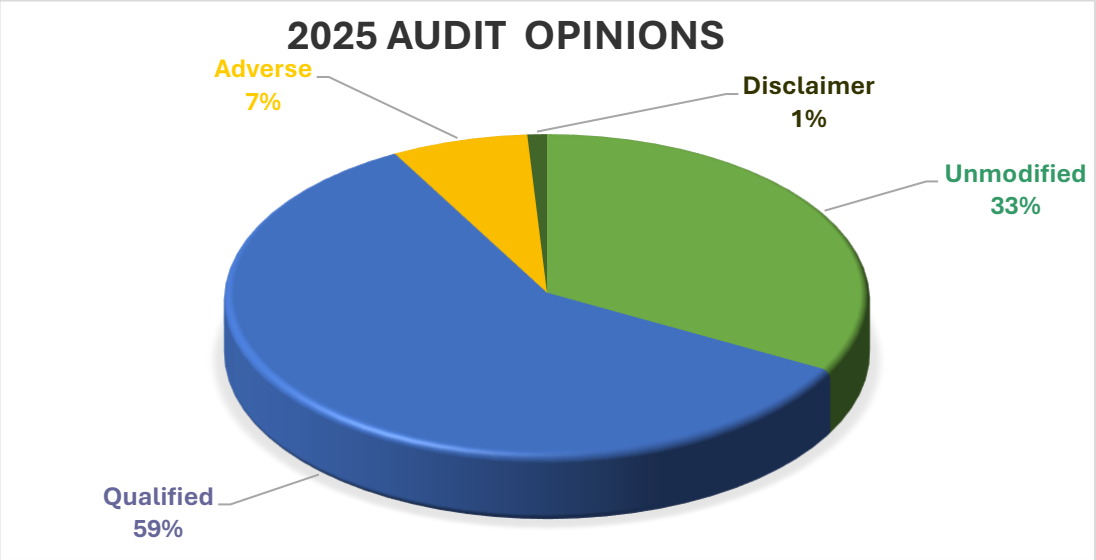
I conducted my statutory audits in accordance with the International Standards of Supreme Audit Institutions (ISSAIs). The principal objective of my audit procedures is to enable me to express an opinion on the truth and fairness of the financial statements submitted by Ministries, Commissions and Funds. An audit opinion is based on the concept of reasonable assurance. It is not a guarantee that the financial statements are free of misstatements. Where I have issued an unmodified / clean, qualified and adverse opinion, I believe that the audit evidence I have obtained is sufficient and appropriate to provide the basis for my opinion of the respective financial statements. Where an entity received a disclaimer of opinion its merely because I was unable to obtain sufficient and appropriate audit evidence to express an opinion.

A total of seventy-one (71) financial statements were audited. My report has five (5) Appropriation Accounts for the years 2023 and 2024, twenty-four (24) Finance and Revenue Statements and forty-two (42) Funds for the years 2019 to 2024. Six (6) financial statements had no issues, and no findings are included in this report. The six (6) are Statement of Revenue Written Off (2021-2024), Yvonne Eustasie Parfitt Homes for the Aged (2024) and National Coordinating Unit Account (2024).

Out of the seventy-one (71) financial statements, twenty-three (23) had unmodified/clean opinions, forty-two (42) had qualified opinions, five (5) had adverse opinions while one (1) had a disclaimer of opinion. The table and pie chart below refers:

Summary of Audit Opinions Issued

Opinion Issued	Number of Financial Statements	Percentage
Unmodified/clean	23	33
Qualified	42	59
Adverse	5	7
Disclaimer	1	1
Total	**71**	**100%**



Types of Opinions

Clean/Unmodified- The financial statements contain no material misstatements.



Qualified- The financial statements contain material misstatements in specific amounts, or there is insufficient evidence to conclude that specific amounts included in the financial statements are not materially misstated.



Adverse- The financial statements contain material misstatements that are not confined to specific amounts, or the misstatements represent a substantial portion of the financial statements.



Disclaimer- The auditor has not been able to obtain sufficient appropriate audit evidence to provide a basis of an audit opinion. The lack of sufficient evidence is not confined to specific amounts or represents a substantial portion of the information contained in the financial statements.



Report on Going Concern



Annexure A shows details of the opinions issued.

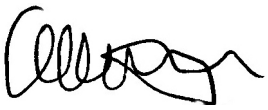
The financial statements are to be consolidated into one report by the Accountant-General in terms of Section 35(12) of the Public Finance Management Act [*Chapter 22:19*].

I also carried out five (5) Value for Money Audits in 2025. The reports are tabled separately.

In addition, my Office audited twelve (12) financial statements of Donor Funded Projects that are implemented under some MDAs whose findings are not in this report and are reported separately. **Annexure C** refers.

ACKNOWLEDGEMENTS

It is my honour to appreciate all stakeholders who contributed, in their various ways, in the work of my Office and the compilation of this report. I wish to acknowledge efforts rendered by all the Accounting Officers, Chief Executive Officers, Receivers of Revenue and Development Partners who made it possible for me to produce and submit my report. Further appreciation is extended to the Public Accounts Committee (PAC) of the Parliament of Zimbabwe for their oversight role in ensuring that entities address audit findings raised in my report. I also extend my indebtedness to the Printflow (Pvt) for their invaluable co-operation. Finally, I extend my sincere appreciation to the Audit Office Board for their support and to management and staff for their continued commitment and dedication to duty. Without all this support, the production of this report could not have been possible.



HARARE
JUNE 26, 2026.

V. CHIKWENHERE,
AUDITOR-GENERAL.

EXECUTIVE SUMMARY

This report outlines my audit of Appropriation, Finance and Revenue Statements and Statutory and Retention Funds. A combined financial and compliance audit was conducted with the aim of improving public sector transparency, accountability, compliance with regulations, good corporate governance and service delivery.

The financial audit seeks to obtain reasonable assurance about whether the financial statements as a whole are free from material misstatements, whether due to fraud or error, and to issue an auditor's report that includes my opinion.

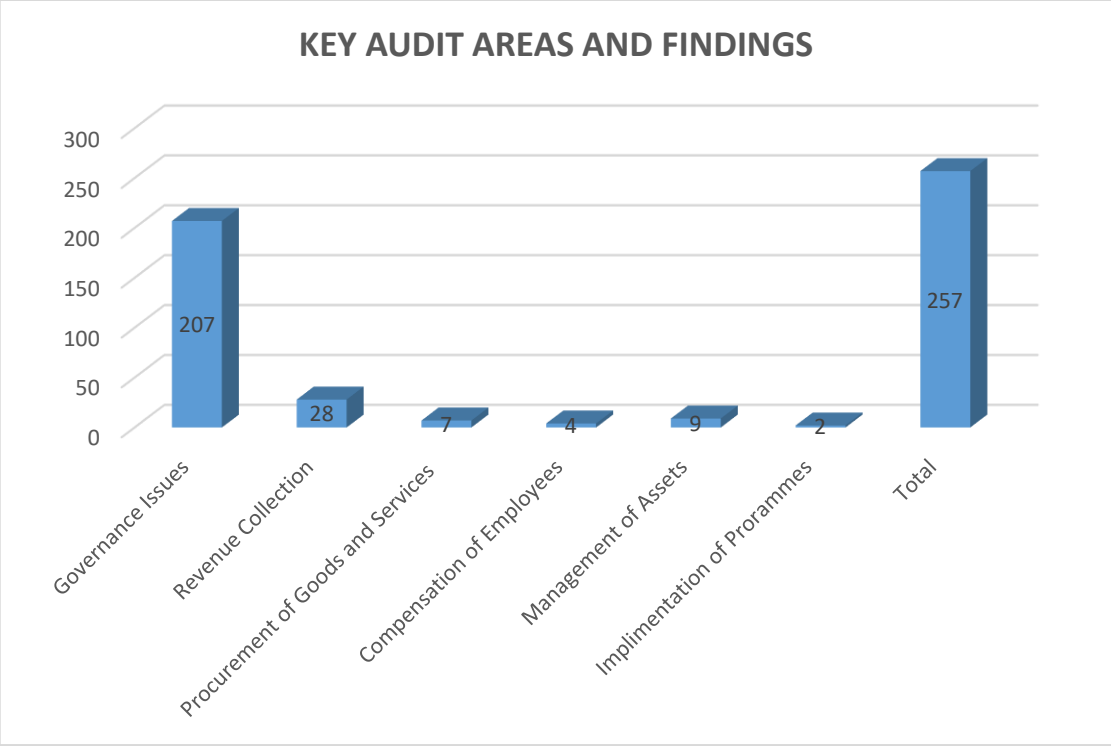
I also considered compliance with legislative provisions which directly and materially affect the financial statements and whether the provisions in the applicable laws, rules, regulations and instructions issued by a competent authority were complied with.

My report highlights the key audit findings, risks/implications and recommendations and management responses to the issues raised. These findings were communicated to and discussed with management and those charged with governance. The findings were classified under the following headings: governance issues, revenue collection and debt recovery, procurement of goods and services, compensation of employees, management of assets, and implementation of programmes. Five (5) entities did not respond to seven (7) audit findings.

My audit also included an evaluation of the budget utilisation and funding received by the various MDAs to assess extent to which mandates were fulfilled.

I evaluated the actions taken and determined the extent to which prior year audit findings had been addressed. Those charged with governance in the various institutions are urged to pay attention to matters raised herein, to improve public transparency, accountability, good corporate governance and service delivery. It is expected that the impact of addressing my findings will have a positive effect on the lives of the citizens.

Below is a graphical overview of the key audit areas covered:



1. IPSAS Financial Statements

The 2018 National Budget Statement announced that government would migrate from cash basis to International Public Sector Accounting (IPSAS) accrual basis reporting by January 1, 2025. The announcement was followed by the gazetting of Statutory Instrument 41 of 2019. The adoption and implementation of (IPSAS) framework forms part of wider government's Public Finance Management (PFM) reforms. It aims to provide comprehensive and precise information on use of public resources, status of government liabilities and value of property, plant and equipment among other objectives. The financial statements in this report have, however, been prepared based on the previous reporting framework as they relate to the periods prior to January 1, 2025, except for one (1) Fund which opted for full compliance with the IPSAS framework for the 2024 financial statements.

2. Submission of Financial Statements

Ministries and Commissions are required to submit financial statements within sixty days (60) of the end of each financial year in compliance with Section 35(6)(b)(i) of the Public Finance Management Act [*Chapter 22:19*]. Thirty-eight (38) MDAs and the respective Funds did not submit the 2025 IPSAS financial statements within the statutory deadline of sixty (60) days after year end.

Treasury Circular 1 of 2026 advised Ministries, Departments and Agencies (MDAs) to submit IPSAS financial statements for the year ended December 31, 2025, to the Offices of the Auditor-General and the Accountant-General by April 30, 2026.

This resulted in the extension of the submission timeline and delays in the commencement of audits by two (2) months. Due to the delayed submission, at the

time of concluding this report on June 14, 2026, the audits of the subsequently submitted financial statements were in progress.

In addition, some Funds in the report withdrew and resubmitted their financial statements up to six (6) times due to errors. Resubmissions of financial statements impact the timeous conclusion of audits. **Annexure B** refers.

3. Conversion of Financial Transactions from ZWL$ to ZWG

The Government of Zimbabwe changed currency from ZWL$ to Zimbabwe Gold (ZWG) effective April 6, 2024. The reporting currency for the 2024 financial statements was the ZWG. Ministries, Departments and Agencies (MDAs) were supposed to produce financial statements for the whole financial year in one currency (ZWG). This meant translating the ZWL$ transactions to ZWG. To achieve this, Treasury provided guidance to MDAs on how the ZWL$ financial transactions were to be translated. However, the circular was not complied with by seven (7) out of forty (40) Funds. Total amounts of ZWG8 821 235, ZWL$518 017 256 and US$2 897 943 were not translated in compliance with Treasury guidelines resulting in misstatement of financial statements.

4. Management of Assets and Government Properties

4.1 Property Plant and Equipment

Out of forty (40) Funds in the report, six (6) did not have updated master assets register. Assets procured with a total value of US$717 353 and ZWG300 778 were not captured in the master asset register. Government property may be lost without trace and may be converted to personal use in the absence of updated registers. Six (6) Funds did not value their assets to reflect the current market values. The assets not valued were Land and Buildings, Office Equipment and Motor vehicles.

Office buildings, furniture and staff houses at stations visited were in a deteriorated state and required rehabilitation. Regular inspection and maintenance of government buildings is required as this ensures safety and prevents defects from escalating into major and costly repairs.

There were obsolete assets which were not removed from the asset registers. Some have been non-functional for over 20 years. This was contrary to the requirements of Public Finance Management (Treasury Instructions), 2019 which require line Ministries to dispose of public assets that are unserviceable, obsolete or surplus in accordance with the provisions of the Public Procurement and Disposal of Public Act. Furthermore, stolen assets were not reported to the police. This resulted in loss of accountability.

4.2 Biological Assets

The value of Biological Assets amounting to ZWG2 408 095 disclosed in the financial statements was not supported by stock records and valuation certificates. In addition, fourteen (14) deceased dairy cattle had not been removed from the livestock register, indicating that the register was not up to date. Livestock reconciliations were not performed, as the register balances differed from those physically verified.

Consequently, balances reported in the financial statements were misstated, and there is a risk that biological assets could be misappropriated without detection.

Furthermore, animal watering troughs and laundry basins were not constructed in accordance with the required technical standards, and the water storage tanks were found to be leaking.

5. Revenue Collection and Debt Recovery

Outstanding revenue, for services rendered relating to fourteen (14) Ministries amounted to ZWG46.98 billion, US$1.63 million and ZWL$1.90 billion. Adequate steps and a clear approach were not taken by seventeen (17) Funds and Revenue and Finance Statements to ensure timely collection of revenue and recovery of debts. As a result, the value of outstanding amounts may decline over time, and some may become difficult to recover. This could weaken the financial position of MDA's and ultimately limit their ability to deliver services effectively.

6. Trade Payables

There were accumulated arrears of ZWG250.34 billion, ZWL$17.41 billion and US$333 887 dating back to 2020. The lack of a clear plan to settle these debts may gradually affect the government's reputation and make it harder to access credit in the future. Delays in payment could also lead to additional interest costs, placing further pressure on public funds and reducing the resources available for essential services.

7. Advances to Parent Ministries and Other Statutory Funds

Eleven (11) Funds advanced a total amount of ZWG7 700 456 and ZWL$59 579 682 to parent Ministries and ZWG3 395 613 to five (5) Statutory Funds. The advances were meant to meet their operational expenses. These advances were not approved by Treasury nor reimbursed. The Fund's objectives may not be achieved if funds are transferred to the Parent Ministries or diverted to other Funds.

8. Policies and Regulations

Fourteen (14) Funds operated without accounting policies for depreciation and debt management. In addition, Standard Operating Procedures manual which guide the operations of the Funds, maintenance of accounting records and preparation of financial statements were not in place. As a result, financial statements had misstatements inconsistencies were noted in treatment of accounting transactions and decision-making.

9. Supporting Documents

Supporting documents for transactions relating to revenue, expenditure, Property, Plant and Equipment, and cash and cash equivalents disclosed in the financial statements were not availed for audit by twenty-seven (27) Funds. Consequently, I was unable to ascertain the validity of the amounts reported. In the absence of adequate supporting documentation, it was also difficult to determine the nature of the transactions and whether they were conducted in accordance with applicable rules, regulations, and the mandates of the Funds.

Funds recognized foreign exchange gains amounting to ZWG16 120 827 in the financial statements. I was not provided with ledgers and explanatory notes supporting how the amounts were determined. Therefore, the validity and accuracy of the foreign exchange gains disclosed in the financial statements could not be substantiated.

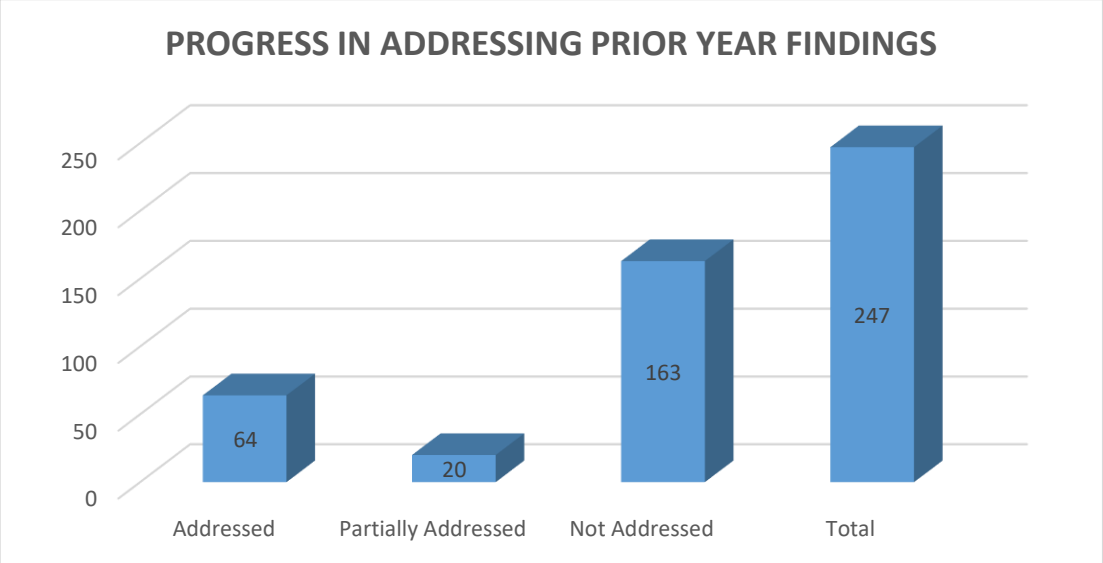
10. Variances Between Complementary Accounting Records

Variances were identified between amounts disclosed in the financial statements/returns and the corresponding accounting records in nineteen (19) Funds. There was no evidence that reconciliations were performed to investigate these differences, and the variances remained unresolved. As a result, errors may have gone undetected, making it difficult to confirm the accuracy of the reported amounts. Strengthened oversight and regular reconciliations are necessary to ensure that discrepancies are promptly identified and corrected.

11. Progress in Addressing Prior Year Audit Findings

I would like to acknowledge the Ministries and Funds which have taken steps to address my findings, while I encourage those who are yet to address my findings to take corrective action. Out of the 247 audit findings raised in my previous reports, 64 (26%) were addressed, 20 (8%) were partially addressed and 163 (66%) were yet to be addressed. The progress made is shown in the graph below:

The progress made is graphically shown below:



Conclusion

This report enables Parliament and those charged with public sector governance to discharge their oversight responsibilities in addressing audit findings. Therefore, the effective implementation of the report's recommendations helps in building public trust in government institutions, contributing to a stable economic environment and the achievement of national development goals.

The issues I have raised above, if not addressed, service delivery and efforts made to enhance transparency and accountability through various instruments may be compromised. Concerted efforts from those charged with governance are required to put in place measures to address reported weaknesses to enhance transparency, accountability, good corporate governance and service delivery.

APPROPRIATION ACCOUNTS, FINANCE AND REVENUE STATEMENTS, STATUTORY AND RETENTION FUNDS

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VOTE 2.- PARLIAMENT OF ZIMBABWE

CONSTITUENCY DEVELOPMENT FUND (CDF) 2023

Objective of the Fund

The objective of the Fund is to allocate money equitably to Constituencies for purposes of Constituency development and poverty eradication.

I have audited the receipts and disbursements schedules for the Constituency Development Fund for the year ended December 31, 2023.

Below are the issues noted during the audit:

1. GOVERNANCE ISSUES

1.1 Submission of Financial Statements

Finding

The Fund did not submit for audit the Statement of Financial Position and Statement of Comprehensive Income as at December 31, 2023, contrary to the requirements of Section 14 of the Fund's Constitution. This limited my audit scope as I could not assess the financial position and performance of the Fund. This issue was raised in my previous reports.

Risk/Implication

Loss of transparency and accountability for allocated public resources.

Recommendation

Management should prepare and submit the Statement of Financial Position and Statement of Comprehensive Income as required by the Fund's Constitution.

Management Response

On the issue of submission of the Statement of Financial Position for the period stated above, please note that Section 14(2) of the said CDF Constitution was amended in December 2023, and a Statement of Financial Position is no longer required. The new section now reads as follows:

"An Income and Expenditure Account shall be prepared at the end of each fiscal year and submitted to the Auditor-General for audit in accordance with Section 32 of the Public Finance Management Act [*Chapter 22:19*]."

Evaluation of Management Response

The management response is acknowledged. The adoption of the amendments to the CDF Constitution came into effect on July 18, 2024, and thus did not apply to the year under review.

1.2 Expenditure Reconciliations

Findings

The disbursements made as per the bank statements totalled ZWL$1 172 548 427 while, the payment schedule prepared by management had a total of ZWL$1 163 020 952 resulting in a variance of ZWL$9 527 475. There was no evidence that reconciliations were performed. As a result, I could not confirm the accuracy of the disbursements made to the Constituencies.

In addition, there were overpayments made to four (4) Constituencies amounting to ZWL$58 900 000 which had not been recovered. The table below refers:

List of Constituencies that were Overpaid

Constituency	Authorised Amount ZWL$	Amount Disbursed ZWL$	Amount Overpaid ZWL$	Dates Amounts Were Credited on the Bank Statement
Mberengwa West	20 900 000	41 800 000	20 900 000	February 16 & March 29, 2023
Bulawayo East	9 500 000	19 000 000	9 500 000	April 28 & May 17, 2023
Mberengwa South	9 500 000	28 500 000	19 000 000	February 16, April 28, May 17, 2023
Chivi North	9 500 000	19 000 000	9 500 000	June 12 & August 9, 2023
Total	**49 400 000**	**108 300 000**	**58 900 000**	

Furthermore, I noted that disbursements of ZWL$9 500 000 for the Chivi South Constituency and ZWL$9 500 000 for the Marondera Central Constituency were included in the payment schedule but did not appear on the bank statement.

Risks/Implications

Duplicates and overpayments may not be identified and rectified on time resulting in misappropriation of funds.

Disbursements reported by the Fund may be misstated.

Recommendations

Management should perform routine reconciliations to address the variances.

Duplicate amounts and overpayments should be investigated, and corrective action taken to address the anomalies.

Management should not make disbursements that are not supported by the appropriate authorisation.

Management Response

Parliament of Zimbabwe regrets the errors. For Mberengwa West, Bulawayo East and Chivi North, the over payments were not utilized and remained in the bank accounts until April

2024. The remaining amounts after the conversion were wiped out by bank charges. For Mberengwa South the over payment of ZWL$9 500 000 was used to purchase the roofing materials.

2. PROGRESS IN ADDRESSING PRIOR YEAR AUDIT FINDINGS

The Fund did not make progress in addressing audit findings raised in my previous audit report. All the three (3) findings were not addressed as indicated below:

2.1 Submission of Financial Statements and Reports

The finding on non-submission of financial statements was not addressed as indicated on paragraph 1.1 above.

2.2 Expenditure Reconciliations

Expenditure reconciliations were not performed as indicated on paragraph 1.2 above.

2.3 Monitoring and Evaluation of CDF Projects

The finding on monitoring and evaluation of CDF Projects was not addressed.

VOTE 3.- PUBLIC SERVICE, LABOUR AND SOCIAL WELFARE

CASH TRANSFER SCHEME FOR URBAN VULNERABLE PERSONS FUND 2024

Objective of the Fund

The purpose of the Fund is the provision of social safety nets to urban vulnerable persons through cash transfers.

Below is a summary of Statement of Comprehensive Income and Statement of Financial Position for the year:

Statement of Comprehensive Income

Item	Amount ZWG
Income	14 002 173
Expenditure	12 670 720
Surplus	**1 331 453**

Statement of Financial Position

Item	Assets ZWG	Liabilities ZWG
Accumulated Surplus	-	1 332 718
Non-Current	1 517	-
Current	1 331 201	-
Total	**1 332 718**	**1 332 718**

I have audited the financial statements of the Cash Transfer Scheme for Urban Vulnerable Persons Fund for the year ended December 31, 2024, and I issued an unmodified opinion.

Opinion

In my opinion, the financial statements present fairly, in all material respects, the financial position of the Cash Transfer Scheme for Urban Vulnerable Persons Fund as at December 31, 2024, and its financial performance and its cash flows for the year then ended in accordance with the Public Finance Management Act *[Chapter 22:19]*, and other relevant Statutory Instruments.

Below are issues noted during the audit:

1. GOVERNANCE ISSUES

1.1 Management of Laptops

Finding

The Fund did not conduct boards of inquiry for two (2) laptops, HP 450 serial numbers 5CD02348NP and 5CD0493GZX which were stolen in 2023. At the time of the audit in October 2025, there was no evidence that the Fund had taken action to convene board of inquiries. Section 109(3) of the Public Finance Management Treasury Instructions, 2019 requires the Accounting Officer to initiate an inquiry into any reported deficiency, damage, or destruction.

Risk/Implication

Without a board of inquiry, it may be difficult to hold the responsible individuals accountable for their actions.

Recommendations

Management should prioritise conducting a board of inquiry for the stolen laptops and come up with the appropriate recommendations.

Management Response

The delay in instituting a board of inquiry is sincerely regretted. The Ministry has since constituted the board, and arrangements are underway for it to convene before the end of the year. This process will ensure that the reported asset deficiencies are thoroughly investigated and appropriate, corrective measures are taken in line with Treasury Instructions.

Evaluation of Management Response

Management response acknowledged. However, the issue of the policy was not responded to.

1.2 Constitution of the Fund

Finding

The Fund operated without an approved Constitution. A draft copy was submitted to Ministry of Finance, Economic Development and Investment Promotion in June 2020 for approval. However, despite follow ups by management, no positive response was obtained. At the time of the audit in September 2025, the Constitution had not been approved. Section 18(2) of the Public Finance Management Act [*Chapter 22:19]* requires Treasury to draw up Constitutions to guide and regulate the operations of Funds.

Risk/Implication

The Fund may operate without legal basis.

Decisions not in line with the mandate of the Fund may be made.

Recommendation

Management should continue to engage Treasury for the approval of the Constitution of the Fund.

Management Response

The draft Constitution was submitted to Treasury for review. The Ministry remains engaged to ensure its finalisation in line with regulations.

1.3 Accounting Officers Manual

The Fund operated without an approved Accounting Officer's manual. The Manual has been in draft form since 2021 financial year. Section 28(7) of the Public Finance Management (Treasury Instructions), 2019 requires Accounting Officers to issue detailed written instructions governing the conduct of financial business and the control of all public moneys and the property for which they are responsible.

Risk/Implication

Insufficient guidance regarding management and operation of the Fund.

Recommendation

Management should expedite approval of the Accounting Officer's Manual.

Management Response

The finding is agreed to. The Ministry is currently working on revising the draft Accounting Officers' manual to align with the evolving operational scope of the Urban Vulnerable Persons Fund. In particular, the updated manual will incorporate the provisions to support implementation of the Cash for Cereal Programme, which aims to provide targeted cash transfers to urban vulnerable persons experiencing food insecurity.

1.4 Submission of Financial Statements

Finding

The Fund submitted the financial statements on August 28, 2025, after the stipulated timeline of April 30, 2025. This was contrary to the requirements of Treasury Circular Number 1 of 2025.

Risk/Implication

Timely decisions may not be made by the stakeholders.

Recommendation

Financial statements should be prepared and submitted for audit within the stipulated submission date.

Management Response

The finding has been acknowledged. The delay in submitting financial statements was primarily due to transitional challenges following the discontinuation of the Fund's operations after COVID-19 emergency phase. The Fund was originally established to address COVID-19 pandemic-related vulnerabilities, and was in the process of formally winding up.

However, upon recognising that activities had resumed under the Fund to support urban vulnerable populations affected by the EL Nino induced drought, the Ministry deemed it necessary to prepare and submit the financial statements to ensure transparency and accountability in readiness for the commencement of the Cash for Cereals Programme.

1.5 Advances to Parent Ministry

Finding

An amount of ZWG1 063 284 was advanced to the Ministry. At the time of concluding my audit, in April 2026 the amount was still outstanding. There was no evidence that prior authority was granted by Treasury to utilize the funds contrary to Section 116(9) of the Public Finance Management (Treasury Instructions), 2019.

Risk/Implication

The Fund may fail to meet its objectives due to non-reimbursement of money advanced to the parent Ministry.

Recommendation

In future, management should seek Treasury authority before utilisation of Fund resources.

Management should follow up with the Ministry for reimbursements.

Management Response

The authority for ZWG1 000 000 was obtained and reimbursement documents were processed on July 4, 2025. The Ministry is currently awaiting Treasury to avail the corresponding cash.

In future, the Ministry will desist from borrowing funds from Fund.

Evaluation of Management Response

The authority was granted by the Accounting Officer instead of the Treasury as per Treasury Instructions.

1.6 Unsupported Expenditure

Finding

The Fund incurred expenditure of ZWG60 836 without a requisition and an invoice to support the payment. Section 59(3)(c) and (4) requires payments to be processed based on requisitions and original invoices.

Risk/Implication

Fictitious transactions may be processed.

Recommendation

Management should ensure that payment vouchers are adequately supported before payments are processed in compliance with regulations.

Management Response

The payment in question was made based on beneficiary preference and the supplier's ability to deliver before payment. Due to these circumstances, alternative quotations were not obtained.

The Ministry takes note of the requirement for supporting documents and will ensure future compliance with prescribed procurement procedures.

2. ASSET MANAGEMENT

2.1 Property Plant and Equipment Management

Findings

The Fund did not have a depreciation policy as a result, assets such as laptops valued at ZWG1 517 were not depreciated. Section 11(6) of the Public Finance Management Treasury Instruction, (2019) requires assets under the accrual basis of accounting, to be depreciated in accordance with policy pronouncements. Consequently, the required adjustments were not made to the financial statements. This issue was raised in my previous audit report.

The Fund officials were issued four (4) computers, four (4) Samsung tablets, and ten (10) hard drives. However, there was no guidance on how the assets should be accounted for as there was no policy.

Risks/Implications

The assets disclosed in the financial statements may be misstated.

Without a policy, it may be difficult to hold individuals accountable for assets misuse or loss.

Recommendation

Management should put in place a comprehensive asset management policy.

Management Response

The observation is noted. The Fund regrets the absence of a depreciation policy. However, this is attributed to the Government's ongoing transition to the IPSAS basis of accounting. The Fund will adopt the provisions prescribed in the Zimbabwe Financial Reporting Manual (ZFRM).

The assets issued to Ministry officials remain recorded as assets of the Fund.

3. PROGRESS IN ADDRESSING PRIOR YEAR AUDIT FINDINGS

The Fund did not make much progress in addressing audit findings raised in my previous audit report. Out of four (4) findings, one (1) was partially addressed while three (3) were not addressed as indicated below:

3.1 Property, Plant and Equipment

The finding was partially addressed. The cell phones and hard drives were expensed, as the depreciation policy was not in place. The issue was raised on paragraph 1.1 above.

3.2 Management of Laptops

The board of inquiry was not conducted and there was no policy to guide how the assets should be accounted for. The issue was raised on paragraph 1.2 above.

3.3 Constitution of the Fund

The finding was not addressed as the Constitution was still in draft form.

3.4 Accounting Officers Manual

The manual was still in draft form, therefore, the issue remained unresolved.

CHILD WELFARE FUND 2024

Objective of the Fund

The Fund was established for development and promotion of the welfare and protection of children.

Below is a summary of Statement of Comprehensive Income and Statement of Financial Position for the year:

Statement of Comprehensive Income

Item	**Amount ZWG**
Income	4 002 136
Expenditure	4 474 799
Deficit	**(472 663)**

Statement of Financial Position

Item	**Assets ZWG**	**Liabilities ZWG**
Accumulated Deficit	**-**	(560 411)
Current	27 619	588 030
Total	**27 619**	**27 619**

I have audited the financial statements of the Child Welfare Fund for the year ended December 31, 2024, and I issued an unmodified opinion.

Opinion

In my opinion, the financial statements present fairly, in all material respects, the financial position of the Child Welfare Fund as at December 31, 2024, and its financial performance and its cash flows for the year then ended in accordance with the Public Finance Management Act [*Chapter 22:19]*, and other relevant Statutory Instruments**.**

Below are issues noted during the audit:

1. GOVERNANCE ISSUES

1.1 Constitution of the Fund

Finding

The Fund operated without an approved Constitution. Section 18(2) of the Public Finance Management Act [*Chapter 22:19*], requires a Statutory Fund to draw up a Constitution to guide and regulate its affairs.

Risk/ Implication

In the absence of an approved Constitution the legal basis for the activities of the Fund could be difficult to justify.

Recommendation

Management should follow up with Treasury on the approval of the Fund's Constitution.

Management Response

The Child Welfare Fund was established under the provisions of the Children's Act, [*Chapter 5:06*], as a means of distributing per capita grants to institutions providing residential care, foster care and specialised services for children. This framework formed the constitutional basis for operation of the Child Welfare Fund. However, the approved order paper which could assist in substantiating this could not be located at the time of audit.

1.2 Budget Utilisation

Finding

For the year under review, the Fund had an approved operational budget of ZWG30 531 522, however, a grant disbursement of ZWG4 000 000 was received. Therefore, the Fund received 13% of the approved budget. The Fund activities could not be fulfilled because of inadequate funding.

Risk/ Implication

The objectives of the Fund may not be achieved.

Recommendation

Management should follow up on outstanding fund disbursements.

Management Response

The observation is noted. This situation was attributed to constrained fiscal space. Nonetheless, management remains hopeful that the fiscal environment will improve, allowing for more consistent and adequate disbursements in future.

1.3 Sundry Payable

Finding

The Fund borrowed from Children on the Street Fund a total amount of ZWG235 164 which resulted in the increase of payables by the same. At the time of audit in July 2025, the Fund had not returned the borrowed financial resources.

Risk/Implication

It may be difficult to exercise control over the budgeted amounts if expenditure is met using borrowed funds.

Recommendations

Management should desist from borrowing funds from other Funds and reimbursements of the already borrowed funds should be made.

Management Response

Management acknowledges the borrowing of funds from Children in the Street Fund. The ZWG235 164 was borrowed to pay school fees for children who were rescued from the streets and are housed at a children's home in Chiredzi. Reimbursement for this amount has been initiated and is currently awaiting release of cash from Treasury.

2. PROGRESS IN ADDRESSING PRIOR YEAR AUDIT FINDINGS

The Fund made progress in addressing audit findings raised in my previous audit report. Out of the seven (7) findings, four (4) were addressed and three (3) were not addressed as indicated below:

1.1 Advances to Parent Ministry

The finding was not addressed as the previously borrowed funds were not reimbursed.

1.2 Expenditure Control

No funds were spent on institutional provisions during the year.

1.3 Expenditure Variance

The finding was addressed as no expenditure variances were noted during the year.

1.4 Double Payments

During the year, no double payments were made.

1.5 Sundry Payable

The finding was not addressed as sundry payables increased during the year. The issue was raised again on paragraph 1.3 above.

1.6 Constitution of the Fund

The Fund continued to operate without a constitution. The issue was raised again on paragraph 1.1 above.

1.7 Administration and per Capital Grant

The findings were addressed. The grants are now being acknowledged.

CHILDREN ON THE STREETS FUND 2024

Objective of the Fund

The mandate of the Fund is to protect and rehabilitate the children living in and or working on the streets.

Below is a summary of Statement of Comprehensive Income and Statement of Financial Position for the year:

Statement of Comprehensive Income

Item	Amount ZWG
Income	1 000 288
Expenditure	643 999
Surplus	**356 289**

Statement of Financial Position

Item	Assets ZWG	Liabilities ZWG
Accumulated Fund	-	461 919
Current	473 092	11 173
Total	**473 092**	**473 092**

I have audited the financial statements of the Children on the Streets Fund for the year ended December 31, 2024, and I issued an unmodified opinion.

Opinion

In my opinion, the financial statements present fairly, in all material respects, the financial position of the Children on the Streets Fund as at December 31, 2024, and its financial performance and cash flows for the year then ended in accordance with the Public Finance Management Act [*Chapter 22:19*] and other relevant Statutory Instruments

Below are issues noted during the audit:

1. GOVERNANCE ISSUES

1.1 Advances to other Statutory Funds and Parent Ministry

Findings

The Fund advanced of ZWG235 164 to the Child Welfare Fund. Section 116(9) of the Public Finance Management (Treasury Instructions), 2019 prohibits Accounting Officers from borrowing money from Funds within their Ministries unless authorized by the Treasury in writing.

In addition, the Fund made payments amounting to ZWG95 451 on behalf of the Parent Ministry in 2023. At the time of concluding my audit, on October 20, 2025, the amounts had not been reimbursed.

Risk/ Implication

The Fund's objectives may not be achieved.

Recommendations

The Ministry should seek Treasury authority prior utilisation of money from Funds in compliance with regulations and should reimburse any advance made.

Management Response

The observation is acknowledged. The Fund paid an amount of ZWG235 164 towards school fees. Ideally, this amount should have been paid from the Child Welfare Fund, but at the time of payment, the Fund did not have sufficient resources. Consequently, the Fund temporarily advanced the amount to settle the arrears to avoid disruption of the children's education. The funds will be reimbursed once the Child Welfare Fund has adequate resources.

2. PROGRESS IN ADDRESSING PRIOR YEAR AUDIT FINDINGS

The Fund made partial progress in addressing findings raised in my previous audit report. One (1) finding was addressed and one (1) was not addressed as indicated below:

2.1 Expenditure Classification

The finding was addressed and there was no expenditure misclassification during the year under review.

2.2 Advances to Parent Ministry

The finding was not addressed and was raised again on paragraph 1.1 above.

COMMUNITY RECOVERY FUND 2024

Objective of the Fund

The mandate of the Fund is to rebuild the livelihoods of the disadvantaged communities in the rural and peri-urban parts of Zimbabwe as part of the recovery process.

Below is a summary of Statement of Comprehensive Income and Statement of Financial Position for the year:

Statement of Comprehensive Income

Item	Amount ZWG
Income	-
Expenditure	297
Deficit	**(297)**

Statement of Financial Position

Item	Assets ZWG	Liabilities ZWG
Accumulated Deficit	-	(1 111)
Current	-	1 111
Total	-	-

I have audited the financial statements of the Community Recovery Fund for the year ended December 31, 2024, and I issued an unmodified opinion.

Opinion

In my opinion, the financial statements present fairly, in all material respects, the financial position of the Community Recovery Fund as at December 31, 2024, and its financial performance and its cash flows for the year then ended in accordance with the Public Finance Management Act [*Chapter 22:19*], and other relevant Statutory Instruments.

Below are issues noted during the audit:

1. GOVERNANCE ISSUES

1.1 Constitution of the Fund

Finding

In my previous audit report, I made mention of the Fund operating with a draft Constitution. The same persisted during the year under review. Section 18(2) of the Public Finance Management Act [*Chapter 22:19*] requires a Statutory Fund to draw up a constitution to guide and regulate its affairs.

Risk/ Implication

The Fund may operate illegally or outside its mandate.

Recommendation

Management should prioritise finalising of the Fund's Constitution so that the Fund could have a basis for operating.

Management Response

The Constitution of the Community Recovery Fund has not been approved as the process requires the Fund's creation to get Parliamentary approval. Follow up will be made through the Ministry of Finance, Economic Development and Investment Promotion although our new proposal is to merge it with Sustainable Livelihoods.

1.2 Lack of Funding

Finding

Since the inception of the Fund, no budget support was allocated to it. As a result, the Fund was unable to carry out its mandate of rebuilding the livelihoods of the disadvantaged communities in the rural and peri-urban parts of Zimbabwe. At the time of my audit on July 16, 2025, the bank account of the Fund had been closed due to the prolonged absence of funding.

Risk/ Implication

The Fund may not be able to fulfil its mandate.

Recommendation

The Ministry should ensure that adequate budgetary allocations are provided to enable the Fund to execute its mandate effectively.

Management Response

It is acknowledged that no funds were deposited into the Community Recovery Fund during the year under review. This was because of the new decision to merge it with Sustainable Livelihood which has got similar objectives.

1.3 Sundry Payable

Finding

As observed in my previous audit report, the Fund received a donation of ZWL$500 000 on behalf of the Ministry. The donation ZWG1 111 (ZWL$500 000) remained in the Fund's books. However, the cash has since been wiped out by bank charges. There was no evidence that management had plans to clear the balance.

Risk/Implication

Non-utilisation of the donation and its subsequent erosion undermine service delivery and impacts the intended interventions for beneficiaries.

Recommendation

Management should take steps to clear the ZWG1 111 that has remained in the records.

Management Response

It is acknowledged that the Ministry received the sum of ZWL$500 000 (ZWG1 111) as donation on December 21, 2021. The Ministry wanted to conduct a fund-raising function where upon business and other well-wishers were to donate towards some of its social Protection programs. However, when arrangements had reached an advanced stage, the Ministry decided to postpone the function indefinitely. Meanwhile, the amount which had been deposited was being eroded by the bank charges until we got to a point where ZWG1 111 was owing.

2. PROGRESS IN ADDRESSING PRIOR YEAR AUDIT FINDINGS

The Fund did not make any progress in addressing the audit findings raised in my previous audit report. All the three (3) audit findings were not addressed as indicated below:

2.1 Constitution of the Fund

The finding was not addressed and has been reported on paragraph 1.1 above.

2.2 Lack of Funding

The finding was not addressed. The observation persisted during the year under review as shown on paragraph 1.2 above.

2.3 Sundry Payable

The finding was not addressed. The observation persisted during the year under review as shown on paragraph 1.3 above.

DISABLED PERSONS FUND 2024

Objective of the Fund

The purpose of the Fund is to promote the welfare of disabled persons by providing financial resources for the rehabilitation, training and engaging in income and employment generating projects.

Below is a summary of Statement of Comprehensive Income and Statement of Financial Position for the year:

Statement of Comprehensive Income

Item	Amount ZWG
Income	14 791 255
Expenditure	14 570 201
Surplus	**221 054**

Statement of Financial Position

Item	Assets ZWG	Liabilities ZWG
Accumulated Fund	-	222 332
Current	244 310	21 978
Total	**244 310**	**244 310**

I have audited the financial statements of the Disabled Persons Fund for the year ended December 31, 2024, and I issued an unmodified opinion.

Opinion

In my opinion, the financial statements present fairly, in all material respects, the financial position of the Disabled Persons Fund as at December 31, 2024, and its financial performance and its cash flows for the year then ended in accordance with the Public Finance Management Act [*Chapter 22:19*], and other relevant Statutory Instruments.

Below are issues noted during the audit:

1. GOVERNANCE ISSUES

1.1 Accounts Receivable

Findings

Management did not take appropriate measures to collect amounts loaned by the Fund to persons with disabilities during the year under review. As a result, accounts receivable increased by over 100% from ZWG1 970 to ZWG243 588. Section 49(2) of the Public Finance Management (Treasury Instructions), 2019, requires officers in charge of debt collection to collect any amounts owed to the government.

The Fund also made an overpayment of ZWG214 448 in October 2024 to Profmed Investments for assistive devices. As at the time of concluding the audit in July 2025, an amount of ZWG41 143 was still outstanding.

In addition, the Fund made payments amounting to ZWG31 253 for school fees on behalf of Basic Education Assistance Module (BEAM). The payments were not related to the Fund's business as they were not promoting the welfare of disabled persons. At the time of audit in July 2025, the funds had not been reimbursed.

Risks/Implications

The receivables may end up being irrecoverable and the Fund's objectives may not be achieved.

Recommendations

The Fund should put in place an efficient debt recovery mechanism in compliance with Public Finance Management (Treasury Instructions), 2019.

The Fund should discontinue the practice of making payments that are outside the mandate or without proper due diligence, as this compromises the achievement of the Fund's objectives.

Management Response

The observation is noted. Recovery action has been undertaken in respect of the ZWG214 448 paid from the Fund.

Challenges have been experienced in trying to make persons with disabilities make loan repayment under the revolving loan facility. A recommendation has been made to write off the outstanding amount, as there is no likelihood that repayments are going to be made. Meanwhile, the Disability Loans Allocation committee is coming up with more stringent control measures meant to ensure that only deserving members who can repay access the loans.

2. PROGRESS IN ADDRESSING PRIOR YEAR AUDIT FINDINGS

The Fund addressed the audit finding raised in my previous report as shown below**.**

2.1 Expenditure not Adequately Supported

Payments are now being processed with supporting invoices.

DRUGS AND SUBSTANCE ABUSE MITIGATION FUND 2024

Objective of the Fund

The purpose of the Fund is to prevent the negative effects of the use of illegal drugs or the use of prescription or over the counter drugs or alcohol for the purposes other than those for which they were meant to be used, in excessive amounts among the youth and general populace.

Below is a summary of Statement of Comprehensive Income and Statement of Financial Position for the year:

Statement of Comprehensive Income

Item	Amount ZWG
Income	19 884 122
Expenditure	18 994 547
Surplus	**889 575**

Statement of Financial Position

Item	Assets ZWG	Liabilities ZWG
Accumulated Fund	-	1 138 100
Non-Current	274 980	-
Current	884 335	21 215
Total	**1 159 315**	**1 159 315**

I have audited the financial statements of the Drugs and Substance Abuse Mitigation Fund for the year ended December 31, 2024, and I issued an unmodified opinion.

Opinion

In my opinion, the financial statements present fairly, in all material respects, the financial position of the Drugs and Substance Abuse Mitigation Fund as at December 31, 2024, and its financial performance and its cash flows for the year then ended in accordance with the Public Finance Management Act *[Chapter 22:19],* and other relevant Statutory Instruments.

Below are issues noted during the audit:

1. GOVERNANCE ISSUES

1.1 Advances to Parent Ministry and other Funds

Findings

The Fund made an advance of ZWG581 275 to the parent Ministry during the period under review. In addition, the Fund advanced ZWG245 700 to other Statutory Funds and the amounts had not been reimbursed at the time of concluding the audit in April 2026. There was no evidence that Treasury authority was sought before making the advance.

Furthermore, on December 4, 2024, the Fund made payments amounting to ZWG301 999 to two (2) different service providers through payment voucher numbers DRG55 and DRG65. The payments were for servicing Parent Ministry vehicles. Section 116(9) of the Public Finance Management (Treasury instructions), 2019 requires Accounting Officers not to borrow money from Funds within their Ministries to finance Appropriation budgets unless authorized by Treasury in writing.

Risk/Implication

The Fund may fail to fulfil its mandate effectively if funds are not used for the intended purpose.

Recommendations

The Fund should seek Treasury concurrence before making any advance to the Parent Ministry or other Statutory Funds.

Management should ensure that funds are used for the intended purposes to avoid underfunding the activities of the Fund.

Management Response

Management acknowledges the observation. The Parent Ministry obtained budgetary support to reimburse the Fund, but no cash disbursements were received in 2024. The Ministry is awaiting Treasury cash disbursement.

1.2 Sundry Receivable

Finding

The Fund advanced ZWG15 893 to two (2) beneficiaries in 2023 however, the amounts were later reimbursed through the Ministry's Exchequer Account and swept by Treasury at the end of the period. In the Fund's books, the amount remains uncleared and recognized as a receivable regardless of the reimbursement made

Risk/Implication

The Ministry may not transfer the reimbursed money to the Fund.

Recommendation

Management should follow up with Treasury so that the funds are reimbursed.

Management Response

It is acknowledged that an amount of ZWG15 893 remains outstanding in the Fund's books. The Fund is in the process of seeking approval for the formal write-off of the said amount in line with applicable Treasury regulations.

Evaluation of Management Response

Management *response is acknowledged. However, no response had been obtained from Treasury by the time of concluding the audit on April 22, 2026.*

1.3 Unrecorded Goods

Finding

The Fund procured goods for its operations amounting to ZWG4 000 389 however, these were not recorded in the goods received register. This was contrary to Section 95(5) of the Public Finance Management (Treasury Instructions), 2019. In addition, the distribution lists were not

availed for audit, therefore I could not ascertain whether the goods were received and distributed to the relevant recipients.

Risk/Implication

Loss of transparency and accountability of goods procured.

Recommendation

The Ministry should ensure that goods received are recorded in the relevant register in compliance with the regulations.

Management Response

Inventory registers specific to the Fund have since been introduced and measures have been put in place to ensure proper segregation and recording of these consumables.

Evaluation of Management Response

The management response is acknowledged. However, the registers in place had nothing recorded in them.

2. PROGRESS IN ADDRESSING PRIOR YEAR AUDIT FINDING

The Fund did not make progress in addressing the audit finding that was raised in the previous audit report. The finding was not addressed as indicated below:

2.1 Sundry Receivable

The finding on sundry receivable was not addressed since the ZWL$3 974 122 remained outstanding.

NATIONAL DROUGHT FUND 2024

Objective of the Fund

The Fund was established to alleviate the effects of drought and other natural hazards adversely influencing food security and to promote the development of food production designed to counteract drought and/or purposes incidental thereto.

Below is a summary of the Statement of Comprehensive Income and Statement of Financial Position for the year:

Statement of Comprehensive Income

Item	**Amount ZWG**
Income	128 309 174
Expenditure	314 459 540
Deficit	**(186 150 366)**

Statement of Financial Position

Item	**Assets ZWG**	**Liabilities ZWG**
Accumulated Deficit	-	(185 260 128)
Current	2 576 438	187 836 566
Total	**2 576 438**	**2 576 438**

I have audited the financial statements of the National Drought Fund which comprise the statement of financial position as at December 31, 2024, and I issued an unmodified opinion.

Opinion

In my opinion, the financial statements present fairly, in all material respects, the financial position of the National Drought Fund as at December 31, 2024, and its financial performance and its cash flows for the year then ended in accordance with the Public Finance Management Act *[Chapter 22:19]*, and other relevant Statutory Instruments.

Below are issues noted during the audit:

1. GOVERNANCE ISSUES

1.1 Procurement of Fuel

Finding

The Fund purchased 6 000 litres of diesel worth ZWG144 840, from Petrotrade, on September 25, 2024, however management collected 3 100 litres of fuel on February 10, 2026, sixteen (16) months after date of payment. The fuel collected was 2 900 litres less than the procured amount due to changes in market price. Management did not give reasons for the delay in collecting the fuel. Section 44(1)(a)(i) of the Public Finance Management Act [*Chapter 22:19*] requires an accounting authority to establish and maintain effective, efficient, and transparent systems of financial management, risk management, and internal controls.

Risk/ Implication

Wasteful expenditure incurred and loss of value of money.

Recommendation

Management should put in place a system that ensures timely collection of goods that will have been procured.

Management Response

It is acknowledged that the National Drought Fund placed orders to procure a total of 6000 litres of diesel coupons from Petrotrade for a Social Development Office (SDO) training workshop that was held in Mutare over the from September 18 to 22, 2024. The fuel was not collected in time for the workshop, The payment was only done on September 25, 2024, after the event resulting in the fuel coupons not being collected. The anomaly was only discovered by external audit during the audit of 2024 financial statements. The price of fuel had doubled due to the current crisis, resulting in the Ministry receiving 3100 litres worth of fuel coupons, which Petrotrade indicated was adequate for the amount that had been paid.

1.2 Shortage of Accounting Staff

Finding

Nine district stations, namely Kariba, Hurungwe, Zvimba, Sanyati, Mhondoro-Ngezi, Gweru, Kwekwe, Mbire, and UMP, were operating without accountants as observed during my audit of the stations conducted from October 26 to November 07, 2025. In the interim, accounting duties for the district stations have been assumed by the Social Development Officers, who did not possess accounting skills. As a result, several misstatements and lack of proper maintenance of accounting records were observed during the audit. The misstatements noted were subsequently corrected during the audit.

Risk/Implication

Financial statements could be misstated considering that the preparers do not possess the requisite qualifications.

Recommendation

Management should ensure that provincial accountants are deployed to these stations for proper stewardship of accounting records.

Management Response

The observation is acknowledged. The stations did not have posts positions of accountants under their current budget. As a stop gap measure, provincial accountants will be sent to the stations to undertake accounting duties up until the end of the year, when Treasury can be able to fund new positions of accountant.

2. PROGRESS IN ADDRESSING PRIOR YEAR FINDINGS

The Fund made good progress in addressing audit findings raised in my previous audit report. Out of the five (5) findings, four (4) were addressed, and one (1) was not addressed as detailed below:

2.1 Travel and Subsistence Allowances

Acquittal of travel and subsistence was done, and ledgers are now in place.

2.2 Grain Distribution

Discrepancies between the withdrawal slips and GMB tax invoices were still in existence.

2.3 Under Utilisation of Resources

The finding was addressed during the year under review. The Fund incurred a deficit of ZWG186 150 366, and no funds were recalled by Treasury.

2.4 Mis-posting of Expenditure

No mis-postings were noted during the current year's audit.

2.5 Unsupported payments

Payment vouchers submitted for audited had supporting documentation.

OLDER PERSONS FUND 2024

Objective of the Fund

The Fund was established to provide social welfare assistance to destitute or indigent older persons through promotion of programmes on health and education among destitute or indigent older persons, provision of facilities for developing skills in older persons at homes, projects aimed at promoting the well-being, welfare, care and protection of older persons, and, assisting any person who wishes to establish, operate and maintain any service or facility that is aimed at advancing the well-being, welfare, care and protection of older persons.

Below is a summary of Statement of Comprehensive Income and Statement of Financial Position for the year:

Statement of Comprehensive Income

Item	**Amount ZWG**
Income	989 730
Expenditure	1 238 750
Deficit	**(249 020)**

Statement of Financial Position

Item	**Assets ZWG**	**Liabilities ZWG**
Accumulated Deficit	-	(54 598)
Current	227 674	282 272
Total	**227 674**	**227 674**

I have audited the financial statements of the Older Persons Fund for the year ended December 31, 2024, and I issued an unmodified opinion.

Opinion

In my opinion, the financial statements present fairly, in all material respects, the financial position of the Older Persons Fund as at December 31, 2024, and its financial performance and its cash flows for the year then ended in accordance with the Public Finance Management Act [*Chapter 22:19*], and other relevant Statutory Instruments.

Below are issues noted during the audit:

2. GOVERNANCE ISSUES

2.1 Internal Audit

Finding

The Internal Audit department did not conduct an audit of the Older Persons Fund during the year under review as required by Section 80(2) of the Public Finance Management Act [*Chapter 22:19*]. Therefore, the Fund's financial and administrative procedures were not monitored during the year.

Risk/Implication

Weaknesses in the system may not be timeously detected and corrected.

Recommendation

Management should facilitate the audit of the Fund to evaluate the effectiveness of internal controls.

Management Response

The finding is noted. The audit was earmarked to be performed before the end of 2025 financial year.

2.2 Advances to Parent Ministry and other Statutory Funds

Findings

As reported in my prior year report, an amount of ZWG341 was advanced to the Ministry, being payments made by the Fund on behalf of the Appropriation Account. The amount was still outstanding as at December 31, 2024. This amount had been outstanding since 2022, thus indicating that no recoveries were made. There was no evidence that prior authority was sought to utilize the funds contrary to Section 116(9) of the Public Finance Management (Treasury Instructions), 2019.

Furthermore, at the time of concluding the audit on December 31, 2025, an amount of ZWG195 468, being payments by the Fund on behalf of the Public Assistance program was outstanding. This amount has been outstanding since 2023.

Risks/Implications

The outstanding amounts may not be recovered.

The Fund may fail to meet its obligations if funds are used for other purposes which are not Fund related and are not reimbursed.

Recommendation

The Ministry should reimburse the Fund all the payments made on its behalf.

Management Response

The finding is agreed to. Arrangements are underway to reimburse the Fund during the 2025 financial year.

3. PROGRESS IN ADDRESSING PRIOR YEAR AUDIT FINDINGS

The Fund made significant progress in addressing audit findings raised in my previous audit report. Out of the four (4) findings, three (3) were addressed and one (1) was not addressed as indicated below:

2.1 Administration of the Fund

The board is now in place.

2.2 Expenditure not Adequately Supported

The finding was addressed. Supporting evidence for the expenditure was provided.

2.3 Outstanding Travelling and Subsistence Allowance Acquittals

Travelling and subsistence allowance acquittals were now in place.

2.4 Empowerment of Older Persons Policy

The issue was not addressed as the policy was still to be finalised.

SUSTAINABLE LIVELIHOODS FUND 2024

Objective of the Fund

The mandate of the Fund is to uplift the lives of the poor and the vulnerable households in a sustainable manner. The ultimate objective is to assist the indigent to become self-reliant thus fully participate and contribute to the socio-economic development of the country.

Below is a summary of Statement of Comprehensive Income and Statement of Financial Position for the year:

Statement of Comprehensive Income

Item	**ZWG**
Income	1 070 000
Expenditure	54 460
Surplus	**1 015 540**

Statement of Financial Position

Item	**Assets ZWG**	**Liabilities ZWG**
Accumulated Fund	-	2 616 102
Non-current	636 465	-
Current	1 979 637	-
Total	**2 616 102**	**2 616 102**

I have audited the financial statements of the Sustainable Livelihoods Fund for the year ended December 31, 2024, and I have issued a qualified opinion.

Qualified Opinion

In my opinion, except for the possible effect of the matter described in the Basis for Qualified Opinion section of my report, the financial statements present fairly, in all material respects, the financial position of the Sustainable Livelihoods Fund as at December 31, 2024, and its financial performance and its cash flows for the year then ended in accordance with the Public Finance Management Act *[Chapter 22:19],* and other relevant Statutory Instruments.

Basis for Qualified Opinion

Property, Plant and Equipment

Finding

The Fund recognised projects worth ZWG630 947 implemented for both Urban and Rural communities as at December 31, 2024. However, the nature and composition of assets under those various projects was not provided for audit, as a result, I could not confirm with accuracy the value of livelihood projects disclosed in the financial statements.

Risk/Implication

Failure to disclose assets may result in incomplete presentation of the Fund's financial position.

Recommendation

Management should ensure that all assets that would have been handed over to the projects are not recognised in their financial statements.

Management Response

The observation is noted. However, sustainable livelihoods projects do not meet the criteria of assets as the Fund does not have control over the assets and the assets do not provide future economic benefit or service potential to the Fund. As a result, all assets which were procured for the projects were handed out to those projects at the point of purchase.

Evaluation of Management Response

Management response is noted. However, since management have indicated that the Fund does not have control over the assets, they were not supposed to recognise them in their books.

Below are other issues noted during the audit:

1. GOVERNANCE ISSUE

1.1 Depreciation of Assets

Findings

The Fund presented its assets in the financial statements on a historical cost basis without considering the effects of depreciation. The Fund did not have a policy on depreciation therefore, I could not determine the extent of adjustments necessary. Section 11(6) of the Public Finance Management (Treasury Instructions), 2019 requires assets to be depreciated under the accrual basis of accounting.

Furthermore, the Fund did not maintain a master asset register. This was contrary to Section 100(4) of Public Financial Management (Treasury Instructions), 2019 which requires Accounting Officers to ensure appropriate and up to date assets records.

Risks/Implications

Assets could be misstated.

The Ministry may not be able to monitor the location, utilization and existence of assets.

Recommendations

The Ministry should ensure that a depreciation policy is put in place to enable accurate valuation of assets.

Management should maintain an asset register to ensure accountability of assets.

Management Response

The observation is acknowledged. In the future the Ministry will use the depreciation policy provided in the Zimbabwe Financial Reporting Manual which is uses the IPSAS.

The Ministry appreciates the observation regarding the maintenance of the Master asset register. Please note that at the time of the audit the constitution had not been approved. The assets register is now in place; their management is going to conform with the approved constitution.

1.2 Budget Utilisation

Findings

The Fund continued to make advances to Parent Ministry without treasury concurrence. As at December 31, 2024, advances to Parent Ministry amounted to ZWG1 925 530 and up to the time of audit on August 27, 2025, no reimbursements had been made. There was no evidence that prior authority was sought to utilise the funds contrary to Section 116(9) of the Public Finance Management (Treasury Instructions), 2019.

The Fund received a grant of ZWG1 070 000 for implementation of planned programme activities for the financial period under review. Out of the funds received, only ZWG54 000 was utilized to meet the programmes of the Fund, which represents 5% of the total grant received with the remaining part of the grant being channelled to advances to the Parent Ministry. As a result, key programme activities could not be executed as planned.

Risk/Implication

The Fund may fail to meet its objectives if resources are not used for the intended purpose.

Recommendations

The Ministry should ensure that all expenditure incurred by the Fund are strictly aligned with its approved mandate.

The Fund should ensure that Treasury Authority is obtained before making any advance payments to the Parent Ministry.

Management Response

The observation is acknowledged. The parent Ministry did not have funds, mainly for vehicle maintenance which is critical for project implementation. In future the Ministry shall desist from borrowing resources meant for the Fund. The borrowed funds will be refunded before year end.

The Fund has commenced a comprehensive review and reclassification of all projects related assets to ensure proper capitalisation in accordance with IPSAS 17. The master asset register will be updated to include all equipment and infrastructure purchased under the livelihoods projects. Going forward, all similar assets will be correctly classified upon acquisition.

2. PROGRESS IN ADDRESSING PRIOR YEAR AUDIT FINDINGS

The Fund made progress in addressing findings raised in my previous report. Out of the three (3) findings, two (2) were addressed and one (1) was not addressed as indicated below:

2.1 Unvouched Expenditure

Payments vouchers for expenditure incurred during the year were availed for audit.

2.2 Fund Accounting

The finding on transacting outside Public Financial Management System was addressed during the year.

2.3 Advances to Parent Ministry

The finding relating to advance to the Parent Ministry was not addressed, and the issue has been raised on paragraph 1.2 above.

VOTE 4.- DEFENCE

APPROPRIATION ACCOUNT 2024

Mandate

The Ministry's mandate is to protect the country's territorial integrity and sovereignty over land and air space against both internal and external aggression. The Ministry also provides rescue assistance to civilians in times of disasters as well as promoting international peace and security through participation in peacekeeping missions.

Below is a summary of what was allocated and spent during the year:

Original Budget ZWG	Unallocated Reserve Transfers ZWG	Total Budget ZWG	Expenditure ZWG	Net Under-spending ZWG
5 465 199 314	2 379 222 507	7 844 421 821	6 761 220 772	1 083 201 049

I have audited the financial statements of the Ministry of Defence for the year ended December 31, 2024, and I issued a qualified opinion.

Qualified Opinion

In my opinion, except for effects of the matters described in the Basis for Qualified Opinion section of my report, the financial statements present fairly in all material respects, the state of affairs of the Ministry of Defence as at December 31, 2024, in accordance with the Public Finance Management Act [*Chapter 22:19*] and any other relevant Statutory Instruments.

Basis for Qualified Opinion

(i) Reconciliation of the Appropriation Account to the Sub-Paymaster General (Sub-PMG) Account

Finding

There was a variance of ZWG492 279 493 between the total expenditure of ZWG6 761 220 772 disclosed in the Appropriation Account and payments amounting to ZWG6 268 941 279 processed through the Sub-PMG Account and direct payments. There was no evidence of reconciliations performed to trace and rectify the variance. As a result, I could not ascertain the accuracy of the expenditure disclosed in the Appropriation Account.

Risk/Implication

The Appropriation Account may be misstated.

Recommendations

Management should ensure that reconciliations are made between the Appropriation Account, Sub-PMG Account and direct payments. In addition, variances identified should be investigated and rectified.

Management Response

The observation is noted. The reconciliation process has been undertaken considering direct payments processed by Treasury, manual payments, 2024 open items and payments made by the Ministry under ZWL$ and ZWG platforms. The reconciliation exercise is ongoing with a view to reducing or clearing the remaining variance.

(ii) Receipts and Disbursements

Finding

The Ministry did not make use of the Public Financial Management System (PFMS) Sub-Exchequer Account to record and issue receipts for funds received. The return submitted for audit showed total receipts of ZWG1 582 378, however, the PFMS Sub-Exchequer general ledger did not reflect any transactions. This was contrary to Section 13(2) of the Public Finance Management (Treasury Instructions), 2019. The Ministry attributed this to lack of training on receipting in the PFMS. As a result, I could not ascertain the accuracy and completeness of the revenue disclosed in the financial statements.

Risk/Implication

Misappropriation of funds in the absence of complete records.

Recommendation

Management should ensure that staff is capacitated on receipting in the PFMS.

Management Response

The observation is noted. The Ministry Staff have not received training on receipting in the PFMS. Submissions were made to PFMS project office to have the members trained during August 2025 after scheduled training in 2024 failed to materialize due to funding constraints.

Below is an issue noted during the audit:

1. GOVERNANCE ISSUE

1.1 Statement of Payment Arrears

Findings

The Ministry had accumulated arrears of ZWG10 409 932 994, dating back to February 2020. These arrears represent approximately over 100% of the Ministry's total expenditure for the year under review.

Further analysis revealed that the payment arrears of ZWG1 578 901 for Program 1 under Ministry of Defence included amounts relating to goods and services that had not been delivered to the Ministry.

Risks/Implications

The accumulation of arrears, if left unattended, erodes the budget of the subsequent year and negatively impacts on Government service delivery and reputation.

Payments may be made for goods and services not delivered resulting in the overstatement of expenditure.

Recommendations

Management should prioritise payments to critical and long-outstanding suppliers to avoid disrupting essential services.

Management should establish and implement robust internal controls that ensure accurate recognition and recording of payment arrears.

Management Response

The documents submitted to the auditors' included supplies of goods and services which had not been delivered and not paid for. This was an error on the part of the Ministry, and the documents have since been removed from the creditors' listing.

2 PROGRESS IN ADRESSING PRIOR YEAR AUDIT FINDINGS

The Ministry made progress in addressing findings raised in my previous report. Out of four (4) findings, two (2) were addressed, while two (2) remained outstanding as indicated below:

2.1 Fuel Management

The issue of the absence of segregation of duties at Harare district fuel point was addressed. The fuel registers were reviewed and signed by an independent supervisor.

2.2 Paymaster-General's Reconciliation Account

The issue of unreconciled variance in the Sub-PMG Account remains unresolved and the issue has been raised on paragraph (i) above.

2.3 Receipts and Disbursements

The finding was not addressed, as receipts were generated outside the Public Finance Management System. The issue was raised on paragraph (ii) above.

2.4 Late Submission of the Appropriation Account

The findings were addressed. The 2024 draft Appropriation Account was submitted on time.

NATIONAL HEROES' DEPENDANTS ASSISTANCE FUND 2024

Objectives of the Fund

The Fund was established for the purpose of providing assistance to designated national heroes' dependents.

Below is a summary of Statement of Financial Performance and Statement of Financial Position for the year 2024:

Statement of Financial Performance

Item	**Amount ZWG**
Income	**-**
Expenditure	4 174 334
Deficit	**(4 174 334)**

Statement of Financial Position

Item	**Assets ZWG**	**Liabilities ZWG**
Accumulated Fund	-	(4 234 039)
Non-Current	39 211	-
Current	364	4 273 614
Total	**39 575**	**39 575**

I have audited the financial statements of the National Heroes' Dependants Fund for the year December 31, 2024, and I issued a qualified opinion.

Qualified Opinion

In my opinion, except for the effects of the matters described in the Basis for Qualified Opinion section of my report, the financial statements present fairly in all material respects, the financial position of the National Heroes' Dependents Assistance Fund as at December 31, 2024, its financial performance and its cash flows for the year then ended in accordance with the Public Finance Management Act [*Chapter 22:19*] and any other relevant Statutory Instruments**.**

Basis for Qualified Opinion

(i) Depreciation Policy

The Fund did not depreciate its Property, Plant and Equipment due to the absence of a depreciation policy. The Property, Plant and Equipment was therefore disclosed at the cost value of ZWG39 211. This was not in line with best practice. Consequently, the valuation of Property, Plant and Equipment disclosed in the financial statements could not be ascertained.

Risk/Implication

Financial statements may be misstated.

Recommendation

Management should formulate a depreciation policy to guide preparers of financial statements on depreciation and valuation of Property, Plant and Equipment.

Management Response

Management acknowledges the audit observation regarding lack of formal accounting policy during the period under review. The Ministry had not formulated its accounting policy prior to the period under review. However, management have since formulated and implemented an accounting policy which is effective for subsequent periods, that is from financial year 2025.

(ii) Accuracy of Expenditure

Finding

The Fund did not account for school fees expenditure for third term amounting to ZWG221 449 for Masvingo Province due to connectivity challenges. As a result, I could not ascertain the completeness and accuracy of the amounts presented in the financial statements.

Risk/Implication

The failure to record all expenditure obligations may result in understated expenditure and accounts payable in the 2024 financial statements.

Recommendations

Management should ensure that all school fees expenditure obligations are captured and accurately recorded in the financial statements.

Outstanding fees should be accrued based on estimates at the end of the year if invoices are not availed.

Management Response

The school fees batch for Masvingo province was received in June 2025 after the reporting period, when the financial statements were already submitted for audit. The Ministry is experiencing connectivity challenges, which are affecting the timely submission of school fees claims from provinces and districts. This has resulted in delays in recording fees obligations in the correct period. Currently, some of the school fees claims for financial year 2024 are not yet received by the accounts department for recording.

Below is an issue noted during the audit.

1. GOVERNANCE ISSUE

1.1 Current Liabilities

Finding

The financial statements of the Fund showed that the current liabilities exceeded current assets by an amount of ZWG4 273 250 (2023: ZWG98 915). This net current liability position may affect the Fund in meeting its immediate obligations. The Fund incurred a deficit of ZWG73 868 (ZWL$33 251 604) in 2023.

Risk/Implication

The Fund may fail to meet its obligations when they fall due.

Recommendation

Management should lobby for more Funding from Ministry of Finance, Economic Development and Investment Promotion.

Management Response

Management acknowledges the observation. The Government will provide the necessary grants to extinguish the current obligations and ensure the Fund's continued operations.

2. PROGRESS IN ADDRESSING PRIOR YEAR AUDIT FINDINGS

The Fund made some progress in addressing the audit findings raised in my previous audit report. Out of the four (4) findings, two (2) were addressed and two (2) were not addressed as indicated below:

2.1 Absence of Supporting Documents

The issue was not addressed as documents were not captured on time.

2.2 Absence of Accounting Policy

The Fund had no accounting policy on valuation of its non-current assets as indicated on paragraph (i) above.

2.3 Overpayment of Invoice

The issue was addressed as the Ministry was given goods to compensate for the overpayment.

2.4 Statement of Cashflows

The statement of cashflows was correctly prepared using the indirect method.

WAR VICTIMS' COMPENSATION FUND 2024

Objectives of the Fund

The Fund is to be applied to the rendering of such assistance and the disbursement of such benefits other than pensions as in terms of War Victims Compensation Act [*Chapter 11:16*] to be rendered by or disbursed from the Fund to victims of the war.

Below is a summary of Statement of Comprehensive Income and Statement of Financial Position for the year 2024:

Statement of Comprehensive Income

Item	**Amount ZWG**
Income	5 000 000
Expenditure	5 844 969
Deficit	**(844 969)**

Statement of Financial Position

Item	**Assets ZWG**	**Liabilities ZWG**
Non-Current	-	-
Accumulated Fund	-	2 052 026
Current	2 259 286	207 260
Total	**2 259 286**	**2 259 286**

I have audited the financial statements of the War Victims Compensation Fund for the year ended December 31, 2024, and I issued a qualified opinion.

Qualified Opinion

In my opinion, except for the effects of the matters described in the Basis for Qualified Opinion section of my report, the financial statements present fairly in all material respects, the financial position of the War Victims Compensation Fund as at December 31, 2024, its financial performance and its cash flows for the year then ended in accordance with the Public Finance Management Act [*Chapter 22:19*] and other relevant Statutory Instruments.

(i) Prior Year Financial Statements

Finding

The Fund did not submit 2023 financial statements for audit despite being operational. I could not, therefore, place reliance on the accuracy of the opening balances disclosed in the financial statements for the year ended December 31, 2024.

Risks/Implications

Misstatement of 2024 opening balances disclosed in the financial statements.

Lack of comparability, errors and fraud.

Recommendation

The Fund should strengthen compliance with statutory financial reporting requirements, by preparing and submitting annual financial statements for audit.

Management Response

The audit observation is noted. The Ministry engaged Treasury and submitted a draft Constitution for the War Victims Compensation Fund to regularize the operations of the Fund. The draft Constitution includes a chapter that stipulates that financial statements shall be prepared and submitted to the Office of the Auditor-General, Zimbabwe, within three (3) months after the end of each financial year.

Evaluation of Management Response

Management response is noted. However, the issue of submission of prior year financial statements was not addressed.

(ii) Misstatement of the Opening Accumulated Fund

Findings

The Fund received a grant of ZWG6 376 574 during the year ended December 31, 2023, as reported in the Ministry's Appropriation Account. However, the Fund's 2024 statement of financial performance disclosed a grant amounting to ZWG7 265 172 as comparative amount resulting in an overstatement of the opening-Accumulated Funds by ZWG888 598. There was no evidence of reconciliation between the Appropriation account and the Grant transferred to the Fund during the year under review.

In addition, the Fund disclosed a comparative amount for medical and related expenditure of ZWG3 407 993 however, the source documents had a total expenditure of ZWG3 565 665. This resulted in an overstatement of expenditure disclosed in the financial statements by ZWG157 672.

Risks/Implications

Misstatement of the accumulated fund disclosed in the financial statements.

Reliability on the financial statement may be compromised.

Recommendations

The Fund should reconcile grant receipts between the Appropriation Account and the Fund financial statements to ensure consistency of the related amounts.

Comparative figures must be verified for consistency with the source documents.

Management Response

The Fund did not have a vendor number in 2023. All transfers to the Fund were coming through the Veterans of the Liberation Struggle (VLS) Fund. In 2023, the Fund received ZWL$2 801 000 000 (ZWG6 222 403) from the VLS Fund as grant. An analysis of the Appropriation account revealed an expenditure of ZWL$2 870 400 000 (ZWG6 376 574). This reveals an under transfer from the VLS Fund of ZWL$69 400 000 (ZWG154 172) treated as a temporary loan in the financial statements. The WVC Fund also received ZWL$400 000 000 (ZWG888 598) on the January 5, 2024, being a transfer in respect of 2023 financial year. This was treated as accrued revenue in the financial statements.

Also, there was a mis-posting in the compilation of financial statements for the year ended 2023 where temporary transfer of ZWL$200 000 000 (ZWG444 299) to the VLS Fund was

treated as a medical expense. The error has since been corrected in the resubmitted financial statements.

Evaluation of Management Response

The management response is acknowledged. However, the audit finding was not addressed. The reconciliation provided did not address the issue of overstatement of ZWG888 598. In addition, the variance of ZWG157 661 remained unresolved in the resubmitted financial statements.

(iii) Non-Compliance with Legal Framework

Findings

The Ministry has been operating without a Constitution for the War Victims Compensation Fund. The operation of the Fund contravenes Section 18(6) of the Public Finance Management Act [*Chapter 22:19*] which states that no fund shall be established by an Officer in the employment of the State for the deposit of public moneys unless properly authorised.

Risk/Implication

In the absence of an approved constitution, there is no basis for the existence of the Fund.

Recommendation

The Ministry should ensure the War Victims Compensation Fund is properly authorized in line with regulations.

Management Response

The Ministry submitted to Treasury a draft constitution for the War Victims Compensation Fund for approval. In addition, the Ministry also produced a draft Standard Operating Procedures' manual for the day-to-day administration of the Fund. Audit has been availed with copies of the Ministry's correspondence with Treasury including the draft constitution.

Below are other issues noted during the audit:

1 GOVERNANCE ISSUES

1.1 Use of Funds

Finding

The Fund used funds provided for War Victims Compensation to incur expenditure unrelated to the purpose of funding covered by the War Victims Compensation Act [*Chapter 11:16]*. An advance salary of ZWG7 800 was paid on January 26, 2024, to a manager who later left employment in May 2024, four (4) months after the advance. The recovery of the advance salary had not been initiated as of the time of conducting the audit. Furthermore, the transaction was disclosed as administration expenses instead of loan receivable in the Statement of Financial Position for the year ended December 31, 2024.

Risks/Implications

Payments may be made for services not rendered.

Failure to recover advances from former employees may lead to loss of public funds.

Recommendations

Management should ensure that expenditures from the Fund aligns with the purposes outlined in the War Victims Compensation Act. In addition, recovery action on the advance paid to the former manager should be initiated.

Furthermore, management should ensure that transactions are properly disclosed in the financial statements.

Management should implement an exit clearance procedure to ensure all outstanding employee balances are assessed and recovered through deductions from final dues before the final terminal benefits are paid out.

Management Response

The observation is noted. The Ministry paid an advance salary to the former commissioner for War Victims Compensation. The Accounting Officer authorized the Commissioner's request for a salary advance. The commissioner retired in May 2024 before the advance was repaid. The Ministry has started the process of recovering the money from the former commissioner after this observation.

2 REVENUE COLLECTION AND DEBT RECOVERY

2.1 Inter-Account Transfer

Finding

A review of the statement of financial position as at December 31, 2024, revealed an opening balance of ZWG1 332 896 representing inter-account transfer assets. However, an examination of the cashbook for the year ended December 31, 2023, indicated that the Fund totally omitted transfers amounting to ZWL$1 210 045 000 (ZWG2 688 028) to other Funds within the Ministry. Therefore, the inter-account transfer asset was understated by ZWG1 355 132 in the financial statements.

Risk/Implication

The understatement of inter-account transfer assets may result in financial statements not presenting a true and fair view of the financial position of the Fund.

Recommendation

Management should put measures in place to cross-check funds transfers with both the source and receiving accounts to maintain consistency and completeness in reporting

Circularisation of inter-fund balances should be considered by management as part of year end procedures

Management Response

The observation is noted. The reconciliation of inter-account transfers during the year 2023 was done. The outstanding transfers as at December 31, 2023, were ZWL$869 400 000 (ZWG1 931 366).

VOTE 5.- FINANCE, ECONOMIC DEVELOPMENT AND INVESTMENT PROMOTION

APPROPRIATION ACCOUNT 2024

Mandate

The Ministry is responsible for the formulation of macro-economic policies, national development programmes, plans, mobilization, allocation, management and accounting for public resources.

Below is a summary of funds allocated and spent during the year:

Original Budget ZWG	Unallocated Reserve Transfers/ Warrants ZWG	Unallocated Reserve Transfers to Ministries ZWG	Total Budget ZWG	Expenditure ZWG	Net (Over)/Under spending ZWG
12 306 025 325	4 000 944 404	(33 524 642 699)	16 306 969 730	34 591 590 527	(18 284 620 797)
Constitutional and Statutory Appropriation					
8 802 601 611	1 446 229 000	-	10 248 830 611	10 248 672 571	158 040

I have audited the financial statement of the Ministry of Finance, Economic Development and Investment Promotion for the year ended December 31, 2024, and I issued a qualified opinion.

Qualified Opinion

In my opinion, except for the effects of the matters described in the Basis for Qualified Opinion section of my report, the financial statement present fairly in all material respects, the state of affairs of the Ministry of Finance, Economic Development and Investment Promotion as at December 31, 2024 in accordance with the Public Finance Management Act [*Chapter 22:19*] and other relevant Statutory Instruments.

Basis for Qualified Opinion

(i) Direct Payments Variances with Ministries, Departments and Agencies (MDAs)

The Ministry made direct payments amounting to US$1 986 391 797 on behalf of various MDAs. However, a total of US$1 540 673 714 was confirmed and verified by MDAs. As at June 30, 2025, no evidence was availed supporting acknowledgement of the balance of US$445 718 083 and/or regularization of the expenditure by MDAs. As a result, I could not ascertain the completeness of expenditure disclosed.

Risk/Implication

Expenditure disclosed by MDAs could be misstated.

Recommendation

The Ministry should engage the MDAs to regularize the payments they have made on their behalf.

Direct payments circularisation and reconciliation to be done on a monthly basis by the Ministry.

Management Response

The MDAs that had expenditure varying from that reported by Treasury were advised and in response confirmed that they indeed received the payments. However, there was delay

in informing the relevant MDAs when the payments were processed. This led to MDAs failing to acknowledge the payments on time. The MDAs were advised to regularise the payments accordingly. Meanwhile Treasury will be communicating monthly on any direct payments that might have been made.

Evaluation of Management Response

Despite the response by management affirming that the MDAs confirmed the direct payments, there was no evidence from the MDAs that they acknowledged the payments.

In addition, the response by management showed that the respective MDAs had been advised to regularise the expenditure. There was also no evidence that the MDAs had regularized the direct payments.

(ii) Sub Paymaster General (PMG) Reconciliation

The Sub-PMG account which is the account used by the Ministry for making payments, was not properly reconciled as it did not take into account the cash book balance of ZWL$12 586 968 633 (ZWG2 032 647). As a result, I could not confirm the accuracy and completeness of the financial statements.

Risk/Implication

The Sub PMG reconciliation could be incorrect.

Recommendation

The Ministry should ensure that the opening cash book balance are reconciled monthly to the closing bank balance and reviewed.

Management Response

Management will ensure that bank reconciliations are prepared on time and only correct balances are carried forward. The cash book balance will be reconciled to closing bank balance.

Below are other issues noted during the audit:

1. GOVERNANCE ISSUES

1.1 Unallocated Reserve (UR) Transfers from Treasury to MDAs

Finding

The Appropriation Account submitted for audit had an Unallocated Reserves budget provision of ZWG9 564 577 729. However, the Ministry went on to disburse URs amounting to ZWG33 524 642 699 to line Ministries resulting in an unauthorised excess expenditure of ZWG23 960 064 970. At the time of concluding the audit in June 2025, Treasury was still to regularize the excess URs as required by Section 307 of the Constitution of Zimbabwe Amendment (No. 20) Act, 2013.

Risk/Implication

Budget overruns lead to unauthorised expenditure.

Recommendation

Treasury should approach Parliament to regularize the unauthorized excess expenditure and, in the future, adhere to the provisions of the Constitution of Zimbabwe Amendment (No. 20) Act, 2013.

Management Response

The excess expenditure is being regularised. The Financial Adjustment Bill for 2019 to 2024 is awaiting approval by Principals and Attorney General's Office.

1.2 Late Submission of Returns

Finding

The Ministry did not submit for audit the following returns as stipulated by Treasury Circular number 1 of 2025:

a) Paymaster General (PMG) Account Reconciliation statement,
b) Public Financial Assets,
c) Contingent Liabilities,
d) Other Capital Liabilities and
e) Statement of payment arrears.

The returns were submitted on June 17, 2025, three (3) months after statutory deadline.

Risk/Implication

Accountability and monitoring of the Ministry's operations may be compromised.

Recommendation

The Ministry should submit all the Returns for audit within the stipulated timelines.

Management Response

The Returns could not be submitted on time due to reconciliations that were still in progress.

1.3 Budget Utilisation

Finding

The Ministry received and utilized 31% of the voted funds excluding unallocated reserves for other MDAs and could not pay for all its obligations due to non-releases of funds. At the end of the year, the arrear payments amounted to ZWG679 592 921. Treasury could not provide adequate funding to support budgeted or planned programs of the Ministry. The table below refers.

Analysis of the Ministry Resources

Total Expenditure Budget ZWG	Total Funding ZWG		Arrear Payments ZWG
	Operations	Compensation of Employees	
16 306 969 730	5 012 678 918	55 213 314	679 592 921

Risk/Implication

The Ministry's objective may not be achieved.

Recommendation

The Ministry should lobby for the release of funding by Treasury.

Management Response

The Ministry is lobbying for the release of funds by Treasury. However, not all processed pay runs got cash support. Management will continue to lobby for cash support and settle all obligations incurred by the Ministry.

1.4 Funding of Government Operations

Finding

Treasury directed all MDAs on January 8, 2025, to reverse all unfunded payment runs (outstanding payments not yet processed through the bank) and any batches that had been transmitted to the bank as at December 31, 2024. In some cases, goods and services would have been delivered. Consequently, the MDAs remained with obligations to pay. There was no evidence of coordination between the Budgets and payments sections to ensure that releases for budgets are funded. Non-provision of funding for those releases has an effect in delaying the finalisation of the financial statements especially if it is to be done at year end.

Risks/Implications

Unsettled obligations may accumulate and if they are not attended to may negatively impact on Government reputation.

The unfunded obligations carried over have an effect of eroding the current year budget as it would have been long finalised.

Recommendations

The Ministry should always ensure that budget releases are only done when funding is available. Treasury should synchronise the process so that budget releases are made for the available funds.

In addition, Government should not incur expenditure which they are not able to pay for.

Management Response

Treasury is in the process of ensuring that budget releases are in tandem with available cash. Accountant General's office will continue to monitor cashflows for informed budget releases.

2. REVENUE COLLECTION AND DEBT RECOVERY

2.1 Revenue Budget

Finding

During the year under review, the Ministry collected revenue amounting to ZWG15 848 235 against the White Paper Estimate of ZWG128 899 000 submitted to Treasury. The revenue collected constituted 12% of the anticipated collections. The variance of ZWG113 050 765 may be a result of deficiencies in the budgeting process which failed to capture trends of volume of business in the Ministry's usual revenue streams.

Risk/Implication

Unrealistic revenue collection estimates may mislead authorities or policy makers in decision making.

Recommendation

The Ministry should ensure a thorough budget process is done when estimating anticipated revenues.

Management Response

The variance between estimates and actual is largely attributed to dividends that were anticipated from ZB Bank, CBZ Bank and the Zimbabwe Stock Exchange.

2.2 Revenue - Uncleared Deposits

Finding

The Ministry's Exchequer Transfers in the System Application Product (SAP) had uncleared deposits amounting to ZWG718 632 652. These are deposits which are yet to be assigned to their respective revenue heads. Treasury Circular number 1 of 2025 paragraph B(1), mandates receivers of revenue to reconcile all closing balances in the Exchequer deposits cash book to the bank account. The deposits remained uncleared at the time of concluding this audit in July 2025.

Risk/Implication

Revenue heads may be misstated.

Recommendation

The Ministry should ensure that all uncleared balances are reconciled to their respective revenue heads for accountability purposes.

Management Response

The General ledger 6219400001 represents the Main Exchequer and is used to manage deposits from line Ministries.

Out of the total of ZWG718 632 652, a mis-posting of ZWG689 806 697 has since been corrected, leaving a balance of ZWG28 825 955. Of this balance (ZWG28 825 955) ZWG27

609 382 consists of receipts directly deposited into the Main Exchequer from National Oil Infrastructure Company (ZWG11 188 320) and the Insurance Council of Zimbabwe (ZWG16 421 062). This leaves a balance of ZWG1 216 574 for the Ministry, which is still under investigation before clearance.

3. PROGRESS IN ADDRESSING PRIOR YEAR AUDIT FINDINGS

The Ministry made moderate progress in addressing audit findings raised in my previous audit report. Out of the ten (10) findings, six (6) were addressed, one (1) was partially addressed and three (3) were not addressed as indicated below:

3.1 Misstated Appropriation Account

The issue was addressed as the Appropriation Account figure tallied with the System Application Product figure.

3.2 Direct Payment not regularised

The direct payments were not regularised. The issue was raised on paragraph (i).

3.3 Investments

The issue of investments was addressed. The investments were funds paid towards the capitalisation of the National Capital of Zimbabwe.

3.4 Unallocated Reserve (UR) Transfers to Ministry of Finance (Line Ministry)

The anomalies relating to UR transfers were addressed.

3.5 Excess on Unallocated Reserve (UR) Transfers to MDAs

The issue was not addressed as Condonation for the excess expenditure had not yet been done for 2023. The issue was raised on paragraph (1.1).

3.6 Constitutional and Statutory Appropriation

The matter was addressed as variances noted between the Constitutional and Statutory Appropriation account and SAP were cleared.

3.7 Compensation of Employees

The matter regarding compensation of employees' comparison between the Appropriation Account and SAP figures was addressed.

3.8 Expenditure not Adequately Supported

The matter was addressed as supporting documents were availed.

3.9 Submission of Supporting Statements to the Appropriation Account

The issue was partially addressed as the supporting statements were submitted some three (3) months after the prescribed deadline.

3.10 Direct deposits not receipted

The matter of unreceipted direct deposits was not addressed as the matter was raised again on paragraph 2.2 above.

SCHEDULE OF OUTSTANDING REVENUE 2020-2024

Background Information

This relates to revenue due to the State.

Below is a summary of the Schedule of Outstanding Revenue for the year:

Revenue Head	Outstanding Revenue as at December 31, 2024 ZWG	Outstanding Revenue as at December 31, 2023 ZWG (equivalent)	% increase/ (Decrease)
Taxation	13 237 560 816	512 123 465	2 485%
Investment Revenue	30 767 648 839	16 538 448	185 937%
Fees	141 854 293	161 788	87 579%
Other	28 154 426	8 791 880	220%
Total	**44 175 218 375**	**537 615 581**	**8 216%**

I have audited the Schedule of Outstanding Revenue for the Ministry of Finance, Economic Development and Investment Promotion for the years ended December 31, 2020-2024, and I issued qualified opinions.

Qualified Opinion

In my opinion, except for the effects of the matters described in the Basis for Qualified Opinion section of my report, the Schedule of Outstanding Revenue presents fairly, in all material respects, the state of affairs of the Schedule of Outstanding Revenue for the year ended December 31, 2020-2024, in accordance with the Public Finance Management Act [*Chapter 22:19]* and other relevant Statutory Instruments.

Basis for Qualified Opinion

1. Outstanding Tax Revenues

Findings

The Ministry had outstanding revenue amounting to ZWG44 175 218 375 as at December 31, 2024. Of this amount, ZWG13 237 560 816 related to outstanding tax revenue collected by the Zimbabwe Revenue Authority on behalf of the Ministry. For five (5) consecutive years, the audit opinion on the ZIMRA Outstanding Revenue Returns was modified due to private import debt entries remaining open indefinitely, outstanding debt payable on Removal In Transit (RIT), Temporary Import Permits that remained unacquitted and the completeness of deferred Value Added Tax (VAT) penalties and interests. These matters had not been adjusted / corrected on the Ministry's Schedule of Outstanding Revenue. As a result, I could not ascertain the accuracy and completeness of outstanding tax revenues disclosed in the Schedule of Outstanding Revenue.

Furthermore, there was no evidence of efforts made by the Ministry to recover the outstanding revenue which increased significantly from ZWG537 615 581 in 2023 to ZWG44 175 218 375 in 2024, representing an increase of approximately 8 116%. Section 49(2) of the Public Finance Management Act [*Chapter 22:19*], requires officers responsible for collecting public debts to take adequate steps to recover all sums due to Government.

Risk/Implication

The Ministry's reported outstanding revenue may be inaccurate or incomplete, leading to misstatement of financial statements.

Recommendations

The Ministry should perform regular reconciliations and adjustments of outstanding revenue, including amounts collected by ZIMRA, to ensure accuracy and completeness of records.

Treasury should put in place mechanisms to periodically monitor and assist in strengthening the revenue collection system at the Zimbabwe Revenue Authority.

Management Response

The observation is noted. Management has since engaged ZIMRA regarding the issue raised.

2. PROGRESS IN ADDRESSING PRIOR YEAR AUDIT FINDINGS

The Ministry made progress in addressing audit findings raised in my previous audit report. Out of the three (3) findings, two (2) were addressed and one (1) was not addressed as indicated below:

2.1 Zimbabwe Revenue Authority (ZIMRA) Revenue Collection System

The errors and omissions on ZIMRA returns recurred and the issue had been raised again on paragraph (i) above.

2.2 Variance between Treasury and Zimbabwe Revenue Authority (ZIMRA)

The matter was resolved as the Treasury return was reconciled and agreed with the figures disclosed on the ZIMRA return.

2.3 Submission of Statutory Returns

The matter was resolved as all Ministries, Departments and Agencies submitted their returns.

STATEMENT OF CONTINGENT LIABILITIES 2021-2023

Background Information

Contingent Liabilities are loans advanced to parastatal bodies, funds and private sector companies by other lenders and are guaranteed by the Government. Government guarantees loans for projects of national interest. The power to guarantee rests with the Minister of Finance, Economic Development and Investment Promotion as per the Public Debt Management Act [*Chapter 22:21*]. The Minister issues guarantees on the recommendations of the External and Domestic Debt Management Committee and Public Debt Management Office.

Below is a summary of the Statement of Contingent Liabilities:

Guarantees	Net Contingent Liability as at December 31, 2023 ZWL$	Net Contingent Liability as at December 31, 2022 ZWL$
Grand Total	**2 185 519 764 166**	**265 273 545 664**

I have audited the Statement of Contingent Liabilities for the Ministry of Finance, Economic Development and Investment Promotion for the years ended December 31, 2021-2023, and I have issued a qualified opinion.

Qualified Opinion

In my opinion, except for the effects of the matters described in the Basis for Qualified Opinion section of my report, the financial statements present fairly, in all material respects, the state of affairs of the Statement of Contingent Liabilities as at December 31, 2021-2023, in accordance with the Public Finance Management Act [Chapter 22:19] and other relevant Statutory Instruments.

Basis for Qualified Opinion

(i) Variances Between Consolidated Statements and Line Ministry Returns

Finding

For three (3) financial years ended December 31, 2021, 2022 and 2023, the consolidated Statements of Contingent Liabilities produced by Treasury Debt Office reflected balances that differed from the returns submitted by line Ministries. The variances remained unreconciled. This situation may have been attributed to inadequate coordination and communication between the Debt Office and the Line Ministries. The table below shows the variances;

Analysis of the Debt Office and Line Ministries Returns

Year	Treasury Debt Office Net Contingent Liabilities ZWL$	Line Ministries Net Contingent Liabilities ZWL$	Variance ZWL$	Percentage Variance
2021	56 768 620 032	32 231 848 154	24 536 771 878	43%
2022	265 273 545 664	1 195 409 655 312	930 136 109 648	351%
2023	2 185 519 764 166	10 753 797 008 861	8 568 277 244 695	392%

Risks/Implications

The amount of loans guaranteed by the State may not be known with certainty and this increases the risk of fiscal vulnerability

The unreconciled difference undermines the accuracy and reliability of the government's reported contingent liabilities.

Recommendation

Management should strengthen coordination and communication between the Treasury's Debt Office and line Ministries to ensure that returns are accurate and consistent with the consolidated Statements of Contingent Liabilities.

Management Response

The observation regarding discrepancies between year-end balances of Contingent Liabilities reported by the Treasury Debt Office and those submitted by line Ministries for the years 2021 to 2023 is noted. In this regard, a reconciliation procedure with the Line Ministries is to be commenced immediately as a strategy to resolve the observed variance.

(ii) Government Guarantee Certificates

The Ministry did not avail for audit Government Guarantee Certificates for guarantees valued at ZWL$38 482 999 000 disclosed in the Statement of Contingent Liabilities for the year ended December 31, 2021. In addition, the Ministry did not have a comprehensive guarantee register in place. Non-availability of the certificates was due to inadequate records management controls within the Ministry. Consequently, I was unable to confirm whether the guarantees introduced during the period were duly authorised and issued by the Minister. The table below refers:

Guarantee Certificates not Availed

Purpose	Entity Guaranteed	Amount ZWL$
To finance Agriculture activities for 2021/2022 summer season	AFC Holdings	13 500 000 000
To finance Agriculture activities for 2021/2022 summer season	AFC Holdings	1 500 000 000
To finance Agriculture activities for 2021/2022 summer season	AFC Holdings	1 500 000 000
To finance Agriculture activities for 2021/2022 summer season	AFC Holdings	1 500 000 000
To finance site servicing of Sumben Housing Project - Mount Pleasant Harare	IDBZ	200 000 000
Working Capital - Mbano manor Hotel	CBZ	20 000 000
To finance horticulture and seed products farmers for 2020/2021 agriculture season	AMA	100 000 000
To finance horticulture and seed products farmers for 2020/2021 agriculture season	AMA	20 000 000 000
Working Capital expenditure for the production and export of roses for Luxanor Roses Pvt	CBZ	162 999 000
TOTAL		**ZWL$38 482 999 000**

Risk/Implication

The Ministry may overstate the Statement of Contingent Liabilities by inclusion of guarantees which were not authorised by the Minister and this may create potential fiscal exposure and may mislead debt metrics.

Recommendations

The Ministry should ensure that all guarantees recorded in the Statement of Contingent Liabilities are supported by valid guarantee certificates.

The Debt Office should maintain a comprehensive register of guarantees and strengthen its record-keeping.

Management Response

Treasury acknowledges the audit observation regarding the unavailability of government guarantee certificates for guarantees disclosed in the Statement of Contingent Liabilities for the year 2021. The certificates in question were unfortunately misplaced during the transition of records between departments. Management is engaging with the relevant institutions that received the guarantees to obtain copies or confirmations of the guarantees issued.

Evaluation of Management Response

The management response is acknowledged. However, the certificates were yet to be received at the time of concluding my audit.

Below is another issue noted during the audit:

1. GOVERNANCE ISSUE

1.1 Cancelled Guarantees

Finding

Guarantees amounting to ZWL$251 024 370 116 that were reported on the previous year's (2022) Statement of Contingent Liabilities were no longer reflected on the Statement of Contingent Liabilities for the year ended December 31, 2023. The Ministry, however, could not provide documentation to support the exclusions of these guarantees. Consequently, I was unable to determine whether the guarantees had been fully paid up or had been transferred to the Public Debt Statement after Government take-over of the debt.

Risk/Implication

The Statement of Contingent Liabilities may be understated.

Recommendation

The Ministry should ensure that any adjustments to the Statement of Contingent Liabilities, or transfers of guarantees, are fully supported by appropriate documentation.

Management Response

The audit observation is noted. While the rationale for removal was valid, management acknowledge that supporting documentation was not readily available at the time of the audit. Public Debt Management Office has since taken steps to retrieve and compile the relevant records, including correspondence from the obligors/borrowers, to substantiate the settlement of these guarantees.

Going forward, the Ministry is strengthening its record-keeping processes to ensure that all changes to financial statements, are fully supported by verifiable documents and are readily accessible for audit review purposes.

2. PROGRESS IN ADDRESSING PRIOR YEAR AUDIT FINDINGS

The Ministry made some progress in addressing audit findings raised in my previous audit report. Out of the three (3) findings, two (2) were addressed as indicated below;

2.1 Net Contingent Liabilities

The matter on reconciliations on variances between consolidated statements and Line Ministry returns was not resolved and has been raised on paragraph (i) above.

2.2 Loan Guarantees

The matter was resolved as due diligence reports were provided.

2.3 Monthly, Quarterly and Annual reports on Guarantees

The issue was addressed as the reports were provided.

STATEMENT OF CONTINGENT LIABILITIES 2024

Background Information

Contingent Liabilities are loans advanced to parastatal bodies, funds and private sector companies by other lenders guaranteed by the Government. The power to guarantee rests with the Minister of Finance, Economic Development and Investment Promotion as per the Public Debt Management Act [*Chapter 22:21*]. The Minister issues guarantee on the recommendations of the External and Domestic Debt Management Committee and Public Debt Management Office.

Below is a summary of the Statement of Contingent Liabilities:

Guarantees	Net Contingent Liability as at December 31, 2024 ZWG	Net Contingent Liability as at December 31, 2023 ZWG
Grand Total	**3 199 662 627**	**4 791 719 150**

I have audited the Statement of Contingent Liabilities for the Ministry of Finance, Economic Development and Investment Promotion for the year ended December 31, 2024, and, I have issued a qualified opinion.

Qualified Opinion

In my opinion, except for the effects of the matter described in the Basis for Qualified Opinion section of my report, the financial statements present fairly, in all material respects, the state of affairs of the Statement of Contingent Liabilities as at December 31, 2024, in accordance with the Public Finance Management Act [*Chapter 22:19*] and other relevant Statutory Instruments.

Basis for Qualified Opinion

(i) Unreconciled Variances Between Consolidated Statements and Line Ministries Returns

Finding

The Statement of Contingent Liabilities prepared by the Debt Office as at December 31, 2024, reflected a balance of ZWG3 199 662 627, which differed from the audited returns balance of ZWG1 581 748 submitted by Line Ministries. This resulted in an unreconciled variance of ZWG3 198 080 879. The issue was raised in my previous report.

Risks/Implications

The amount of loans guaranteed by the State might not be known with certainty.

The unreconciled difference undermines the accuracy and reliability of the government's reported contingent liabilities**.**

Recommendation

The Debt Office should strengthen reconciliations and verification procedures to ensure that returns from Line Ministries are accurate and consistent with the consolidated Statement of Contingent Liabilities.

Management Response

The observation is noted regarding discrepancies between year-end balances of Contingent Liabilities reported by the Treasury and those submitted by Line Ministries for the years 2021 to 2024. In this regard, reconciliations will be performed as a strategy to resolve the observed variance.

Below is another issue noted during the audit:

1. GOVERNANCE ISSUE

1.1 Guarantees Register

Finding

The Ministry could not avail the register for guarantees issued in 2024 valued at ZWG154 273 990. Therefore, I could not ascertain the completeness and accuracy of guarantees reported during the period under review. Section 6(a) of the Public Debt Management Act [*Chapter 22:21*], requires every accounting officer of a Ministry to keep or cause to be kept proper records of account. The table below shows the guarantees issued.

Guarantees issued in 2024

Purpose	Guarantee	Amount ZWG
To finance road maintenance	Zinara	69 440 000
To finance agricultural activities for the 2024 winter wheat season through issuance of Agro-bills in the open market	AFC	46 932 700
To finance agricultural activities for the 2024 winter wheat season under the RBZ medium term	AFC	16 230 550
To finance working capital for paprika contract farming	Ecobank (Blackdombo International)	21 670 740
Total		**154 273 990**

Risk/Implication

Failure to maintain and produce a guarantee register compromises the accuracy and completeness of the reported contingent liabilities.

Recommendation

The Debt Office should ensure that a comprehensive guarantees register is maintained and updated regularly.

Management Response

The register was kept on Excel, and a hard copy is available.

Evaluation of Management Response

The management response is noted. However, the Excel register that was attached is for the year 2021.

STATEMENT OF PUBLIC DEBT 2021-2023

Objective of the Statement

The objective of the statement is to provide stakeholders with comprehensive public debt information and data regarding both external and domestic debt position of the country.

Below is a summary of the Statement of Public Debt

Details	External Borrowings ZWL$	Domestic Borrowings ZWL$	Total ZWL$
Balance as at January 1, 2023	6 987 968 988 014	906 916 035 574	7 894 885 023 588
Borrowings	2 441 889 040 000	25 644 103 496 837	28 085 992 536 837
Adjustments			
Exchange Rate Variations	51 358 606 904 765	-	51 358 606 904 765
Repayments	(161 827 629 196)	(1 224 353 012 551)	1 386 180 641 747
Balance as at December 31, 2023	60 842 775 375 758	25 326 666 519 859	86 169 441 895 617

I have audited the Statement of Public Debt for the Ministry of Finance, Economic Development and Investment Promotion for the years ended December 31, 2021-2023, and I issued a qualified opinion.

Qualified Opinion

In my opinion, except for the effects of the matters described in the Basis for Qualified Opinion section of my report, the financial statements present fairly, in all material respects, the state of affairs of the Statement of Public Debt as at December 31, 2021-2023 in accordance with the Public Finance Management Act *[Chapter 22:19]* and other relevant Statutory Instruments.

Basis for Qualified Opinion

(i) Debt Servicing

Finding

The Public Debt Statements (PDS) which is memoranda record of all borrowings and repayments submitted for audit for the period 2021 to 2023 showed principal debt repayments amounting to ZWL$1 458 604 680 227 and interest repayments amounting to ZWL$114 052 021 959. On the other hand, the principal debt payments made for the same period disclosed under the Constitutional and Statutory Appropriation (CSA) (line item under which payments are processed in the system) was ZWL$1 223 054 757 908 and interest amounted to ZWL$94 464 230 989 resulting in variances of ZWL$321 483 053 595 and ZWL$28 534 407 270 respectively. There was no evidence of reconciliations being done after payments were made by the Accountant General Office. Table below refers;

Debt Servicing Schedule: 2021 to 2023

Year	PDS Principal Repayment ZWL$	Cons and Stats Principal Repayment ZWL$	Variance Principal ZWL$	PDS Interest Repayment ZWL$	Cons and Stats Interest Repayment ZWL$	Variance Interest ZWL$
2021	20 988 239 422	48 550 272 000	27 562 032 578	2 324 944 829	6 521 351 000	4 196 406 171
2022	51 435 799 058	66 840 332 118	15 404 533 060	7 882 775 179	8 159 677 158	276 901 979
2023	1 386 180 641 747	1 107 664 153 790	278 516 487 957	103 844 301 951	79 783 202 831	24 061 099 120
Total	**1 458 604 680 227**	**1 223 054 757 908**	**321 483 053 595**	**114 052 021 959**	**94 464 230 989**	**28 534 407 270**

Risk/Implication

Payment records may be distorted thereby misstating the financial statements

Some of the debts may remain unserviced if records are not being reconciled and penalties may arise.

Recommendation

The Debt Management Office should reconcile debt payments amounts with the payments made by the Accountant General Office to maintain accurate debt servicing records.

Management Response

Management acknowledges the audit observation regarding the discrepancies between the Public Debt Statements and the Constitutional and Statutory Appropriation disclosures for the period 2021-2023. A reconciliation exercise is currently underway to align the figures and ensure consistency between the two (2) reporting frameworks.

(ii) Borrowing Limits

Finding

An analysis of the borrowings made for 2021 to 2023, revealed that actual borrowings significantly exceeded the amounts as per the approved limits plan, indicating that borrowing decisions were not guided by the plan. No borrowing plan was developed in 2021 and ZWL$48 006 303 244 was borrowed. In 2022 the approved borrowing plan was ZWL$91 540 000 000 while actual borrowings amounted to ZWL$1 084 082 842 937 resulting in a variance of ZWL$992 542 842 937. In 2023 the approved borrowing plan had ZWL$575 919 000 000 while actual borrowings amounted to ZWL$28 085 992 536 837 resulting in a variance of ZWL$28 076 838 536 837. The discrepancies arose from inadequate monitoring and control of borrowing activities against the approved plan. Section 5(1)(b) of the Public Debt Management Act [*Chapter 22:21*], requires all borrowings to be undertaken in accordance with approved plans.

Risks/Implications

Borrowing without adherence to approved plans undermines fiscal discipline and may lead to the accumulation of unsustainable debt.

Recommendation

The Ministry should ensure that all borrowing decisions are guided by the approved limits plan, to promote prudent debt management and align borrowing with national debt sustainability objectives.

Management Response

Management did not respond.

Below are other issues noted during the audit:

1. GOVERNANCE ISSUES

1.1 Debt Sustainability

Finding

I was unable to ascertain whether debt management controls were operating effectively during the year ended December 31, 2023, because the Public Debt Management Office (PDMO) did not carry out a Debt Sustainability Analysis (DSA) for the period. Section 5(2)(d) of the Public Debt Management Act [Chapter 22:21], requires the PDMO to undertake a debt sustainability analysis annually. The absence of this analysis limited my ability to assess whether Government borrowing during the year was aligned with debt management controls.

Risk/Implication

The report may contain distorted information which might affect decision making.

Recommendation

The Debt management office should carry out Debt Sustainability Analysis as per the regulatory requirements.

Management Response

The observation is noted. In the past, the ZPDMO has been jointly conducting the annual Debt Sustainability Analysis (DSA) with the International Monetary Fund (IMF), during the annual IMF Article IV Consultations Missions. This was because the office did not have resources to enable it to carry its own DSA. The Office in 2025 managed to carry out its own DSA, which has been published on the Zim Treasury website.

1.2 Creditor's Data Call Reconciliations

Finding

The Public Debt Management Office (PDMO) could not provide documentary evidence to demonstrate that the Data Call received (confirmations) from creditors for the period ending December 31, 2021, was compared with its records of arrears relating to interest, other charges, and penalty interest. This was caused by inadequate reconciliation procedures and gaps in record-keeping practices. As a result, the accuracy and completeness of arrears balances amounting to ZWL$9 398 392 849 (interest/other charges) and ZWL$7 263 232 724 (penalty interest) could not be confirmed.

Risk/Implication

Misstatement of arrears that may expose Government to disputes with creditors.

Recommendation

Management should ensure that all Creditor Data Call submissions are promptly verified against PDMO records and that supporting documentation is retained.

Management Response

At the end of December 2021, ZPDMO was provided with an end of year Data call from Paris Club and a loan-by-loan reconciliation and validation exercise was undertaken. From this exercise noticeable differences emanated from penalties, the disbursements, principal arrears and interest arrears all reconciled with records from DMFAS. However, due to inadequate documentation of the reconciliation process, the Ministry recognizes that the audit team was unable to verify the accuracy and completeness of these amounts. In future, a formal reconciliation template will be developed and adopted to ensure that all future comparisons between creditor Data Calls and internal arrears records are properly documented and retained for audit purposes.

2. PROGRESS IN ADDRESSING PRIOR YEAR AUDIT FINDINGS

The Ministry did not make progress in addressing audit findings raised in my previous audit report. Out of the four (4) findings, none was addressed as indicated below.

2.1 Discrepancies on Repayment of Treasury Bonds and Bills

The findings were not addressed, the same discrepancies continued to occur during the period under review. The issue has been raised on paragraph (i) above.

2.2 Borrowing Plan

The issue on borrowing plans was not addressed and has been included on paragraph (ii) above.

2.3 Debt Sustainability Analysis

Debt Sustainability Analysis for the year 2020 was not submitted for audit. The issue has been raised on paragraph 1.1 above.

2.4 Penalty Interest Charges

The finding was not addressed as creditors' reconciliations of interest arrears/other charges and penalty interest for the year 2020 were not done. The issue was raised on paragraph (iii) above.

STATEMENT OF PUBLIC DEBT 2024

Objective of the Statement

The objective of the statement is to provide stakeholders with comprehensive public debt information and data regarding both external and domestic debt position of the country.

Below is a summary of the Statement of Public Debt:

Details	External Borrowings ZWG	Domestic Borrowings ZWG	Total ZWG
Balance as at January 01, 2024	138 083 660 690	56 256 920 585	194 340 581 275
Borrowings	2 089 170 067	40 339 833 864	42 429 003 931
Adjustments from Non-Debt Settlement	1 775 424 824	3 039 553	1 778 464 377
Exchange Rate Variations	125 770 761 162	-	125 770 761 162
Repayments	(642 817 367)	(5 093 737 266)	(5 736 554 633)
Total as at December 31, 2024	**267 076 199 376**	**91 506 056 736**	**358 582 256 112**

I have audited the Statement of Public Debt for the Ministry of Finance, Economic Development and Investment Promotion for the year ended December 31, 2024, and I issued a qualified opinion.

Qualified Opinion

In my opinion, except for the effects of the matters described in the Basis for Qualified Opinion section of my report, the financial statements present fairly, in all material respects, the state of affairs of the Statement of Public Debt as at December 31, 2024, in accordance with the Public Finance Management Act [*Chapter 22:19*] and other relevant Statutory Instruments.

Basis for Qualified Opinion

(i) Debt Servicing

Finding

Debt servicing records reflected discrepancies in the balances reported in the Public Debt Statement (PDS) and in the Constitutional and Statutory Appropriations (CSA) section of the appropriation account for the year ended December 31, 2024. The PDS reflected principal debt repayments amounting to ZWG1 088 634 613 and interest repayments of ZWG1 554 037 046. In contrast, the CSA recorded principal repayments of ZWG8 431 166 072 and interest repayments of ZWG1 815 709 609 for the same period. This resulted in variances of ZWG7 342 531 459 on principal and ZWG261 672 563 on interest. Section 35(5)(a) of the Public Finance Management Act [*Chapter 22:19*], requires Accounting Officers to maintain proper and accurate accounting records.

Risk/Implication

Misstatement of financial statements and reliability of the public debt report may be compromised.

Recommendation

The Accounting Officer should ensure that debt servicing records maintained by the PDMO are reconciled with those of the Accountant General monthly.

Management Response

The observation is noted. A reconciliation exercise is currently underway to align the amounts and ensure consistency between the records.

(ii) Borrowing Limits

Finding

The 2024 actual borrowings of ZWG34 410 393 47 exceeded the approved amount of ZWG355 149 342 resulting in a variance of ZWG34 055 244 136, indicating that borrowing decisions were not guided by the borrowing plan. The discrepancy arose from inadequate monitoring and control of borrowing activities against the approved plan limits. Section 5(1)(b) of the Public Debt Management Act [*Chapter 22:21*], requires all borrowings to be undertaken in accordance with approved plans.

Risk/Implication

Fiscal indiscipline may lead to the accumulation of unsustainable debt.

Recommendation

The Ministry should ensure that all borrowing decisions are guided by approved borrowing plan, to promote prudent debt management and align borrowing with national debt sustainability objectives.

Management Response

Management did not respond.

Below are other issues noted during the audit:

1. GOVERNANCE ISSUES

1.1 Debt Sustainability Reports

Finding

Debt Sustainability Reports (DSRs) for 2024 were prepared using the World Bank tool rather than being prepared by the Public Debt Management Office (PDMO). This was due to limited internal capacity and reliance on external technical support. Section 5(2)(d) of the Public Debt Management Act [*Chapter 22:21*], requires the PDMO to conduct independent Debt Sustainability Analyses annually.

Risk/Implication

The absence of home-grown reports compromises accountability as reliance may be placed on information that does not fully reflect the country's debt sustainability position.

Recommendation

The Accounting Officer should ensure that the Public Debt Management Office (PDMO) is adequately resourced and equipped with the necessary tools and systems to independently prepare annual Debt Sustainability Reports in compliance with statutory requirements.

Management Response

The observation is noted. In the past, the Zimbabwe Public Debt Management Office (ZPDMO) has been jointly conducting the annual Debt Sustainability Analysis (DSA) with the International Monetary Fund (IMF) during the annual IMF Article IV Consultations Missions. The other issue was that the office did not have resources to enable it to carry its own DSA. The office in 2025 managed to carry out its own DSA, which has been published on the Zim Treasury website.

1.2 SMALLHOLDER AGRICULTURE CLUSTER PROJECT (SACP)

PROVINCES VISITED: MIDLANDS, MATEBELELAND NORTH, MASHONALAND WEST, MASHONALAND CENTRAL AND MASHONALAND EAST

Background and General Findings

The audit of the Smallholder Agricultural Cluster Project (SACP) was conducted to evaluate the project's progress, financial performance, and implementation efficiency since its inception in 2021. The project, financed through a US$50.7 million loan facility had utilised a total of US$7 504 946 as at time of audit in October 2025 representing a low utilisation rate relative to the total loan amount.

Documentary reviews, inspections and interviews carried out revealed several operational challenges such as shortage of water and conflict between the community and the club members across Village Business Units (VBUs) visited. Despite these challenges, the project has made measurable progress in establishing physical infrastructure and laying the groundwork for future productivity gains once the identified issues are addressed.

Overall, the SACP Project was partially successful. However, while it shows potential to achieve its intended objectives by 2027, enhanced technical oversight, improved infrastructure quality, and stronger beneficiary capacity building are essential to ensure sustainability, accountability, and value for money.

Below are the operational challenges:

1.2.1 Water Shortage

Findings

Out of seventy (70) Village Business Units (VBUs), fifty-three (53) were visited across five (5) provinces, during the period September 30 to October 24, 2025. Audit noted that the installation of solar-powered submersible pump systems had significantly increased water demand in the communities. The system's ease of operation, being non-labour-intensive, attracted more community members to access the water source, resulting in long queues, and delays in livestock

watering as animals waited for troughs to refill. As a result, inadequate water supply for irrigating gardens were experienced leading to some VBUs losing their crop. For example, at Chinyudze, approximately 9 400 cabbages wilted due to insufficient irrigation water and the VBU had to reduce its hectarage. At Mutoro VBU in Dotito, Mt. Darwin, the maize crop was at risk of wilting due to limited water that was being pumped into the reservoirs. At Rukudzo VBU in Mukumbura, the maize yield was affected by water challenges. In Midlands, the situation was the same as VBUs in Chirumanzu, Sanyati and Kwekwe were not spared by water shortage.

Picture of Cabbages withering



Source: OAG 13/10/2025: Chinyudze VBU

Furthermore, it was noted that the installed water system had challenges of pumping water when there was insufficient sunlight, a situation that further aggravated water shortages. The volume of water pumped by the solar-powered system appeared insufficient to meet the growing community and agricultural water requirements.

Risk/Implication

The intended benefits from the projects may not be realized.

Recommendations

The project managers should ensure that beneficiary projects are not expanded beyond available water capacity.

The project could consider to source for alternative power to augment the solar system.

Management Response

The project in collaboration with International Fund for Agricultural Development (IFAD) has also acknowledged the unintended consequence of increased water demand resulting from increased ease of getting water. The number of communities benefitting from the motorized water points has exceeded projections (project target of 150 Horsepower) with some individuals utilising the facility for other income-generating activities. The SACP intends to prioritize agricultural production by promoting water management practices among local communities. This initiative is already underway with districts like Sanyati, led by the District Development Chairperson' office (DDC) and other relevant district stakeholders, and will continue through all districts as an ongoing effort. The SACP has avoided new drillings due to lack of sufficient groundwater studies, despite the expensive

and meticulous processes of new drillings, which would cost above the budgeted amounts for water points establishments.

Evaluation of Management Response

The management response acknowledges that water shortage was due to increased demand. However, it does not clearly outline specific corrective measures to address the supply gap, manage competing water uses (domestic, livestock, and irrigation), or enhance system capacity where solar pumping is insufficient. As a result, the issue remains unresolved.

1.2.2 Marketing of Agriculture Produce

Findings

Challenges in marketing were noted, resulting in inefficient absorption of farm produce in the market, substantial post-harvest losses, with some produce spoiling and others sold below cost to recover input expenses. For instance, at Mazwideni VBU in Lupane District, Matabeleland North Province, approximately 4,600 mature cabbages remained unsold due to limited market access. Similarly, at Chinyudze VBU in the Mukumbura area of Mashonaland Central, watermelons were sold at significantly reduced prices as low as fifty cents each

The poor sales were largely due to the absence of a structured marketing plan for peak production periods, limited market linkages and inadequate support in marketing and capacity development. This situation is contrary to SACP's objective of linking farmers to markets to enhance income generation and ensure the sustainability of irrigation gardens.

Risks/Implications

The absence of strong market linkages and marketing capacity may threaten the long-term economic viability and sustainability of the VBUs.

The project's intended goal of improving community livelihoods through enhanced agricultural productivity and sales may not be achieved.

Farmers may incur financial loss as farm produce get spoiled while others remain unsold.

Recommendations

Management should strengthen market facilitation mechanisms by establishing partnerships with reliable buyers and market outlets.

The implementing agency should ensure that farmers are equipped with practical training on marketing strategies, value addition, and pricing to enhance competitiveness, reduce post-harvest losses, and improve profitability.

A marketing plan should be developed to ensure produce can be sold efficiently, especially during high yield periods.

Management Response

The project recognizes the importance of the market systems approach to improving the livelihoods of the smallholder farmers and specifically the establishment of sustainable market linkages between the Agriculture Producer Groups (APGs), VBUs and Irrigation Schemes as a key intervention for increasing incomes for the smallholder farmers. The Project Management Unit (PMU), though adaptive management, has adopted the use of

local markets such as boarding schools, restaurants, hospitals and other local institutions which are high consumers of the produce from the smallholder farmers. A mapping exercise of the local markets has been undertaken, and engagements of these markets has been done by the SACP in all the districts with VBUs.

The project has also adopted the Japan International Cooperation Agency (JICA) and Smallholder Horticulture Empowerment and Promotion *(SHEP*) Approach in Zimbabwe which is an agricultural extension method that promotes "market-oriented" smallholder horticulture, helping farmers shift from "grow and sell" to "grow to sell" so they plan production based on what markets demand and at what price. A total of 122 Extension Officers had been trained to facilitate market engagements through the SHEP Approach. This approach also ensures that marketing plans are developed and adopted by the APGs and the VBUs.

1.2.3 Accessibility of the Village Business Units

Findings

Access roads to fifty-three (53) Village Business Units (VBUs) across the provinces visited had not been constructed while others were partially completed, thereby limiting efficient transportation of agricultural produce and access by potential buyers. At Mazwideni VBU, buyers were unwilling to visit the garden due to its remote location and the absence of an access road, forcing farmers to transport their produce, which proved unprofitable.

As at October 17, 2025, only 1.8 km of the planned 2.6 km road to Chipiri Irrigation Scheme, in Centenary, had undergone initial grading, despite works having commenced in July 2025 for a 30-day project timeline. At Rukudzo VBU in Mukumbura, road works had not yet commenced, and no timeline for implementation was available. This situation was observed across most centres visited in all provinces, except for MUG Irrigation in Macheke, Mashonaland East, where such works had been undertaken. Project documentation indicated that the Smallholder Agriculture Cluster Project (SACP) was mandated to construct access roads before harvesting the first crops, linking each VBU to the nearest main road to facilitate the delivery of agricultural inputs and enhance market access.

Risks/Implications

Failure to complete access roads limits farmers' ability to transport produce efficiently and discourages potential buyers from reaching the VBUs, leading to post-harvest losses and reduced income for farmers.

Recommendations

The project management should:

Facilitate Construction of access roads or improve transportation options to make the gardens more accessible to buyers.

Explore local or community-based markets closer to the gardens to reduce transportation challenges.

Consider coordination with local transport providers to facilitate produce delivery to buyers.

Management Response

The SACP has undertaken comprehensive road condition surveys spanning a total distance of 189.60km encompassing roads to prospective Irrigation Schemes and VBUs and the exercise is ongoing. Notwithstanding, SACP's total target for road rehabilitation is only 89km with prioritization not necessarily allocated to every access road servicing VBUs. The scope of the project encompasses feeder roads integral to various Agriculture Producer Groups (APG) and not limited to the horticulture value chain only for which VBUs and most Irrigation schemes fall under. The project developed bespoke criteria for the selection of roads earmarked for rehabilitation.

In the case of Chipiri last mile feeder roads partial earthworks have been completed through a contracted service provider, with the residual earthwork component slated for completion in collaboration with Rural Infrastructure Development Agency (RIDA), the lead implementing partner. Progress is currently underway to finalize outstanding earthworks. Furthermore, provision has been made for the installation of road drainage systems as part of climate proofing the roads and the incorporation of Green Roads for water technologies across most of the roads earmarked for rehabilitation.

1.2.4 Fencing of Village Business Units

Finding

The fences erected at four (4) VBUs in Kwekwe District were not painted, while at nine (9) VBUs in Mashonaland East and Central provinces, the paint used was of poor quality, leading to early signs of rusting and corrosion on both poles and wires. Additionally, some fence poles were installed without anchors, compromising the overall stability and durability of the structures. It was noted that the bottom sections of certain fences were not properly secured to the ground, creating gaps that could allow wild and domestic animals to enter and damage the irrigation areas. The deficiencies arose from inadequate supervision of the contractor during construction and poor workmanship, compounded by using substandard materials.

Risks/Implications

Accelerated deterioration of the fence could occur and increased repair costs.

Vulnerability of irrigation projects to damage and crop losses, thereby undermining the long-term sustainability of SACP investments.

Recommendations

The project management should ensure that the contractor rectifies all identified defects by painting the fences to prevent rusting, installing proper anchors on all poles, and securing the fences firmly to the ground.

The project management should enhance supervision of future infrastructure projects and quality control checks to ensure compliance with approved construction standards and specifications.

Management Response

The SACP expedited the swift establishment of VBUs as a critical component of the emergency response initiative aimed at alleviating the impacts of the Elnino-Induced drought. Concurrently, the SACP ensured strict adherence to project objectives. Additionally, the VBU contracts have a six-months defects liability period, during which the project will address all identified defects arising from the VBU establishment process or

operational phases. The project team is frequently recalling contractors to rectify all identified defects, and will include those highlighted by the audit team, before the expiry of the Defects Notification Period (DNP)

1.2.5 Water Storage Tanks

Finding

Muromba Village Business Unit in Uzumba Maramba Pfungwe (UMP) and those at Sunny Bank and Tangastan in Sanyati, Mashonaland West, had water storage tanks that were leaking, resulting in significant water loss and reduced storage capacity. Consequently, the tanks were not operating at full capacity, compromising the reliability of water supply for irrigation and livestock activities. The defects were attributed to the installation of damaged infrastructure by the contractor, poor workmanship, and inadequate quality control during installation.

Risks/Implications

Significant water loss could occur, limiting the availability of water for both irrigation and domestic use.

Sustainability and effectiveness of the projects is threatened.

Recommendations

The Provincial Project Coordinators should ensure that the contractor repairs or replaces all leaking tanks to restore their full functionality.

Additionally, strict quality control and inspection procedures should be enforced during procurement and installation to prevent the recurrence of such defects in future projects

Management Response

Construction defects may only become apparent during the operational phase of the installed infrastructure. In this regard, the SACP is committed to ensuring that all such defects are duly addressed within the stipulated defects notification period, which as contractually provisioned, is susceptible to extension until such time as all defects have been satisfactorily rectified.

1.2.6 Ablution Facilities at Village Business Units (VBUs) Gardens

Finding

Out of the fifty-three (53) VBUs visited, three (3) had constructed toilet facilities for use by members while working in the gardens. Lack of sanitary facilities was mainly due to insufficient funds, as the SACP did not provide for the construction of toilets. Each VBU was expected to provide adequate sanitary facilities in line with public health and occupational safety requirements to promote hygiene and safeguard the health of VBU members.

Risk / Implication

Open defecation or other unhygienic practices could occur resulting in disease outbreaks, environmental contamination, and reputational damage to the project.

Recommendation

VBU committees should be encouraged to construct toilet facilities at the VBU sites to ensure compliance with health and safety standards and promote a hygienic working environment.

Management Response

The SACP has maintained and will continue to foster, a collaborative working relationship with the District Water, Sanitation, and Hygiene (WASH) and Sanitation Subcommittees (DWSSC), including the dissemination of WASH education throughout the VBU target communities. The concerted effort also aims to prioritize the construction of ablution facilities on the VBUs, as evidenced by the progress already realized in certain VBUs. The SACP will aim to make it a criteria for selection of future VBU beneficiaries as a way of fostering the initiative.

1.2.7 Animal Troughs and Laundry basins

Findings

Animal watering troughs and laundry basins were not constructed in accordance with the required technical standards, resulting in breakages and leaks. For instance, one (1) trough at Zigandiwa VBU in Sanyati, broke shortly after completion. The trough at Tangstan was incomplete, and those at Mgwali and Gadza were either incomplete or not started in Mashonaland West. These deficiencies occurred because the contractor failed to provide adequate construction guidelines and supervision during implementation. This was contrary to the technical specifications outlined on page 50 of the contract for the *Rehabilitation of 50 Water Points.*

Similarly, seven (7) out of ten (10) VBUs in Sanyati District constructed laundry basins that were one-sided or incomplete, with only Jompani, Tangstan, and Tsuro VBUs meeting the required standards. This deviation resulted from inadequate supervision by the contractor and insufficient resources allocated for construction. According to the project construction guidelines, each VBU was required to construct standard two-sided laundry washing basins to promote hygiene, improve efficiency in water use, and reduce potential conflicts arising from limited washing space.

Incomplete Water troughs not meeting the standard required (Magwali, Tangstan and Gadza VBUs)



Source: OAG, October 2025

Picture 3: One sided and incomplete wash basins (Nyamatani, Vhere and Action VBUs)



Source: OAG, October 2025

Risks/Implications

Premature failure of infrastructure, resulting in additional repair costs.

Unfinished or non-compliant troughs and basins reduce access to essential water and sanitation facilities, limiting the effectiveness of the project.

Recommendations

Management should ensure that all construction works strictly adhere to the technical specifications and standards stated in the contract.

The contractor should rectify defective and incomplete works at no additional cost to the project.

Management Response

VBU construction began in Sanyati and the project erroneously assumed known standard for VBU washbasin construction. This oversight was later rectified in collaboration with Zimbabwe National Water Authority (ZINWA), the lead implementing partner who is also the Government Engineer. Standardized Washbasin design drawings were subsequently developed and later on shared with the contractor and implemented in subsequent VBU constructions. The project remains committed to ensure that defects identified by the audit team are rectified and to lobby for an increased budget for construction supervision during the Midterm Review (MTR). Rectification works are underway in VBUs, with incomplete washbasins and poorly constructed water troughs.

Notably, the SACP has also observed that the acceptance of in-kind contributions of locally sourced materials by the project beneficiaries and promotion of local labour hiring has, in some instances compromised construction quality, as evidenced by the defects. To mitigate this, the future contractual negotiations and agreements will stipulate the deployment of skilled construction personnel by contractors thereby ensuring accountability and adherence to standards.

1.2.8 Training and Record Keeping

Findings

Interviews with farmers and committee members of Village Business Units, Irrigation Schemes, and Agriculture Producer Groups visited in Mashonaland Central and Mashonaland East Provinces in October 2025 revealed that the groups had not received training on business development, record keeping, or operating the central pivots. According to the provincial project coordinator, this training was intended to enhance beneficiaries' chances of entering formal business arrangements. The farmers indicated that they did not have operation manuals for the central pivots.

Seven (7) VBUs visited maintained poor or incomplete documentation on the receipt and utilization of construction materials. This was due to inadequate record-keeping practices and weak oversight of material distribution. While Nyamatani VBU, four (4) bags of cement and a roll of drip pipe could not be accounted for. According to project management guidelines and internal control requirements, all materials should be properly documented with delivery notes, material registers, and acknowledgment receipts

Risks/Implications

Lack of training and operational manuals may result in project failure.

Inadequate documentation may result in material misappropriation, financial loss, and reduced transparency in project implementation.

Recommendations

The Public Debt Management Office (PDMO) should liaise with the Project Coordinator and Project Promoter to ensure that beneficiaries receive adequate training in business management, record keeping, and operation of central pivots.

The Public Debt Management Office and Implementing Ministry of Lands, Agriculture, Fisheries, Water and Rural Resettlement should ensure that all material movements are fully documented and verified by supervisors.

Management Response

Scheme-specific Operations & Manuals will be developed with stakeholder input, and training will be provided once the schemes are operational. SACP will train beneficiaries and strengthen their capacity to ensure sustainable operation and maintenance of the infrastructure.

Proper record keeping of construction materials at VBU sites is essential for accountability. After experiencing challenges during the initial phase, the project introduced a record management system where deliveries are recorded and signed for by SACP District Agriculture Extension Officer (DAEO) or Agriculture Rural Development Advisory Services (ARDAS) ward staff. Delivery notes are kept at district, provincial, and PMU levels, and payments are made only after verification of quality and quantity. Project engineers and procurement staff also inspect materials before delivery. The project will continue improving the stock management system.

1.2.9 Pest Management

Finding

Pests were causing extensive damage to crops and vegetables at the 10A Village Business Unit in Nkayi district and Bhani and Mpala VBUs in Hwange district in Matabeleland North province. The infestation at 10A VBU has resulted in crop losses, with two (2) production blocks estimated to yield between 4 000 and 4 600 heads of cabbage already affected. This condition was attributed to inadequate knowledge and limited application of pest control management practices among the farmers. Consequently, the affected farmers were likely to harvest poor-quality produce.

Risk/Implication

Continued pest damage poses financial losses to the farmers and may compromise the long-term sustainability and viability of the project.

Recommendation

The Public Debt Management Office should ensure that the Implementing Ministry provides farmers with pest management training, supported by regular monitoring and technical guidance for timely control of outbreaks.

Management Response

The project developed a Climate Smart Agriculture training manual that has value chain specific production guides including pests and disease management for training of beneficiaries by the engaged consultant and AGRITEX extension officers. Training is being done for all the APGs and VBU are being given priority for training as they are already in production. Besides training being delivered to the beneficiaries, management also noted that some of the VBU lacks the financial capacity to procure the chemicals for control of pests, the project has also incorporated the Integrated pest management training to promote use of organic pesticides using locally available plant resources.

The project is also going to build the capacity of all extension workers in VBUs on production of horticulture crops as some Districts are traditionally known for livestock and traditional grains production. The project will continuously monitor where there are challenges in production and provide refresher training courses to the extension staff and beneficiaries.

Evaluation of Management Response

There is need for the Ministry to come up with monitoring mechanisms to ensure that all APGs and VBUs are adequately trained.

1.2.10 Borehole Pumps Specifications

Finding

Smaller pumps were installed in Matebeleland North Province, despite ZINWA's capacity tests confirming that the boreholes had sufficient water for irrigation, domestic use, and livestock watering. This reduced the efficiency of the systems. For example, at four (4) of the ten (10) sampled Village Business Units (VBUs) in Nkayi District, uniform pump sizes were installed contrary to the specifications in the Bills of Quantities (BOQs). Three (3) sites (Sibuyu, Chibhini, and Gondeni) had smaller pumps than specified, while VBU 10A had a larger pump, resulting in suboptimal pumping performance. Table below refers.

Pump Specification Variations

VBU	Recommended yield as per capacity test	Pump size as stated on Bill of Quantity (BOQ)	Installed pump size	Technical Justification
10 A (Ward 3)	3.6 m³ per hour	1 Horsepower	1.5 Horsepower	No Justification availed
Chibhini (Ward 15)	9 m³ per hour	2 horsepower	1.5 Horsepower	No Justification availed
Gondeni (Ward 24)	9 m³ per hour	2 Horsepower	1.5 Horsepower	No Justification availed

Risks/Implications

Inadequate water supply for irrigation, domestic use, and livestock watering, limiting the productivity and sustainability of the Village Business Units.

Prolonged water shortages may discourage beneficiaries, affect crop yields, and undermine the overall objectives of the project.

Recommendation

The Public Debt Management Office should liaise with the Implementing Ministry to ensure all pump installations comply with the approved BOQ and ZINWA specifications, with any changes in pump size technically justified and approved by qualified engineers.

Management Response

The provisional BOQ provided during the bidding process stipulated the Government standard specification of 1.5Hp submersible pumps for VBUs. These pump specifications formed the basis of the bidders' cost calculations and were earmarked for installation across all VBUs predicated upon the results of the capacity testing and consonant with the observed aquifer recovery rate. It is noteworthy that an increase in pump size does not necessarily correlate with a proportional increase in discharge volume; rather it may result in augmentation of the power required to achieve a given discharge. Qualified engineering professionals in and outside the project will be engaged to implement corrective measures as recommended.

1.2.11 Technical support from Agriculture Extension Officer

Finding

Beneficiaries of Nyamashuka and Manamo VBUs in Mashonaland East Province and VBUs in Chirumanzu district, received limited support from the Agritex Officers because there was no fuel budget provision for Agritex Officers under the programme. The beneficiaries confirmed lack of technical guidance. Consequently, the groups were operating without critical technical support, which could compromise productivity, sustainability and achievements of the intended outcomes.

Risk/Implication

Poor crop management, low productivity, and reduced sustainability of the VBU project.

Recommendation

The Public Debt Management Office, through the Implementing Ministry, should ensure Agriculture Extension Officers regularly engage with all VBUs through monitoring visits and technical support.

Management Response

Having noted the challenges that the extension officers are currently experiencing in servicing their farmers, the project has included a budget line to support the extension staff responsible for VBU so that they provide the necessary technical guidance to the farmers for increased production and productivity.

1.2.12 Specifications for Solar Panels

Finding

Eight (8) solar systems installed by a contractor at five (5) Village Business Units (VBUs) in Kwekwe District, namely BonaCode, Zigandiwa, Mbanga, and Nyamazana, as well as Hillview VBU in Chirumhanzu District, did not conform to the specifications outlined in the approved Bill of Quantities (BOQ). The work was expected to fully comply with BOQ specifications and project implementation standards to ensure optimal system performance and durability. However, deviations were noted. This was attributed to inadequate project supervision and ineffective quality control mechanisms during implementation, resulting in non-compliance with the approved specifications. The table below refers.

Solar Panels Deviation

Village Business Unit	Bill of Quantities Specifications (Watts)	Installed Specifications (Watts)	Comment
BonaCode	450	8@410	Smaller panels were installed
Mbanga	450	8@410	Smaller panels were installed
Nyamazana	450	8@550	Larger panels were installed
Zigandiwa	450	8@550	Larger panels were installed
Hillview (Chirumhanzu)	550	5 @410 and 3 @400	Smaller panels installed

Risks/ Implications

Non-compliance may result in reduced system performance, reliability issues, and shortened lifespan of solar panels, thereby affecting project outcomes.

Recommendations

The Public Debt Management Office, in liaison with the Implementing Ministry and Project Management Unit, must ensure all solar panel installations comply with BOQ specifications.

Any deviations should be justified and approved by qualified engineers to protect system performance and financial loss.

Management Response

The observation is noted. The market availability of the 450W solar panels at the time of mobilization and installation influenced the acceptance of solar panels within the range of 410-500W. However, the use of solar panels of disparate wattage within the same array is unacceptable and will be subjected to further investigation and rectification prior to the expiry of the defect notification period.

1.2.13 Dripping Irrigation

Finding

The drip irrigation system installed, and latten hooks used to support irrigation pipes and sprinklers respectively at Nhakayedu Irrigation Scheme in Kwekwe were of substandard quality and not durable. This was evidenced by the water control valves and joiners which were loosening due to excessive water pressure. As a result, water distribution within the garden was uneven and hooks broke down easily causing irrigation pipes to collapse or become misaligned during operation, leading to inadequate irrigation in several sections. Consequently, the plants were visibly stressed and suffering from lack of water.

Risks /Implications

Reduced yields and project underperformance.

Continued use of the defective system could also increase maintenance costs and discourage beneficiary participation.

The use of substandard or weak latten hooks exposes the irrigation system to frequent breakdowns and potential damage to the pipes.

Recommendations

The Public Debt Management Office, in liaison with the Implementing Ministry, should ensure the contractor rectifies defects by replacing substandard components with materials meeting specifications.

Supervision should be strengthened, and all irrigation materials, including lantern hooks and sprinklers, must meet quality standards.

Management Response

The observation is noted. The defective hooks have since been replaced with larger-gauge hooks, and ongoing Operations and Manual training is being conducted at the scheme to ensure that irrigation operations are executed in accordance with the design parameters, to curb a resurgence of the same defects.

1.2.14 Contract Management

Finding

The contract for the installation of the transformer and water pump at Chipiri Irrigation Scheme, awarded to July Motion Engineering, expired on October 8, 2025, before the works were completed. The contract was initially scheduled for ninety (90) days, from July 10 to October 8, 2025, in line with agreed terms. However, the contractor failed to complete the installation and

testing within the stipulated timeframe. The delays were attributed to inadequate monitoring of contractor progress, as well as delays in capacity building and funding approvals, which slowed down implementation. As a result, the works were not completed within the agreed timelines, contrary to contract requirements. Given that the SACP project runs from 2021 to 2027, the delays reduce the remaining time available for implementation and assessment, which may affect the achievement of the project's objective of improving rural livelihoods.

Risks/Implications

Delays in completing the transformer and water pump installation could disrupt irrigation operations, affecting crop production and the timely achievement of project objectives.

Recommendations

Project manager should ensure that contract durations are realistic and aligned with the scope of work before engagement.

Management should ensure that regular monitoring of contract progress is strengthened to ensure that works are completed within agreed timelines.

Management Response

The protracted system testing phase can be primarily attributed to the unavailability of ZESA personnel to install smart meter and frequent electricity load shedding at the scheme. To mitigate the risk of schedule spillage due to client-related delays, the SACP will increase relevant stakeholder engagements from the subproject's inception phase and onwards.

The observation is noted. Delays in the approval and disbursement of grants have caused fatigue among Agribusiness Producer Groups (APGs). The disbursement process depends on capacity building and the development of bankable business plans. Training of APGs and Micro and Small Enterprises (MSEs) started in July 2025 and is being implemented in phases, with some groups scheduled to be trained in 2026 to cover all beneficiaries within the two-year contract period.

In addition, delays in grant disbursement were caused by slow convening of grant review and appraisal meetings by the Grant Management Units (GMUs). This structure has since been reconfigured to improve efficiency by including staff from Ministry of Lands Agriculture, Fisheries, Water and Rural Development (MLAFWRD) alongside Ministry of Finance Economic Development and Investment Promotion (MoFEDIP).

1.2.15 Anchoring of Water Tanks

Finding

Out of nine (9) water storage tanks installed at Village Business Units in Mashonaland East and Central, eight (8) were not properly anchored with support structures to secure them to ensure stability and safety. This was due to inadequate supervision during installation and failure to follow standard installation guidelines in line with project specifications.

Risks/Implications

Unsecured water tanks could be displaced or damaged by strong winds, leading to asset loss, higher repair or replacement costs, and disruption of water supply.

Recommendation

The Project Managers should ensure that all water storage tanks are properly secured with ropes or appropriate anchoring systems to prevent displacement or damage.

Management Response

The SACP will ensure that safety ropes are installed on the tanks identified during the audit.

STATEMENT OF RECEIPTS AND DISBURSEMENTS 2020

Background Information

This Statement reflects monies receipted or collected and then deposited in the Exchequer bank account or other official bank accounts by Ministries and Departments.

Below is a Summary of the Statement of Receipts and Disbursements for the year:

Balance as at January 1, 2020 ZWL$	Collections ZWL$	Payments to Exchequer and Other Accounts ZWL $	Adjustments ZWL $	Balance as at December 31, 2020 ZWL $
626 985 766	197 613 219 951	181 801 235 876	2 203 816	16 436 766 025

I have audited the Statement of Receipts and Disbursements for the Ministry of Finance, Economic Development and Investment Promotion for the year ended December 31, 2020, and I issued a qualified opinion.

Qualified Opinion

In my opinion, except for the effects of the matters described in the Basis for Qualified Opinion section of my report, the Statement of Receipts and Disbursements present fairly in all material respects, the state of affairs of the Ministry of Finance, Economic Development and Investment Promotion as at December 31, 2020 in accordance with the Public Finance Management Act [*Chapter 22:19*] and other relevant Statutory Instruments.

Basis for Qualified Opinion

(i) Accuracy and completeness of Value Added Tax (VAT) Refunds

Finding

The Zimbabwe Revenue Authority (ZIMRA) reported total receipts and disbursements of ZWL$194 181 388 245 for the year ended December 31, 2020.

The opinion on the ZIMRA Receipts and Disbursements Return was modified due to cases of fraudulently processed Value Added Tax (VAT) refunds. These issues had not been adjusted / corrected on the Ministry's Consolidated Receipts and Disbursements Return and hence no reliance could be placed on the disclosed figures.

Risk/Implication

The fraudulent tax refunds could lead to inaccuracies in the preparation of the Treasury Consolidated Statement of Receipts and Disbursements.

Recommendation

Treasury should engage Zimbabwe Revenue Authority on the mechanisms that can be put in places to strengthen the revenue collection system.

Management Response

The observation is noted. Treasury relies on the return submitted by ZIMRA where relevant approvals are assumed to have been followed.

(ii) Transfer Payments to the Exchequer Account

Finding

A variance of ZWL$7 872 289 374 was noted between the Statement of Receipts and Disbursements and the corresponding deposits made by receivers of revenue. The resubmitted Statement of Receipts and Disbursements indicated that a total of ZWL$181 247 503 247 was transferred to the Exchequer Account during the year 2020, while the Summary of Transactions on the Exchequer Account reflected total deposits of ZWL$189 119 792 621.

Risks/Implications

Misstatement of the consolidated Statement of Receipts and Disbursements.

Inaccurate report on the Government overall revenue collection performance.

Recommendation

Treasury should reconcile and rectify the variance.

Management Response

The observation is noted. The variance was due to the fact that Grain Marketing Board (GMB) was depositing its collections directly into Treasury main Exchequer account instead of going through the Ministry of Agriculture non-tax revenue account. The transactions were supposed to be accounted for in the Ministry of Finance, Economic Development and Investment Promotion receipts which did not happen resulting in the figure of ZWL$6 262 904 072 not captured in both Ministries. The balance of ZWL$1 044 085 093 was a result of exchange rate gain during the year.

Evaluation of Management Response

The Exchequer bank statements supporting the direct deposits made accounted for ZWL$3 516 864 800 instead of ZWL$6 262 904 072 reported in the management response. This resulted in an outstanding variance of ZWL$2 746 039 271.55.

The ZWL$1 044 085 093 attributed to exchange rate gain was also not supported by calculations on how it was arrived at.

1. PROGRESS IN ADDRESSING PRIOR YEAR AUDIT FINDINGS

The Ministry made progress in addressing audit findings raised in my previous audit report. Out of the three (3) findings, two (2) were addressed and one (1) was not addressed as indicated below:

1.1 Transfer Payments to the Exchequer Account

The variance of ZWL$5 174 200 699 that arose between the Statement of Receipts and Disbursements balance of ZWL$25 255 629 836 and deposits by receivers of revenue on the Exchequer Account of ZWL$30 429 830 535 remained unreconciled. The issue on paragraph (ii) above.

1.2 Variances between the Consolidated Treasury return and line Ministries' Return

Treasury reconciled the variances between the Treasury consolidated returns and returns from line Ministries.

1.3 Submission of Returns for Audit.

All Ministries, Department and Agencies (MDAs) submitted returns.

SUMMARY OF TRANSACTIONS OF THE CONSOLIDATED REVENUE FUND (CRF) 2019

Background Information

The Summary of Transactions of the Consolidated Revenue Fund (CRF) is an account into which all Government revenue is deposited and from which all Government expenditure is met. It is made up of the Main Exchequer Account (Receiving arm) and the Main Paymaster-General (Paying arm) Account.

The CRF shows revenue collected by Ministries, Departments and Agencies (MDAs) as per their Revenue Received returns and expenditure incurred as per the Summary of Appropriation Accounts. The CRF also shows how the Government deficit was financed either through domestic or foreign borrowings.

Below is a Summary of Transactions of the Consolidated Revenue Fund for the year:

Details	**Amount ZWL$**	**Total Amount ZWL$**
Revenue and International Grants	23 339 509 388	
less: Expenditure and Net Lending	(21 600 288 723)	
Surplus		**1 739 220 665**
Net Foreign Financing	-	
add: Net Domestic Financing	2 242 849 692	
add: Net Change in Bank Balance	(3 982 070 357)	
Total Financing		**(1 739 220 665)**

I have audited the Summary of Transactions of the Consolidated Revenue Fund (CRF) for the Ministry of Finance, Economic Development and Investment Promotion for the year ended December 31, 2019, and I issued a qualified opinion.

Qualified Opinion

In my opinion, except for the effects of the matters described in the Basis for Qualified Opinion section of my report, the Summary of Transactions of the Consolidated Revenue Fund (CRF) present fairly in all material respects, the state of affairs of the Ministry of Finance, Economic Development and Investment Promotion as at December 31, 2019 in accordance with the Public Finance Management Act [*Chapter 22:19*] and other relevant Statutory Instruments.

Basis for Qualified Opinion

(i) Expenditure and Revenue variances with Public Financial Management System (PFMS)

Finding

There was a variance of ZWL$6 296 684 081 between the total expenditure amounting to ZWL$21 600 288 724 disclosed in the CRF account and ZWL$15 303 604 643 extracted from the PFMS. In addition, of the revenue collected amounting to ZWL$23 339 509 387, the Ministry recorded ZWL$22 895 981 639 in PFMS, leaving an unreconciled variance of ZWL$443 527 748 that was transacted outside PFMS. These discrepancies were contrary to Section 13(1) of the Public Finance Management (Treasury Instructions) 2019. Consequently, the completeness and accuracy of the expenditure and revenue disclosed in CRF could not be confirmed.

Risk/Implication

Misstatement of financial statements.

Recommendations

Treasury should investigate the variance and take appropriate remedial action.

Management should ensure that monthly reconciliations are performed.

Management Response

The expenditure variance was because the system configuration could not separate the US$ and ZWL$ transactions which had exchange rate 1:1 whereas manually the exchange rate had changed from February 2019 and continued to vary during the year.

Please note that 95% of Government revenue is collected by ZIMRA and the amount of ZWL$22 895 981 639 was captured in SAP giving a variance of ZWL$443 527 748 from the reported CRF 2019 figure of ZWL$23 339 509 387. The difference is the non-tax figure from MDAs which was not captured due to Covid-19 and system challenges at Head Offices, Provinces and Districts. The non-tax SAP amounts to ZWL$3 842 581. In future the Ministry of Finance, Economic Development and Investment Promotion Government Accounting Services will monitor system usage to avert processing transactions outside the SAP as observed.

(ii) External Debt Repayments

Finding

There was no evidence that reconciliations were performed between the CRF account and the Statement of Public Debt statements for the year ended December 31, 2019. Consequently, external debt repayments amounting to ZWL$1 370 425 020 which were disclosed in the Statement of Public Debt for 2019 were not reflected in the CRF account. Section 157(2)(c) of the Public Finance Management (Treasury Instructions), 2019, which requires Accounting Officers to put in place cost-effective systems of internal control. As a result, I could not ascertain the completeness of the financial statements. The table below refers:

Foreign / External Debt repayments	CRF Account ZWL$	Statement of Public Debt ZWL$	Variance ZWL$
Bond issues	-	864 812 216	864 812 216
Loans	-	505 612 804	505 612 804
Totals	-	**1 370 425 020**	**1 370 425 020**

Risk/Implication

Loan repayments could be misstated in the financial statements.

Recommendation

Treasury should investigate and reconcile the variance of ZWL$1 370 425 020.

Management Response

The unaudited public debt statement submitted for consolidation did not have foreign repayments, however if there are changes the consolidated statement will be restated.

Evaluation of Management Response

The audited Statement of Public Debt reflected external debt repayments amounting to ZWL$1 370 425 020. The Ministry should reconcile the Consolidated Revenue Fund with the Statement of Public Debt and make the necessary adjustments to ensure that the financial statement accurately reflects all external debt repayments.

Below are other issues noted during the audit:

1. GOVERNANCE ISSUES

1.1 Domestic Loan Repayments

Finding

The Summary of Transactions of the Consolidated Revenue Fund (CRF) showed total domestic loan repayments of ZWL$5 307 026 364 while the feeder Statement of Public Debt had an amount of ZWL$1 839 574 730 resulting in an unreconciled variance of ZWL$3 467 451 634. There was no evidence that reconciliations were performed between the CRF account and the Statement of Public Debt for the year ended December 31, 2019, resulting in the variance. The table below refers:

Domestic Loan Repayments Variances

Item	CRF Account ZWL$	Supporting Account ZWL$	Variance ZWL$
Domestic Loan repayments			
Treasury bills	1 703 067 671	1 019 887 680	683 179 991
Treasury bonds	-	819 687 050	(819 687 050)
Loans	3 603 958 693	-	3 603 958 693
Total	**5 307 026 364**	**1 839 574 730**	**3 467 451 634**

Risk/Implication

Stakeholders may make decisions based on incorrect domestic loan repayments.

Recommendation

Treasury should investigate and reconcile the domestic loan repayments variance of ZWL$3 467 451 634.

Management Response

The observation is noted. However, the Public Debt statement and the summary of transactions in the Consolidated Revenue Fund (CRF) had different amounts due to the debt issuances that did not bring funding (rollover) to the CRF. Treasury assumed debt from RBZ as blocked funds and some creditors were given Treasury Bills as acknowledgement of debt, the issuances were not recorded in the CRF since no funds were received hence the ZWL$3 467 451 634.

Evaluation of Management Response

The treatment of rollover issuances that did not bring funding was appreciated however it was not clear whether specific Treasury Bills issuances could be reconciled to the variance of ZWL$3 467 451 634 raised in the finding.

1.2 Accounting Officer's Instructions/Procedures Manual

Finding

Treasury operated without approved Accounting Officers' Instructions / procedures manual to provide guidance on the maintenance of accounting records and preparation of financial statements for the Summary of Transactions of the Consolidated Revenue Fund (CRF). Development of Departmental manuals was in progress. The absence of an Accounting Manual was in contravention of Section 6 of the Public Finance Management Act [*Chapter 22:19*].

Risk/Implication

It may be difficult to maintain proper accounting records and disclose accurate balances in the financial statements.

Recommendation

Treasury should develop Accounting Officers' Instructions/procedures manual to enhance preparation and presentation of credible financial statements.

Management Response

The Ministry is in the process of coming up with procedure manuals

2. PROGRESS IN ADDRESSING PRIOR YEAR AUDIT FINDINGS

Treasury did not make much progress in addressing audit findings raised in my previous audit report. Out of the ten (10) recommendations, four (4) were addressed while nine (6) were not addressed.

2.1 Disclosure of Prior Year Comparative Balances

The issue of disclosure of prior year comparative balance was addressed in the 2019 financial statements.

2.2 The Statement of Public Financial Assets

The Statement of Public Financial Assets was availed for audit.

2.3 Accounting Officer's Instructions/Procedures' Manual

The Accounting Officer's Instructions / Procedures Manual was not in place. The issue was raised on paragraph 1.2.

2.4 Expenditure and Net Lending

The total expenditure and net lending disclosed on the Summary of Transactions of the Consolidated Revenue Fund and audited expenditure reported by line Ministries were the same.

2.5 Loan repayments

There were variances between the total domestic loan repayments on the Summary of Transactions of the Consolidated Revenue Fund (CRF) and corresponding amounts on the Public Debt Statement. The issue was raised on paragraph 1.1 above.

2.6 Exchange Holding losses

The accuracy of the balance disclosed on the Summary could not be ascertained in the absence of records. There were Exchange rate holding gains in the period under audit.

2.7 Borrowings

Supporting documents for the borrowings were not availed for audit. Furthermore, the unreconciled variance of ZWL$32 144 496 between the Statement of Public Debt and the Summary was not addressed.

2.8 International Aid Grant

Documents to support amount for International Aid grants were not availed to enable verification of the balance disclosed on the Summary. The 2019 Account had no such grant.

VOTE 7.- INDUSTRY AND COMMERCE

STANDARDS DEVELOPMENT FUND 2024

Objective of the Fund

The Fund was established for the development and promotion of standardization and quality control.

Below is a summary of the Statement of Comprehensive Income and Statement of Financial Position for the year:

Statement of Comprehensive Income

Item	**Amount ZWG**
Income	399 189 850
Expenditure	214 395 198
Surplus	**184 794 652**

Statement of Financial Position

Item	**Assets ZWG**	**Liabilities ZWG**
Non-Current Assets	4 590 463	-
Current	318 881 492	18 220 880
Accumulated Fund	-	305 251 075
Total	**323 471 955**	**323 471 955**

I have audited the financial statements of the Standards Development Fund for the year ended December 31, 2024, and I issued a qualified opinion.

Qualified Opinion

In my opinion, except for the effects of the matter described in the Basis for Qualified Opinion section of my report, the financial statements of the Standards Development Fund for the year ended December 31, 2024, are prepared, in all material respects, in accordance with the Public Finance Management Act [*Chapter 22:19*] and other relevant Statutory Instruments.

Basis for Qualified Opinion

Unidentified Deposits

Finding

The Fund had unidentified deposits (unreceipted funds) amounting to ZWG15 443 249 (2023: ZWG1 503 722) due to insufficient client payment details. I could therefore not satisfy myself on the accuracy of the revenue and receivables disclosed as at December 31, 2024. This was contrary to Section 46(17) of the Public Finance Management (Treasury Instructions), 2019.

Risk/Implication

The absence of receipts creates opportunities for misappropriation or concealment of funds.

Recommendation

Management should put in place a system to identify and issue receipts in compliance with regulations.

Management Response

The Fund acknowledges the audit observation regarding unidentified deposits amounting to ZWG15 543 249 that were outstanding at the time of the audit. It is noted that the majority of these deposits related to the period from June 2024 to December 2024 and, in line with Section 52(4) of the Public Finance Management (Treasury Instructions), 2019 these amounts were subsequently transferred to revenue at the beginning of the 2025 financial year.

Below are other issues noted during the audit:

1. GOVERNANCE ISSUES

1.1 Accounting System

Finding

The Fund did not process transactions using the Public Financial Management System (PFMS), as directed by Treasury. As a result, all the 2024 financial transactions were manually processed. This was contrary to Section 13(2) of the Public Finance Management (Treasury Instructions), 2019, which states that statutory and other funds shall utilize the same accounting package unless authorized by Treasury to run an independent system.

Risk/Implication

The use of a manual system compromises the integrity and completeness of the financial statements.

Recommendation

Management must ensure that all the Fund's transactions are processed through the system or other independent system compatible with the SAP system as prescribed by the Statutory Instrument.

Management Response

The Fund acknowledges the audit observation regarding the processing of transactions outside the PFMS in 2024. Management wishes to clarify that this situation arose because the Fund was not rolled over to SAP client 600 following the conversion of the currency to ZWG and only became fully integrated in 2025. As a result, the Fund had no option but to process financial transactions manually during 2024 while awaiting migration into the PFMS platform. The Fund has since been rolled over into SAP client 600 and is now processing transactions through the system, thereby addressing the concern raised.

1.2 Cash and Cash Equivalent

Finding

For the year ended December 31, 2024, the Fund had an average bank balance of ZWG218 084 539. The Fund needs to strengthen its engagement with Treasury to obtain the necessary authority to invest the excess funds as huge balances have been kept in the bank instead of investing the surplus, which could generate additional income or enhance financial efficiency. Section 13(2) of the Standards Development Fund Act [*Chapter 14:19*], requires any funds not immediately required for the purpose of the Fund to be invested.

Risk/Implication

The Fund may lose potential revenue in the form of interest on investment on the surplus cash If huge balances are left idle in the bank accounts.

Recommendation

The Fund should continuously engage Treasury to obtain formal authority for investing the excess funds.

Management Response

The observation is acknowledged. It is important to highlight that the Fund's ability to invest surplus funds is subject to prior written authority from Treasury. Following the conclusion of the 2023 financial year audit, the Fund wrote to Treasury seeking authority to invest funds that were not immediately required for operational purposes. Subsequently, the Fund engaged Treasury to clarify the request. Treasury requested additional information on the targeted cash investment options which is now awaiting Accounting Officer's approval for submission.

The delay in investing the surplus funds, therefore, arises from factors outside the Fund's direct control, and not from inaction or non-compliance on its part. Once Treasury approval is granted, the Fund will implement the investment plan.

1.3 Advances to Parent Ministry

Findings

The Fund paid ZWG1 297 856 to support the activities of its parent Ministry through payments for travel and subsistence allowances for Head Office members and other activities. No Treasury authority was availed in support of these transactions.

Furthermore, the Fund continued to advance fuel to the Ministry for its operations. As at December 31, 2024, the Ministry owed Standards Development Fund 7 080 litres of diesel (valued at ZWG278 527) and 2 760 litres of petrol (valued at ZWG104 466). On concluding the audit in December 2025, the fuel or its equivalent value of ZWG382 993 had not been reimbursed to the Fund. Section 116(9) of the Public Finance Management (Treasury Instructions), 2019 requires Accounting officers not to borrow money from Funds within their Ministries to finance Appropriation budgets unless authorized by Treasury in writing.

Risk/Implication

The Fund may fail to fulfil its mandate if the parent ministry continue to borrow money from the Fund to finance its operations.

Recommendations

Management should seek Treasury authority.

In addition, management should ensure that resources advanced to parent Ministry are recovered timeously.

Management Response

The findings are noted. The Ministry could not reimburse the advanced funds amounting to ZWG1 297 856 during the 2024 financial year due to inadequate funding by Treasury. The reimbursement has since been processed. However, the transaction is pending cash support from the Accountant General`s Department. Continuous engagement is being done with Treasury to ensure that cash support is secured to settle the advanced funds.

The advances were facilitated as a stop gap measure to enable the Ministry to implement urgent assignments at that time on a reimbursable basis. Non release of appropriated funds by Treasury during the 2024 financial period contributed to the inability to reimburse as agreed. The Ministry is still committed to reimburse the advanced fuel during the course of this year. It should be noted that the major challenge to date is the operating environment which is still characterised by erratic disbursement of budget support and delayed access to cash support for the released budget.

2. REVENUE COLLECTION AND DEBT RECOVERY

3.1 Levy and Rent Debtors

Findings

The Fund did not have a Debt Recovery Policy to provide guidance and direction on collection and receipt of revenue. During the year under review, only ZWG50 058 (0.5%) was recovered out of ZWG10 071 303.

Furthermore, the Fund did not take adequate measures to recover outstanding amount of ZWG7 749 679 (2023: ZWG3 025 856) owed by tenants. This substantial increase can be attributed to the Fund's inadequate recovery efforts and lack of effective debt collection strategies. Section 49(2) of the Public Finance Management (Treasury Instructions), 2019 requires Officers responsible for collecting debts to take adequate steps to collect any sums due to Government.

Risk/Implication

The Fund may lose potential revenue if debt recovery takes too long.

Recommendation

The Fund should consider taking more proactive action to recover long outstanding rent.

Management Response

The Fund has made considerable progress in debt recovery. A comprehensive update with current statistics will be submitted to your office once the exercise is completed.

3. PROGRESS IN ADDRESSING PRIOR YEAR AUDIT FINDINGS

The Fund did not make significant progress in addressing audit findings that were raised in my previous audit report. Out of the five (5) findings, one (1) was addressed and two (2) were partially addressed and two (2) were not addressed as indicated below:

3.1 Unidentified Deposits

The issue of unidentified deposits was not addressed since management did not come up with measures to identify direct deposits made by employers.

3.2 Accounting Package

The issue was not resolved as all transactions in 2024 were processed manually, Paragraph 1.1. above refers.

3.3 Cash and Cash Equivalents

The issue was partially addressed as the Fund wrote to Treasury for authority to invest Paragraph 1.2. above refers.

3.4 Accounting for Fuel

The finding was addressed as the fuel register was updated.

3.5 Levy and Rental Debtors

The finding was partially addressed as rental debtors are being recovered while levy debtors were still outstanding.

VOTE 8.- LANDS, AGRICULTURE, FISHERIES, WATER AND RURAL DEVELOPMENT

AGRICULTURAL REVOLVING FUND 2024

Objective of the Fund

The Fund was established to provide additional resources to the Ministry's sub-votes to enable them to supplement their operational resources. These additional resources from the Agricultural Revolving Fund, represent 100% retention of funds raised and are meant for the maintenance and improvement of essential equipment, purchase of drugs and consumables required to improve the level and quality of departmental service**.**

Below is a summary of the Statement of Comprehensive Income and Statement of Financial Position for the year:

Statement of Comprehensive Income

Item	**Amount ZWG**
Income	522 991 487
Expenditure	257 438 369
Surplus	**265 553 118**

Statement of Financial Position

Item	**Assets ZWG**	**Liabilities ZWG**
Non-Current	25 391 355	-
Accumulated Fund	-	293 390 735
Current	277 192 526	9 193 146
Total	**302 583 881**	**302 583 881**

I am required to audit the financial statements of the Agricultural Revolving Fund for the year ended December 31, 2024, and I issued a disclaimer opinion.

Disclaimer of Opinion

I do not express an opinion on the financial statements of the Agricultural Revolving Fund. Because of the significance of the matters described in the Basis for Disclaimer of Opinion section of my report, I have not been able to obtain sufficient appropriate audit evidence to provide a basis for an audit opinion on these financial statements.

Basis for Disclaimer of Opinion

(i) Maintenance of Accounting Records

Finding

Head office, Mulezu, Rio Tinto, Kushinga Phikelela Agricultural Colleges, Grasslands Research Institute, Midlands and Manicaland Provincial Veterinary and Lands and Manicaland Provincial Agritex offices did not maintain ledgers for all account balances disclosed in the Fund`s financial statements. The financial statements were prepared from cashbook and bank statement entries for the year under review. As a result, I could not validate the completeness and accuracy of the revenue received amounting to ZWG522 991 487, accounts receivable of ZWG261 203 630, accounts payable of ZWG9 193 146 and property, plant and equipment balance of

ZWG20 348 338 which were disclosed in the financial statements for the year ended December 31, 2024.

Risks/Implications

Misstatement of the consolidated financial statements.

Inaccurate decisions may be made by users of the financial statements.

Recommendation

Management should ensure that the prescribed minimum set of books are maintained by all stations administering the Fund's transactions.

Management Response

The observation is noted. All stations are in the process of updating and maintaining the minimum set of books of accounts. Additionally, management has engaged the Ministry of Finance, Economic Development and Investment Promotion Projects Office to establish the Fund in the PFMS for timely reporting. This initiative aims to ensure that all stations maintain the prescribed minimum records for overseeing Fund transactions.

(ii) Consolidated Cash and Cash Equivalents

Finding

There was a variance of ZWG2 384 between the cash and cash equivalents balance amounting to ZWG15 988 896 disclosed in the consolidated statement of financial position and ZWG15 991 280 in the cash flow statement. Section 29(4)(d) and (f) of the Public Finance Management (Treasury Instructions), 2019 requires a system of internal checks to be in place to ensure accuracy of the accounts. I could not ascertain the accuracy of the cash and cash equivalents balance disclosed in the financial statements.

Risk/Implication

Financial statements could be misstated.

Recommendation

The variance should be investigated and reconciled.

Management Response

Management did not respond.

(iii) Revenue

Findings

Rio Tinto Agricultural College disclosed revenue amounting to ZWG2 388 718, which could not be traced to the source documents such as invoices and ledgers. This was contrary to Section 119(2) of the Public Finance Management (Treasury Instructions), 2019. This was caused

by non-maintenance of proper accounting records and the absence of checks and controls in the preparation of financial statements.

In addition, Esigodini Agricultural college receipted and had disclosed in the financial statements revenue amounting to ZWG4 846 801. Sampled receipts had inadequate information recorded regarding details of payee and services rendered by the college. Some receipts had just phone numbers, company names and money transfer agent names without direct link to the paying students.

Risk/Implications

Financial statements misstatements due to revenue figures which are inadequately supported.

Incorrect classification of revenue.

Recommendations

The Fund administrators should maintain source records for revenue.

Full details of payee and purpose of payment should be captured on receipts to ensure correct classification and accountability.

Management Response

The observation is noted. Esigodini Agricultural College calculated revenue using invoices rather than receipts and provided the revenue calculation schedule to the auditors. The error pertained to receipting from bank statements, which has since been corrected. Meanwhile, Rio Tinto Agricultural College is currently in the process of attaching the supporting documents as noted.

(iv) Expenditure

Finding

There was a variance of ZWG7 464 119 between the disclosed consolidated expenditure of ZWG257 438 369 for all programmes and the validated expenditure of ZWG249 974 250. Consequently, the reported expenditure may be inaccurate.

Risks/Implications

Misstatement of financial statements.

There could be possibilities of fraud, error or unauthorised expenditure.

Recommendation

The Fund administrators should reconcile the variance.

Management Response

The observation is noted. Income and expenditure have been restated, and the financial statements have been amended to accurately reflect the submitted programmes total expenditure.

Evaluation of Management Response

Management response is acknowledged. However, the resubmitted financial statements had new expenditure figures but still the difference between the consolidated financial statements expenditure and the sum of institutional expenditure figures amounting to ZWG7 464 119 was not cleared.

(v) Accounting Framework

Finding

Mlezu Agricultural College, Midlands Provincial Veterinary Office and Midlands Provincial Lands Office used cash instead of accrual basis of accounting for the year under review. This was contrary to Section 10(2) of the Public Finance Management (Treasury Instructions), 2019 which requires Funds to operate on an accrual basis.

Risk/ Implication

The consolidated financial statements may not show the true financial position and performance of the Fund.

Recommendation

The Fund should adopt the accrual basis of accounting at all its stations and programmes for consistency in line with Treasury Instructions.

Management Response

The observation is noted. Systems are now in place to ensure that all stations use the same reporting framework which is the IPSAS accrual reporting framework.

(vi) Cashbook Maintenance

Finding

Rio Tinto and Esigodini Agricultural Colleges did not record payments in their cashbooks, whilst Grasslands Research Institute and Matabeleland North Department of Surveyor General did not maintain cashbooks for recording their transactions. Section 119 of the Public Finance Management (Treasury Instructions), 2019 requires proper cashbooks to be maintained. This was caused by management not providing uniform guidance on proper record keeping at stations and absence of checks and controls.

Risk/Implication

Cash and cash equivalents balances reported may be misstated.

Recommendations

Administrators of the Fund should consider providing standard guidance on proper record keeping to all stations.

Controls and checks on record keeping should be effected at all stations.

Management Response

The observation is noted. The cash books are now being maintained at Grasslands Institute, Surveyor General Matabeleland North, Rio Tinto, and Esigodini Agricultural Colleges. Additionally, the Ministry is conducting government accounting courses for new accountants to ensure consistent record-keeping practices.

(vii) Bank Reconciliations

Finding

Bank reconciliations were not performed at Grasslands Research Institute, Rio Tinto Agricultural College and Midlands Provincial Veterinary office for the period under review. I could not therefore confirm the accuracy of the cash and cash equivalents amounting to ZWG15 988 896 that was disclosed in the consolidated financial statements.

Risk/Implication

Misstatements of the consolidated financial statements due to errors or fraud that can remain undetected.

Recommendations

Management should ensure that bank reconciliations are performed monthly to check on the accuracy of transactions.

Supervisory controls should be enforced to improve accountability issues.

Management Response

The observation is noted. Bank reconciliations are now being performed and reviewed by management.

(viii) Exchange Gain

Finding

The Fund recognized a foreign exchange gain amounting to ZWG941 946 and foreign exchange loss of ZWG955 292 in the statement of comprehensive income. The ledgers and explanatory notes supporting how the amount was determined were not availed for audit. Therefore, I could not substantiate the validity and accuracy of the foreign exchange gain and loss disclosed in the financial statements**.**

Risk/Implication

Misstatement of the financial statements.

Recommendation

The Fund's administrators should avail evidence which supports the disclosed amounts.

Management Response

The observation is noted. The supporting ledgers will be produced.

(ix) Conversion of Transactions

Findings

Grasslands Research station translated from ZWL to ZWG revenue amounting to ZWG1 114 411 and total expenditure of ZWG984 623 using the rate of US$13.5616 applicable on April 5, 2024, instead of the spot rates on date of transaction. In addition, Kushinga Phikelela Agricultural College disclosed in the financial statements revenue amounting to ZWG3 882 674 (US$150 500) which was translated to ZWG using the exchange rate of December 31. 2024 of 25.7985. Treasury Circular Number 1 of 2025 required transactions denominated in other currencies to be converted to reporting currency (ZWG) using the spot rate.

Furthermore, Mlezu Agricultural and Rio Tinto Colleges did not provide a schedule on how ZWL denominations were converted.

Risk/ Implication

Incorrect revenue and expenditure disclosed in the financial statements.

Recommendations

The Fund Administrators should give adequate guidance on conversion of transactions denominated in old currency.

The supporting conversion schedules and the Institutions' adjusted financial statements should be submitted for audit.

Management Response

The observation is noted. The financial statements were amended using the correct exchange rates.

Evaluation of Management Response

Management response is acknowledged. However, the supporting conversion schedules and the Institutions' adjusted financial statements were not submitted for audit.

(x) Suspense Account

Finding

The consolidated statement of financial position for the year ended December 31, 2023, had an imbalance (suspense) amounting to ZWL$175 491 013 (ZWG389 806). I was not furnished with an explanation nor journals showing how the suspense balance was cleared in the year under review. Therefore, I could not place reliance on the financial statements submitted for audit.

Risks/Implications

Fraudulent transactions could occur.

Misstatement of financial statements can occur if prior year imbalance is cleared without journals or audit trail.

Recommendation

Journals should be provided on how the imbalance was cleared in the current year financial statements.

Management Response

The observation is noted. Management are in the process of reconciling the suspense account.

(xi) Biological Assets

Findings

Audit noted that fourteen (14) dairy cattle died at Esigodini Agricultural College during the period under review and were not subtracted from the livestock register. The livestock register indicated that the college had eleven (11) dairy cows, however, physical verification revealed that five (5) dairy cows existed.

In addition, the college did not avail for audit the reconciliation statement for the livestock valued at ZWG865 153 disclosed in the statement of financial position. Therefore, I could not validate the accuracy of consolidated biological assets carrying amount of ZWG5 040 635.

Risks/ Implications

Lack of accountability of the livestock.

Misstatement of financial statements.

Recommendation

Management should ensure that reconciliation of livestock is carried out and the register updated.

Management Response

The observation is noted. Management is currently updating valuation of biological assets in compliance with the requirements of IPSAS 27.

(xii) Unidentified Cash Deposits

Finding

An amount of ZWG6 969 112 was disclosed in the notes to the financial statements as amount not receipted because the depositors could not be identified. Despite this disclosure, the same amount was included in the financial statements as revenue instead of recording the amount as a liability until the depositor is identified and purpose of deposit determined.

Risk/Implication

Revenue disclosed in the financial statements may be misstated.

Recommendation

Management should disclose and recognise in the financial statements' revenue from verified transactions.

Management Response

The observation is noted. This Issue has been investigated by internal auditors, and a report has been issued. However, the matter is not yet finalized.

Below is another issue noted during the audit:

1. GOVERNANCE ISSUE

1.1 Submission of Financial Statements

Finding

The Fund submitted its financial statements on September 26, 2025, five (5) months after the revised submission date of April 30, 2025. This was contrary to Treasury circular number 1 of 2025.

Risk/Implication

The relevance and reliability of financial information decreases, making it less useful for decision-making.

Recommendation

Management should ensure timely submission of the financial statements.

Management Response

The observation is noted. The Ministry manages a substantial volume of transactions, which are currently processed manually. With nine (9) programs and numerous sub-programmes, consolidating financial statements has become a complex and time-consuming task resulting in late submissions.

2. PROGRESS IN ADDRESSING PRIOR YEAR AUDIT FINDINGS

The Fund did not make progress in addressing prior year audit findings. Out of a total of seven (7) issues, one (1) was partially addressed while six (6) were not addressed as indicated below: -

2.1 Maintenance of Accounting Records

There was no improvement in the maintenance of accounting records such as ledgers and the cash book. The issue was raised on paragraph (i) above.

2.2 Disclosure of Biological Assets

The issue was partially resolved as one (1) out of three (3) institutions did not provide the livestock reconciliation for the ZWG865 153 disclosed in the statement of financial position.

2.3 Accounts Receivable

The issue of accounts receivable relating to Provincial Veterinary offices, which were not disclosed, remained outstanding.

2.4 Consolidated Cash and Cash Equivalents

The variance of ZWL$175 491 014 for the cash and cash equivalents was not resolved.

2.5 Suspense

The issue of the imbalance of ZWL$175 491 013 disclosed in the financial year 2023 was not addressed and was raised on paragraph (x) above.

2.6 Non - Submission of Receipt Books and Security Items Register

The security items register and the receipt books for 2023 were not submitted for audit inspection.

2.7 Opening balance

There was no evidence that the adjustments for 2023 opening balance to the financial statements were made as raised on paragraph (x) above.

PIG LEVY FUND 2024

Objective of the Fund

The Fund was established to provide for the imposition and collection of levies on pigs produced in Zimbabwe; and to provide for the development of the Pig Industry in Zimbabwe and for matters incidental thereto.

Below is a summary of Statement of Comprehensive Income and Statement of Financial Position for the year:

Statement of Comprehensive Income

Item	**Amount ZWG**
Income	4 347 044
Expenditure	2 606 696
Surplus	**1 740 348**

Statement of Financial Position

Item	**Assets ZWG**	**Liabilities ZWG**
Accumulated Fund	-	3 619 874
Current Liabilities	-	38 470
Current Assets	3 658 344	-
Total	**3 658 344**	**3 658 344**

I have audited the financial statements of the Pig Levy Fund for the year ended December 31, 2024, and I issued a qualified opinion.

Qualified Opinion

In my opinion, except for the effects of the matters described in the Basis for Qualified Opinion section of my report, the financial statements present fairly, in all material respects, the financial position of the Pig Levy Fund as at December 31, 2024, and its financial performance and its cash flows for the year then ended in accordance with the Public Finance Management Act [*Chapter 22:19*] and other relevant Statutory Instruments.

Basis for Qualified Opinion

(i) Disbursements

Findings

The total disbursement of ZWG2 573 645 disclosed in the statement of comprehensive income was understated by ZWG342 890 as transactions from January 1 to April 5, 2024 were not converted from ZWL to ZWG. Section 7.2 paragraph 4 of Treasury Circular No. 3 of 2025 requires items in the statement of financial performance from January 1, 2024 to April 5, 2024 to be translated first to US$ on the date of transaction and then converted from US$ to ZWG using the interbank exchange rate on the date of currency change. As a result, the accuracy of the disbursements disclosed in the financial statements could not be ascertained.

Risk/Implication

Misstatement of financial statements.

Recommendation

Management should convert all 2025 ZWL$ transactions to ZWG in compliance with regulations.

Management Response

The observation is noted. A conversion of disbursements and expenditure has now been availed for audit.

Evaluation of Management Response

The management response is noted. However, the conversion of disbursements and expenditure did not address the issue of the understatement of ZWG342 890.

(ii) Foreign Exchange Gain

Finding

The Fund recognized a foreign exchange gain amounting to ZWG1 165 856 in the statement of comprehensive income for the year ended December 31, 2024. Audit was not provided with ledgers and explanatory Notes supporting how the amount was determined. Therefore, I could not substantiate the validity and accuracy of the foreign exchange gain disclosed in the financial statements.

Risk/Implication

Financial statements may be misstated

Recommendation

The Fund's officials should provide the ledger and explanatory notes to support all significant balances disclosed in the financial statements.

Management Response

Management did not respond.

(iii) Revenue

Finding

The recomputed revenue from the invoices amounted to ZWG4 373 492 while revenue disclosed in the financial statements was ZWG4 347 044 resulting in a variance of ZWG26 448. In addition, audit noted that five (5) invoices with a total amount of ZWG31 645 had been omitted while two (2) invoices were overstated by ZWG22 670. Therefore, the accuracy of the revenue disclosed in the financial statements could not be confirmed.

Risk/Implication

Misstatement of revenue disclosed in the financial statements.

Recommendation

The Fund Administrators should investigate and rectify the variance and adjust the revenue disclosed in the financial statements.

Management Response

The observation is noted. The total revenue raised by the abattoirs has been recalculated on an accrual basis and the financial statements have been amended to disclose the total revenue of ZWG4 347 044.

Evaluation of Management Response

Management response is noted. The issue of the omissions was not addressed.

1 GOVERNANCE ISSUES

1.1 Maintenance of Accounting Records

Finding

The Fund used an excel spreadsheet to record financial information instead of a reliable accounting package. Section 119 (1) of the Public Finance Management (Treasury Instructions), 2019, requires all financial management transactions relating to Funds to be accounted for through the PFMS, unless the Accountant-General authorizes the Fund to operate an independent accounting package.

Risk/Implication

The excel spread sheets may not have effective security features to store data.

Recommendation

Management should put in place an accounting package that has data protection features.

Management Response

The observation is noted and efforts are underway to configure all Funds and records on the PFMS.

2 PROGRESS IN ADDRESSING PRIOR YEAR AUDIT FINDINGS

Management addressed most of the audit findings raised in my previous report. Out of the four (4) findings, three (3) was addressed and one (1) was not addressed as indicated below.

2.1 Maintenance of Accounting Records

The Fund continued to use the excel spreadsheet to record financial information instead of a reliable accounting package. The issue was raised in paragraph (ii) above.

2.2 Revenue Collection

The issue has been addressed as the Fund administrators are now raising invoices every month.

2.3 Accounts Receivable

This issue has been resolved as the receivables balance disclosed in the financial statements included take on balances from the previous years.

2.4 Invoicing for Services Rendered

The Fund disclosed the quantity of slaughtered pigs and the price per unit on the invoice.

TOBACCO LEVY FUND 2024

Objective of the Fund

The Fund was established for the purpose of providing the imposition and collection of levies on tobacco produced in Zimbabwe and to provide for the development of Tobacco Industry in Zimbabwe and for matters incidental thereto.

Below is a summary of Statement of Comprehensive Income and Statement of Financial Position for the year:

Statement of Comprehensive Income

Item	Amount ZWG
Income	134 217 616
Expenditure	132 351 892
Surplus	**1 865 724**

Statement of Financial Position

Item	Assets ZWG	Liabilities ZWG
Accumulated Fund	-	1 643 649
Current Assets	1 643 649	-
Total	**1 643 649**	**1 643 649**

I have audited the financial statements of the Tobacco Levy Fund for the year ended December 31, 2024, and I issued an unmodified opinion.

Opinion

In my opinion, the financial statements present fairly, in all material respects, the financial position of the Tobacco Levy Fund as at December 31, 2024, and its financial performance and its cash flows for the year then ended in accordance with the Public Finance Management Act [*Chapter 22:19*] and other relevant Statutory Instruments.

Below is an issue noted during the audit.

1. GOVERNANCE ISSUE

1.1 Maintenance of Accounting Records

Finding

The Fund was using excel spread sheets to record financial transactions. There was no evidence of use of the PFMS or an accounting package which has inbuilt controls that enhance the reliability of financial information. Section 119(1) of the Public Finance Management (Treasury Instruction), 2019 requires financial management transactions to be accounted for through the PFMS.

Risk/Implication

Data might be manipulated if processed and stored on Microsoft Excel.

Recommendation

The administrators of the Fund should put in place a credible accounting system to enhance reliability of the Fund's financial statements.

Management Response

The observation is noted. Efforts are underway to configure all Fund records in the Ministry on the PFMS.

2. PROGRESS IN ADDRESSING PRIOR YEAR AUDIT FINDINGS

The Fund did not make progress in addressing the audit finding raised in my previous report as indicated below:

2.1 Maintenance of Accounting Records

The Fund continued to use excel spreadsheet for recording and reporting financial information instead of a reliable accounting package.

WATER FUND 2024

Objective of the Fund

The Fund was established for the purpose of providing for the development and utilisation of the water resources of Zimbabwe; establishment of powers and procedures of the catchment councils and sub catchment councils, grant of permits for the use of water, control of the use of water when it is in short supply, acquisition of servitudes in respect of water, protection of environment and prevention and control of water pollution, approval of combined water schemes, matters relating to dam works, to repeal the Water Fund Act [*Chapter 20:22*] and to provide for matters incidental to or connected with the foregoing.

Below is a summary of Statement of Comprehensive Income and Statement of Financial Position for the year:

Statement of Comprehensive Income

Item	**Amount ZWG**
Income	5 114 797
Expenditure	4 719 051
Surplus	**395 746**

Statement of Financial Position

Item	**Assets ZWG**	**Liabilities ZWG**
Non-Current	681 350	-
Accumulated Fund	-	800 677
Current	119 327	-
Total	**800 677**	**800 677**

I have audited the financial statements of the Water Fund for the year ended December 31, 2024, and I issued a qualified opinion.

Qualified Opinion

In my opinion, except for the effects of the matters described in the Basis for Qualified Opinion section of my report, the financial statements present fairly, in all material respects, the financial position of the Water Fund as at December 31, 2024, and the statement of comprehensive income its financial performance and its cash flows for the year then ended in accordance with the Public Finance Management Act [*Chapter 22:19]*, and other relevant Statutory Instruments.

Basis for Qualified Opinion

(i) Maintenance of Accounting Records

Finding

I could not validate the completeness and accuracy of revenue amounting to ZWG4 688 023 disclosed in the financial statements for the year under review as receipts could not be linked to invoices issued to individual farmers. The statement of financial performance was prepared from the bank statements. This was due to non-maintenance of ledger accounts and data base of the farmers that were using water from catchments and sub-catchments. Section 35(6)(a) of the Public Finance Management Act [*Chapter 22:19*] requires the Accounting Officer to keep or cause to be kept proper records of accounting.

Risk/Implication

Misstatement of revenue disclosed in the financial statements.

Recommendation

Management should ensure that ledger accounts and a database for farmers are maintained.

Management Response

The audit observation is noted. However, the Water Fund moved to Zimbabwe National Water Authority (ZINWA) from December 17, 2024, for administration purposes. The Ministry will ensure that proper accounting records are maintained by ZINWA.

(ii) Accounts Receivable and Payable

Finding

The Fund did not disclose accounts receivable and payable in the financial statements submitted for audit. The Fund used the cash basis accounting instead of accrual basis. The cash basis does not match revenues with corresponding expenses leading to distorted financial results. Therefore, the financial statements submitted for audit were incomplete and inaccurate.

Risk/Implication

Decisions could be made on incomplete financial statements.

Recommendation

The Fund should apply the accrual accounting concept to come up with accurate financial statements.

Management Response

The audit observation is noted. However, the Water Fund was moved to Zimbabwe National Water Authority (ZINWA) from December 17, 2024, for administration purposes.

Evaluation of Management Response

Management response is noted. However, the Ministry has to address the audit issues to ensure that ZINWA has correct source documents and take on balances.

(iii) Revaluation of Motor Vehicle

Finding

The Fund had a nil carrying amount for a motor vehicle disclosed in the financial statements. There was no evidence that the Fund revalued this asset despite that the motor vehicle was still in use. Best practise requires revaluations to be made to ensure that the carrying amounts do not differ materially from that which would be determined using fair value at the end of the reporting period.

Risk/Implication

Financial statements could be misstated due to the non-valuation of the value of the motor vehicle.

Recommendation

Management should revalue the motor vehicle that has reached a netbook value of zero but remains in use, to ensure it is reflected at fair value in the financial statements.

Management Response

The audit observation is noted. However, the Water Fund was moved to Zimbabwe National Water Authority (ZINWA) from December 17, 2024, for administration purposes. The Ministry will ensure that revaluations are done by ZINWA.

1. PROGRESS IN ADDRESSING PRIOR YEAR AUDIT FINDINGS

The Fund did not make significant progress in addressing audit findings raised in my previous audit report. Out of the three (3) findings, one (1) was addressed and two (2) were not addressed as indicated below:

1.1 Maintenance of Accounting Records

The Fund continued to prepare financial statements using the bank statements instead of using ledgers. This issue was raised in paragraph (i) above.

1.2 Receivables and Payables

The issue remains unresolved, as the Fund did not disclose the trade receivables and trade payables in the financial statements.

1.3 Revenue Collection and Receipting

The issue was resolved, the Fund is now receipting all revenue due to Fund.

VOTE 9.- MINES AND MINING DEVELOPMENT

MINING INDUSTRY LOAN FUND 2024

Objective of the Fund

The objective of the Fund is to assist mining industry and promote the production of minerals, in such a manner, as the Minister of Mines and Mining Development, in conjunction with the Minister of Finance, Economic Development and Investment Promotion shall from time to time determine.

Below is a summary of Statement of Comprehensive Income and Statement of Financial Position for the year:

Statement of Comprehensive Income

Item	Amount ZWG
Income	2 118 083
Expenditure	744 221
Surplus	**1 373 862**

Statement of Financial Position

Item	Assets ZWG	Liabilities ZWG
Capital Plant Hire	-	387 185
Accumulated Fund	-	1 781 341
Non-Current	192 719	51 597 000
Current	53 598 067	25 260
Total	**53 790 786**	**53 790 786**

I have audited the financial statements of the Mining Industry Loan Fund for the year ended December 31, 2024, and I issued a qualified opinion.

Qualified Opinion

In my opinion, except for the effects of the matters described in the Basis for Qualified Opinion section of my report, the financial statements present fairly, in all material respects, the financial position of the Mining Industry Loan Fund as at December 31, 2024, and its financial performance and its cash flows for the year then ended in accordance with the Public Finance Management Act [*Chapter 22:19*] and other relevant Statutory Instruments.

Basis for Qualified Opinion

(i) Revaluation of Property, Plant and Equipment

Finding

The property, plant and equipment that was disclosed in the financial statements for the year ended December 31, 2024, had a carrying amount of ZWG192 719. Included in this carrying amount was a balance of ZWG11 for a workshop maintenance plant. The Fund did not revalue the workshop maintenance plant since its acquisition regardless of it being in working condition. This was contrary to best practice which require revaluations to be carried out.

Risk/Implication

Financial statements could be misstated.

Recommendation

Revaluations should be made with sufficient regularity so that the true value of the assets is disclosed and accounted for.

Management Response

The observation is noted. The revaluations were completed in January 2025. However, the revaluation report has not yet been certified.

(ii) Misstatement of Revenue and Inventory

Finding

The Fund sold one (1) compressor and five (5) submersible slurry pumps valued at ZWG137 465 to Zimbabwe Mining Development Corporation (ZMDC) on July 5, 2024. However, the items remained as part of inventory that was disclosed in the statement of financial position for the year ended December 31, 2024. This was contrary to best practice which requires an entity to recognise as revenue the amount of the inventory sold.

Risk/Implication

The inventory and revenue balances disclosed in the financial statements could be misstated.

Recommendation

Inventory sold to ZMDC should be removed from closing stock disclosed at the end of the year.

Management Response

Management did not respond.

Below are other issues noted during the audit:

1. GOVERNANCE ISSUE

1.1 Calculation of Cost of Goods Sold

Findings

The Fund's Statement of Profit of Loss and other Comprehensive Income reflected cost of sales amount of ZWG219 462 incurred during manufacturing of ten (10) magazine boxes, one (1) extractor, and three (3) pumps. The Fund calculated the Cost of Sales using a method which is applicable to non-manufacturing entities instead of using the manufacturing method since the Fund manufactures the products. As a result, the Fund did not take into account costs like direct labour and factory overheads which includes gas used, electricity and depreciation of machinery. This was contrary to best practice which states that the cost includes all expenses incurred in bringing the inventory to its present location and condition.

Additionally, the Fund did not avail invoices for three (3) pumps with a total cost of ZWG7 885. As a result, I could not verify the accuracy of this balance. Section 53(1) of the Public Finance Management (Treasury Instructions), 2019, requires all transactions to be accurate, complete, and adequately supported.

Risk/Implication

The financial statements may be misstated**.**

Recommendations

Management should calculate cost of sales using the method applicable to manufacturing entities.

The Fund should always keep and avail invoices for audit purposes.

Management Response

The observation is noted. The pumps were purchased over ten years ago and while the relevant invoice files have been archived, the Fund is actively working to locate them. The prices of the pumps have not changed since they were procured. Direct labor costs are excluded as all employees are paid from the Appropriation Account.

Evaluation of Management Response

The calculation of Cost of Sales using a method applicable to non-manufacturing entities gives an inaccurate cost of sales thereby understating the cost of sales figure.

2. PROGRESS IN ADDRESSING PRIOR YEAR AUDIT FINDINGS

The Fund did not make progress in addressing audit findings raised in my previous report. Out of the four (4) findings, one (1) was addressed, one (1) was partially addressed and two (2) were not addressed as indicated below:

2.1 Asset Verification

The finding was addressed as asset verification was done during the year under review.

2.2 Unbudgeted Expenditure

The findings were not addressed as there was no condonation to the unbudgeted expenditure.

2.3 Utilisation of Grants

This finding was partially addressed as part of the funds that were utilized during the year under review.

2.4 Revenue Processed outside the Public Financial Management System

The finding was not addressed as the fund continued to process revenue outside the PFMS.

SPECIAL GOLD UNIT FUND 2024

Objective of the Fund

The Fund was established in terms of the Public Finance Management Act [*Chapter 22:19*] to mobilise and manage financial, human and material resources for the purpose of curbing mineral leakages particularly gold.

Below is a summary of Statement of Comprehensive Income and Statement of Financial Position for the year ended December 31, 2024.

Statement of Comprehensive Income

Item	**Amount ZWG**
Income	1 291 344
Expenditure	1 031 518
Surplus	**259 826**

Statement of Financial Position

Item	**Assets ZWG**	**Liabilities ZWG**
Accumulated Fund	-	(233 811)
Current	187 205	421 016
Total	**187 205**	**187 205**

I have audited the financial statements of the Special Gold Unit Fund for the year ended December 31, 2024, and I issued a qualified opinion.

Qualified Opinion

In my opinion, except for the effects of the matters described in the Basis for Qualified Opinion section of my report, the financial statements present fairly, in all material respects, the financial position of the Special Gold Unit Fund as at December 31, 2024, and its financial performance and its cash flows for the year then ended in accordance with the Public Finance Management Act [*Chapter 22:19*] and other relevant Statutory Instruments.

Basis for Qualified Opinion

(i) Revaluation of Property, Plant and Equipment (PPE)

Finding

The Fund fully depreciated Property, Plant and Equipment which included two (2) boreholes and thirteen (13) motor vehicles which were still in use. No revaluation was carried out as a result the PPE had a nil balance in the Statement of Financial Position. In the absence of a revaluation, I could not place reliance on the financial statements submitted for audit.

Risk/Implication

The carrying amounts of property, plant and equipment disclosed in the financial statements could be misstated.

Recommendation

Revaluations should be carried out so that the true value of the assets is disclosed and accounted for.

Management Response

The observation is noted. The Ministry is in the process of engaging Ministry of Local Government and Public Works for professional valuation of the boreholes and CMED for the valuation of the vehicles to reflect the correct values of PPE.

Below are other issues noted during the audit:

1. REVENUE COLLECTION AND DEBT RECOVERY

1.1 Accounts Receivable

Finding

The Fund's financial statements reflected accounts receivable written off amounting to ZWG5 543 for the year ended December 31, 2024. However, the Fund did not avail evidence of the authority granted by Treasury to write off the accounts receivable. Section 50(2) of the Public Finance Management (Treasury Instructions), 2019, does not permit debts owing to the Government to be written off without prior general or specific authority of the Treasury.

Risk/Implication

Misstatement of accounts receivable disclosed in the financial statements.

Recommendation

The Fund management should seek prior authorization from Treasury before writing off debts in compliance with regulations.

Management Response

The observation is noted and the necessary documentation will be availed to auditors. The Ministry wrote to Treasury on February 17, 2025, unfortunately authority has not been received. Authority is expected soon through continuous engagement with Treasury.

Evaluation of Management Response

The management response is acknowledged. However, the Treasury authority was not availed at the time of concluding the audit in November 2025.

2. MANAGEMENT OF ASSETS

2.1 Recording of Assets

Findings

The Fund did not record polygraph equipment and scales in the asset register, although the assets were disclosed in the financial statements. In addition, ten (10) motor vehicles were listed on the

board of survey report but were not recorded on the asset registers. Sections 100(1) and 100(4) of the Public Finance Management (Treasury Instructions), 2019 require Accounting Officers to ensure all assets are recorded accurately in the appropriate manual registers and should maintain up to date asset registers.

Furthermore, there was no evidence that the asset register was being regularly checked by senior or delegated officials for completeness. The column for value of assets was omitted in the register, therefore I could not place reliance on the values disclosed in the financial statements.

Risk/Implication

Assets could be misappropriated if there is no proper maintenance of asset register.

Recommendation

The Fund should ensure that all assets are recorded in the asset register and that the register is updated and checked by senior officers.

Management Response

The observations are noted. The updating of the asset register is being done to reflect the said assets.

3. PROGRESS IN ADDRESSING PRIOR YEAR AUDIT FINDING

The Fund made progress in addressing the audit finding raised in my previous audit report. The finding was addressed as indicated below:

3.1 Wasteful Expenditure on Procurement of Fuel

The Fund did not incur wasteful expenditure on procurement of fuel during the financial year under review**.**

VOTE 10.- ENVIRONMENT, CLIMATE AND WILDLIFE

METEOROLOGICAL SERVICES FUND 2024

Objective of the Fund

The Fund was established to facilitate the provision of weather-related services and products and to undertake projects that enable the smooth running of the Meteorological Services Department operations. The Fund also provides additional funding for the importation of equipment and raw materials not available in Zimbabwe.

Below is a summary of the Statement of Comprehensive Income and Statement of Financial Position for the year 2024:

Statement of Comprehensive Income

Item	Amount ZWG
Income	15 997 805
Expenditure	15 531 255
Surplus	**466 550**

Statement of Financial Position

Item	Assets ZWG	Reserves ZWG
Non-Current Assets	221 206	-
Accumulated Fund	-	46 544 821
Current Assets	46 323 615	-
Total	**46 544 821**	**46 544 821**

I have audited the financial statements of the Meteorological Services Fund for the year ended December 31, 2024, and I have issued an adverse opinion.

Adverse Opinion

In my opinion, because of the significance of the matters discussed in the Basis for Adverse Opinion section of my report, the financial statements do not present fairly the financial position of the Meteorological Services Fund as at December 31, 2024, and its financial performance and its cash flows for the year then ended in accordance with the Public Finance Management Act [*Chapter 22:19*] and other relevant Statutory Instruments.

Basis for Adverse Opinion

(i) Inaccurate Comparative Year Amounts

Findings

My prior year opinion was modified in respect of the following matters which management in the current year had not addressed.

Depreciation expense disclosed in the statement of comprehensive income for the year 2023 of ZWG32 594 did not agree with the total depreciation disclosed in Note 5 of ZWG54 466, thereby understating depreciation amount by ZWG 21 872.

Accumulated Fund balance of ZWG23 663 776 disclosed in the statement of comprehensive income as comparative for the year 2023 was incorrectly carried forward to the statement of financial position as ZWG19 094 355, resulting in understatement of Reserves by ZWG4 569 421.

More so, cash and cash equivalents amount of ZWG11 659 446 disclosed as comparative figure in the statement of financial position for the year 2023 did not agree with the net cash and cash equivalents amount of ZWG7 505 978 in the statement of cash flows, resulting in the misstatement of the financial statements.

In addition, the comparative statement of comprehensive income for the year 2023 was incorrectly restated to ZWG. Instead of using prevailing exchange rates on the date of transaction for the purpose of converting ZWL$ to ZWG, management used a single rate of 6 104.7226, which was the rate as at December 31, 2023. This was contrary to Treasury Circular 1 of 2025 which stated that revenue and expenses for comparative amounts shall be restated to ZWG using prevailing exchange rates at the date of transaction. Treasury Circular 3 of 2025 stated that if the statement of comprehensive income was hyper inflated then they shall use the closing rate. Therefore, the comparative statement of comprehensive income was misstated.

Management adjusted the certified financial statements for the year 2023 to address the misstatements noted by audit. However, documents (journals) supporting the adjustments made to the 2023 certified financial statements were not availed to audit.

Risk/Implication

Comparative Year Amounts might have been misstated.

Recommendations

Management should accurately calculate the depreciation amount.

Management should carry forward a correct accumulated fund from the statement of comprehensive income to the statement of financial position.

Management should reconcile the closing cash and cash equivalents amount in the statement of cash flows to the cash and cash equivalents amount in the statement of financial position.

Management should restate the statement of comprehensive income according to Treasury Circular 1 of 2025.

Management should provide supporting documents to the adjustments made to the statement of financial position, statement of comprehensive income and statement of cash flows to confirm their accuracy.

Management Responses

The observation is noted.

Management acted according to what they had learnt at a training workshop in Mutare, conducted by the Treasury. The training emphasised the use of Treasury circular number 3 of 2025 in the restating process. However, management has taken note of the finding.

(ii) Misstatements of Financial Statement

Findings

The statement of financial position for the year 2024 was prepared using the US$ denominated balances only and excluded the ZWG balances for Property, Plant and Equipment (ZWG364 115),

cash and cash equivalents (ZWG31 920 938), accounts receivables (ZWG 993 768 911) and Total Reserves (ZWG24 130 326).

- On the other hand, the statement of financial position had an unreconciled variance of ZWG1 780, total assets amounted to ZWG46 544 821 while Total Reserves and Liabilities were ZWG46 543 041.
- Furthermore, the Property, Plant and Equipment balance disclosed in the statement of financial position of ZWG221 206 did not agree with the balance of ZWG585 321 disclosed on Note 5, resulting in understatement by ZWG364 115. On the other hand, ledgers were not submitted for audit to enable validation of reported balances.
- Additionally, assets totalling ZWG3 000 778 (US$116 316), acquired in 2024, were not recognised in the statement of financial position but were expensed in the statement of comprehensive income. Consequently, these assets were not depreciated resulting in further misstatements.
- The depreciation expense reported in the statement of comprehensive income for the year of ZWG4 513 did not agree with the depreciation amounts disclosed in Note 5 of ZWG22 107 and ZWG18 040 in pastel ledgers.
- A payment for security fees of ZWG81 370 for the year 2023 paid in 2024 was not recognized as a current liability in the previous year. The payment was incorrectly treated as a security expense in 2024. Also, a payment of ZWG117 453 in respect of travelling arrears for 2023 was incorrectly treated as an expense for the year 2024. No current liability was recognized in 2023, thereby misstating current year expenses.

Moreover, there was a mismatch between the debtors' totals in the ledger and total debtors on billing schedules for the year 2024. The ledger indicated an amount of US$1 634 597 and ZWG993 768 911 whilst the billing schedules indicated US$809 705 and ZWG923 325 702 leaving variances of US$824 892 and ZWG70 443 209 respectively.

The Accumulated Fund balance of ZWG24 130 326 disclosed in the statement of comprehensive income for the year 2024 was while the statement of financial position had ZWG46 543 041, resulting in overstatement of Reserves by ZWG22 412 715.

Risk/Implication

Misstatement of the statement of financial position**.**

Recommendations

Management should ensure that both US$ and ZWG balances are aggregated and disclosed in the financial statements.

Management should ensure that total assets and total liabilities amounts are correctly calculated and stated to avoid misstatements of financial statements.

Management should ensure that Property, Plant and Equipment amount is calculated correctly to avoid misstatement of financial statements.

The Management should ensure that assets acquired are properly accounted for and recognised in the financial statements and that depreciation is correctly calculated and charged.

Management should perform debtor's reconciliations between the billing schedules and the ledgers.

Management should pay due attention in preparing financial statements, ensuring that correct balances are carried forward.

Management Response

The observations is noted. Consolidation with ZWG balances is being done and errors are being corrected.

(iii) Misstatement of Statement of Cash Flows

Finding

The statement of cash flows for the year 2024 indicated a nil cash and cash equivalents balance. This did not agree with the cash and cash equivalents balances reported in the statement of financial position, disclosed in pastel ledgers nor on Note 6. The balances reported were ZWG4 153 468, ZWG36 074 405 and ZWG8 725 765 respectively. The amount in Note 6 was the same as total amount confirmed by the bank. Furthermore, the statement of cash flows for the year 2023 showed a cash and cash equivalents balance of ZWG7 505 978 which was not brought forward to 2024.

Risk/Implication

The statement of cash flows could be misstated.

Recommendation

Management should ensure that cash and cash equivalents amounts are correctly calculated and reconciled to avoid misstatement of financial statements.

Management Responses

Observation is well noted and will be rectified.

The statement of cash flows has continued to pause some inaccuracies, as the sage intelligence excel was not correctly configured by Sage Support. However, management is working on a new excel template to be installed so that this does not repeat in future.

(iv) Differences between Pastel General Ledger Balances and Financial Statements Balances

Finding

There were differences between the total balances in the pastel general ledgers and the balances disclosed in the financial statements for some of the components. These differences were not traced and reconciled resulting in the misstatement of the financial statements. The table below refers.

Differences between Pastel General Ledger and Financial Statements Balances

Component	Pastel General Ledgers ZWG	Financial Statements ZWG	Variance ZWG
Sales and Enroute Charges	491 053 658	15 466 313	475 587 345
Other Income	32 912 012	378 737	32 533 275
Total Expenses	9 406 158	9 415 463	(9 305)

Risk/Implication

Misstatement of financial statements.

Recommendation

Management should reconcile the differences between the pastel general ledgers and financial statements.

Management Response

The observation is well noted. Management is working towards addressing the variances.

(v) Differences between the Revenue Pastel Ledger and Billing Schedules

Finding

There was a difference between total revenue as per the pastel ledger and billing schedules for the year. The revenue pastel ledger which was used in the preparation of the statement of comprehensive income indicated amounts of ZWG491 053 658 whilst the billing schedules amounts were ZWG 427 542 918. Therefore, there were variances ZWG63 510 740 respectively that were not reconciled resulting in misstatement of Revenue.

Risk/Implication

Financial statements may be misstated.

Recommendation

Management should reconcile the amounts on pastel ledgers and billing schedules.

Management Response

The observation is noted. Management will reconcile the differences and make necessary adjustments in Pastel.

(vi) Debtors not Reconciling

Finding

A comparison of debtors' balance in the financial statements against the debtors' pastel ledgers showed a variance of ZWG993 768 911. The financial statements had ZWG42 170 147 while the debtor's pastel ledgers balance totaled ZWG1 035 939 058. In addition, the debtor's age analysis was not submitted for audit to confirm the accuracy and completeness of the debtors' balance. and whether provision for bad debts had been made for.

Risk/Implication

Financial statements may be misstated.

Recommendation

Management should reconcile the variance of ZWG993 768 911.

Management Response

This was due to a technical glitch in Pastel. We have engaged Sage Pastel support to assist us.

(vii) Translation of ZWL$ Amounts to ZWG

Finding

Revenue transactions totalling ZWL$508 326 256 (Sales Enroute ZWL$475 777 754 and Other Income ZWL$32 548 502) in the Pastel General Ledger for the period from January 1, 2024, to April 5, 2024, were not translated from ZWL$ to ZWG. This was contrary to Treasury Circular No. 01 of 2025, which required that revenue for the period January 1, 2024, and April 5, 2024, be translated from ZWL$ to ZWG using the cross rate prevailing at the transaction date, resulting in the misstatement of financial statements.

Risk/Implication

Financial statements may be misstated.

Recommendation

Management should translate the ZWL$ revenue to ZWG so that the Financial Statements show a true position.

Management Response

The observation is noted. Management has taken note of the finding.

(viii) Foreign Exchange Gain

Finding

There was no evidence supporting how management calculated or determined the Foreign Exchange Gains of ZWG152 755 disclosed in the statement of comprehensive Income for the year 2024. The accuracy of the amount could not be confirmed in the absence of the supporting documentation.

Risk/Implication

Financial statements may be misstated.

Recommendation

Management should provide evidence on how the exchange gains were determined.

Management Response

The observation is noted. Evidence was attached to the email showing the calculations on excel sheet, and it was also included in the notes on how exchange gain was calculated. Above all, the Sage system being used does not have any supporting document.

Evaluation of Management Response

Management response is acknowledged. However, the attachments mentioned did not show how the exchange gain was determined. The notes did not show how the exchange gain was calculated.

Below are other issues noted during the audit:

1. GOVERNANCE ISSUES

1.1 Misclassification of Expenditure

Findings

Expenditure amounting to ZWG774 330 was incorrectly classified as Communication Supplies and Services instead of being classified as Exhibitions Public Relations and Advertising (ZWG131 376), Freight and Delivery services (ZWG21 147), Office Supplies and Services (ZWG103 563), Property, Plant and Equipment (ZWG513 117) and Rental and Hire (ZWG5 127).

Furthermore, expenditure amounting to ZWG800 747 was incorrectly classified as Repairs and Maintenance instead of being classified as Catering Services (ZWG53 644), Contributions and Subscriptions (ZWG173 515), Domestic Travel (ZWG3 949), Exhibitions Public Relations and Advertising (ZWG120 066), Freight and Delivery services (ZWG3 129), Work in Progress (ZWG212 682), Property, Plant and Equipment (ZWG207 627), Rental and Hire (ZWG25 872) and Stationery Services (ZWG263).

In addition, expenditure amounting to ZWG926 944 was incorrectly classified as Office Supplies and Services for the year 2024. It was supposed to be classified as Property, Plant and Equipment (ZWG726 770) and Repairs and Maintenance (ZWG200 174).

Included in the misclassified transactions was expenditure of capital nature totalling ZWG1 447 514 and Work in Progress amounting to ZWG212 682 which were incorrectly recognised as expenses during the year.

Risk/Implication

The financial statements may be misstated.

Recommendation

Management should ensure that reversals are done to correct the misclassified transactions.

Management Response

Management acknowledges the finding and will act accordingly.

2. REVENUE COLLECTION AND DEBT RECOVERY

2.1 Increase in Outstanding Debtors

Finding

There was an increase in outstanding debtors of ZWG34 856 867. I was not provided with evidence of follow-ups or any efforts made to collect the outstanding amounts. Section 49(2) of the Public Finance Management (Treasury Instructions), 2019 requires Officers responsible for collecting debts to take adequate steps to collect any sums due to the government. The table below refers.

Increase in Outstanding Debtors

Details	Amount ZWG
Opening balance – 01 Jan 2024	7 313 280
Closing balance – 31 Dec 2024	42 170 147
Increase in Debtors	**34 856 867**

Risks/Implications

The Fund may not be able to achieve its objectives.

The outstanding amounts may become irrecoverable with time.

Recommendations

Management should engage the debtors and come up with payment plans and written follow ups should be done to remind debtors.

Management Response

The observation is noted. Management has engaged Airports Company of Zimbabwe and we agreed on a payment plan. Engagement with Civil Aviation Authority of Zimbabwe is still on going.

3. MANAGEMENT OF ASSETS

3.1 Non-Functional Instruments

Finding

A total of 161 non-working instruments identified across twenty-four (24) stations. Of these, some have been non-functional for over 20 years. There was no evidence indicating that the non-functional and obsolete instruments had been reported to the Accounting Officer. Section 109(1) of the Public Finance Management (Treasury Instructions), 2019, requires management to immediately report any damage, deficiencies or destruction of government property.

Risks/Implications

Value of Property, Plant and Equipment may be misstated.

Collection of weather data may be compromised due to inadequate and inaccurate instruments.

Recommendation

Management should ensure that all instruments that are not working are repaired and those which are obsolete are disposed of.

Management Response

The observation is acknowledged. Management will task Meteorological Services Department engineers and Information Communication Technology to assess the instruments to determine the ones that can be repaired and those that cannot be repaired and be derecognized from the Asset Register. There is a team that will go around the country when asset revaluations commence in March 2026.

However, some of the people with expertise to repair some of the instruments are now retired and were not replaced. It has been difficult to attract such expertise due to low remuneration.

3.2 Provincial Asset Registers and Inventory Lists

Findings

There were no Provincial Asset Registers for six (6) Provinces visited except for Mashonaland Central. The inventory lists/registers for twenty-four (24) stations visited were not up to date. Four (4) stations (Mvurwi, Shamva, Mt Darwin and Guruve) did not maintain an inventory list for assets. Also, at the Horticulture Research Centre in Marondera they had no record of weather equipment that was erected at their premises.

In addition, it was noted that 251 assets that were physically verified were not recorded in the Provincial Asset Registers throughout the six provinces visited. This was contrary to Section 100(1) of the Public Finance Management (Treasury Instructions), 2019, which requires Accounting Officers to promptly and accurately record all assets in registers.

Furthermore, the Fund did not record assets acquired in 2024 in the Master Asset Register. Examination of payment vouchers revealed purchases amounting to US$717 353 comprising ten (10) air conditioners, one (1) laptop, thirteen (13) electronic toolboxes, 100 electric jugs, forty (40) solar lights, and forty-seven (47) hosepipes, which were not captured in the Master Asset Register. This was contrary to the requirements of Section 100(1)(3) of the Public Finance Management (Treasury Instructions), 2019, which stipulates that all public assets, irrespective of source, must be promptly and accurately recorded in the appropriate manual registers and captured in the Sage Pastel system under the correct asset classification.

Risks/Implications

Value of Property, Plant and Equipment may be misstated.

Loss of accountability of assets procured**.**

Recommendations

The Management should maintain up to date asset registers and inventory lists in compliance with the regulations.

Management Response

The observation is noted and management will ensure Provincial registers are in place at each Province. As for excluded assets observed by audit, they will be reconciled in the final asset registers.

3.3 Deteriorated Condition of Assets and Buildings

Finding

I noted that office buildings, office furniture and staff houses at Stations visited in Matabeleland North, Midlands, Mashonaland West, Bulawayo, Manicaland, Mashonaland Central and Mashonaland East provinces were in a deteriorated state. At Guruve Station, the office had no running water, toilet facilities or electricity. At Mt Darwin Station, the office roof was damaged by termites and the windows were broken, while the staff houses had large structural cracks and leaking roofs. At Henderson Station, the officer was using one of the rooms at his staff house as

an office due to the absence of a separate office facility. Further observations revealed that at Karoi offices, the ceiling was collapsing, the building was damaged by termites and the windows were broken. Kadoma Station Offices were also in a dilapidated condition and lacked running water, ablution facilities and electricity. These circumstances existed at all Stations visited.

Refer to Pictures A–F for a sample of assets that were in deteriorated condition. The accounting officer did not physically inspect the condition of assets during the year. This was contrary to Section 105(1) and (3)(c) of the Public Finance Management (Treasury Instructions), 2019, which requires Accounting Officers to conduct physical asset counts at least twice a year and to establish the existence, status and usability of assets.

Picture A: Mt Darwin Office- Huge Cracks



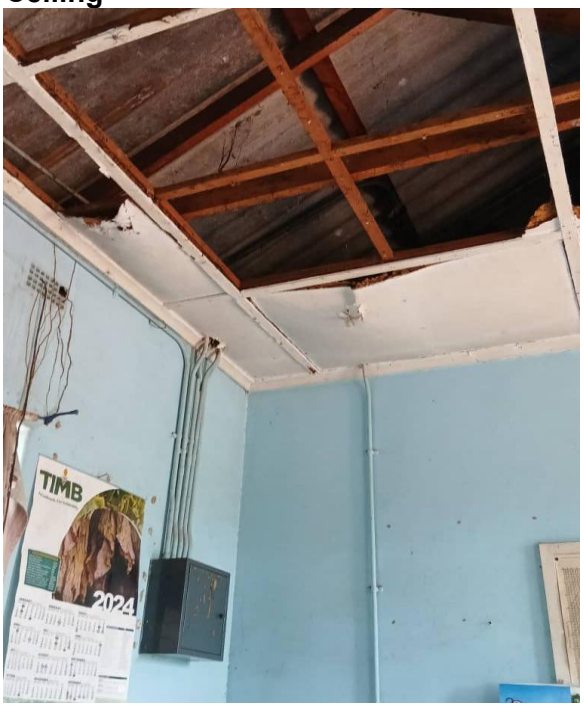
Source: Picture taken by OAG (July 23, 2025)

Picture B: Gokwe Office-Torn Chair



Source: Picture taken by OAG (October 22, 2025)

Picture C: Karoi Offices-Dilapidated Ceiling



Source: Picture taken by OAG (December 11,2025)

Picture C: Karoi Offices-Dilapidated Ceiling



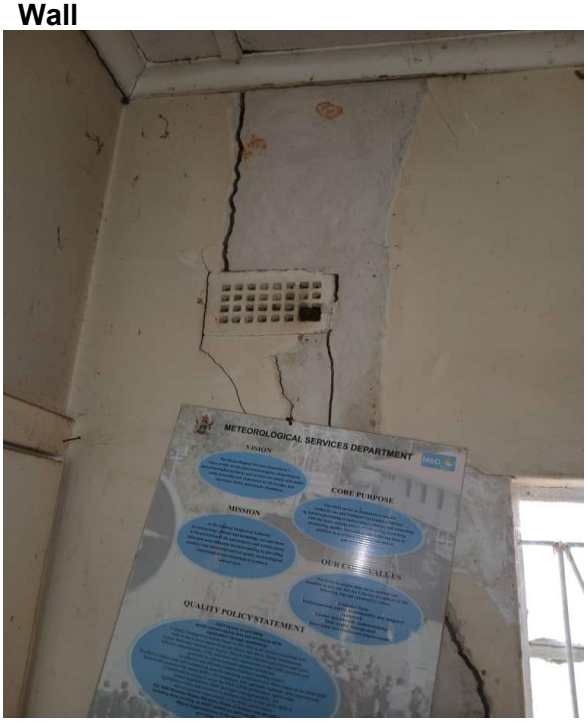
Source: Picture taken by OAG (December 10, 2025)

Picture E: Chipinge Office-Dilapidated Infrastructure



Source: Picture taken by OAG (November 26, 2025)

Picture F: Chipinge Office-Cracked Wall



Source: Picture taken by OAG (November 26, 2025)

Risk/Implication

Unsafe working and living conditions may lead to injuries to officers.

Recommendations

The Management should ensure that the offices and houses for officers are maintained or renovated to ensure that they are usable.

Management should provide ablution facilities as these are very necessary to avoid health hazards.

Management Response

The finding is noted. The Fund has been presenting budget requirements to Treasury and funds have not been availed. However, renovations will be carried out and furniture that can be repaired will be attended to accordingly and all the items that are beyond repair or costly to repair will be derecognized.

4. PROCUREMENT OF GOODS AND SERVICES

4.1 Procurement of Security and Borehole Drilling Services

Finding

Service level contracts regarding payments for security services amounting to ZWG559 630 paid to Eyes Higher Security and ZWG212 682 paid to Hardercast for borehole drillings were not availed for audit. In the absence of the contracts I could not determine the terms and conditions, the total contract values, period and payment agreements.

Risks/Implications

Disputes and conflicts may be difficult to resolve if there are no service level contracts signed.

Monitoring of performance might be a challenge.

Recommendation

Management should sign service level contracts with service providers to facilitate validation of amounts and effective monitoring of performance.

Management Response

The issue of contracts is being worked on. The Fund will align with the recommendation.

5. PROGRESS IN ADDRESSING PRIOR YEAR AUDIT FINDINGS

The Management did not make much progress in addressing audit findings raised in my previous audit report. Out of nineteen (19) findings only one (1) was addressed and eighteen (18) were not addressed as indicated below:

5.1 Non-Production of Annual Report

The issue was not addressed. Management did not produce the annual report.

5.2 Inactive Management Committee

Management did not hold the required four (4) meetings during the year.

5.3 Statement of Cash Flows

The finding was not addressed as different balances were disclosed and was raised on paragraph (iii).

5.4 Non-Production of Monthly Bank Reconciliations

The finding was not addressed as the monthly bank reconciliations were not being performed.

5.5 Foreign Exchange Gain

The issue of unsupported foreign exchange gain remained unresolved and was raised on paragraph (v).

5.6 Differences between General Ledger Balances and Financial Statements Balances

The matter remained unresolved and was raised on paragraph (ii).

5.7 Segregation of Duties in the Fuel Management Process

The matter was addressed as two (2) officers were recruited.

5.8 Meteorological Services Fund Fuel Issued to Deputy Directors and Director as Monthly Condition of Service

The issue of fuel meant for operations being used for condition of service remained unresolved.

5.9 Variances between Total Assets and Reserves and Liabilities

The matter remained outstanding as there were variances between the total assets and reserves and liabilities.

5.10 Payment of Casual Workers without Contracts

The matter remained outstanding as contracts for casual workers were not provided.

5.11 Inadequate supporting documents for airline billings

There were inadequate supporting documents for airline billings.

5.12 Differences between the Revenue Ledger and Billing Schedules

The finding was not addressed and was raised on paragraph (2.1).

5.13 Debt Repayments

The finding on debt repayments was not addressed.

5.14 Non-Availability of Enroute and Landing Fees Contract

The matter on non-Availability of Enroute and Landing Fees Contract was not addressed.

5.15 Inadequate Internal Controls in the Invoicing System

The issue on inadequate internal controls in the invoicing system was not addressed.

5.16 Increase in Outstanding Debtors

The issue was not addressed and was raised on paragraph (2.2).

5.17 Debtors not Reconciling

The issue was not addressed and was raised on paragraph (vii).

5.18 Depreciation of Assets

The issue was not addressed and was raised on paragraph (i).

5.19 Revaluation of Assets

The matter was not addressed as revaluation of assets was not done.

VOTE 11.- TRANSPORT AND INFRASTRUCTURAL DEVELOPMENT

DEPARTMENT OF ROADS FUND 2024

Objective of the Fund

The objective of the Fund is to provide financing of road development, rehabilitation and maintenance works.

Below is a summary of Statement of Comprehensive Income and Statement of Financial Position for the year.

Statement of Comprehensive Income

Item	Amount ZWG
Income	513 558 551
Expenditure	516 079 654
Deficit	**(2 521 074)**

Statement of Financial Position

Item	Assets ZWG	Liabilities ZWG
Non-Current	9 273	-
Current	2 411 783	-
Accumulated Fund		2 421 056
Total	**2 421 056**	**2 421 056**

I have audited the financial statements of the Department of Roads Fund for the year ended December 31, 2024, and I issued an adverse opinion.

Adverse Opinion

In my opinion, because of the significance of the matters discussed in the Basis for Adverse Opinion section of my report, the financial statements do not present fairly the financial position of the Department of Roads Fund as at December 31, 2024, its financial performance and its cash flows for the year then ended in accordance with Public Finance Management Act [Chapter 22:19] and other relevant Statutory Instruments.

Basis for Adverse Opinion

(i) Outstanding Payables

Finding

Outstanding wages amounting to ZWG8 387 186 and US$333 887 owed to casual workers for the period September to December 2024, were not recognised in the Statement of Comprehensive Income and disclosed as payables in the Statement of Financial Position. As a result, expenditure for the year was understated by these amounts. The omission was not in compliance with Section 156(2)(b) of the Public Finance Management (Treasury Instructions), 2019, which requires Accounting Officers to ensure that financial statements fairly present the financial affairs of the Ministry.

Risks/Implications

The liabilities could be understated and surplus overstated in the financial statement.

Financial statements may be misstated.

Recommendation

Management should record and disclose all outstanding payables in the financial statements

Management Response

Wages owing for the period September to December 31, 2024, were not reflected in the financial statement because we are still using cash basis when preparing and reporting our financial statement.

Evaluation of Management Response

The management response has confirmed that it is preparing financial statements on a cash basis, regulations explicitly mandates accrual basis accounting to be used.

(ii) Expenditure Recognition

Finding

Expenditure totaling ZWL$4 409 827 830 (ZWG 9 795 251), which relates to the 2023 financial year, was incorrectly expensed in 2024 and not disclosed as a prior period liability. This resulted in non-compliance with the accrual basis of accounting, as required by Sections 10(2), 116(5), and 142(1) of the Public Finance Management (Treasury Instructions), 2019. The misstatement led to no liabilities in the statement of financial position. Non-disclosure of liabilities compromises the transparency, reliability, and fair presentation of the financial statements.

Risk/Implication

Financial statements may be misstated.

Recommendation

Management should comply with accrual accounting by recognising liabilities in the period incurred and strengthening internal controls for timely recording.

Management Response

PFMS has no creditors module. The creditors were recorded outside the system and disclosed to Treasury and the Auditor-General under the Appropriation Account.

Evaluation of Management Response

Management response has been noted. However, the expenditure must be accounted by the Fund not under Appropriation.

1. PROCUREMENT OF GOODS AND SERVICES

1.1 Bank Charges on Rejected Payments

Finding

Payments of ZWG16 163 027 processed through Public Financial Management System (PFMS) between January and April 4, 2024, were rejected by the bank and subsequently credited back at ZWG16 135 300, leaving an unreconciled variance of ZWG27 796. However, no evidence was provided that the Ministry engaged the bank to investigate or resolve the discrepancy. This was contrary to Section 48(7) of the Public Finance Management (Treasury Instructions), 2019, which states in part that steps should be taken to communicate over rejected or dishonoured payments. Table below refers.

Rejected Payments

Date	Payee	Amount transferred ZWG	Amount rejected ZWG	Variance ZWG
23/02/2024	Munsaka M	1 305 801	1 298 851	6 949
23/02/2024	Mwareya P	8 434 499	8 427 549	6 949
20/03/2024	Joseph L	257 328	250 379	6 949
22/03/2024	Munsaka M	6 165 399	6 158 450	6 949
	Total	**16 163 027**	**16 135 229**	**27 796**

Risk/Implication

Financial statements may be misstated.

Recommendation

Management should engage the bank to investigate the cause of the variance and ensure it is fully reconciled.

Management Response

Charges were levied by the beneficiaries' banks, not the Reserve Bank of Zimbabwe. Therefore, the Ministry could not access the clients' bank statements to recover the charges.

Evaluation of Management Response

Management did not seek clarification from RBZ and relied on assumptions. There was no third-party confirmation from the beneficiaries' banks.

1.2 Payments Outside Public Financial Management System (PFMS)

Finding

From January 1, 2024, to April 4, 2024, the Fund processed expenditure amounting to ZWG452 516 096 outside the PFMS the total expenditure for the period was ZWG507 210 170. This was contrary to the provisions of Section 36(4) of the Public Finance Management (Treasury Instructions), 2019, which states that all service requests must be submitted through the PFMS and requests made outside the system will not be accepted. Therefore, bypassing this requirement constitutes an offence and is subject to penalties.

Risks/Implications

Undermines transparency, accountability, and financial control.

Funds may be misappropriated or misused.

Recommendation

All financial transactions must be processed through PFMS in accordance with regulations.

Management Response

The Ministry wrote to Treasury PFMS Projects Office requesting activation of the Fund on PFMS. Configuration is underway for the Department of Roads Fund, after which all transactions will be on PFMS.

2. PROGRESS IN ADDRESSING PRIOR YEAR AUDIT FINDINGS

The Fund did not make progress in addressing audit findings raised in my previous audit report. All the six (6) findings were not addressed as indicated below:

2.1 Expenditure Variances - Compensation of Employees

The figure of ZWL$475 207 558 (ZWG1 055 546) reported in 2023 is still outstanding as the Fund is yet to address the anomalies.

2.2 Revenue Deposits

Audit is yet to be availed with evidence whether the anomalies had been corrected, since Billboard revenue is now deposited straight to the Exchequer Account.

2.3 Non-Recording of Revenue from Billboards- Matabeleland South and Midlands Provinces

The Ministry is yet to correct the anomaly as no evidence has yet been presented to audit.

2.4 Unregistered Billboards

The Ministry is yet to avail to audit evidence on the action taken on unregistered billboards as it was yet to conduct monthly and quarterly inspections.

2.5 Wasteful Expenditure-Harare Bulawayo Road

No evidence was availed to audit to confirm completion of Harare-Bulawayo road stretching 5Km during field visits of Department of Roads Fund.

2.6 Accounts Receivable

No evidence was availed to confirm the removal of Illegal billboards, and also verify the billboard databases of the 3 provinces

VOTE 14.- HEALTH AND CHILD CARE

HEALTH SERVICES FUND 2024

Objective of the Fund

The Fund was established for the purpose of collecting and administering hospital fees to supplement the health budget, both recurrent and capital for the development and maintenance of Health Services programmes and related activities as may be approved from time to time by the Secretary responsible for Health and Child Care in consultation with Treasury.

Below is a Summary of the Statement of Comprehensive Income and Statement of Financial Position for the year:

Statement of Comprehensive Income

Item	Amount ZWG
Income	247 532 577
Expenditure	149 113 531
Surplus	**98 419 046**

Statement of Financial Position

Item	Assets ZWG	Liabilities ZWG
Accumulated Fund	-	149 197 272
Current	149 570 065	372 793
Total	**149 570 065**	**149 570 065**

I have audited the financial statements of the Health Services Fund for the year ended December 31, 2024, and I issued an adverse opinion.

Adverse Opinion

In my opinion, because of the significance of the matters discussed in the Basis for Adverse Opinion section of my report, the financial statements do not present fairly the financial position of the Health Services Fund as at December 31, 2024, its financial performance and cash flows for the year then ended in accordance with the Public Finance Management Act [*Chapter 22:19*] and other relevant Statutory Instruments.

Basis for Adverse Opinion

(i) Basis for Preparation of Financial Statements

Finding

The Fund did not comply with the accruals reporting framework in preparation of the financial statements. The financial statements were prepared on both cash and accrual accounting basis. There was no clear indication of which transactions were reported on cash or accrual basis. Section 116(5) of the Public Finance Management (Treasury Instructions), 2019 requires Fund financial statements to be prepared on an accrual basis. As a result, the financial statements could be misstated. My prior year opinion was also modified in respect of this matter.

Risk/Implication

Understandability and reliability of financial statements may be compromised.

Recommendation

The Ministry should amend its Financial and Accounting Procedures Manual for the Health Services Fund (HSF) and align it with regulations.

Management Response

The Ministry is in the process of amending the Financial and Accounting Procedures Manual of the Fund and align the reporting framework with International Public Sector Accounting Standards (IPSAS).

(ii) Financial Statements Adjustments Supporting Documentation

Finding

The Fund adjusted the financial statements, however, the supporting journals and adjustment schedules were not availed for audit. The adjustments, resulted in an increase of ZWG8 192, on the current asset balance, a decrease on the income and expenditure balance by ZWG1 108 287 and ZWG207 595 respectively. Corrections of errors were effected directly in the financial statements instead of being processed through the appropriate supporting journals. Consequently, I could not validate the accuracy of the adjustments made to the financial statements.

Risk/Implication

Unsupported adjustments may result in inaccurate financial statements.

Recommendation

Management should ensure that errors in the financial statements are corrected through relevant journals and the supporting documents should be availed for audit.

Management Response

The observation is noted. In future the Ministry will process all adjustments through journals.

(iii) Foreign Currency Exchange Gain

Finding

Computation schedules to support the exchange gain amounting to ZWG12 764 020 disclosed in the statement of comprehensive income relating to Harare Dental Centre, Stoneridge Health Centre, Government Analyst, and Port Health were not availed for audit. The exchange gain resulted from the translation of US$ and ZAR denominated income and expenditure transactions. As a result of the inadequate supporting documents, I could not confirm with certainty the accuracy of the foreign exchange gain disclosed in the financial statements.

Risk/Implication

The foreign exchange gain could be misstated.

Recommendation

Management should avail to audit the supporting computations for the foreign exchange gain.

Management Response

The observation is noted. The Ministry shared the supporting documents during the audit.

Evaluation of Management Response

The management response is noted. However, no supporting documents were shared with the audit team.

(iv) Cash and Cash Equivalents

Finding

Bank certificates were not provided to support the balance of ZWG1 481 085 out of the ZWG60 496 136 disclosed in the statement of financial position as at December 31, 2024. The Fund did not have a mechanism in place such as a register to confirm whether all the health institutions under the Health Services Fund had submitted relevant supporting documents for consolidation. As a result, the accuracy of the cash and cash equivalents could not be ascertained.

Risk/Implication

Misstatement of cash and cash equivalents balance disclosed in the financial statements.

Recommendation

Management should put in place a mechanism to enable confirmation of all cash and bank balances disclosed in the financial statements.

Management Response

The observation is noted. The Ministry now has a register in place for confirmation of submissions from health institutions.

Evaluation of Management Response

Management did not address the issue of bank certificates which were not submitted for audit.

(v) Port Health Fees

Finding

The Fund disclosed Port Health Fees amounting to ZWG37 619 462 in the financial statements which was not supported by monthly revenue returns. There was no evidence that reconciliations between bank statements and Port Health Office revenue records were performed. Therefore, the

completeness and accuracy of the Port Health fees presented in the financial statements could not be ascertained.

Risks/Implications

Revenue remitted to the Fund may be understated.

Service delivery relating to environmental health activities at the ports of entry into the country may be compromised.

Recommendations

The Ministry should ensure that reconciliations between the bank statements and Port Health Office revenue records are performed.

Port Health management should put in place a mechanism that enables monitoring and reconciliations of revenue realized against remittances received.

Management Response

Head Office: The Single Window ZIMRA system was down, therefore, the Ministry could not get the requested information. Evidence of the communication with ZIMRA has been shared with the auditors.

(vi) Direct Deposits not Receipted

Finding

The Fund disclosed deferred income amounting to ZWG173 667 under current liabilities without availing the supporting documents. In addition, audit noted that these were direct bank deposits which had not been receipted and reconciled to the trade receivables ledger. As a result of the misclassification, absence of supporting documents and reconciliations, I could not confirm the accuracy of deferred income or trade receivables disclosed in the financial statements.

Risk/Implication

The current liabilities and accounts receivables may be misstated.

Recommendations

Management should put in place a mechanism to ensure that receipting of direct deposits is done and any challenges are timely addressed.
A schedule of the services paid for but not rendered should be maintained and availed for audit

Management should revisit the classification and disclosure of the direct deposits not receipted in the financial statements.

Management Response

The observation is noted. The Ministry's direct deposits were receipted after the close of the reporting period. The Ministry is now maintaining a schedule of any service paid for but not rendered.

(vii) Maintenance of Debtors' Records

Finding

Government Analyst Laboratory and Stoneridge Health Centre did not maintain debtors' ledgers to support the accounts receivable balance of ZWG507 992 and ZWG7 894 respectively. This was due to the absence of a qualified accounting personnel at the health facilities. Due to absence of the supporting ledgers, I could not confirm the completeness of the accounts receivables disclosed in the financial statements.

Risk/Implication

Accounts receivables disclosed in the financial statements may be misstated.

Recommendation

The Ministry should lobby for the recruitment of qualified accounting personnel at the health institutions and ensure that debtors' ledgers are maintained.

Management Response

Government Analyst Laboratory: An Accounting Assistant was recently hired and debtors' ledgers are now being maintained.

Stoneridge Health Centre: Management will ensure full compliance with the Financial and Accounting Procedures Manual of the Fund on debt management.

(viii) Disclosure Notes, Age Analysis and Debtors Listing

Finding

The Fund did not provide the notes to the financial statements, the age analysis and debtors listing to support the trade and other receivables balance of ZWG89 073 929 and accounts payable of ZWG200 126. As a result, the accuracy of the figures disclosed in the financial statements could not be validated.

Risks/Implications

Receivables and payables disclosed in the financial statements could be misstated.

There could be undetected errors and fraud.

Recommendation

Management should provide disclosure notes for trade receivables and payables, and avail the age analysis and debtors listing for audit.

Management Response

Management acknowledges that the debtors and creditors listing with age analysis could not be availed at the time of audit. The records are maintained physically at health institutions and because of their volumes, they could not be shared via email. The Ministry is advocating for an automated system for debtor management.

Evaluation of Management Response

Management response is noted however, the issue of the disclosure notes was not addressed.

(ix) Expenditure not Adequately Supported

Finding

Harare Provincial Medical Director's (PMD's) office paid allowances amounting to ZWL$297 457 553 (ZWG 602 041) on January 8, 2024, to 209 City of Harare staff who participated in the cholera outbreak management exercise for three (3) months from September to December 2023. However, the activity report and the participants list availed for audit, indicated that 68 cadres had participated in the exercise. As a result, of the inadequately supported activity report, I could not confirm with certainty whether, payments had been made for services not rendered.

Risk/Implication

Payments may be made for services not rendered.

Recommendations

The variance between the number of cadres paid and the number of participants on the payment schedule should be investigated and corrected.

Management Response

Harare Metropolitan PMD's Office: The programme was entirely co-ordinated by the City of Harare.

Evaluation of Management Response

Harare Metropolitan PMD's office: Management Response is acknowledged however, the response did not address the finding.

Below are other issues noted during the audit.

1 GOVERNANCE ISSUES

1.1 Expenditure Payments

Findings

Stoneridge Health Centre procured goods valued at US$2 880 without supporting documents such as quotations, comparative schedule, invoices and procurement minutes. Therefore, I could not ascertain whether the payments made were a proper charge to the Fund.

Harare Metropolitan PMD's office made a payment of ZWG21 000 for office stationery based on a quotation of ZWG2 100 resulting in an overpayment of ZWG18 900.There was no evidence that the payment voucher was verified against the supporting invoice, quotation and purchase order to confirm accuracy prior to processing the payment. In addition, no follow ups for reimbursement were made.

Stoneridge Health Centre and Harare Dental Centre processed payments worth US$7 520 and US$2 400 respectively. There was no evidence that the payment vouchers were certified correct, certified not previously paid, date stamped and approved. This was contrary to Section 59(15)(b) and (f) of the Public Finance Management (Treasury Instructions), 2019. Management attributed the control failures to shortages of personnel in the accounts department.

Risk/Implication

Excess, duplicate and unauthorized expenditure may be processed.

Recommendations

Management should put in place supervisory mechanisms to ensure that payment vouchers are adequately supported and verified against the supporting invoice, quotation and purchase order prior to processing payments.

Management should follow up with the supplier to get a reimbursement of the excess amount paid.

The Ministry should continue lobbying for additional accounts department personnel. Where staff shortages exist, head office should provide compensatory supervision and support.

In addition, management should ensure that the payment vouchers and supporting documents are approved and certified correct before payments are made.

Management Response

Stoneridge Health Centre: Shortage in accounts personnel caused work gaps leading to errors and omissions on documents.

Harare Metropolitan PMD's Office: The absence of a dedicated procurement unit for the province contributed to inefficiencies noted. However, the province now has its own Procurement unit.

Harare Dental Centre: The payment voucher was prepared while the accountant was on leave, which is why it was not signed as well as not certified as "not previously paid." Management will ensure that such an omission does not occur in future.

1.2 Submission of Financial Statements

Finding

The Fund initially submitted the 2024 consolidated financial statements on October 1, 2025, five (5) months after the statutory deadline. Treasury Circular No. 1 of 2025 required Statutory Funds to submit financial statements for audit by April 30, 2025. Resubmissions of the financial statements were then made on January 29, 2026, and February 5, 2026, following the errors and misstatements noted during the audit. The Ministry indicated that late submission was due to financial and accounting capacity gaps in provinces.

Risks/Implications

Late submission of financial statements compromises transparency and accountability.

The Fund's internal control weaknesses might not be timely addressed.

Recommendations

The Fund's management should ensure that accounts personnel in provinces are capacitated to enable timely preparation of financial statements.

Management Response

The observation is noted. The Ministry will abide by the statutory deadline for submission of financial statements.

1.3 Segregation of Duties

Finding

Audit noted that there was no segregation of duties in the receiving and recording of sample details and the generation of invoices for clients at Government Analyst Laboratory. These functions were performed by the same individual as the health institution operated without an accountant for the year under review. Section 158(2) of the Public Finance Management (Treasury Instructions), 2019 requires an Accounting Officer to ensure that there is segregation of duties.

Risk/Implication

Omissions and errors may not be picked as the duties are performed by one person.

Recommendation

Management should continue lobbying for the recruitment of an accountant.

Management Response

Government Analyst Laboratory: Management will continue to lobby for more accounting personnel posts. One Accounting Assistant was appointed in 2025 and attended an induction workshop for three (3) weeks at Head Office.

2 PROCUREMENT OF GOODS AND SERVICES

2.1 Justification for Single Sourcing

Finding

Stoneridge health centre incurred expenditure amounting to US$2 390 on the procurement of water during the months June to November 2024 without an approved justification for direct procurement. Section 30(2) of the Public Procurement and Disposal of Public Asset Act [*Chapter 22:23*] requires a written justification for direct procurement. Consequently, I was unable to determine whether the purchases were made to the best economic advantage of the Fund.

Risk/Implication

Transparency and fairness in the procurement process may be compromised.

Recommendation

Stoneridge Health Centre management should ensure that direct procurements are supported by an approved justification in compliance with regulations.

Management Response

Stoneridge Health Centre: The direct procurement of water was necessitated by a state of emergency and the looming outbreak of diarrheal diseases. A meeting resolution authorized sourcing quotations online and purchasing from the lowest quote. Minutes of the meeting are available and were submitted to the audit.

Evaluation of Management Response

Management Response is acknowledged. However, the minutes of the meeting were not availed for audit.

3 SERVICE DELIVERY

3.1 Toxicology Sample Management

Findings

The Government Analyst Laboratory had a backlog in sample testing, dating back to 2004. As of September 2025, there were 2 504 samples relating to police investigations that had not been tested. This was due to delays in the procurement processes, which hindered equipment repairs, purchases of reagents, chemicals and equipment used in sample testing process. The delays in initiating the procurement processes in 2024, resulted in failure to procure goods and services valued at ZWG1 461 658 and US$1 150.

The laboratory did not also have functional refrigerators, compromising sample preservation. There was no evidence of a procurement request for replacements.

Furthermore, the audit noted accumulation of laboratory waste due to the absence of an incinerator for proper disposal. There was no evidence of a procurement request made for either refurbishing or constructing an incinerator.

Risk/Implication

Service delivery may be compromised.

Recommendations

Government Analyst Laboratory management should expedite the initiation of procurement processes for reagents and equipment repairs.

Management should prepare and submit to Head office plans and requests to procure refrigerators, refurbish the laboratory and the incinerator.

Management Response

Government Analyst Laboratory: The huge toxicology sample backlog was due to machine breakdown and unavailability of reagents. The laboratory tries its best under the

circumstances to handle the increasing sample backlog and hazardous waste accumulation.

The waste is only disposable by incineration at Sally Mugabe and Parirenyatwa group of hospitals. Unfortunately, the incinerators are not working or overwhelmed. Due to limited space, management intends to include biobanks in the 2026 procurement plan to ensure samples and waste are stored in an orderly manner and the integrity of samples maintained as best as can be.

4 PROGRESS IN ADDRESSING PRIOR YEAR AUDIT FINDINGS

The Fund did not make much progress in addressing prior year findings. Out of the seventeen (17) findings, four (4) were partially addressed, and thirteen (13) were not addressed, as indicated below.

4.1 Basis for Preparation of Financial Statements

The Fund continued to account for transactions using both the cash and accrual basis. The issue was raised again in paragraph (i) above.

4.2 Bank Balance

The issue of inadequate bank certificates to support the bank balance remained unresolved. The issue was raised again in paragraph (ii) above.

4.3 Other Income

The Fund did not avail computation schedules to support the exchange gain amount reported in the financial statements. The matter was raised again in paragraph (iv) above.

4.4 Variances Between Consolidated and Provincial Financial Statements Figures

The issue of variances between the consolidated financial statements and provincial financial statements remained unresolved. In addition, the variance between the income figures reported in the financial statements and the receipts issued by the Government Analyst Laboratory (GAL) remained unreconciled.

4.5 Cash Withdrawals and Unsupported Expenditure

The matter relating to cash withdrawals at Gweru Provincial Hospital was partially addressed as disciplinary hearings were conducted and accountants reshuffled. However, evidence to support how the cash withdrawals of US$4 704 were utilised remained outstanding.

4.6 Under Banking

The issue under banking was partially addressed as investigations were conducted. However, recovery of the under banked amount of US$38 551 was not done.

4.7 Unearned Revenue

Supporting evidence for unearned revenue reported in the financial statements was not availed. The issue was raised again in paragraph (vi) above.

4.8 Bank Reconciliations

The Ministry did not provide evidence to support that the issue of late receipting of revenue collected through Point of Sale, Ecocash and direct bank deposits was addressed at Chinhoyi Provincial Hospital had been addressed.

4.9 Segregation of Duties

The issue of segregation of duties was partially addressed. Harare PMD's Office and Stoneridge Health Centre now have Accounting Assistants to allow for segregation of duties.

4.10 Submission of Financial Statements for Audit

The issue of late submission of financial statements for audit remain unresolved. The issue was raised again on paragraph (1.2) above.

4.11 Travelling and Subsistence (T&S)

Treasury concurrence, cabinet authority and acquittals for T&S of US$1 936 for travel to South Africa to procure medical equipment were not availed for audit.

4.12 Misappropriation of Funds and Delayed Banking

The issue of delays in banking of cash was partially addressed at Government Analyst Laboratory, Harare Dental Centre and Stoneridge Health Centre. However, management did not provide evidence that delays in banking of cash at Bulawayo Dental Centre, Cowdray Park Health Centre, Esigodini and Silobela District Hospitals were addressed.

4.13 Price Variation

The justification and approval of the price variation of the autoclave machine procured at Gweru Provincial Hospital was not availed for audit. The issue remained unresolved.

4.14 Expenditure not Adequately Supported

The issue of inadequately supported expenditure was not addressed. The issue was raised in paragraph (ix) above.

4.15 Fuel Management

The Ministry did not provide evidence that fuel registers and requisitions are now being properly maintained at Mashonaland East and West PMD's Office, Chinhoyi and Marondera Provincial, Kadoma General, Murewa, Esigodini and Silobela District Hospitals.

4.16 Stock Management

The investigation into the destruction of the stock cards and their replacement at Esigodini District Hospital remained unresolved.

4.17 Health Equipment

The issue of Health equipment at Harare Dental and Government Analyst was partially addressed; GAL received an air conditioner while Bulawayo Dental Centre received dental chairs.

VOTE 15.- PRIMARY AND SECONDARY EDUCATION

INDEPENDENT COLLEGES GUARANTEE FUND 2024

Objective of the Fund

The Fund was established to provide funds to defray any expenses that may be incurred by the Secretary in ensuring that acceptable standards of Education are maintained in all the registered Independent Colleges and to refund wholly or partially to students any fees paid in the event of failure by colleges for whatever reasons to meet their obligations.

Below is a summary of the Statement of Comprehensive Income and Statement of Financial Position for the year 2024:

Statement of Comprehensive Income

Item	**Amount ZWG**
Income	21 871 978
Expenditure	3 829
Surplus	**21 868 149**

Statement of Financial Position

Item	**Assets ZWG**	**Liabilities ZWG**
Accumulated Fund	-	21 868 149
Current	22 778 739	910 590
Total	**22 778 739**	**22 778 739**

I have audited the financial statements of the Independent Colleges Guarantee Fund for the year ended December 31, 2024, and I issued an unmodified opinion.

Opinion

In my opinion, the financial statements present fairly, in all material respects, the financial position of the Independent Colleges Guarantee Fund as at December 31, 2024, and its financial performance and its cash flows for the year then ended in accordance with the Public Finance Management Act [*Chapter 22:19*] and other relevant Statutory Instruments.

Below are issues noted during the audit:

1. GOVERNANCE ISSUES

1.1 Registration of Colleges

Findings

Out of twenty-three (23) Independent Colleges selected for validation of registration and approval, eight (8) did not avail for audit registration and health certificates as well as the College's Constitution, although they were operating. Section 43(1) of the Education Act [*Chapter 25:04*] requires any person who wishes to establish, operate or maintain any correspondence college to be registered.

Furthermore, twelve (12) independent colleges had registration certificates however, the colleges were not recorded in the Ministry's register of approved independent colleges. There was no evidence of regular monitoring of independent colleges operations and updating the registration register. As a result, I could not confirm with certainty the completeness of the independent colleges' registers and revenue collected.

Risks/Implications

Unregistered colleges may operate resulting in compromised quality of education being delivered.

Revenue due to the Fund may be understated due to incomplete registers.

Recommendations

The Ministry should put in place an effective monitoring system to ensure that operating independent colleges are registered and meet the health services requirements.

Management should regularly monitor the operations of independent colleges to facilitate updating the registration register and ensure its completeness.

Management Response

The observation is noted. Management will continue to focus on ensuring full compliance across all independent colleges. The Ministry will investigate the specific cases of delayed registration, for Reekworth School, Fair Chance Preschool, Granbliss ECD Center, and Rosewood School and will also expedite the review process for these institutions to resolve their outstanding applications.

Efforts will be intensified to identify and engage with unregistered institutions. The goal is to ensure compliance with the legal requirement to apply for and obtain a registration certificate before operating.

The Ministry remains committed to ensure that all independent colleges are properly registered, which in turn safeguards the quality of education and ensures all income due to the Fund is realized.

2. REVENUE COLLECTION AND DEBT RECOVERY

2.1 Payment of Annual Registration Fees

Finding

The Ministry did not recognise in the ledgers and financial statements accounts receivable amounting to ZWG144 510 in respect of annual registration fees for seven (7) Independent Colleges audited in Harare for the year under review. As a result of the omission, I could not confirm with certainty the accuracy and completeness of the Accounts receivable disclosed in the financial statements.

Risk/Implication

Misstatement of account receivable disclosed in the financial statements.

Recommendation

Management should carry out an independent college debtor's circularization exercise, maintain updated receivable ledgers and disclose accurate information in the financial statements.

Management Response

The Ministry is actively taking the following steps to address this matter:

- **Communication and Awareness: The Ministry is in the process of enhancing communication with all independent colleges to ensure that they are fully aware of their obligations under the Education (Correspondence and Independent Colleges) (Amendment) Regulations, 2025 (No.1), particularly concerning both application and annual registration fees. The Ministry will distribute a circular to Independent Colleges outlining the fee structure and payment deadlines.**
- **Debt Recovery: The Ministry has initiated efforts to recover the outstanding fees from the colleges identified as non-compliant. The Ministry is issuing formal letters of demand and will follow up through direct engagement to secure the payments.**
- **Improved Record-Keeping: The Ministry is reviewing the internal processes to ensure that all payments are accurately recorded and reconciled in a timely manner, thereby providing a more precise and up-to-date representation of our financial position.**
- **The Ministry is committed to rectifying these issues and ensuring that all revenue due to the Fund is collected and properly accounted for.**

2.2 Annual Guarantee Fund Fees

Findings

The Ministry was not following up on the payment of the Annual Guarantee Fund fees by Independent Colleges contrary to Section 12(1) of Statutory Instrument 371 of 1998.

Furthermore, the Annual Guarantee Fund Fees were said to have been last reviewed in 1998. I could not therefore quantify the amount due because of the non-availability of the reviewed schedule of charges which were then in ZWL.

Risk/Implication

The Ministry may fail to refund wholly or partially to students any fees paid in the event of failure by the colleges to meet their obligations.

Recommendation

The Ministry should review the annual guarantee fees and follow on payment by the independent colleges.

Management Response

The Ministry acknowledges the audit finding regarding the non-payment of Annual Guarantee Fund fees by some independent colleges. Management recognizes the importance of this income for the Fund's operations and agrees with the recommendation to ensure timely payments.

Management is committed to ensuring compliance with Section 12(1) of Statutory Instrument 371 of 1998. The approach includes:

- **Follow up will be made with Treasury for the approval of revised Guaranteed Fund fees.**
- **Spot Checks: The Ministry has initiated regular spot checks on colleges to verify their compliance with registration and fee payment requirements.**

- **Follow-Ups: The Ministry is actively conducting follow-ups with defaulting colleges to remind them of their financial obligations and to recover outstanding fees.**
- **Awareness campaigns: The Ministry is flighting adverts.**

These proactive measures are designed to ensure that the Fund's income is realized as per the regulations, thereby guaranteeing the completeness and accuracy of the financial statements. The Ministry is dedicated to enforcing these regulations to strengthen the financial position of the Independent Colleges Guarantee Fund.

SCHOOL SERVICES FUND 2024

Objective of the Fund

The Fund was established for the purpose of facilitating the provision of quality education by providing resources for procurement of learning and teaching materials and to finance other school services and related activities which may be approved by the Secretary in consultation with Treasury.

Below is a Summary of the Statement of Comprehensive Income and Statement of Financial Position for the year.

Statement of Comprehensive Income

Item	Amount ZWG
Income	1 125 720 139
Expenditure	779 103 058
Surplus	**346 617 081**

Statement of Financial Position

Item	Assets ZWG	Liabilities ZWG
Non-Current	30 603 591	-
Accumulated Fund	-	354 221 498
Current	508 455 799	184 837 892
Total	**539 059 390**	**539 059 390**

I have audited the financial statements of the School Services Fund for the year ended December 31, 2024, and I issued an adverse opinion.

In my opinion, because of the significance of the matters discussed in the Basis for Adverse Opinion section of my report, the financial statements do not present fairly the financial position of the School Services Fund as at December 31, 2024, its financial performance and its cash flows for the year then ended in accordance with the Public Finance Management Act [*Chapter 22:19*] and other relevant Statutory Instruments.

Basis for Adverse Opinion

(i) Maintenance of Accounting Records

Finding

Out of ten (10) schools audited in Harare, six (6) did not maintain ledger accounts for income, expenses, assets and accounts payables during the year ended December 31, 2024. This was due to inadequate review of documents and outdated financial reporting guidance material. In the absence of ledgers. I could not verify the accuracy and completeness of income of ZWG36 205 132, expenditure of ZWG29 943 338, assets of ZWG11 024 861 and liabilities of ZWG4 989 752 relating to the six (6) schools.

Risk/Implication

The financial statements could be misstated.

Recommendations

The school authorities should put supervisory mechanisms in place to ensure that ledger accounts are maintained.

The Fund should update the financial reporting guidance material to enable school authorities to maintain the required ledgers.

Management Response

Head Office: The observation is noted. However, the Fund's constitution requires primary books of accounts such as the cashbook and the petty cashbook, to be properly maintained. Therefore, schools maintained a single-entry system, where transactions were recorded straight from the source documents into the cashbook and into the petty cashbook. School heads were monitoring existence and proper maintenance of these books and records on monthly basis.

Plans to acquire a computerized accounting system (package) by the Ministry as well as alignment of the current Fund constitution with the Public Finance Management Act [*Chapter 22:19*] will help in addressing the anomaly.

Selbourne Routledge Primary School: The observation is noted. The installation of Cat-Vision accounting system will enable us to maintain the ledgers. The ledgers are going to be in place by December 31, 2025.

Girls High School: The observation is noted. The school is going to improve the use of ledgers.

Greystone Park Primary School: The observation is noted. Ledger accounts will be maintained for the year ending December 31, 2025, to bring out an audit trail for all transactions.

Houghton Park Primary School: The observation is noted. The school management will supervise and monitor the work of the SSF accountant.

Widdecombe Primary School: The observation is noted. Management will enhance supervision and monitoring of the work of the SSF accountant.

Prince Edward High School: The observation is noted. The school will introduce the use of ledger accounts.

(ii) Submission of Financial Statements and Supporting Documents

Findings

Management did not avail the schools' register to enable confirmation of whether all the 507 schools under the School Services Fund had submitted financial statements and relevant supporting evidence. Among the schools audited, Courtney Selous Primary School did not prepare and submit its financial statements for the year ended December 31, 2024. Consequently, I could not confirm the completeness and accuracy of the financial statements submitted for audit**.**

Risk/Implication

Lack of accountability as some schools may not have prepared and submitted their financial statements.

Recommendation

Management should maintain an updated school's register to help in determining the schools that have submitted financial statements for consolidation and make follow ups with those that would not have submitted.

Management Response

Courtney Selous Primary School: The audit findings are noted. The school did not have an Accountant to assist with the preparation of financial statements. The school administration will seek guidance from the District Schools Inspector to assist in the recruitment of the accountant.

Head Office: The school was assisted by an accountant from the Provincial Office who updated the cashbooks and prepared the school's 2024 financial statements. These were consolidated at district, provincial and national level. It is unfortunate that at the time of audit the substantive head, deputy head and government accountant were not at the station. The financial statements have now been submitted for audit.

Evaluation of Management Response

Management response is noted. However, the issue of the schools' register was not addressed. The submitted financial statements omitted transactions for the period January 1, 2024, to April 30, 2024, as the school did not have a cashbook in place.

(iii) Cash and Cash Equivalents

Findings

There was a variance of ZWG21 126 491 between the cash and cash equivalents balance of ZWG137 810 110 disclosed in the statement of financial position and the statement of cash flows balance of ZWG158 937 051. No reconciliation and explanatory notes were provided for the variance. As a result of the variance, the accuracy of the cash and cash equivalents balance disclosed in the financial statements could not be ascertained.

In addition, the Ministry did not avail for audit, supporting documents such as bank statements and certificates of bank balances to enable validation of the cash and cash equivalents balance of ZWG137 810 110 disclosed in the financial statements. Due to the absence of the supporting documents, the cash at bank balance disclosed in the financial statements could not be validated.

Risk/Implication

Misstatement of cash and cash equivalents balance disclosed in the financial statements.

Recommendations

Management should investigate and correct the variance.

Management should ensure that bank statements are obtained and submitted for audit.

Management Response

Head Office: The Ministry has formally engaged a local University to develop a comprehensive School Management Information System (SMIS). The Ministry is confident that this digital solution will address the current operational challenges and streamline administrative efficiency.

(iv) Property, Plant and Equipment

Findings

The 2024 Property, Plant and Equipment opening balance of ZWG33 034 523 disclosed in the Notes to the financial statements differed from the 2023 closing balance of ZWG1 020 164 resulting in a variance ZWG32 014 359.

In addition, the 2024 opening and 2023 closing depreciation balance had a variance of ZWG7 249 773. As a result, the accuracy of the Property, Plant and Equipment balance of ZWG30 603 591 disclosed in the statement of financial position could not be ascertained.

Risk/Implication

The financial statements could be misstated**.**

Recommendation

Management should investigate and correct the variances.

Management Response

Head Office: A reconciliation which addresses the variances has now been prepared.

Evaluation of Management Response

Management response is noted, however, the reconciliation was not availed for audit.

(v) Prior Year Error Adjustment

Finding

The 2024 financial statements reflected a prior year error adjustment of ZWG3 637 656, however, the journal entries and supporting documentation giving rise to this adjustment was not availed for audit. Therefore, accuracy and validity of the prior year error adjustment could not be confirmed.

Risk/Implication

The prior year error adjustment could be incorrect resulting in misstated financial statements.

Recommendation

The Ministry should provide breakdowns and journal entries to support the prior year adjustment.

Management Response

Management did not respond.

(vi) Translation of Foreign Currency Denominated Transactions

Finding

Seven (7) schools converted revenue amounting to US$1 591 372 to ZWG41 055 016 and expenses of US$1 306 571 to ZWG33 707 576 using the closing rate instead of the spot rate at the date of transaction or an average rate. Use of the closing rate was inconsistent with Treasury Circular No. 1 of 2025 (Guidance on translating transactions to the Zimbabwe Gold). The schools sighted lack of guidance and expertise to convert the transactions. As a result, I could not confirm the accuracy of the income and expenditure disclosed in the financial statements.

Risk/Implication

Use of incorrect foreign exchange rates could result in misstated revenue and expenditure.

Recommendation

The Ministry should distribute and communicate the Treasury Circulars to preparers of financial statements in schools. In addition, correct guidance should be provided to schools on the translation of foreign currency transactions to local currency.

Management Response

Head office: The observation is noted. To address this, the Ministry is proactively engaging the Public Service Commission to recruit qualified personnel and has partnered with a local university to develop an automated School Management Information System. This digital solution will standardize currency translation and eliminate manual errors. All affected institutions will be directed to retrospectively correct their financial records from January 1, 2025, to ensure full compliance with regulations and financial integrity.

Harare High School: The observation is noted. The school will convert amounts in foreign currency using the exchange rate at transaction dates in compliance with regulations.

David Livingstone Primary School: The observation is noted. The school had no professional accountant during the period under review. Lack of expertise resulted in the conversion variances observed. The anomalies will be corrected to reflect the correct figures.

Girls High School: The observation is noted. The district accountant instructed us to use a closing rate of 25.08.

Greystone Primary School: The findings are noted. Official standpoint on Treasury Circular No. 1 of 2025 was not initially spelt out when translating transactions. This resulted in the use of incorrect rates.

Houghton Park and Widdecombe Primary Schools: The school management will ensure that foreign currency is translated into Zimbabwe Gold (ZWG) in accordance with regulations.

Prince Edward High School: The observation is noted. The school will start using the spot rate on all expenditure with effect from September 1, 2025.

Evaluation of Management Response

Girls High School: The management response is noted, however, the instruction from the district accountant to use the closing rate of 25.08 was not availed for audit.

Prince Edward High School: The management response is noted. However, use of spot rate should be back dated to January 1, 2025, instead of September 1, 2025, to ensure accuracy of transactions recorded.

(vii) Inadequately Supported Expenditure

Findings

Houghton Park and Courtney Selous Primary Schools incurred expenditure amounting to US$46 833 and US$2 811 respectively without supporting documents such as requisitions, competitive quotations, invoices, payment vouchers, receipts and goods received notes. As a result, I could not validate whether expenditure incurred and disclosed in the financial statements was a proper charge to public funds.

In addition, David Livingstone Primary School had a variance of ZWG578 173 between the expenditure of ZWG1 087 980 disclosed in the financial statements and the amount of ZWG1 666 153 recorded in the Pastel cashbook. Therefore, the accuracy of the expenditure figure disclosed in the financial statements could not be ascertained.

Risk/Implication

Misstatement of expenditure disclosed in the financial statements.

Recommendations

The school authorities should ensure that supporting documents are attached to payment vouchers before they are passed for payment.

David Livingstone Primary School should investigate and correct the variance between the figure disclosed in the financial statements and the cash book balance.

Management Response

Head Office: The observation is noted. The inadequately supported expenditure was because of lack of professional accounting personnel and manual record-keeping in schools. The Ministry will continue to mandate all schools to strictly adhere to procurement regulations. Furthermore, the Ministry will formally request an internal investigation into these specific discrepancies.

Houghton Park Primary School: The school authorities have already started monitoring the procurement process to ensure that it complies with regulations.

Courtney Selous Primary School: The audit findings are noted. The school management will comply and attach all the required documents to ensure compliance.

David Livingstone Primary School: The observation is noted. The school had no professional accountant during the period under review, and the pastel input was a challenge. Filed payment vouchers will be retrieved to account for all expenditure. Monthly reconciliations will be introduced and reviewed by the Head/Finance. The reconciliations will be completed by September 30, 2025.

(viii) Disclosure of Assets in the Financial Statements

Finding

David Livingstone Primary School had three (3) buses, one (1) motor vehicle, ninety (90) desktops and sixty-five (65) laptops which were not disclosed in the financial statements. Additionally, depreciation was not calculated for these assets. Due to the omission, the value of the assets disclosed in the financial statements could be incorrect.

Risk/Implication

Incorrect valuation of assets and misstatement of financial statements.

Recommendation

School authorities should seek technical assistance to ensure that all assets are disclosed in the Statement of Financial Position and depreciation calculated for the assets.

Management Response

David Livingstone Primary School: The observation is noted. Technical support will be sought to capacitate responsible officers and to ensure correct disclosures in the financial statements.

(ix) Direct Deposits not Receipted

Finding

Direct deposits amounting to ZWG15 045 568 received during the year under review were not receipted and reconciled to the trade receivables ledgers. This was due to absence of personal details to enable the schools to receipt the money and clear any outstanding fees. As a result, the accuracy of the trade receivables balance of ZWG370 354 164 disclosed in the financial statements could not be verified with certainty.

Risk/Implication

The trade receivables may be misstated.

Recommendation

The school authorities should engage parents with outstanding fees to submit proof of payments with full details to enable bank and trade receivable reconciliations to be carried out effectively.

Management Response

Head office: The observation is noted. To proactively address this, school authorities will be directed to engage parents to submit proof of payments to enable effective reconciliation. The Ministry continues to advocate for a broader banking industry solution where systems are upgraded to reject any transfer that does not include mandatory sender details.

Below are other issues noted during the audit:

1. GOVERNANCE ISSUES

1.1 Cash Book Maintenance

Finding

Courtney Selous Primary School did not update its manual cash book for the period January 03 to April 30, 2024. The school indicated that this was due to absence of a bursar. As a result, there was no reliable primary record of daily cash transactions during this period. Section 35(6)(a) of the Public Finance Management (Treasury Instructions), 2019 requires every accounting officer to keep or to cause to be kept proper records of account.

Risk/Implication

Loss of transparency and accountability for revenue collected and expenditure incurred.

Recommendations

The school authorities should engage the Ministry for the appointment of a Government Bursar and ensure that all essential accounting records, including cash books, are maintained.

Management Response

The audit findings are noted. However, the school recently employed a new bursar, and the school will make sure the books of account are updated.

1.2 Qualified Accounting Personnel Vacancy Return

Finding

As reported in my previous reports, the Ministry did not have in place a return reflecting the status of vacancies for qualified accounts personnel in schools. I could therefore not validate whether all SSF accounts departments were being manned by qualified personnel or determine the vacancy rate.

Risk/Implication

The Ministry may not be able to fill critical vacant positions.

Recommendation

The Ministry should maintain a vacancy return for qualified accountants and request for the filling of vacant positions.

Management Response

The Ministry has now submitted the current staff establishment table, which provides a detailed comparison of the authorized staff complement and personnel employed. This data underscores the need to urgently recruitment personnel to bridge the existing gaps.

Evaluation of Management Response

Management response is noted, however; the staff establishment table was not submitted for audit.

2. REVENUE COLLECTION AND DEBT RECOVERY

2.1 Segregation of duties

Findings

There was no evidence of segregation of duties at Prince Edward High School as the Government accountant was responsible for master receipting, banking and reconciliations. Section 46(11) of the Public Finance Management (Treasury Instructions), 2019 requires the segregation of duties for revenue receivers.

The Master receipt book for Houghton Park Primary School was not reviewed by an independent official to ensure accuracy. There was no evidence that a system was in place to facilitate proper management of public funds contrary to Section 42(1) of the Public Finance Management (Treasury Instructions), 2019.

Risk/Implication

Errors and misstatements may remain undetected if one officer performs multiple tasks.

Recommendation

The schools should put in place a system that promotes segregation of duties in revenue management and collection.

Management Response

Prince Edward High School: The findings are noted. The recommendation is going to be implemented with immediate effect.

Houghton Park Primary School: The observation is acknowledged. The head and deputy head have started mastering of receipts.

2.2 Maintenance of Security Items Register – Receipt Books

Findings

At the time of audit on August 14, 2025, Prince Edward High School had eight (8) SSF receipt books with serial numbers 420001- 420800 which were recorded in the security items register for School Development Committee (SDC) instead of the SSF record book. Furthermore, the security items register did not show the date opened, date closed and the person to whom the receipt book was issued

In addition, the SSF receipt books were not recorded and issued sequentially as the receipts issued in 2023 were recorded in between 2024 receipt books. Section 5.3.3 of the School Services Fund Accounting Procedures Manual requires security books to be recorded and issued sequentially.

Courtney Selous Primary School did not avail receipt books for the period January 1, 2024, to April 2024 for audit. The school did not maintain security items register. As a result, I could not verify the completeness and accuracy of fees and other revenue collected during this period. Section 22 of the Public Finance Management (Treasury Instructions), 2019 requires all receipts to be retained for subsequent audit.

Risk/Implication

Lack of transparency and accountability in revenue collection.

Recommendations

Prince Edward High School should record the receipt books in the appropriate security items register.

Courtney Selous Primary school authorities should avail the missing receipt books for audit.

Management Response

Prince Edward High School: The observation is noted. The school has opened new security items register. The register will be in place by August 25, 2025.

Courtney Selous Primary School: The audit findings are noted. The school administration will try to establish the whereabouts of the missing receipt books.

Head office: The receipt books for Courtney Selous Primary School are now available.

Evaluation of Management Response

Management response is noted, however, as at February 24, 2026, the school indicated the receipt books had not yet been located and as such were not availed for audit examination.

2.3 Prepaid School Fees

Findings

In December 2023 Queen Elizabeth Girls High School received ZWG8 329 school fees in advance for the 2024 first academic term. However, the school did not disclose these funds as deferred revenue and earned revenue in the 2023 and 2024 financial statements respectively. This was contrary to the requirements of Section 11(2) of the Public Finance Management (Treasury Instructions), 2019 which provides for recognition of revenue when it is earned.

There was no evidence that the school maintained a deferred revenue account to reflect the liability of unearned income to facilitate proper disclosure and classification of revenue received.

Risk/implication

Misstatement of revenue disclosed in the financial statements.

Recommendation

Queen Elizabeth High school should establish a deferred revenue account to record school fees received in advance for future periods.

Management Response

The observation is noted. The school will consult the district and provincial office on the regularities needed to create such.

3. MANAGEMENT OF ASSETS

3.1 Assets not Accounted For

Findings

Widdecombe Primary School had five (5) Central Processing Units (CPUs), a projector and two (2) Laptops valued at US$2 200 which were reported missing at Hatfield Police Station in February 2024. However, at the time of audit on September 17, 2025, there was no evidence that the school made follow ups on the investigation with the police to determine the circumstances around the incidences.

Furthermore, Queen Elizabeth High School did not avail for audit an HP laptop serial number CND1345V4X. The officers responsible indicated that the laptop went missing in the school laboratory in June 2024. There was no evidence that the school reported the matter to the police and that investigations were carried out. Section 109 of the Public Finance Management Act, (Treasury Instructions), 2019 requires the head of office to report any deficiency to Government property.

Courtney Selous Primary School did not avail a HP laptop for audit. The laptop was one of the 20 laptops which were donated to the school and had not been recorded in the register. Adequate documentation supporting the donation was not availed for review, making it difficult to trace the specific serial number of the missing laptop. There was no evidence that the school had reported the loss to the police or initiated any investigations to recover the asset.

Risk/Implication

Assets may not be recovered if proper procedures when a loss occur are not timeously followed.

Recommendations

Widdecombe Primary School should follow up with the police to establish the progress made regarding the investigations.

Courtney Selous Primary School and Queen Elizabeth Girls School should report the missing assets to the police.

Management Response

Widdecombe Primary School: The observation is noted. The school authorities will make a follow up with the police.

Queen Elizabeth Girls High School: The school will report the loss of the laptop to the police.

Courtney Selous Primary School: The audit finding is noted. The authorities will make a follow up with the head, Deputy Head and bursar to establish what really happened to the missing laptop. The school is also going to write a report and submit it to the responsible authority through the District School Instructor.

3.2 Asset Registers

Findings

Audit noted that four (4) schools did not maintain or update asset registers contrary to Section 100 (4) of the Public Finance Management (Treasury Instructions), 2019. This was due to the absence of administration officers responsible for maintenance of asset registers. As a result, I could not confirm with certainty the existence of the school assets and completeness of the assets register. The table below refers.

List of Schools with Asset Registers not Properly Maintained

No.	School	Deficiency
1	Courtney Selous Primary School	The school did not have a Master asset register, motor vehicle and maintenance register.
2	David Livingstone Primary School	The school did not have motor vehicle and motor vehicle maintenance register.
3	Prince Edward High School	Did not have departmental asset registers.
4	Selbourne Routledge Primary School	A senior person was not reviewing or verifying the accuracy of the Master asset register to ensure that the assets existed.

Widdecombe Primary School had forty (40) desktop computers and six (6) Television sets which were recorded as a single entry in the asset register instead of logging each asset separately with its unique serial number. In addition, David Livingstone and Widdecombe Primary schools had eighty (80) computer sets and two (2) Samsung Galaxy tablets (serial numbers R9TX10CNCYW and R9TX10CNEOZ) respectively, which were not recorded in the asset register. There was no evidence that the asset registers were reviewed by an independent official to ensure completeness.

Risk/Implication

Assets may be lost without trace, misappropriated or converted to personal use.

Recommendations

The schools should engage the Ministry's Head office for the appointment of administration officers responsible for establishing and maintaining accurate asset registers.

An independent senior person should review the asset registers at least twice a year to ensure that they are updated and serial numbers are captured for each asset.

Management Response

Courtney Selous Primary School: The audit observation is noted. The asset register will be given the most appropriate attention to safeguard public resources and for easy accountability.

David Livingstone Primary School: The observation is noted. The school has a Master asset register. Comprehensive registers for motor vehicles maintenance, Departmental Asset and Donations have now been introduced, and these will be reviewed monthly.

Houghton Park Primary School: The observation has been noted. The asset register will be updated, and all assets are going to be recorded individually.

Prince Edward High School*:* The observation is noted. The school is working on Departmental Asset Registers, which should be in place and up to date by October 31, 2025.

Selbourne Routledge Primary School: Going forward, senior management will ensure that all required registers are maintained and regularly reviewed.

Evaluation of Management Response

The *David Livingstone management response is noted. However, the motor vehicle and motor vehicle maintenance registers were not produced at the time of audit and are still to be availed.*

3.3 Physical Asset Count

Finding

There was no evidence that Courtney Selous, David Livingstone Primary Schools and Queen Elizabeth and Girls High Schools conducted physical asset counts during the year ended December 31, 2024. Section 105(1) of the Public Finance Management (Treasury Instructions), 2019 requires Accounting Officers to carry out physical asset counts at least twice a year to establish existence, status and usability.

Risk/Implication

Discrepancies between the recorded assets and the physical assets may not be identified and traced on time.

Recommendation

Management of the Fund should ensure that all schools conduct asset counts annually in compliance with regulations.

Management Response

Courtney Selous Primary School: The audit findings are noted. The school will comply with regulations.

Girls High School: The findings are noted. The school is going to conduct assets counts on an annual basis.

Queen Elizabeth Girls High School: The school management will ensure that asset counts are conducted annually. The school is currently working on the asset register to ensure that all assets have asset numbers by November 30, 2025.

David Livingstone Primary School: The school will comply with regulations.

4. PROCUREMENT OF GOODS AND SERVICES

4.1 Delivery of Goods

Finding

Queen Elizabeth Girls High School purchased cleaning materials worth US$5 856 on November 09, 2023, from Usumat Investments. However, at the time of the audit on August 06, 2025, goods valued at US$1 190 had not been delivered by the supplier. There was no evidence of follow-ups made by the school to enforce fulfilment of the contract.

Risk/Implication

Public financial resources may have been lost through goods fully paid for that may not be delivered.

Recommendation

Queen Elizabeth Girls High School should enforce the delivery of the outstanding goods.

Management Response

The school will make an effort to follow up on the undelivered goods. In future, no payment will be made before goods and services have been delivered or rendered to the school.

4.2 Evaluation Committee

Finding

There was no evidence that Courtney Selous, David Livingstone Primary Schools and Harare and Queen Elizabeth High Schools had approved procurement evaluation committees. Section 18(1) of the Public Procurement and Disposal of Public Assets Act [*Chapter 22:23*] requires that the accounting officer of the procuring entity should appoint an evaluation committee.

Risk/Implication

There may not be transparency and fairness in the evaluation of the costs and quality of services to be procured.

Recommendation

The Ministry should ensure that approved procurement evaluation committee members are appointed at every school.

Management Response

Courtney Selous Primary School: The audit finding is noted, and the school administration will comply. The committee will be established soon.

David Livingstone Primary School: The observation is noted. The committee will be formally appointed, with appointment letters issued by August 30, 2025. All future procurements will be evaluated by the approved committee structure.

Harare High School: The observation is noted. The headmaster is going to approve the appointed evaluation committee members.

Queen Elizabeth Girls High School: The head of the school will appoint and approve the Procurement Evaluation Committee and present these to the district office for regularization.

5. PROGRESS IN ADDRESSING PRIOR YEAR AUDIT FINDINGS

Fund Management did not make any meaningful progress in addressing audit findings raised in my previous audit report. Out of the fourteen (14) findings, only one (1) was addressed whilst thirteen (13) were not addressed as indicated below.

5.1 Maintenance of Accounting Records

The issue of maintenance of accounting records remained unresolved and was raised on paragraph (i) above.

5.2 Completeness of Income Disclosed

The finding remained unresolved, as another Primary School submitted incomplete records. The issue was raised in paragraph 2.2 above.

5.3 Submission of Certificates of Bank Balances and Maintenance of an Updated Schools Register.

The certificate of bank balances and updated school register was still outstanding. The issue was raised on paragraph (ii) above.

5.4 School Development Committee (SDC) Bank Account.

The issue of SSF funds being processed through the SDC and not being remitted to the SSF bank account recurred.

5.5 Cash and Cash Equivalents Disclosures

The finding remained unresolved, as variances were noted between the Statement of Cash Flows and the Statement of Financial Positions raised on paragraph (iii) above.

5.6 Expenditure not Adequately Supported

The issue of expenditure not adequately supported remained unresolved and was raised on paragraph (vi) above.

5.7 Foreign Exchange Rate Gain Disclosures

The issue of foreign exchange rate gain disclosure errors did not recur in 2024.

5.8 Unreconciled Expenditure Variances

The issue of unreconciled expenditure variance remained unresolved and was raised on paragraph (vi) above.

5.9 Maintenance of Cash Books

Non-maintenance of Cash Books by schools remained unresolved and the issue was raised on paragraph 1.1 above.

5.10 Management of Debtors

Effective collection of school fees remains an issue. There was no evidence of effective follow up mechanism for debtors at Prince Edward High School.

5.11 Asset Register

Asset Registers were not updated. The issue was raised on paragraph 3.2 above.

5.12 Receipting and Banking

The finding on non-issuing of master receipts and delays in banking recurred in some schools.

5.13 Budgeting

The schools continued to collect revenue and incur expenditure without an approved budget**.**

5.14 Ownership of Motor Vehicles

Mzingwane High School did not submit proof of ownership of the motor vehicles purchased in 2023.

VOTE16.- HIGHER AND TERTIARY EDUCATION, INNOVATION, SCIENCE AND TECHNOLOGY DEVELOPMENT

INDUSTRIAL TRAINING AND TRADE TESTING FUND 2022

OBJECTIVE OF THE FUND

The objectives of the Fund are to collect and administer fees for the purposes of supplementing the Ministry of Higher and Tertiary Education, Innovation, Science and Technology Development's budget (both capital and recurrent), for the development and maintenance of services, programmes and activities at tertiary institutions.

Below is a summary of the Statement of Comprehensive Income and Statement of Financial Position for the year 2022:

Statement of Comprehensive Income

Item	**Amount ZWL$**
Income	647 764 569
Expenditure	741 542 658
Deficit	**(93 778 089)**

Statement of Financial Position

Item	**Assets ZWL$**	**Reserves/Liabilities ZWL$**
Non-Current	66 177 915	-
Current	83 799 278	196 417 374
Accumulated Deficit	-	(46 440 181)
Total	**149 977 193**	**149 977 193**

I have audited the financial statements of the Industrial Training and Trade Testing Fund for the year ended December 31, 2022, and I issued an Adverse Opinion.

Adverse Opinion

In my opinion, because of the significance of the matters discussed in the Basis for Adverse Opinion section of my report, the financial statements do not present fairly the financial position of the Industrial Training and Trade Testing Fund as at December 31, 2022, and its financial performance and its cash flows for the year then ended in accordance with the Public Finance Management Act [*Chapter 22:19*] and other relevant Statutory Instruments.

Basis for Adverse Opinion

(i) Financial Statements Balances

Findings

A review of the financial statements identified several inconsistencies between the financial statements and the explanatory notes, Differences were noted in key line items, including trade payables (ZWL$337 201), goods and services (ZWL$2 913 613), revenue (ZWL$61 986), and Accumulated Fund (ZWL$1 018 999). These variances indicate that the explanatory notes were not adequately reconciled to the financial statements.

Additionally, the accumulated Fund deficit of ZWL$45 421 182 reported in the Statement of Comprehensive Income differed from the balance of ZWL$46 440 181 reflected in the Statement of Financial Position. These differences demonstrate persistent inconsistencies between the two

statements and raise concerns regarding the accuracy and reliability of the Accumulated Fund balances.

Moreover, balances included in the Head Office financial statements differed materially from those reflected in the Pastel Accounting System, which is the primary source of financial data. Significant variances were noted in goods and services (ZWL$8 172 609), other expenses (ZWL$7 330 230), accounts receivable (ZWL$1 081 255), cash and cash equivalents (ZWL$179 961 640), and accounts payable (ZWL$180 440 927). These discrepancies between reported figures and the explanatory Notes resulted in material misstatements in the financial statements.

In addition, expenditure on goods and services for the Harare Regional Office reported in the financial statements was understated by ZWL$26 534 073 due to the omission of certain general ledger balances. There was no evidence of adequate supervision over the maintenance of accounting records or the preparation of financial statements. This lack of oversight contributed to errors, omissions, and inconsistencies noted during the review. Had the Fund resolved variances on payables and revenue, the financial statements would have been materially different.

Risk / Implication

The unexplained variances compromise the accuracy and reliability of the financial statements.

Recommendations

The Ministry should ensure that accurate records are maintained and that due care is taken when preparing financial statements.

The variances should be investigated and corrected.

Management responses

Observation noted. Investigations have since started. Goods and services figure has been corrected as well as Accounts Receivable and Payables.

Evaluation of management response

There was no evidence that management took corrective action.

(ii) Opening balances

Findings

Discrepancies were identified in the Accumulated Fund balance carried forward from the prior year. The Accumulated Fund reported in the prior year statement of comprehensive income was ZWL$40 625 114, while the corresponding balance disclosed in the Statement of Financial Position had ZWL$40 618 440, resulting in an unexplained variance of ZWL$6 674. This misstatement was not corrected. Instead, the incorrect balance was subsequently adjusted by an unsupported amount of ZWL$7 738 468, resulting in an opening accumulated fund balance of ZWL$48 356 907 for the current year.

Furthermore, the prior year closing figure for property, plant and equipment was ZWL$2 470 211. However, a different opening balance for the year of ZWL$2 479 769 was used, resulting in an unexplained variance of ZWL$9 558. No supporting documentation or justification was provided for this adjustment. In terms of generally accepted accounting principles, opening balances should agree with prior year closing balances unless adjustments are properly authorised, documented, and disclosed.

Had the Fund resolved variances on opening balances on accumulated fund and property, plant and equipment, the financial statements would have been materially different.

Risks / Implications

Carrying forward an incorrect balance will continue to affect future financial periods and compound the misstatements over time.

The balance for property, plant and equipment may be misstated.

Recommendations

Management should ensure that all opening balances are reconciled with prior year audited closing balances. Any adjustments should be properly authorised, supported by adequate documentation, and clearly disclosed in the financial statements.

Management response

Observation noted. Investigations have since started.

(iii) Statement of Cash Flows

Findings

An analysis of trade receivables and trade payables movements between the 2021 and 2022 financial years revealed inconsistencies between the statement of financial position and the statement of cash flows:

Trade receivables increased by ZWL$9 568 956. However, the statement of cash flows disclosed an increase of ZWL$5 755 367, resulting in an unexplained variance of ZWL$2 905 880.

Trade payables increased by ZWL$171 498 185. However, an increase of ZWL$174 404 064 was reported in the statement of cash flows, resulting in a variance of ZWL$2 905 879.

The inconsistencies cast doubt on the accuracy and reliability of the statement of cash flows. Consequently, I could not fully rely on the reported cash flow information for the period under review.

Risk / Implication

The position relating to cash movements may be materially misstated.

Recommendations

The errors and omissions should be investigated and corrected.

Management should give due attention to the preparation of financial statements to eliminate errors.

Management response

Observation is noted. The errors and omissions are being investigated.

(iv) Journal Transactions

Finding

The Harare Regional Office posted unexplained journal entries in the income and expenditure ledgers amounting to ZWL$371 575 and ZWL$40 556 300, respectively, during the period under review. The journal entries were not supported by approved journal vouchers or adequate documentation. Consequently, I could not validate the accuracy of the income and expenditure disclosed in the financial statements.

In line with generally accepted accounting practice and sound financial management principles, all journal entries should be properly authorised, supported by approved journal vouchers, and adequately documented to provide a reliable audit trail and ensure the integrity of financial information. The absence of supporting documentation limits audit assurance over the reported income and expenditure balances. As a result, I could not confirm validity of reported income and expenditure in the financial statements.

Risk / Implication

Unexplained journal entries could conceal errors or fraudulent activities.

Recommendation

All journals entries should be supported by approved journal vouchers and detailed explanations on the nature of the movements.

Management response

Observation noted. The unexplained journals will be investigated and reported on.

(v) Accounts Receivable

Finding

The Fund incurred expenditure amounting to ZWL$7 890 269 on behalf of the Appropriation Account. However, this amount was not recognised and disclosed as an accounts receivable in the Fund's financial statements. The omission resulted in an understatement of accounts receivable and a corresponding misstatement of the Fund's financial position.

In line with good accounting practice, expenditure incurred on behalf of another account should be recognised as accounts receivable to ensure that assets are fairly presented. I could not confirm the Accounts Receivable balance of ZWL$11 575 309 reported in the financial statements.

Risks/Implications

Unauthorized and non-disclosure of the use of Fund financial resources may result in misstatement of financial statements.

The outstanding amounts may not be recovered.

Recommendations

Treasury authority should be sought for advancing funds to finance the appropriation budget.

The accounts receivable should be adjusted to reflect the correct position, and the amount should be recovered.

Management response

Observation Noted. In future, Treasury Authority will be sought for advancing funds to finance the Appropriation budget. However, Appropriation will reimburse the outstanding amount and Accounts Receivable balance will be adjusted accordingly.

(vi) Direct Bank Deposits

Findings

Total income in the financial statements was understated by ZWL$199 581 808 that was deposited directly into the bank account and was not subsequently receipted or recorded in accounting records. These deposits arose from payments for services offered on demand and bank interest earned. Section 46 (27) of the Public Finance Management (Treasury Instructions), 2019 requires that all monies received by direct deposit into an official banking account be promptly introduced into the books of account. This was due to management's failure to implement effective internal controls to ensure that all direct bank deposits were identified, receipted, and promptly recorded in the accounting system. The understatement of income resulted in the financial statements not presenting a true and fair view of the Fund's financial performance.

Risks/Implications

Failure to record all income may result in revenue leakage, misappropriation of public funds, and non-compliance with Treasury Instructions. It may also undermine the transparency and accountability of financial statements.

Recommendations

The Ministry should address the identified misstatements and ensure that there are adequate checks and balances in accounting and preparation of financial statements to eliminate errors.

All direct deposits should be receipted the books of accounts for proper accountability and disclosure.

Management response

Observation noted. The Grants have since been receipted in 2023 and adjustments were done. The Journals will be availed for your consideration.

All outstanding direct deposits had been receipted as of December 31, 2023.

Evaluation of management response

Management did not take corrective action to address the understatement of income in the financial statements.

(vii) Trade Payable

Finding

The Fund's statement of financial position is an aggregation of the financial statements prepared by Head Office and the Regional Offices. The aggregated statement of financial position reported

trade payables amounting to ZWL$196 417 374, of which ZWL$180 452 692 (92%) originated from Head Office.

An audit inspection revealed that the Head Office trade payables balance of ZWL$180 452 692 was not supported by detailed payables ledgers or subsidiary records. As a result, the underlying composition of the balance could not be verified or reconciled to supporting documentation.

Consequently, I was unable to obtain sufficient appropriate audit evidence regarding the accuracy, completeness and validity of trade payables amounting to ZWL$180 452 692 included in the Fund's aggregated statement of financial position.

Risk/Implication

The absence of supporting payable ledgers compromises the reliability and credibility of the reported trade payables balance.

Recommendations

The Ministry should ensure that the financial statements are subjected to management scrutiny prior to their submission for audit.

Trade payables ledgers should be availed for audit examination.

Management response

Observation Noted. In future, trade payable ledgers will be availed for audit examination.

(viii) Accounting Policy

Findings

There was inconsistency in the depreciation rates applied to computers and cell phones across regional offices. The financial statements disclosed a uniform depreciation rate of 33.33% on a straight-line basis for both asset classes; however, this was not consistently applied in practice.

For computers, Harare, Mutare and Bulawayo Regional Offices applied rates of 25%, 33% and 33% respectively, while Gweru, Masvingo and Head Office applied 33.33%. For cell phones, Bulawayo, Masvingo and Gweru Regional Offices, as well as Head Office, applied rates of 10%, 25%, 25% and 25% respectively.

In accordance with generally accepted accounting practice, depreciation methods and rates for similar classes of assets should be applied consistently across the entity to ensure reliability and comparability of financial information.

Inconsistent application of depreciation rates resulted in the misstatement of depreciation expense, asset carrying amounts, and the reported surplus or deficit for the period. However, the misstatement between the accounting policy and actual practice could not be determined due to the decentralised nature of the accounting records and the time constraints associated with recalculating depreciation for all regional offices. Therefore, I could not gather sufficient audit evidence to conclude on extent of the misstatement.

Risk/Implication

The financial statements may be misstated due to inconsistent application of the accounting policy.

Recommendation

The Ministry should provide proper guidance to officials responsible for preparing financial statements.

Management response

Observation noted. Corrections have since been communicated to the respective centres for adjustments to be made.

However, below are other issues noted during the audit:

1. GOVERNANCE ISSUES

1.1 Accounting Officer's Instructions / Procedures Manual

Finding

As reported in my previous audit reports, the Fund continued to operate without an Accounting Officer's Instructions/Procedures Manual. Consequently, there was no formal guidance governing the maintenance of accounting records and the preparation of financial statements. Management did not prioritise the development, approval, and implementation of an Accounting Officer's Instructions/Procedures Manual despite repeated audit observations.

Risk/Implication

There may be inconsistent accounting practices and procedures in management of public resources due to absence of the Accounting Officer's Instructions.

Recommendation

The Ministry should come up with an Accounting Officer's Instructions/Procedures Manual to enhance proper accountability of public resources.

Management response

Observation noted. An Accounting Officer's manual is still a draft as consultation with the responsible Authority is still underway.

Evaluation of management response

Although management indicated that the Accounting Officer's Instructions/Procedures Manual is still in draft form, the draft manual was not availed for audit inspection.

1.2 Late submission of financial statements

Finding

The Fund's financial statements were initially submitted on April 8, 2025, thereafter withdrawn, and subsequently resubmitted on July 14, 2025, February 23, 2026, and March 18, 2026. Each time audit queries were submitted, the Ministry would respond by submitting new financial statements. Each resubmission had its own material misstatements. The financial statements were therefore delayed by more than two years. This was in contravention of Section 35(6)(b) of the Public Finance Management Act [*Chapter 22:19*], which requires financial statements to be submitted

within sixty days after the end of the financial year. The delay was due to inadequate oversight and coordination in the financial reporting process.

Risk/Implication

Accountability and decision making may be compromised.

Recommendation

The Ministry should ensure that the financial statements are submitted for audit in line with the regulations.

Management response

Observation noted. In future, the financial statements will be submitted for audit in line with the requirements of Treasury Circular on submission of financial statements of each year.

2. MANAGEMENT OF ASSETS

2.1 Accounting for motor vehicles

Findings

As highlighted in my 2019 report, a Toyota Landcruiser registration number ADX 6387 acquired on September 9, 2015, at a cost of US$100 449 was not availed for physical verification. I was unable to verify the existence and ownership of the motor vehicle. The motor vehicle was in the Fund's assets records and included in the financial statements.

A Toyota Hilux 310 D4D, registration number ADY 7351, acquired on January 6, 2016, at a cost of ZWL$39 641 and was allocated to a senior official in the Ministry although it was a pool vehicle. The senior official was eventually transferred to the Zimbabwe Manpower Development Fund and moved with the vehicle. At the time of concluding my audit, May 4, 2026, the motor vehicle was still in the custody of the senior official. I was not provided with any evidence as to whether the vehicle had been converted to a personal issue or condition of service vehicle as it was still in the Fund's records.

Risks/Implications

The Fund may not fulfil its mandate if assets are not utilized for purposes for which they were acquired.

The property, plant and equipment amount disclosed in the financial statements may be misstated.

Recommendations

The Ministry should institute an investigation to determine the circumstances surrounding the whereabouts of motor vehicle with registration ADX6387 not availed for physical verification and corrective action taken.

Management should establish the status of the vehicle ADY7351 and regularise its custody through formal approval where applicable.

Management Response

Observation noted. The Ministry has been informed by CMED that the vehicle was reallocated to another serving Minister by CMED (the motor vehicle with registration ADX 6387).

The Ministry has authority in form of a supporting document for the motor vehicle (registration number ADY 7351) indicating that the motor vehicle had been converted to a personal issue or condition of service vehicle.

Evaluation of management response

Documented evidence in support of the responses was not availed for validation and confirmation.

2.2 Accident damaged motor vehicle

Finding

Vehicle registration number ADY 7352 acquired on January 6, 2016, at a cost of ZWL$39 642 was involved in an accident on May 01, 2016, and was a complete write-off. Although a board of inquiry was said to have been convened, the salvage of the vehicle was parked at Harare Polytechnic College and was still in the Fund's records thereby overstating the value of the assets.

Risk/Implication

The financial statements may be misstated.

Recommendations

Board of Inquiry recommendations should be implemented and availed for audit.

The Fund records should be adjusted accordingly.

Management response

Minutes of the board of inquiry for accident damaged vehicle ADY 7352 are available for audit examination.

Evaluation of management response

The response does not address the issue of correcting the Fund's records.

3. PROGRESS IN ADDRESSING PRIOR YEAR AUDIT FINDINGS

The Ministry did not make progress in addressing audit findings raised in my previous audit report. Out of the twenty (20) findings raised, only two (2) were addressed while eighteen (18) remained outstanding as indicated below:

3.1 Misstatement of reported balances

Reported balances were different from notes to the financial statements and supporting ledgers. The issue was again reported this year on paragraph (i) above.

3.2 Disclosure of notes to financial statements

The issue was addressed as amounts in the notes to the financial statements were extracted from the regional offices' notes in the individual financial statements.

3.3 Non-acquittal and disclosure of travel and subsistence advances

The issue was not addressed as travelling and subsistence advances amounting to ZWL$588 020 remained unacquitted and not disclosed.

3.4 Trade receivables supporting ledgers

Supporting ledgers for accounts receivable were availed for audit examination.

3.5 Trade payables and the supporting ledgers

The issue of supporting ledgers for accounts payables which were not availed for audit examination remained unresolved and was raised on paragraph (vii) above.

3.6 Non-receipting of direct deposits

Direct deposits are still not being receipted and accounted for in the Fund's books of accounts and financial statements. The issue was again raised on paragraph (vi) above.

3.7 Misstatement of grants

There was no evidence produced to show how issues of unreceipted and unaccounted for grants were corrected. The issue was raised on paragraph (vi).

3.8 Classification of expenditure

The finding on the classification of accounting items in the financial statements presented by Regional Offices was not addressed.

3.9 Unsupported expenditure

The finding on payment vouchers not having supporting documents remained outstanding.

3.10 Non-acquittal and disclosure of amounts owed by the Ministry

The advances made in support of Appropriation activities remained unacquitted and undisclosed as receivables in the financial statements. The issue recurred and was raised on paragraph (v).

3.11 Unvouched expenditure

There was no evidence produced to confirm how the issue of unvouched expenditure was resolved.

3.12 Inconsistencies in accounting policy

The issue of inconsistence in the use of depreciation rates for computers and cell phones by regional offices remained unaddressed. The issue was raised on paragraph (viii) above.

3.13 Accounting Officer's Instructions/Procedures Manual

The Fund continued to operate without an Accounting Officer's Instructions/Procedures Manual. The issue was raised on paragraph 1.1.

3.14 Misstatements in the statement of cash flows

The issue was not addressed as of numerous misstatements affecting balances of Property, Plant and Equipment, Depreciation and cash and cash equivalents. The issue was raised on paragraph (ii) above.

3.15 Late submission of financial statements

The fund delayed submitting the 2022 financial statements by more than two years. The issue was raised on paragraph 1.2 above.

3.16 Wasteful expenditure

The issue was not addressed as there was no evidence to show that the fund recovered the wasteful expenditure.

3.17 Pastel Account System bank reconciliations

The issue of non-performance of bank reconciliations remains unresolved.

3.18 Service delivery

Harare Regional Office did not assess apprentices in the aviation industry in 2022.

3.19 Property, plant and equipment

The existence of property, plant and equipment with a carrying amount of ZWL$102 781 could still not be verified.

3.20 Management of motor vehicles

The issues of not availing a motor vehicle for inspection and the unauthorised transfer of a vehicle was not addressed. This was raised on paragraphs (2.1) and (2.2).

VOCATIONAL AND TECHNICAL EXAMINATIONS FUND 2022

Objective of the Fund

The objective of the Fund is to receive and apply financial resources meant for the development and maintenance of services and programs relating to National Examinations, Curriculum Research and Development to enable Zimbabwe's Vocational and Technical Examinations to meet internationally recognised standards.

Below is a summary of the Statement of Comprehensive Income and Statement of Financial Position for the year:

Statement of Comprehensive Income

Item	Amount ZWL$
Income	3 204 622 379
Expenditure	1 191 508 421
Surplus	**2 013 113 958**

Statement of Financial Position

Item	Assets ZWL$	Reserves/Liabilities ZWL$
Non-Current Assets	41 063	-
Current Assets	2 040 293 396	-
Accumulated Fund	-	2 012 863 801
Current Liabilities	-	27 470 658
Total	**2 040 334 459**	**2 040 334 459**

I audited the financial statements of the Vocational and Technical Examinations Fund for the year ended December 31, 2022, and issued an adverse opinion.

Adverse Opinion

In my opinion, because of the significance of the matters discussed in the Basis for Adverse Opinion section of my report, the financial statements do not present fairly the financial position of the Vocational and Technical Examinations Fund as at December 31, 2022, and its financial performance and its cash flows for the year then ended in accordance with the Public Finance Management Act [*Chapter 22:19*] and other relevant Statutory Instruments.

Basis for Adverse Opinion

(i) Accounting Records

Findings

The Ministry did not provide accounting ledgers to support the accounts payable balance of ZWL$27 470 658 disclosed in the statement of financial position. Consequently, I was unable to analyse or verify the completeness, accuracy, and existence of the reported balance.

The failure to maintain accounting ledgers contravenes Section 35(6)(a) of the Public Finance Management Act [Chapter 22:19], which requires Accounting Officers to keep or cause to be kept proper records of accounts.

Risk/Implication

Accountability for public funds may be compromised in the absence of creditor's ledgers.

Recommendation

The Ministry should ensure that the creditor's ledgers are maintained to enhance accountability.

Management Response

The creditors list was being maintained outside the system but it's now in the system. These are lists of unreceipted direct deposits amounting to ZWL$27 470 658.

Evaluation of Management Response

Management response is acknowledged. The creditor's listing of unreceipted direct deposits does not substitute for creditor's ledgers.

(ii) Direct Deposits

Finding

Direct deposits amounting to ZWL$172 532 335 were not receipted and accounted for in the Fund's accounting records and financial statements. This was contrary to the provisions of Section 46(27) of the Public Finance Management (Treasury Instructions), 2019 which direct that all money received by direct deposit into an official banking account should be introduced into books of accounts. As a result, I could not ascertain the accuracy and completeness of revenue, receivables and payables disclosed in the financial statements.

Risks/Implications

Public funds may not be properly accounted for and financial statements could be materially misstated.

Recommendation

All direct deposits should be receipted and brought into books of accounts for proper accountability and disclosure.

Management Response

The observation is noted. In future all unreceipted direct deposits shall be transferred to revenue within a period of six months so that there are no unaccounted deposits.

(iii) Accounts Receivable

Finding

The reported accounts receivable balance of ZWL$1 690 443 527 was materially misstated. Management processed erroneous correction entries to address misstatements previously identified in the expenditure and direct deposits balances. As a result, the accounts receivable balance was overstated by ZWL$30 000 000; and understated by ZWL$164 190 558. This had a net effect of understating the accounts receivable balance by ZWL$134 190 558.

Risk/Implication

The financial statements were materially misstated and may mislead users thereof.

Recommendations

The Ministry should ensure that there are adequate checks and balances in the preparation of financial statements to minimise errors.

Management should review and reconcile all correction entries affecting accounts receivable and process the necessary adjustments to ensure the balance is accurately stated and supported by appropriate records.

Management Response

The overstatement of ZWL$30 000 000 to our account was caused by a payment to Printflow Private Limited which was done by the Industrial Training and Trade Testing Fund on behalf of the VOCTECH Fund. We erroneously debited Debtors Control and credited the Stationery account. To correct the imbalance, we debited stationery and credited Debtors Control. To record the transaction Industrial Training and Trade Testing Fund is credited with ZWL$30 000 000 and VOCTECH Fund was credited with ZWL$30 000 000.

Evaluation of Management Response

Management response is acknowledged. However, it is not satisfactory as it does not clearly demonstrate how the ZWL$30 000 000 and ZWL$164 190 558 misstatements were corrected or provide sufficient evidence to verify the accuracy of the resulting accounts receivable balance.

(iv) Misstatement of Income

Finding

Income was understated by a total of ZWL$157 987 543 collected by colleges on behalf of the Fund for examination fees. Although these funds were receipted, the corresponding transactions were not credited to the respective income ledger accounts. This was contrary to standard accrual accounting principles which require that all revenue earned and received be recorded accurately and in the correct accounting period.

Risk/Implication

The financial statements were materially misstated and may mislead users thereof.

Recommendation

Management should ensure accounting staff is supervised and financial records reviewed for completeness.

Management Response

The observation is noted. In future all revenue shall be receipted in their proper financial year.

(v) Statement of Cashflows

Findings

Cash and cash equivalents at beginning of the year was understated by ZWL$35 766 618 being opening bank balances for the Curriculum Research and Development and the Higher Education

Examinations Council of ZWL$5 011 657 and ZWL$30 754 961 respectively that were omitted. Management had not corrected the omission.

Trade receivables increased by ZWL$1 687 062 344 (ZWL$1 690 443 527 less ZWL$3 381 183). However, the statement of cash flows disclosed an increase of ZWL$1 851 252 902, resulting in a variance of ZWL$164 190 558.

Trade payables decreased by ZWL$21 894 649 (ZWL$27 470 659 less ZWL$5 576 010). However, a decrease of ZWL$171 494 841 was reported in the statement of cash flows, resulting in a variance of ZWL$149 600 192.

The inconsistencies cast doubt on the accuracy and reliability of the statement of cash flows. Consequently, I could not fully rely on the reported cash flow information for the period under review.

Risks/Implications

The statement of cash flow was misstated thereby distorting the position regarding cash movements.

The cash and cash equivalents balance at the end of the year was materially misstated and may mislead users thereof.

Recommendations

The errors should be investigated and corrected.

Management should ensure financial records are reviewed for accuracy.

Management Response

They have since been corrected.

Evaluation of Management Response

Management response is acknowledged. Cash and cash equivalents at the beginning of the year remained understated and the errors were not investigated.

(vi) Accumulated Fund Adjustments

Findings

The prior year closing accumulated fund balance of ZWL$14 340 208 was adjusted by ZWL$14 590 365, resulting in a revised opening balance of negative ZWL$250 157. However, no supporting documentation or explanation was provided to substantiate the nature and basis of these adjustments.

Furthermore, the general journal submitted reflects a total of ZWL$41 271 813, but no reconciliation was availed to demonstrate how this amount translates to the net adjustment of ZWL$14 590 365 affecting the opening accumulated fund balance.

In the absence of adequate supporting evidence and a clear reconciliation, I could not ascertain the accuracy and completeness of the journal entries passed, nor the correctness of the adjusted opening accumulated fund balance.

These matters are consistent with issues raised in the prior year, where a disclaimer of opinion was issued due to the non-availability of sufficient and appropriate audit evidence.

Risk/Implication

If adjustments are not adequately disclosed or explained, they may render financial statements incorrect.

Recommendation

Management should provide explanatory notes clearly showing the statements adjusted and the journal entries.

Management Response

The observation is noted. The adjustments arise from expenses that were incurred during the 2021 financial year but were not settled within that reporting period due to timing and administrative processing delays.

These expenses were subsequently paid in 2022 financial year, which necessitated the recognition of adjustments to accurately reflect the financial position and ensure proper matching of costs to the relevant accounting periods. The adjustments were therefore processed to correct the timing difference and to align the financial records with the underlying transactions.

Evaluation of Management Response

Management response is acknowledged. The narration "correction of prior year expenditure" on the journal is too vague and does not explain the root cause of the error or omission, why the expenses were not accrued at year-end, or why the adjustment is as high as ZWL$41 271 813.

(vii) Suspense Account Balance

Findings

The Fund's financial statements indicate the existence of a long-outstanding suspense account balance that has been carried forward since 2018 without resolution. A review of the statement of financial position shows that the balance increased from ZWL$1 526 in 2018 to ZWL$1 856 as at December 31, 2022. Despite the passage of time, the suspense account has not been cleared, raising concerns regarding the completeness and accuracy of the Fund's financial records.

Good accounting practices require suspense accounts to serve as temporary holding accounts pending identification and resolution of the underlying transactions. Such balances should be investigated, reconciled, and cleared within a reasonable period to ensure the accuracy and reliability of financial records.

The anomaly was attributable to management's failure to regularly review, investigate, reconcile, and clear suspense account balances in a timely manner, resulting in the continued accumulation and carry forward of unresolved balances over several financial years.

Risks/Implications

The continued existence of suspense balances compromises the accuracy and reliability of accounting records.

Weak financial management practices may expose the Fund to fraud and audit qualification risks.

Recommendations

Management should investigate the nature and source of the suspense account balances and clear them promptly through appropriate accounting adjustments supported by adequate documentation.

Regular reconciliations and periodic reviews of suspense accounts should be implemented to ensure that balances are resolved within a reasonable timeframe and do not accumulate over successive financial years.

Management response

Observation noted. Investigations are in progress. The balances will be cleared through appropriate accounting adjustments supported by adequate documentation, and the outcome will be submitted to audit once finalised.

Evaluation of Management Response

Management response acknowledged. However, accounting adjustments and documentation was not yet submitted.

Below are other material issues arising from the audit:

1. GOVERNANCE ISSUES

1.1 Late submission of financial statements

Finding

The Fund's financial statements were initially submitted on April 8, 2025, thereafter, withdrawn due to material misstatements, and subsequently resubmitted on February 4, 2026, and March 17, 2026. This was in contravention of Section 35(6)(b) of the Public Finance Management Act [*Chapter 22:19*], which requires financial statements to be submitted within sixty days after the end of the financial year. The financial statements were therefore delayed by more than two years.

Risks/Implications

The financial statements may become less useful for decision making by users and the Ministry may suffer reputational damage due to late submission of financial statements.

Recommendation

The Ministry should ensure that the financial statements of the Fund are submitted for audit in line with the requirements of regulations.

Management Response

The delay was due to variations that were emanating from Pastel which required reconfiguration of the system to align with financial statement balances.

2. PROGRESS IN ADDRESSING PRIOR YEAR AUDIT FINDINGS

The Ministry had one (1) finding which was not addressed as indicated below:

2.1 Failure to avail Accounting Records

The issue was not resolved as ledgers, receipt and cash books and bank statements used to prepare financial statements were not availed. Further, in 2022 ledgers for accounts payable were not availed as raised on paragraph (ii) above.

VOTE 17.- WOMEN AFFAIRS, COMMUNITY, SMALL AND MEDIUM ENTERPRISES DEVELOPMENT

SMALL AND MEDIUM ENTERPRISES REVOLVING FUND 2024

Objective of the Fund

The fund was established for the purpose of providing interest bearing loans to micro, small and medium enterprises to make a meaningful contribution to economic growth and development.

Below is a summary of Statement of Comprehensive Income and Statement of Financial Position for the year ended December 31, 2024:

Statement of Comprehensive Income

Item	Amount ZWG
Income	17 938 568
Expenditure	-
Surplus	**17 938 568**

Statement of Financial Position

Item	Assets ZWG	Liabilities ZWG
Accumulated Fund	-	21 090 455
Current Assets	21 090 455	-
Totals	**21 090 455**	**21 090 455**

I have audited the financial statements of the Small and Medium Enterprises Revolving Fund for the year ended December 31, 2024, and I issued an unmodified opinion.

Opinion

In my opinion, the financial statements present fairly, in all material respects, the financial position of the Small and Medium Enterprises Revolving Fund as at December 31, 2024, and its financial performance and its cash flows for the year then ended in accordance with the Public Finance Management Act [*Chapter 22:19*], and other relevant Statutory Instruments.

Below is an issue noted during the audit:

1. REVENUE COLLECTION AND DEBT RECOVERY

1.1 Long Outstanding Debtors

Finding

Outstanding loans advanced to SMEDCO for the period 2019 to December 31, 2024, amounted to ZWG21 090 455. Efforts made to recover the outstanding debt were not successful. Article 111 of the Constitution of the Fund requires capital advanced to SMEDCO to be paid back in the following year.

Risk/Implication

The objectives of the Fund may not be met if long outstanding debtors are not recovered on time.

Recommendation

Management should strengthen debt recovery measures by engaging SMEDCO and developing a time-bound repayment plan for the statement of the outstanding loans.

Management Response

The Ministry is in the process of converting the debt into equity and also monitoring the debt as evidenced by minutes and letters written to SMEDCO.

2. PROGRESS IN ADDRESSING PRIOR YEAR AUDIT FINDINGS

The Ministry did not make progress in addressing the issues raised in the previous audit report. All the three (3) findings were not addressed.

2.1 Sustainability of Services

Loans made to SMEDCO have not been repaid.

2.2 Long Outstanding Debtors

The issue of long outstanding debtors was not addressed as no recoveries have been made on the long outstanding debts. The issue was raised on paragraph 1.1 above.

2.3 Confirmation of Debtors

The differences have not been reconciled or clarified.

WOMEN DEVELOPMENT FUND 2024

Objectives of the Fund

The Fund was established to provide interest bearing loans to women's groups for developmental projects such as bakeries, uniform making, crafts, agro-based projects, mining, herbal gardens, trading and training and enterprise programs.

Below is a summary of Statement of Comprehensive Income and Statement of Financial Position for the year ended December 31, 2024.

Statement of Comprehensive Income

Item	Amount ZWG
Income	3 742 270
Expenditure	954 870
Surplus	**2 787 400**

Statement of Financial Position

Item	Assets ZWG	Liabilities ZWG
Non-Current	135 059	75 036
Investment in Associate	130	-
Accumulated Fund	-	3 376 780
Non-Distributable Reserve	-	218 243
Current	4 014 061	479 191
Total	**4 149 250**	**4 149 250**

I have audited the financial statements of the Women's Development Fund for the year ended December 31, 2024, and I issued a qualified opinion.

Qualified Opinion

In my opinion, except for the effects of the matters described in the Basis for Qualified Opinion section of my report, the financial statements present fairly, in all material respects the financial position of the Women's Development Fund as at December 31, 2024, its financial performance and its cash flows for the year then ended in accordance with the Public Finance Management Act [*Chapter 22:19*] and other relevant Statutory Instruments.

Basis for Qualified Opinion

(i) Investment in Associate

Findings

The Fund disclosed in the financial statements a 30% investment in Mbulelo Pvt Ltd. However, evidence such as share certificates, share purchase agreements and audited financial statements of Mbulelo Pvt Ltd was not availed to audit. In addition, the value of the investment remained at ZWG130 from the date of acquisition in October 2020 to December 31, 2024. There was no evidence that the equity was revalued at the end of each reporting period. As a result, I could not confirm the existence and accuracy of the investment disclosed in the financial statements.

Furthermore, the basis for the investment in associate was not disclosed in the notes to the financial statements, contrary to the best practice which requires transparency on valuation methods.

Risks/Implications

The investment presented in the financial statements may no longer exist and the value disclosed may be incorrect.

Recommendation

The Ministry should avail for audit the documents that support existence and the value of investment in associate disclosed in the financial statements.

Management Response

The observation is noted. The investment still exists. However, the company no longer operates. The Ministry will ensure that valuation of the investment will be done.

Evaluation of Management Response

Management has acknowledged the finding and committed to conducting a valuation through a multi-departmental team, with a deadline of 31 July 2026, demonstrating intent to address the issue.

However, the response is incomplete as it does not address key audit concerns, including the lack of supporting documentation to confirm the existence and ownership of the investment, the absence of a defined valuation methodology, and failure to explain why the investment has not been revalued since 2020.

(ii) Loan Repayments

Finding

The Fund had unreceipted loan repayments of ZWG75 036 (2023: ZWG7 035), disclosed as unallocated funds in the financial statements. Audit noted that these were direct bank deposits which had not been receipted and reconciled to the loans receivables ledger. The Ministry could not identify the women groups which had made loan repayments as the depositors' details were unknown. Therefore, I could not validate the accuracy of the trade receivables disclosed in the financial statements.

Risk/Implication

Inability to identify depositors may hinder the Ministry's ability to track repayments effectively**.**

Recommendations

The Fund should raise awareness among the groups issued with loans to capture all their details on the deposit slips to enable tracking of loan repayments, receipting of the bank deposits and reconciliation of the loans receivable ledgers.

The current processes and procedures for tracking and identifying loan repayments should be reviewed to ensure effectiveness and efficiency.

Management Response

The observation is noted. For clarity, loan repayments are made through bank deposits and in many cases the depositor rarely identifies the group responsible for the repayment. This complicates the receipting process. To correct this anomaly, management has tasked

provincial and district heads to make monthly updates on loan repayments and submit proof of loan repayments from beneficiaries. This will enable the Ministry to identify the depositors and clear the loan receivables.

Below are other issues noted during the audit:

1. REVENUE COLLECTION AND DEBT RECOVERY

1.1 Accounts Receivable

Findings

From a sample of fifteen (15) accounts receivable relating to loans disbursed prior to September 30, 2024, a cumulative amount of ZWG93 237 remained outstanding as at December 31, 2024. This is contrary to the lending criteria, which require loan repayments to commence immediately after the expiry of a three-month grace period.

Furthermore, there was no evidence of debt-collection follow-up action on these overdue amounts, in violation of Section 42(4) of the Public Finance Management (Treasury Instructions), 2019, which mandates timely recovery efforts for outstanding public funds.

Risk/Implication

Loss of public funds and failure to meet the objectives of the Fund.

Recommendation

Management should monitor and follow up on repayments in compliance with regulations.

Management Response

The observation is noted. In some instances, the delays and non-payment were a due to El-nino induced drought of 2024 which, to a greater extent affected the target fund beneficiaries. The Ministry has put in place measures to address the issues to curb deliberate defaulting.

2. PROGRESS IN ADDRESSING PRIOR YEAR AUDIT FINDINGS

The Fund did not make significant progress in addressing audit findings raised in my previous audit report. Out of four (4) findings, one (1) was addressed and three (3) were not addressed as indicated below:

2.1 Advances to the Ministry

The finding on advances to the Ministry remains unresolved. The Fund procured goods and services on behalf of the Ministry without Treasury approval, and the Ministry hasn't paid back the advance.

2.2 Accounts Receivables

The finding pertaining to non-follow up and collection of loan repayments from projects funded was not addressed in the year 2024. The issue was raised on paragraph 1.1 above.

2.3 Payment Voucher

The issue of the payment voucher for Mactricy project which was not availed for audit remained unresolved.

2.4 Recording Assets in Register

All assets which were not recorded in the asset register have now been recorded.

ZIMBABWE COMMUNITY DEVELOPMENT FUND 2024

Objective of the Fund

The Fund was established to provide grants and/or interest-bearing loans to community groups for infrastructural development and working capital.

Below is a summary of Statement of Comprehensive Income and Statement of Financial Position for the year:

Statement of Comprehensive Income

Item	Amount ZWG
Income	3 671 098
Expenditure	1 516 814
Surplus	**2 154 284**

Statement of Financial Position

Item	Assets ZWG	Liabilities ZWG
Non-Current	660 445	-
Accumulated Fund	-	3 510 071
Non-Distributable Reserve	-	111 689
Current	3 172 039	210 724
Total	**3 832 484**	**3 832 484**

I have audited the financial statements of the Zimbabwe Community Development Fund for the year ending December 31, 2024, and I issued a qualified opinion.

Qualified Opinion

In my opinion, except for the effects of the matter described in the Basis for Qualified Opinion section of my report, the financial statements present fairly, in all material respects, the financial position of the Zimbabwe Community Development Fund as at December 31, 2024, and its financial performance and its cash flows for the year then ended in accordance with the Public Finance Management Act [*Chapter 22:19*] and other relevant Statutory Instruments.

Basis for Qualified Opinion

(i) Unallocated Deposits

Finding

Deposits amounting to ZWG210 720 (2023: ZWG22 904) were received through the bank by the Fund during the year ended December 31, 2024. The deposits could not be matched to specific depositors or identified transactions due to insufficient client payment details. There was no evidence that management had undertaken investigations or performed reconciliation procedures to identify the sources. As a result, I could not ascertain the accuracy and completeness of receivables disclosed in the financial statements.

Risk/Implication

Accumulation of unallocated deposits may result in misstatement of accounts receivables in the financial statements.

Recommendation

Management should investigate and reconcile all unidentified deposits on a timely basis.

Management Response

The Ministry has been working to reconcile unallocated funds arising from repayments made by the beneficiaries as well as through third parties who omitted key identification details on deposits. This resulted in the temporary classification of such receipts as unallocated funds pending investigations.

The reconciliation process was further complicated in 2024 due to the transition from ZWL$ to ZWG as beneficiaries failed to recall exact deposited amounts.

To address this, the Ministry implemented a system in 2025 involving monthly follow-ups with beneficiaries to confirm payments, which is improving the timely clearance of unallocated funds despite associated costs.

Below are other issues noted during the audit:

1. GOVERNANCE ISSUE

1.1 Segregation of Duties

Finding

There was no evidence of segregation of duties in respect of key accounting functions at Maud Muzenda Skills Training Centre. The responsibility for receipting of funds, banking of receipts, preparation of bank reconciliations, and preparation of financial statements was performed by one officer. This was contrary to Section 158(2) of the Public Finance Management (Treasury Instructions), 2019.

Risk/Implication

Fraud, misappropriation of funds and manipulation of financial records may remain undetected.

Recommendation

Management should ensure proper segregation of key accounting duties at the training centre in line with regulations.

Management Response

The observation is noted. Due to current staffing constraints, the Administration Officer has been assigned to support the Finance Officer with other duties, thereby improving on segregation of duties. Furthermore, monthly supervisory reviews and reconciliations have been implemented to strengthen oversight and mitigate the risk of errors and fraud.

2. MANAGEMENT OF ASSETS

2.1 Asset Register

Finding

The asset registers for Head Office and Training Centers omitted key information such as identification numbers, serial numbers, and monetary values, contravening Section 100(1) and (4) of the Public Finance Management (Treasury Instructions), 2019. Therefore, I could not verify the accuracy of the Property, Plant, and Equipment worth ZWG660 445 disclosed in the financial statements.

Risk/Implication

Incomplete asset records may result in loss, theft, or misappropriation of assets.

Recommendation

Management should ensure that comprehensive and up-to-date asset registers are maintained in compliance with regulations.

Management Response

Management acknowledges the audit observation. The Ministry is in the process of correcting the anomaly. It is in the Ministry's plan that the observation will be addressed before end of 2025.

3. PROGRESS IN ADDRESSING PRIOR YEAR FINDINGS

The Fund did not make significant progress in addressing prior year audit findings. Out of a total of five (5) issues raised, only one (1) was addressed and four (4) were not addressed as indicated below:

3.1 Inadequately Supported Loans

The finding was not addressed as supporting documents for the misstatement in the statement of cash flows were not submitted for audit.

3.2 Accounting Procedures Manual

The accounting manual was still in the draft format therefore, the issue remained unresolved.

3.3 Accounting System

The Fund continued using the manual accounting system instead of PFMS.

3.4 Maintenance of Records

The current year payment vouchers were sequentially numbered therefore the issue was resolved.

3.5 Asset Register

The assets procured were not updated in the asset register.

VOTE 19.- JUSTICE, LEGAL AND PARLIAMENTARY AFFAIRS

GUARDIAN'S FUND 2024

Objective of the Fund

The purpose of the Fund is to provide for the custody and control of moneys due to minors, mentally disordered or defective persons whose whereabouts are unknown in terms of Sections 52, 62, 82, 93 and 94 of the Administration of Estates Act *[Chapter 6:01].*

Below is a summary of Statement of Comprehensive Income and Statement of Financial Position for the year:

Statement of Comprehensive Income

Item	**Amount ZWG**
Income	1 761 520
Expenditure	3 896 609
Deficit	**(2 135 089)**

Statement of Financial Position

Item	**Assets ZWG**	**Liabilities ZWG**
Non-Current Assets	45 325 078	-
Current	3 681 542	6 491 282
Accumulated Fund	-	42 515 338
Total	**49 006 620**	**49 006 620**

I have audited the financial statements of the Guardian's Fund for the year ended December 31, 2024, and I issued an unmodified opinion.

Opinion

In my opinion, the financial statements present fairly, in all material respects, the financial position of the Guardian's Fund as at December 31, 2024, its financial performance and its cash flows for the year then ended in accordance with the Public Finance Management Act [*Chapter 22:19*] and other relevant Statutory Instruments.

Below are issues noted during the audit:

1. GOVERNANCE ISSUES

1.1 Non-remittance of Surplus to Consolidated Revenue Fund

Finding

The Fund did not remit a surplus of ZWG228 694 made in 2023 to the Consolidated Revenue Fund. This was contrary to Section 111(1) of the Administration of Estates Act [*Chapter 6:01*], which requires any surplus in the Income and Expenditure Account to be paid into the Consolidated Revenue Fund.

Risk/Implication

The Consolidated Revenue Fund may be deprived of resources that could have been utilized for public purposes.

Recommendation

Management should ensure that the financial resources are remitted to the Consolidated Revenue Fund as required by regulations.

Management Response

The observation is noted. The practice has been to surrender all funds following the issuance of the Auditor-General's report. In this instance, management received the audit report for the 2023 financial statements after finalizing the preparation of the 2024 financial statements. Upon review, it became evident that a loss was incurred in 2024. As a result, management are currently engaging Treasury to initiate an offset process to address the deficit.

1.2 Risk Management Policy and Risk Assessment

Findings

The Fund did not have a risk management policy in place to guide management in identifying, assessing, and mitigating potential risks that may impact its operations. Furthermore, no risk assessments were conducted during the year under review to identify, quantify, assess and come up with mitigation measures for the risks identified, as required by Section 162(1) of the Public Finance Management (Treasury Instructions).

Risk/Implication

The Fund may be exposed to unforeseen risks that could hamper its operations, thereby impacting its ability to achieve set objectives.

Recommendations

The Accounting Officer should expedite the development and approval of a risk management policy to guide in mitigating risks.

Risk assessments should be carried out regularly to identify and take preventative measures on potential risks.

Management Response

The observation is noted. A draft policy is available.

Evaluation of Management Response

Management response is noted. However, the issue of risk assessment was not responded to.

2 REVENUE COLLECTION AND DEBT RECOVERY

2.1 Investment not Supported by Committee Approval Minutes

Findings

The Fund invested ZWG475 865 with the Commercial Bank of Zimbabwe and US$1 094 804 with FBC bank. However, minutes of the Investment Committee meetings authorizing these investments were not availed for audit. In accordance with sound corporate governance and internal control principles, all investment decisions should be approved by the Investment Committee, and such approvals should be formally minuted.

Risk/Implication

Unauthorized or imprudent investment decisions comprise accountability over use of public resources.

Recommendations

All investment decisions should be approved through an Investment Committee meeting and minutes of such meetings should be maintained and availed for audit.

Management Response

The observation is noted. Meetings were consistently convened; however, formal minutes were not captured at the time. Instead, the outcomes of these meetings were documented in the form of proposals, which were subsequently signed by the committee to serve as the official record of deliberations. Recognizing the importance of proper documentation and accountability, this practice was revised in March 2025, and since then, minutes have been prepared and maintained for all meetings. The Office is now governed by a Board of Directors, which, in accordance with the provisions of the Act, has the mandate to approve all investment decisions.

Evaluation of Management Response

The proposals documenting outcomes of the meetings were not availed for audit inspection.

2.2 Long-Outstanding Receivables and Doubtful Debts

Finding

The Fund accumulated receivables amounting to ZWG303 132, with some dating back to 2022. Notably, Genopath had not made any payments since the debt was incurred, from July 2022. The Fund was ineffective in pursuing debts. While recent legal action taken on January 22, 2024, and the draft Risk Management Policy indicate progress, these steps are reactive. Section 10 of the Public Finance Management Act [*Chapter 22:19*], requires the Accounting Officer to ensure that all revenue due to the State is collected and accounted for. The recoverability of these debts given the time it has taken is now in doubt. The table below refers.

Debtors Age Analysis

	Debtor	Outstanding Since	Period outstanding	Amount US$	Amount ZWG
1	Romano	November 2023	1 year 2 months	2 450	63 206
2	Calientas	September 2024	4 months	4 000	103 194
3	Genopath	July 2022	2 years 6 months	5 300	136 732
Total				**$11 750**	**303 132**

Risk/Implication

Loss of revenue from the Fund, compromising its financial sustainability and ability to achieve objectives.

Recommendation

Management should develop and implement effective debt collection strategies to recover outstanding amounts.

Management Response

The observation is noted. Measures have been taken in terms of the available legal ways to recover the outstanding rentals. Letters of demand have been dispatched and served upon Romano Furnishers Pvt Ltd and Calientas Pvt Ltd for the payment of the outstanding sums of money. This is an essential step in initiating the procedures for the recovery of civil debt.

With respect to Genopath Pvt Ltd, the Civil Division of the Attorney General's Office has issued summons, but efforts have been hampered by failure to locate Defendant's address. The Ministry's Legal Affairs Department has since written to the Civil Division to consider filing an application in the High Court.

3 PROGRESS IN ADDRESSING PRIOR YEAR AUDIT FINDINGS

The Fund made little progress in addressing prior year audit findings. Out of two (2) findings raised, one (1) was partially addressed and the other one (1) remained outstanding as indicated below.

3.1 Investment Strategy

The issue of investments made in Commercial Bank of Zimbabwe without advisor's recommendation was partially resolved as an interim investment committee was set. However, the minutes of meetings held were not made available as reported in paragraph 2.1 above.

3.2 Risk Management Policy

The issue of an absence of a risk management policy remained unresolved as reported in paragraph 1.2 above.

LEGAL AID FUND 2024

Objective of the Fund

The Fund was established to provide legal aid to persons who are eligible for such aid in connection with any criminal, civil or other related matter and to do all things necessary to promote the provision of legal aid.

Below is a summary of the Statement of Financial Performance and Statement of Financial Position for the year ended December 31, 2024.

Statement of Financial Performance

Item	**Amount ZWG**
Income	32 731
Expenditure	(170 143)
Deficit	**(137 412)**

Statement of Financial Position

Item	**Assets ZWG**	**Liabilities ZWG**
Current	3 020	-
Accumulated Fund	-	3 020
Total	**3 020**	**3 020**

I have audited the financial statements of the Legal Aid Fund for the year ended December 31, 2024, and I issued a quantified opinion.

Qualified Opinion

In my opinion, except for the effect of the matters described in the Basis for Qualified Opinion section of my report, the financial statements present fairly, in all material respects, the financial position of the Legal Aid Fund as at December 31, 2024, and its financial performance and its cash flows for the year then ended in accordance with the Public Finance Management Act [*Chapter 22:19*] and other relevant Statutory Instruments.

Basis for Qualified Opinion

(i) Unsupported Balances

Finding

The financial statements submitted for audit reflected an exchange rate loss of ZWG140 958 in the Statement of Financial Performance. However, no supporting documentary evidence was provided to substantiate the adjustments giving rise to this amount. In the absence of adequate supporting documentation, it was not possible to validate the accuracy and completeness of the exchange rate loss.

Risk/Implication

The financial statements could be misstated.

Recommendation

All the figures reported in the financial statements should be fully supported.

Management Response

The observation is noted. Ledgers and working papers for the period under review have now been availed for audit inspection.

Evaluation of Management Response

Management response cleared other issues raised. However, the exchange rate loss figure of ZWG140 958 reported in the financial statements remained unsupported.

(ii) Misstatements in Comparative Balances

Findings

A review of the currency conversion and recalculation of the Statement of Financial Position balances from Zimbabwe Dollar (ZWL$) to Zimbabwe Gold (ZWG) revealed material differences with the amounts disclosed in the financial statements. Cash and cash equivalent balances differed by ZWG132 790, while accumulated fund balances reflected a variance of ZWG133 092. The variances have the potential effect of misstating reported balances.

Furthermore, I noted that prior-period comparative balances converted and disclosed in ZWG currency were not supported by conversion workings or source documentation. There was no evidence to confirm that the conversion and restatement process complied with the guidance provided in Treasury Circular Number 1 of 2025, resulting in the reporting of incorrect and unsupported balances.

Treasury Circular number 1 of 2025 directed that assets and liabilities in the comparative period be translated from ZWL$ to USD at closing rate and then subsequently translated to ZWG at the prevailing rate on 5 April 2024. The circular further provided guidance on conversion of revenue and expenditure items which were supposed to be translated at a rate on transaction date or average rate.

Risk/Implication

Financial statements may be materially misstated and misleading to decision makers.

Recommendation

The Fund should ensure that conversion of comparative figures is in accordance with Treasury Circular Number 1 of 2025.

Management Response

The observation is noted. The Fund had negative balances totaling ZWG1 032 which reflected on our bank statements. However, the Fund stands guided on the variances.

(iii) Revenue

Findings

The Fund received contributions amounting to ZWL$9 691 000 during the year ended December 31, 2024. These amounts were incorrectly translated to ZWG3 878 using a single conversion rate of ZWG1 to ZWL$2 498.7242.

However, contributions revenue should have been restated by translating each transaction at the exchange rate prevailing on the date of the transaction, or by using an appropriate average rate from ZWL$ to USD, and thereafter translating the USD amount to ZWG at the prevailing exchange rate as at April 5, 2024.

The use of an inappropriate conversion methodology resulted in the misstatement of contributions revenue reported in the financial statements.

Risk/Implication

Financial statements may be materially misstated and misleading to decision makers.

Recommendation

The Ministry should ensure that the financial statements are prepared in accordance with the Treasury Circular Number 1 of 2025.

Management Response

The observation is noted. The Financial statements have since been corrected in accordance with the Treasury Circular Number 1 of 2025 and are ready for inspection.

Evaluation of Management Response

Management response is acknowledged. However, the financial statements were submitted with new balances which were not supported to verify how they had been arrived at.

Below are other issues noted during audit:

1. GOVERNANCE ISSUES

1.1 Contributions towards Legal Aid

Finding

A review of the receipt book, bank statements and ledgers revealed that from April 25, 2024, to December 31, 2024, the Fund was not receiving contributions despite rendering services. This was attributed to delays by the parent Ministry to issue a new schedule of fees in ZWG currency. Section 15 of the Legal Aid Act [*Chapter 7:*16] requires that in granting legal aid, any aided person contributes to the cost of that legal aid.

Risk/Implication

Service delivery may be compromised if contributions to legal aid costs are not paid.

Recommendation

The Fund should make a follow-up with Treasury so that those assisted with legal services contribute towards legal costs.

Management Response

The observation is noted. The Ministry will make sure that they receive contributions from indigent clients (needy persons) as regards the provision of services.

1.2 Accounting System

Finding

The Fund had no accounting package for the processing of financial transactions. Accounting Ledgers were maintained on Microsoft excel, which did not have adequate security controls for processing financial transactions. This was contrary to the provisions of Section 13(2) of the Public Finance Management (Treasury Instructions), 2019 which requires Statutory and other funds to utilize the Public Finance Management System.

Risk/Implication

Use of excel presents risks of high human error leading to potential financial inaccuracies and inefficiencies**.**

Recommendation

The Ministry should ensure that the financial transactions of the Fund are processed on the Public Financial Management System.

Management Response

The observation is noted. Management will engage Treasury on the use of the Public Financial Management System.

1.3 Accounting Officer's Instructions/Procedures Manual

Finding

As reported in my previous audit reports, the Fund continued to operate without an Accounting Officer's Instructions/Procedures Manual to provide guidance on maintenance of accounting records and preparation of financial statements. There was no evidence provided to show that efforts were being made to address the issue.

Risk/Implication

Public resources may not be properly accounted for in the absence of an Accounting Officer's Instructions/Procedures Manual for the Fund.

Recommendation

Management should consider coming up with an Accounting Officer's Instruction/Procedures Manual to guide the operations of the Fund.

Management Response

The observation is noted. This is work-in-progress as the process of developing the manual has been initiated.

2. PROGRESS IN ADDRESSING PRIOR YEAR AUDIT FINDINGS

The Fund made progress in addressing prior year audit findings. Out of seven (7) findings, four (4) were addressed and three (3) were not addressed as indicated below.

2.1 Accounting Ledgers

The Fund did not maintain accounting ledgers to support amounts presented in the financial statements. During the year under review ledgers were maintained on the excel spreadsheet.

2.2 Transfer to Treasury

An amount of ZWL$554 192 was transferred to Treasury during the year under review. This issue of transfers of legal fees to Treasury was resolved as no transfers were made during the 2024 financial year.

2.3 Accounting System

The Fund maintained records and prepared financial statements manually instead of using the Public Financial Management System. The issue has been raised on paragraph 1.2 above.

2.4 Accounting Officer's Instructions/Procedures Manual

The Accounting Officer's Instructions/Procedures Manual were still to be developed. The issue has been raised on paragraph 1.3 above.

2.5 Submission of Financial Statements

During the year under review delays in submission of financial statements were resolved as they were submitted within the statutory deadline.

2.6 Bank Reconciliation Statements

The issue of supervising the preparation of bank reconciliations was addressed.

2.7 Bank Overdraft

The issue recurred during the 2024 financial year and RBZ bank accounts were overdrawn by a total amount of ZWG1 032 as at December 31, 2024.

VOTE 21.- YOUTH EMPOWERMENT, DEVELOPMENT AND VOCATIONAL TRAINING

YOUTH DEVELOPMENT AND EMPLOYMENT CREATION FUND 2021, 2022, 2023 AND 2024

Objective of the Fund

The purpose of the Fund is to mobilise resources for on lending to youth business, projects and youths intending to start income generating projects and businesses and to finance programmes related to youth training to empower youth and create employment for them.

Below is a summary of Statement of Comprehensive Income and Statement of Financial Position for the year:

Statement of Comprehensive Income

Item	**Amount ZWG**
Income	102 496 638
Expenditure	89 177 912
Surplus	**13 318 726**

Statement of Financial Position

Item	**Assets ZWG**	**Liabilities ZWG**
Non-Current	9 617 322	922 296
Current	27 798 382	12 003 558
Accumulated Fund	-	24 489 850
Total	**37 415 704**	**37 415 704**

I have audited the financial statements of Youth Development and Employment Creation Fund for the years ended December 31, 2021-2024, and I issued an adverse opinion.

Adverse Opinion

In my opinion, because of the significance of the matters discussed in the Basis for Adverse Opinion section of my report, the financial statements do not present fairly, the financial position of the Youth Development and Employment Creation Fund as at December 31, 2021-2024, and its financial performance and its cash flows for the year then ended in accordance with the Public Finance Management Act [*Chapter 22:19*] and other relevant Statutory Instruments.

Basis for Adverse Opinion

(i) Conversion of Comparative Balances

Finding

The Fund did not follow the guidelines provided by Treasury Circular No. 3 of 2025 when it converted comparative balances from ZWL$ to ZWG as of December 31, 2023. The Circular required the 2023 comparative financial statements to be translated to USD on December 31, 2023, and then converted to ZWG using the interbank exchange rate on the date of the currency change. Contrary to this requirement, the Fund used a rate of ZWG 1: ZWL$2 498.7242 when converting comparative balances which was not the interbank exchange rate on the date of the currency change. As a result, the comparative balances brought forward were misstated.

Risk/ Implication

Misstatement of financial statements due to incorrect comparative and taken on balances.

Recommendation

Management of the Fund should calculate comparative figures in line with the conversion rates prescribed by Treasury Circular Number 3 of 2025.

Management Response

Management acknowledges the observation. The necessary adjustments have been effected and the financial statements have been resubmitted.

Evaluation of Management Response

Management response is acknowledged. However, the resubmitted financial statements did not follow the conversion process as provided in Treasury Circular No. 3 of 2025.

(ii) Biological Assets

Finding

The value of Biological Assets amounting to ZWG2 408 095 disclosed in the financial statements was not supported by stock records and valuation certificates. Livestock records would have shown additions, sales, deaths and balances on hand of the biological assets. As a result, I could not satisfy myself on the existence, accuracy and valuation of the biological assets and related fair value disclosed in the financial statements.

Risk/ Implication

The balance for biological assets disclosed in the financial statements could be misstated.

Recommendations

Management should ensure that balance for biological assets disclosed in the financial statements is supported by livestock records and valuation certificates.

Management Response

Management acknowledges the observation. Corrective measures have since been communicated to all Vocational Training Centres to ensure that livestock slaughtered for institutional consumption is properly accounted for through appropriate journal entries and supporting documentation.

(iii) Property, Plant and Equipment

Findings

Property, Plant and Equipment amounting to ZWG7 209 227 disclosed in the financial statements were not supported by ledgers and did not take into account the 2024 acquisitions amounting to ZWG6 293 632. In addition, the depreciation charge of ZWG1 505 803 could not be relied upon because it did not include acquisitions that were made during the year.

Further, Property, Plant and Equipment carrying amount as at January 1, 2024 of ZWG8 715 029 was at variance with the carrying amount as at December 31, 2023 of ZWG2 421 398. The misstatements on PPE balances are consistent with the findings raised in my 2023 report, which were not addressed. Consequently, the Property, Plant and Equipment balances disclosed in the financial statements could be inaccurate.

Risk/Implication

The balance for Property, Plant and Equipment disclosed in the financial statements could be misstated.

Recommendations

Management should maintain ledgers for Property, Plant and Equipment disclosed in the financial statements.

Management should ensure that the carrying amount of Property, Plant and Equipment acquired during the year is disclosed.

Management Response

Management acknowledges the observation. The Centres have now submitted the ledgers.

Evaluation of Management Response

Management response has been acknowledged. However, the ledgers were not availed for audit.

(iv) Disclosure of Production Units Income

Finding

All Vocational Training Centres did not disclose Production Units Income in the financial statements, despite undertaking poultry production projects and Chaminuka Vocational Training Centre has a vibrant tobacco production farm. I was therefore not able to ascertain the accuracy and completeness of Other Income balance of ZWG18 249 230 disclosed in the financial statements.

Risk/Implication

The income balances disclosed in the financial statements may be materially misstated.

Recommendations

The Vocational Training Centres should ensure that ledgers support the balances for Production Units Income and Other Income disclosed in the financial statements.

Management Response

Management acknowledges the observation. The Ministry received a recommendation to classify Production Units Income under "Other Income" in the financial statements. Accordingly, this income has been reported in the Notes to the Financial Statements.

Evaluation of Management Response

Management response is acknowledged. However, the ledgers were not availed for audit.

(v) Allowance for Expected Credit Losses

Finding

The Fund reported accounts receivable amounting to ZWG23 130 395 in the financial statements. However, management did not recognise an allowance for expected credit losses on accounts receivable. In addition, there was no formal policy for accounting for expected credit losses. Consequently, the accounts receivable disclosed in the financial statements were misstated.

Risk/Implication

The Accounts Receivable disclosed in the financial statements may be misstated.

Recommendations

Management should put in place a policy on allowance for credit losses.

Management should recognise an appropriate allowance for credit losses in the financial statements.

Management Response

Management acknowledges the observation. To strengthen compliance with the applicable financial reporting framework, management will conduct a comprehensive assessment of receivables at year end to determine the appropriate expected credit loss.

Going forward, management has started implementing a formal credit loss assessment process. The following practical and implementable strategies to strengthen debt recovery will be applied:

- **Establishment of a structures Accounts Receivable Management system.**
- **Introduce flexible payment plans**
- **Improve legal and administrative preparedness for recoverable debts.**

(vi) Expenditure Ledger Variances

Finding

In the 2023 financial year, variances were noted between the individual ledgers' balances from Vocational Training Centres and balances as per the financial statements. The Compensation of Employees balance as per the financial statements was ZWL$1 671 651 063 while the ledgers had ZWL$1 670 036 261 resulting in an unreconciled variance of ZWL$1 614 802. On the other hand, Institutional Provisions had an unreconciled variance of ZWL$24 502 574, the financial statements had a balance of ZWL$2 478 529 822 while the submitted ledgers had ZWL$2 454 027 248. As a result, I could not ascertain the accuracy of the balance for compensation of employees and institutional provisions disclosed in the financial statements.

Risk/ Implication

The balances for compensation of employees and institutional provisions disclosed in the financial statements may be misstated.

Recommendation

Management should investigate the variances and take corrective action.

Management Response

Management acknowledges the observation. Corrective action is being taken to address the identified anomalies.

(vii) Accounts Payable

Finding

In the 2022 financial year, there were three Vocational Training Centres namely Mashayamombe, Guyu and Umguza that disclosed in the financial statement Accounts Payable of ZWL$172 050, ZWL$1 176 984 and ZWL$2 949 respectively. However, the balances were not supported by creditors lists, showing who and how much was owed. As a result, the completeness and accuracy of the Accounts Payable balance disclosed in the financial statements of ZWL$54 948 103 could not be relied upon.

Risk/Implication

The Accounts Payable disclosed in the financial statements may be misstated.

Recommendation

Management should ensure that the Accounts Payable balance disclosed in the financial statements are supported by source documents such as creditors list.

Management Response

Management acknowledges the observation. The Vocational Training Centres will ensure that all the necessary documents for Accounts Payables are readily available.

(viii) Statement of Cash Flows

Findings

The statement of cash flows for 2021 had an amount of ZWL$27 144 075 (relating to acquisition of livestock, which was not adequately supported. The Note detailing the composition and breakdown of the livestock acquired was not provided. The explanatory Notes were incomplete therefore, I could not validate the amount disclosed as acquisition of livestock.

Furthermore, the opening balance of cash and cash equivalents was overstated by ZWL$533 343. The balance submitted for audit was ZWL$7 804 063 whilst the audited comparative financial statements had a balance of ZWL$7 270 721.

Risk/Implication

The financial statements may be misstated.

Recommendation

The Fund should investigate and reconcile the difference.

Management Response

The value of ZWG1 185 arose from the certified financial statements for the year 2020, wherein cash and cash equivalents were reflected as ZWG17 335 in the Statement of

Financial Position and ZWG16 150 in the Statement of Cash Flows. The correct cash and cash equivalents were those reflected in the Statement of Financial Position for 2020. To ensure correct opening balances (take on balances), the Ministry corrected the certified Statement of Cash Flows for the year ended December 2020 due to the identified error.

Evaluation of Management Response

The variance of ZWL$533 342 was not corrected. No resubmitted financial statements were given to auditors.

Below are other issues noted during the audit:

1. GOVERNANCE ISSUES

1.1 Accounting Package

Finding

The Fund maintained its accounting records manually instead of the recommended Public Financial Management System (PFMS) used by Government to record transactions in the cashbook, journal and the ledgers or an alternative accounting package which is robust. Section 13(2) of the Public Finance Management (Treasury Instruction), 2019 requires that all Statutory and other funds shall use PFMS unless authorized by Treasury to run independent systems.

Risk/ Implication

The manual accounting system is susceptible to human errors and manipulation resulting in the credibility of the financial statements being compromised.

Recommendation

The Fund should use the PFMS to record transactions as that is the system being used by Government.

Management Response

Management acknowledges the observation. The Ministry engaged Treasury seeking authority to use Pastel Accounting Package owing to the remoteness of some of the Vocational Training Centres. However, Treasury directed the Ministry to engage the Director (PFMS) regarding available options to ensure that the Training Centres are connected to the PFMS system. Correspondence was sent to the PFMS Department requesting that the Fund be configured on the system to ensure transparency and accountability in the operations of each Training Centre. Auditors were provided copies of the correspondences.

1.2 Staff Vacancies

Finding

Chinhoyi Vocational Training Centre has been operating without a substantive Head since 2017. In addition, Avoca Vocational Training Centre was operated with eight (8) staff members out of thirteen (13) as per the staff establishment and without security personnel. The institute's 28-hectare premises has been exposed since 2022. This posed a major threat to the assets because of the absence of security.

Risks/ Implications

Service delivery may be compromised due to leadership gaps.

Assets may not be adequately safeguarded in the absence of security.

Recommendation

Management of the Fund should ensure that all vacant post have been filled to enhance efficiencies at the Centre.

Management Response

Management acknowledges the audit finding. The Ministry has been actively engaging the Public Service Commission with a view to filling the vacant posts. In 2026, the Ministry was allocated posts but still awaits Treasury concurrence to enable the filling of the vacant posts.

The Chinhoyi Vocational Training Centre's establishment is 13 but at the moment 8 people are in post. In our report we requested 4 security personnel as the centre is at risk.

1.3 Management Committee

Finding

The Fund operated without a Management Committee in place. This committee is responsible for the overall direction and management of the Fund. Section 118 of the Public Finance Management Act (Treasury Instructions), 2019 requires that Accounting Officers be responsible for setting up competent management committees to manage the affairs of Funds within their respective Ministries.

Risk/Implication

The absence of a Management Committee may result in the Fund failing to achieve its objectives.

Recommendation

The Fund should ensure that a competent Management Committee with requisite qualifications, skills and gender balance is appointed to manage the affairs of the Fund.

Management Response

The observation is acknowledged. Management Committee will be appointed by the Fund.

1.4 Fuel Management

Findings

Field visits carried out revealed that fuel coupons allocation at Avoca, Umguza, Phangani and Guyu Vocational Training Centres were not accompanied by issue vouchers or requisitions. In addition, some stations were using cash to purchase fuel without proper documentation which shows requisitioning officer, approval and registration number of vehicle allocated fuel. Section 104 (1) Public Finance Management Act [*Chapter 22:19*] requires that all Ministries, Departments and Agencies shall keep a record of fuel coupons received and issued in sequential order.

Furthermore, fuel allocations at Avoca, Umguza, Phangani and Guyu Vocational Training Centres were not accompanied by issue vouchers or requisitions. Section 104 (1) Public Finance Management Act [*Chapter 22:19*] requires that all Ministries, Departments and Agencies to keep a record of fuel coupons received and issued in sequential order.

Risks/Implications

Fuel coupons may be misappropriated if issues are not being accompanied by issue vouchers.

Accounting for fuel expenditure on a cash basis may result in fuel transactions not properly recorded, monitored, and reconciled.

Recommendation

Management must ensure that all fuel issues are accompanied by supporting documents and its properly being accounted for.

Management Response

Management acknowledges the observation. Vocational Training Centres will ensure that, going forward, all fuel transactions are supported by approved requisitions, issue vouchers, and relevant receipts to strengthen internal controls and enhance accountability, however some centres are in areas where fuel coupons cannot be redeemed.

Management acknowledges the observation. The Ministry has put in place controls to ensure that fuel issuance is always recorded and accompanied by issue vouchers. Management controls and oversight in the registers have been strengthened.

2. REVENUE COLLECTION AND DEBT RECOVERY

2.1 Trade Receivable

Finding

Trade Receivable balance increased by over 100% to ZWG23 130 395 (2023: ZWG5 876 558; 2022: ZWG401 184; 2021: ZWG50 582). Section 49(2) of the Public Finance Management (Treasury Instructions), 2019 states that Officers responsible for collecting debts shall take adequate steps to collect any sums due to the Government on due date.

Risks/Implications

The continued increase in trade receivable will result in loss of revenue value due to inflation.

Financial loss due to non-recovery of debts.

Recommendation

Management should implement a robust debt management system to ensure that all outstanding debtors are recovered.

Management Response

Management acknowledges the observation. The Fund through the use of a manual system was subjected to challenges which limited the timely identification of potentially delinquent accounts.

Notwithstanding the above, the Ministry is implementing robust measures to enhance revenue collection and prevent the continued exponential growth of unpaid fees. These measures for the management of debtors, as well as implementing early warning and reminder mechanisms, among other initiatives.

3. PROGRESS MADE IN ADDRESSING PRIOR YEAR AUDIT FINDINGS

The Fund did not make progress in addressing audit findings raised in my previous audit report. Out of eight (8) findings, all were not addressed as indicated below:

3.1 Biological Assets

Livestock returns and valuation certificates were not availed for audit. The issue was raised on paragraph (ii) above.

3.2 Property Plant and Equipment

The finding was not addressed as the misstated balances in the financial statements were not corrected as indicated on paragraph (iii) above.

3.3 Disclosure of Production Units Income

The finding non maintenance of revenue ledgers was not addressed. The issue was raised on paragraph (iv).

3.4 Expenditure Variances

The variances in expenditure ledgers were not reconciled. The issue was raised on paragraph (v).

3.5 Accounting Package

Vocational Training Centres remained unconnected to PFMS. The issue was raised on paragraph 1.1.

3.6 Staff Vacancies

The finding was not addressed as the vacant positions were not filled. The issue was raised on paragraph 1.2.

3.7 Management Committee

The finding was not addressed as the management committee was not in place as shown on paragraph 1.3.

3.8 Trade Receivable

The finding was not addressed as the debts continued to increase, and no debt management system had been put in place. The issue was raised on paragraph 2.1.

VOTE 24.- NATIONAL HOUSING AND SOCIAL AMENITIES

CIVIL SERVICE HOUSING LOAN FUND 2024

Objective of the Fund

The Fund was established to provide funding for Civil Servants towards land purchase, construction or completion of house extensions, house purchase and mortgage relief of first house.

Below is a summary of Statement of Comprehensive Income and Statement of Financial Position for the year:

Statement of Comprehensive Income

Item	Amount ZWG
Income	123 983
Expenditure	9 848
Surplus	**114 135**

Statement of Financial Position

Item	Assets ZWG	Liabilities ZWG
Non-Current	2 029 235	-
Accumulated Fund	-	2 510 439
Current Assets	698 291	217 087
Total	**2 727 526**	**2 727 526**

I have audited the financial statements for the Civil Service Housing Loan Fund for the year ended December 31, 2024, and I issued an unmodified opinion.

Opinion

In my opinion, the financial statements present fairly, in all material respects, the financial position of the Civil Service Housing Loan Fund as at December 31, 2024, its financial performance and its cash flows for the year then ended in accordance with the Public Finance Management Act [Chapter 22:19] and other Statutory Instruments.

Below are issues noted during the audit:

1. GOVERNANCE ISSUES

1.1 Maintenance of Accounting Records

Findings

The Fund maintained its cashbooks on Microsoft Excel spreadsheet, which is susceptible to manipulation. The explanation given was that the Promun system cashbook had not been configured correctly from ZWL$ to ZWG leading to distorted figures. Consequently, the integrity of the Excel cashbook figures for the period under review could be compromised due to limited controls in Excel.

In addition, there was no evidence that senior officials were reviewing accounting records as required by Section 29(4)(d) of the Public Finance Management (Treasury Instructions), 2019.

Risk/Implication

Transactions processed on excel spreadsheet may be susceptible to human errors and manipulation thereby compromising the financial information.

Recommendations

Management should put in place a credible accounting system to enhance the reliability of the financial information.

Independent reviews of accounting records should be done to minimize errors.

Management Response

The observation is noted. The Fund will migrate its financial transactions to the Public Financial Management System (PFMS), once the Central Computing Services (CCS) is done with the configurations of the Funds Accounts.

Reviews were done periodically and the reviewed copies are available for inspection.

Evaluation of Management Response

Management response is acknowledged, however, reviewed copies were not availed for audit.

2. REVENUE COLLECTION AND DEBT RECOVERY

2.1 Interest Received

Finding

The Fund took over three (3) months to receipt funds which were deposited directly into the Fund's bank account. This was caused by delays in the configuration of the system to the ZWG. Furthermore, there was a delay in uploading revenue receipted in the Promun system. Section 43(2) of the Public Finance Management (Treasury Instruction), 2019 requires manually issued receipts to be posted onto the PFMS within three (3) working days of issue of such receipt.

Risk/Implication

Failure to receipt funds timeously may result in misappropriation of funds through theft or fraud.

Recommendation

The Fund should ensure that all bank deposits are receipted timeously.

Management Response

The observation is noted. Due to the migration from ZWL$ to ZWG on April 5, 2024, configurations in the system to incorporate the effected changes took long to complete resulting in delays in receipting and billing respectively.

3. PROGRESS IN ADDRESSING PRIOR YEAR AUDIT FINDINGS

The Fund made progress in addressing audit findings raised in my previous audit report. Out of three (3) issues raised, two (2) were addressed and one (1) was partially addressed as indicated below:

3.1 Recovery of claims

The issue was partially addressed as the Fund was in the process of reviewing claims to recover from the insurance company.

3.2 Utilisation of funds

The issue was addressed. The Funds were disbursed to the various Ministries in 2025.

3.3 Disclosure of Assets

The issue was addressed as the assets register is now being maintained.

NATIONAL HOUSING FUND 2023

Objective of the Fund

The National Housing Fund assists with the development of housing schemes and ancillary services in terms of the Housing and Building Act [*Chapter 22:07*].

Below is a summary of Statement of Comprehensive Income and Statement of Financial Position:

Statement of Comprehensive Income

Item	**Amount ZWL$**
Income	194 574 134
Expenditure	239 704 045
Deficit	**(45 129 911)**

Statement of Financial Position

Item	**Assets ZWL$**	**Liabilities ZWL$**
Non-Current	306 407 434	-
Revaluation Reserve	-	75 488 056
Capital Grant	-	44 922 551
Accumulated Fund	-	353 284 450
Current	723 561 591	556 273 968
Total	**1 029 969 025**	**1 029 969 025**

I have audited the financial statements of the National Housing Fund for the year ended December 31, 2023, and I issued a qualified opinion.

Qualified Opinion

In my opinion, except for the effects of the matters described in the Basis for Qualified Opinion section of my report, the financial statements present fairly, in all material respects, the financial position of the National Housing Fund as at December 31, 2023 and its financial performance and its cash flows for the year then ended in accordance with the Public Finance Management Act [*Chapter 22:19*] and other Statutory Instruments.

Basis for Qualified Opinion

(i) Accounting Records

Findings

The Fund did not avail ledgers to substantiate accounts receivable amounting to ZWL$96 835 727 reported in the financial statements. Further, no rent returns for Harare Metropolitan, Midlands, Mashonaland East and Matabeleland South were availed to support the rent receivable and revenue amounts in the financial statements. I was unable to verify the accuracy and completeness of the account balance presented in the financial statements.

Further, the Fund did not provide a ledger where all rental information from all provinces was recorded. As a result, the rent receivable of ZWL$91 612 064 disclosed in the financial statements could not be verified.

Risks/ Implications

Financial statements could be misstated.

Transparency and accountability in management of public resources may be compromised.

Recommendations

Management should ensure that the accounting ledgers supporting amounts in the financial statements are availed for audit.

The Fund should keep records of all transactions for accountability purposes.

Management Response

The observation is noted. Kindly take note that rent receivable appears on the rent returns submitted as at December 31, 2023.

The observation is noted. The supporting documents for rent debtors for all provinces have been availed for audit inspection.

Evaluation of Management Response

Management response is acknowledged, however, no ledgers were provided for audit.

(ii) **Valuation of Properties**

Finding

The Fund operated without a revaluation policy to guide the valuation of properties, which is necessary to ensure that financial statements accurately reflect their current fair value. Properties were last revalued in 2010. I could not ascertain the accuracy of the value of the properties of ZWL$306 344 934 disclosed in the financial statements.

Risk/ Implication

Inaccurate property values could be disclosed thereby misstating the financial statements.

Recommendation

A policy on revaluation of property should be put in place to have realistic values on the Fund's properties.

Management Response

The observation is noted. The Ministry is in the process of crafting a valuation policy which will enable valuation of assets every 5 years.

Below are other issues noted during the audit:

1. GOVERNANCE ISSUES

1.1 Accounting System

Findings

The Fund did not migrate its financial transactions from Promun to the Public Financial Management System (PFMS) as required by Sections 13(2) and 119(1) of the Public Finance Management (Treasury Instruction) 2019 which requires all Fund financial transactions be accounted for through the PFMS.

Further, the Fund maintained its cashbooks on a Microsoft Excel spreadsheet, which did not have adequate security features. The explanation that was provided was that the Promun system cashbook had not been configured correctly from ZWL$ to ZWG leading to distorted figures. Consequently, the integrity of the excel cashbook figures submitted for the period under review could be compromised due to limited controls in excel.

There was also no evidence that accounting records were reviewed by senior officials. Section 29(4)(d) Public Finance Management (Treasury Instructions), 2019 requires management to put in place systems of internal checks and control on financial administration.

Risk/Implication

Failure to use an approved accounting system could result in manipulation of records, thereby affecting accuracy and completeness of data.

Recommendations

Management should ensure that the Fund's records are maintained in the PFMS to enhance data integrity and compliance with the regulations.

Management should ensure that Promun system cashbook is configured correctly.

In addition, independent reviews of accounting records should be done.

Management Response

The observation is noted. The approved budget for the period was uploaded in the PFMS system, and the payments were processed through PFMS and paid using the RBZ platform, except for those done on behalf of the Appropriation.

With regards to cashbooks, The Fund is currently operating outside the system due to an error encountered during the configuration of the ZWL$-ZWG conversion leading to distorted figures. The service provider is currently working on the database to rectify the issue.

Evaluation of Management Response

Management response is acknowledged. However, the issue on the cashbook that was maintained on an excel spreadsheet was not responded to.

1.2 Advances to Parent Ministry

Finding

The Fund made payments of ZWL$51 689 413 on behalf of the Appropriation Account during the year under review. At the time of concluding my audit on October 09, 2025, this amount was still outstanding. There was no evidence that prior Treasury authority had been sought to utilise the funds as required by Section 116(9) of the Public Finance Management (Treasury Instructions), 2019.

Risks/ Implications

Unauthorised expenditure could be incurred if funds are advanced without Treasury authority.

The Fund may fail to meet its objectives if the parent Ministry does not reimburse the outstanding amounts.

Recommendations

The Fund should seek Treasury authority before funds can be advanced to the parent Ministry.

Management should ensure that the amount is reimbursed and channelled towards meeting the Fund's objectives.

Management Response

The observation is noted. Arrangements to reimburse the Fund were made, however the processed amounts from Appropriation failed to get funding towards year end resulting in the transactions being reversed in the system.

1.3 Casual Workers

Finding

The Fund paid ZWL$2 342 668 446 as wages for casual workers without supporting documentation. I could not therefore determine the accuracy of the disbursed amount.

Risk/Implication

Financial statements could be misstated.

Recommendation

The Fund should provide documentation to support disbursements made to casual workers during the year.

Management Response

The observation is noted. The Fund is carrying out a reconciliation of the transactions and creating a separate record of the income and disbursements of the casual workers' wages.

1.4 Notes to the Financial Statements

Finding

The Notes to the financial statements were not clear and informative. Several disclosures were not detailed nor explained, making it difficult to fully understand the underlying transactions, accounting policies, and balances presented in the financial statements. Notes to the financial statements should provide relevant, reliable, comparable, and understandable information to users, including clear descriptions of accounting policies, assumptions, and significant judgments. Section 154(4) of the Public Finance Management (Treasury Instructions), 2019 requires financial statements to be submitted with notes comprising a summary of significant accounting policies and other explanatory details.

Risk/Implication

Users may misinterpret financial information due to reduced transparency and accountability.

Recommendation

Management should improve the quality of financial statement disclosures by ensuring that notes are comprehensive, clear, and aligned with applicable standards.

Management Response

The observation is noted. Going forward, the financial statements will be corrected.

2. REVENUE COLLECTION AND DEBT RECOVERY

2.1 Outstanding Revenue

Finding

The Fund had outstanding revenue amounting to ZWL$329 705. The amount has remained outstanding since 2022. There was no evidence that follow-ups on the outstanding amounts were being done. Section 49(2) officers responsible for collecting debts to take adequate steps to collect any sums due to the Government.

Risk/Implication

If recovery action is not taken timeously, amounts would be eroded by inflation.

Recommendation

The Fund should consider taking more proactive action to recover outstanding debts as required by Treasury Instructions.

Management Response

The observation on outstanding rent arrears has been noted. The root cause is the fact that most tenants occupying the National Housing Fund properties are not civil servants and their rent cannot be deducted through SSB deduction facility. Further, payment of rentals during 2019-2021 was impacted by the COVID-19 restrictions, as these tenants were supposed to pay at the offices. However, the Fund is in the process of recovering the rental arrears by issuing dunning letters.

3. PROGRESS IN ADDRESSING PRIOR YEAR AUDIT FINDINGS

The Fund made progress in addressing findings raised in my previous year audit report. Out of three (3) findings, two (2) were addressed and one (1) was partially addressed as indicated below:

3.1 Deposits Held Account

The issue was resolved as the financial statements were corrected.

3.2 Segregation of Duties

The issue was addressed and there is now clear segregation of duties.

3.3 Rent Receivable

The issue was partially addressed as a system upgrade was done in January 2024 and is still being developed to address the issue of age analysis.

VOTE 25.- VETERANS OF THE LIBERATION STRUGGLE AFFAIRS

VETERANS OF THE LIBERATION STRUGGLE FUND 2024

Objective of the Fund

The Fund was established for the purpose of rendering financial assistance to War Veterans and their dependents in terms of the Veterans of the Liberation Struggle Act [*Chapter 17:12*]. The assistance may be in the form of loans or grants to finance income generating projects, funeral expenses, manpower development and physical, mental or social rehabilitation of war veterans.

Below is a summary of Statement of Comprehensive Income and Statement of Financial Position for the year 2024:

Statement of Comprehensive Income

Item	**Amount ZWG**
Income	117 174 299
Expenditure	116 899 870
Surplus	**274 429**

Statement of Financial Position

Item	**Assets ZWG**	**Liabilities ZWG**
Non-Current	1 391 702	1 161 406
Accumulated Deficit	**-**	(20 949 007)
Revaluation Reserve	**-**	406 781
Current	1 052 116	21 824 638
Total	**2 443 818**	**2 443 818**

I have audited the financial statements of the Veterans of the Liberation Struggle Fund for the year ending December 31, 2024, and I issued a qualified opinion.

Qualified Opinion

In my opinion, except for the effects of the matters described in the Basis for Qualified Opinion section of my report, the financial statements present fairly, in all material respects, the financial position of the Veterans of the Liberation Struggle Fund as at December 31, 2024, and its financial performance and its cash flows for the year then ended in accordance with the Public Finance Management Act [*Chapter 22:19*] and other relevant Statutory Instruments.

Basis for Qualified Opinion

(i) Investment

Findings

The Statement of Financial Position as at December 31, 2024, reflected an investment with a carrying amount of ZWG569. The reported dividend income of ZWG402 128 was inconsistent with the investment's carrying amount of ZWG569, indicating unreliable financial reporting, as disclosed in the Statement of Financial Performance. Management did not provide sufficient evidence to verify the existence, valuation, ownership, or classification of the investment.

Additionally, the Fund did not perform periodic revaluations in line with best practice, further preventing confirmation that the investment is fairly stated. Consequently, adequate audit evidence regarding the accuracy and valuation of the investment could not be obtained.

Risks/Implications

Financial statements could be misstated.

Reliability and transparency of financial statements could be compromised thereby potentially misleading users of the financial statements.

Recommendations

Management should develop and formally approve an investment policy in line with best practice clearly outlining the recognition, classification, measurement, and disposal of investments.

Management should also ensure that all investments are appropriately valued, classified or reclassified where necessary, and fully disclosed in the notes to the financial statements, supported by adequate documentation and approvals.

Management Response

The observation is noted. The Ministry is currently in the process of developing an investment policy. In addition, management measures the investment at fair value in accordance with best practice and includes all required disclosures related to the investment. In the meantime, the Ministry is collecting the key information relevant to the investment.

Evaluation of Management Response

The response partially addresses the audit concerns. The response does not provide sufficient evidence to substantiate the existence, ownership, and classification of the investment, nor does it address the significant inconsistency between the carrying amount and the reported dividend income. In addition, there is limited clarity regarding the valuation approach to be applied or the treatment of potential prior period misstatements. Furthermore, the response lacks completeness, as it does not outline clear timelines or firm commitments to resolve the identified documentation and reporting deficiencies.

(ii) Depreciation Policy and Asset Valuation

Finding

The Fund disclosed Property, Plant and Equipment with a carrying amount of ZWG1 391 133 as at December 31, 2024. The Fund had no accounting policy on depreciation as a result; depreciation expense was not accounted for in the financial statements to depict the utilization of economic benefits through use of the assets. In addition, I was not availed with evidence of revaluation in the form of revaluation report to support the revalued amounts of Land and Buildings amounting to ZWG406 868, Office Equipment amounting to ZWG983 052 and Motor Vehicles amounting to ZWG1 233 disclosed in the financial statements. As a result, I could not ascertain the valuation of Property, Plant and Equipment disclosed in the financial statements.

Risk/Implication

Financial statements could be misstated due to inaccurate depreciation charges and PPE values.

Recommendations

Management should develop, approve, and consistently apply formal Property, Plant and Equipment (PPE) depreciation and valuation policy in line with best practice.

Depreciation methods, useful lives, and residual values should be clearly defined and reviewed periodically.

All PPE balances should be supported by verifiable documents, including valuation reports for revalued assets and cost or fair value evidence for other asset classes.

Management Response

The observation is acknowledged. The Ministry is currently in the process of adopting IPSAS as its reporting framework. In developing accounting policies, the Ministry is guided by the Zimbabwe Financial Reporting Framework. The Ministry will produce IPSAS-compliant financial statements in 2025, including clearly defined depreciation policies to ensure full compliance with the IPSAS.

Evaluation of the Management response

Management did not address the issue relating to the lack of supporting documents to substantiate the valuation basis applied to the items of Property, Plant and Equipment (PPE).

(iii) Supporting Documents

Finding

Acquittal documents supporting allowances disbursed to vetting officials in Harare, Midlands, Masvingo, and Mashonaland East Provinces, totalling ZWG3 493 346, were not submitted for audit examination. As a result, I could not ascertain the validity, propriety, and completeness of the payments made to the vetting officials. Section 65(15) of the Public Finance Management (Treasury Instructions), 2019 requires acquittals to be made within 30 days.

Risk/Implication

The disbursed advance payments remain unaccounted for as legitimate expenditure exposing funds to misappropriation.

Recommendation

Management should ensure that all vetting allowances are acquitted within thirty (30) days, in compliance with Section 65(15) of the Public Finance Management (Treasury Instructions), 2019.

Management Response

The observation is noted. Attendance registers were unavailable during audit as they were submitted to Head Office. Going forward, duplicate copies will be kept at provincial offices and Head Office, supported by a standardized filing system and clear instructions. Expense claims will be cross-checked against attendance registers via formal reconciliation, with quarterly internal reviews ensuring compliance.

Evaluation of the Management Response

Management response is acknowledged. However, these actions were not supported by audit evidence at the time of review. Attendance registers were not available at Head Office as stated, raising concerns over the existence and effectiveness of the proposed controls. Consequently, the issue remains partially unresolved, and the risk of unsupported or inaccurate expense claims persists until management provides verifiable evidence that the controls have been fully implemented and are operating effectively.

Below are other issues noted during the audit:

1. GOVERNANCE ISSUES

1.1 Database

Finding

I noted that Masvingo and Bulawayo Provinces did not maintain a comprehensive and up-to-date database/register of all Veterans of the Liberation Struggle within the Provinces, contrary to Section 7(1) of the Veterans of the Liberation Struggle Act [*Chapter 17:12*], which requires the responsible officer to keep registers of veterans. I was unable to verify whether beneficiaries were bona fide war veterans.

Risks/ Implications

The ineligible individuals may access benefits while legitimate veterans are being excluded from accessing benefits.

Inadequate registers may negatively affect the planning, monitoring and reporting of Veterans programmes and funding.

Recommendations

Management should develop, maintain, and regularly update a provincial database/register of all Veterans of the Liberation Struggle, in line with the requirements of Section 7(1) of the Act.

The province should also implement controls for continuous updating, verification, and reconciliation of veteran information to ensure accuracy, completeness, and compliance.

Management Response

The observation is noted. Masvingo Province relies on the National Binder and documents to verify beneficiaries due to absence of veterans' database. Bulawayo Province is awaiting an Electronic Management Information System, to assist in verifying war veterans through liaison with the Pensions Office and Head Office.

Both provinces face challenges without an electronic database, but are taking steps to improve verification and tracking, anticipating a future electronic system to enhance efficiency and accuracy.

1.2 Staff Shortages in District Offices

Finding

I noted that Chiredzi and Zaka district offices did not have District Field Officers (DFOs) during the year under review. DFOs play a critical role in initiating and processing documentation for education fees, funeral assistance, and medical expenses for beneficiaries. The absence of these officers resulted in gaps and delays in the processing and verification of beneficiary requests.

Risks/Implications

There could be delays in service delivery to beneficiaries due to lack of personnel responsible for initiating and processing claims.

Without verification of the acquittal documentation, there is a heightened risk of incomplete, inaccurate, or improperly authorized claims being processed.

Fraudulent or ineligible claims may be processed due to weak controls.

Recommendation

Management should prioritise the appointment or deployment of District Field Officers to Chiredzi and Zaka District Offices to ensure effective processing, verification, and documentation of beneficiary support requests.

Management Response

The observation is noted. The vacant posts at Chiredzi and Zaka district offices were reported to Head Office. The Provincial Office awaits feedback from the Director of Human Resources and the Public Service Commission, who have been informed of the vacancies.

1.3 Financial Statements Analysis

Findings

My analysis of the Masvingo provincial financial statements revealed that the statements were prepared on a cash basis, resulting in understatement of reported expenditure amounting to ZWG534 865. Specifically, accrued expenditure for funeral and medical expenses was not recognised, even though the obligations had already been incurred. This treatment did not present a true and a fair view of the province's financial position and performance.

In addition, the review of the Bulawayo Provincial Office financial statements showed that the opening Accumulated Fund balance of ZWG196 498 as of January 1, 2024, was presented without supporting comparative financial information or the computation showing how the amount was arrived at. Section 157(2)(c) of the Public Finance Management (Treasury Instructions), 2019, requires Accounting Officers to establish and maintain cost-effective internal controls capable of preventing or detecting accounting errors.

Risks/Implications

The expenditure of the province may be understated leading to misrepresentation of the true cost of provincial operations.

Inappropriate decisions may be made based on incomplete or misleading financial information.

Lack of supporting documents for opening balances increases the risk of material misstatements in the financial statements.

Recommendations

The Fund Management should implement controls for capturing, monitoring, reconciling and accounting for incurred but unpaid expenses including funeral and medical obligations,

The variance should be investigated, and the financial statements should be amended.

The Fund Management should ensure that opening balances are fully supported by comparative financial information and appropriate documentation.

Management Response

The observation is noted: The misstatement resulted from late community claims, funding constraints, and limited veteran awareness of procedures and deadlines. Funds were correctly classified as payables, and the suspense amount has been corrected.
On January 1, 2024, the accumulated fund balance of ZWG196 498 equalled total assets (bank balance translated using official ZWL$-ZWG exchange rates).

Evaluation of the Management Response

Management *response is acknowledged. The Accumulated Fund is the difference between the total assets and the total liabilities, that is the net assets. The response did not consider the liabilities that were recognised as at January 01, 2024.*

1.4 Expenditure

Finding

I noted that payment vouchers amounting to ZWG540 807 were processed and paid without the required supporting documentation. Section 53(1) of the Public Finance Management (Treasury Instructions), 2019, requires that all financial transactions be adequately supported by relevant source documents.

Risks/Implications

Financial statements may be misstated.

Irregular or unauthorised payments may be processed, leading to possible misuse of public funds.

Recommendation

The Fund should attach supporting documentation when making payments.

Management Response

The observation is noted. Medical expenses amounting to ZWG540 807 were not supported by pharmacy receipts at the time of audit. Management indicated that the matter will be addressed in 2026. The Midlands Provincial Office acknowledged the finding and advised that authority had been sought from the Director of War Veterans' Affairs to regularise the expenditure.

2. PROGRESS IN ADDRESSING PRIOR YEAR AUDIT FINDINGS

The Ministry did not address all the twelve (12) findings raised in my previous report as indicated below:

2.1 Depreciation Policy and Valuation of Assets

The Fund did not apply a depreciation policy to its Property, Plant, and Equipment (PPE) and there was no documentary evidence to confirm that a valuation exercise had been conducted. Consequently, the matter remained unresolved and has been reported in paragraph (ii) of this report.

2.2 Standard Operating Procedures Manual

The Standard Operating Procedures (SOP) manual to guide accounting and administrative operations of the Fund had still not been established at the conclusion of the current audit, the leaving the matter unresolved.

2.3 Education Assistance

The Fund failed to reconcile fees report to the register of beneficiaries for the Education Assistance resulting in errors and omissions in the reported balances. The finding remained unresolved at the completion of the current audit.

2.4 Medical Expenses

Documentary evidence to support medical expenditure for Mashonaland West and Matabeleland South provinces, had still not been availed, hence the issue remained outstanding although a follow up was made during the current audit.

2.5 Internal Controls

The accounting records were not being properly maintained at the Mashonaland West and Matabeleland Provincial Offices due to the absence of supervisory controls and review of financial records. The progress on addressing the finding was not evaluated.

2.6 Monitoring and evaluation

The Fund's management did not conduct visits to schools and colleges in Mashonaland East Province to verify the authenticity of student records held at the Provincial Office against the actual number of beneficiaries enrolled at the institutions. The finding was not addressed at the conclusion of the current audit.

2.7 Service Delivery

The Zvimba and Chegutu Districts were not adequately providing service to Fund Beneficiaries in their respective communities due to the unavailability of operational offices for the District Field Officers. The issue remained outstanding at the conclusion of the current audit.

2.8 Maintenance of Accounting Records

The finding was not addressed as fund officials failed to submit documentary evidence to substantiate items of Property, Plant and Equipment and Trade Payables.

2.9 Supervision of work

No supervisory controls were implemented for financial transactions, leaving the finding unresolved.

2.10 Use of manual system by the Fund

The Fund continued to use a manual system for accounting, leaving the finding unresolved.

2.11 Management of Biological Assets

The contract agreements for the purchase of cattle from Mswelangubo Farm were not availed for audit hence the issue remained outstanding at the conclusion of the current audit.

2.12 Record keeping

The finding was not addressed as the financial statements were prepared from the manual cashbook as the Fund did not have general ledger accounts.

VOTE 30.- PUBLIC SERVICE COMMISSION

CIVIL SERVICE TRAINING LOAN FUND 2024

Objective of the Fund

The main purpose of the Fund is to provide loans at interest rates up to a maximum determined from time to time by the Secretary to the Public Service Commission with the approval of the Ministry of Finance, to enable Civil Servants and Officers of Parliament to obtain such qualifications as may be prescribed by the Public Service Commission.

Below is a summary of the Statement of Comprehensive Income and Statement of Financial Position for the year ended December 31, 2024.

Statement of Comprehensive Income

Item	Amount ZWG
Income	145 945
Expenditure	3 005
Surplus	**142 940**

Statement of Financial Position

Item	Assets ZWG	Liabilities ZWG
Current	199 200	5 250
Accumulated Fund	-	193 950
Total	**199 200**	**199 200**

I have audited the financial statements of the Civil Service Training Loan Fund for the year ended December 31, 2024, and I issued an unmodified opinion.

Opinion

In my opinion, the financial statements present fairly, in all material respects, the financial position of the Civil Service Training Loan Fund as at December 31, 2024, and its financial performance and its cash flows for the year then ended in accordance with the Public Finance Management Act [*Chapter 22:19*] and other relevant Statutory Instruments.

Below is an issue noted during the audit:

1. REVENUE COLLECTION AND DEBT RECOVERY

1.1 Interest Income

Finding

The Fund used a software package, which could not separate interest from principal on loans issued. The interest was calculated using an excel spreadsheet which is susceptible to errors and information manipulation. This matter was raised in my previous reports and those charged with governance of the Fund were yet to take an action on the matter.

Risk/Implication

Misstatement of interest income in the financial statements.

Recommendation

Management should make use of a system that separates interest from the principal amount when calculating and apportioning interest income.

Management Response

Management acknowledges the observation. The Fund engaged the agents of the software in use for reconfiguration.

2. PROGRESS IN ADDRESSING PRIOR YEAR AUDIT FINDING

The Fund did not address one (1) finding that was raised in my previous audit report as indicated below:

2.1 Interest Income

The Fund did not address the issue of the computerised system which could not calculate and apportion interest earned on training loans disbursed. The issue has been reported under paragraph 1.1. above.

GOVERNMENT EMPLOYEES' MUTUAL SAVINGS FUND 2023 AND 2024

Objective of the Fund

The purpose of the Fund is to provide concessionary loans to contributing members within the civil service, in the process guaranteeing (through investments) their defined contribution upon termination of employment.

Below is a summary of the Statement of Comprehensive Income and Statement of Financial Position for the year 2024.

Statement of Comprehensive Income

Item	Amount ZWG
Income	48 572 517
Expenditure	6 712 802
Surplus	**41 859 715**

Statement of Financial Position

Item	Assets ZWG	Liabilities ZWG
Non-current	85 444 834	119 671 549
Current	120 989 781	1 132 441
Accumulated Fund	-	85 630 625
Total	**206 434 615**	**206 434 615**

I have audited the financial statements of the Government Employees Mutual Savings Fund for the year ended December 31, 2023, and 2024 and I issued a qualified opinion.

Qualified Opinion

In my opinion, except for the effects of the matter described in the Basis for Qualified Opinion section of my report, the financial statements presents fairly, in all material respects the financial position of Government Employees Mutual Savings Fund as at December 31, 2024 and its financial performance and cash flows for the year then ended in accordance with the Public Finance Management Act [*Chapter 22:19*] and other relevant Statutory Instruments.

Basis for Qualified Opinion

Interest Income

Finding

Interest Income of ZWG4 420 068 (2023: ZWG4 997 456) was not supported by individual statements for loans issued. The amount disclosed was based solely on National Building Society bank statements and schedules. The Fund did not have an independent system for calculation of interest. In addition, the Fund did not disclose in the financial statements accrued interest from loans. Consequently, I was unable to satisfy myself as to the accuracy and completeness of the interest income disclosed in the Statement of Comprehensive Income.

Risk/Implication

Misstatement of the Interest Income balance disclosed in the financial statements.

Recommendation

Management should come up with an independent system for calculating interest supported by individual loan statements. This will ensure that interest disclosed in the financial statements can be verified.

Management Response

Management has prioritized procurement of the loan management system in the year 2026 to automate calculation of interest income at the same time enhance controls.

Below are other issues noted during the audit:

1. GOVERNANCE ISSUES

1.1 Cash and Cash Equivalents

Finding

The Fund disclosed cash and cash equivalents of ZWG1 234 053 in the statement of financial position while statement of cash flows had a balance of ZWG1 234 056. The variance was not reconciled. In addition, the figures disclosed in the Notes to the financial statements were not rounded off. Consequently, rounded off- balances disclosed in the financial statements were different from the notes. Therefore, there was no consistency in the presentation of financial information.

Risk/Implication

The cash and cash equivalents disclosed in the financial statements may be incorrect.

Recommendation

The cash and cash equivalents variance should be investigated and corrected and the amounts in the notes should be rounded off to the nearest dollar.

Management Response

Management did not respond.

2. REVENUE COLLECTION AND DEBT RECOVERY

2.1 Trade Payable

Finding

Municipality council rates accrued increased by over 100% to ZWG203 669 (2023: ZWG67 352) and subscription refunds payable increased by over 100% to ZWG717 313 (2023: ZWG75 456). There was no evidence that management was making efforts to clear the outstanding balances.

Risks/Implications

Financial loss due to fines and penalties which may be levied.

Loss of value of money thereby depriving those to be refunded.

Recommendation

Management should make an effort to clear the outstanding payables on time.

Management Response

Management acknowledges the observation. The increase in refunds payable is attributable to unclaimed refunds by beneficiaries who terminated employment through death and failing to provide valid bank details. Efforts are being made to pay off the rates.

2.2 Allowance for Credit Losses

Finding

The Fund did not finalise or approve its policy for identifying and accounting for credit losses, although it disclosed an allowance for credit losses debts amounting to ZWG27 906 in the Financial Statements. This figure was based on total amount of non-performing loans, that had exceeded 90 (ninety days) after repayment period had lapsed. In the absence of an approved and consistently applied policy, the allowance for credit losses may be distorted.

Risk/ Implication

The absence of a policy for allowance for credit losses may result in the overstatement of receivables thereby misleading users.

Recommendation

Management should approve, document and implement a formal policy for allowance for credit losses.

Management Response

The Fund is using the Public Service Commission Accounting Officers' Instruction Section 02324, which stipulates that only debts outstanding for more than 90 days on non-performing loans qualify for allowance for credit losses.

In line with this guidance, the Fund has recognised an allowance of ZWG27 906 as credit losses in the financial statements for the year ended 31 December 2023. This amount is based on the assessment of non-performing loans exceeding 90 days. Furthermore, the Fund has made concerted efforts to recover the outstanding amounts, but these efforts have unfortunately been unsuccessful to date.

Evaluation of Management Response

Management response is acknowledged. The Fund should have an approved policy for identifying and accounting for credit losses specific for the GEMS Fund.

2.3 Subscription Refunds Payables

Finding

As at December 31, 2023, Subscription Refunds Payable had accumulated to ZWG75 456, whilst the Database Management Fees were ZWG26 516. There was no evidence that management made efforts to clear outstanding amounts that had been brought forward from the previous years.

Risk/ Implication

The Fund may be subjected to lawsuits and penalties from creditors.

Recommendation

Management should ensure that creditors are paid timeously.

Management Response

The significant increase in the subscription refunds payable to ZWG75 456 during the year primarily stems from cases where members terminated employment through death and resignations thereby having their refunds paid into closed bank accounts. As a result, the banks rejected these payments, and no claimants have come forward to collect the funds.

Database management fees payable reflects the prior period's uncleared balance from 2022 plus new fees accrued during 2023. The outstanding balance will be cleared in 2025.

3. PROGRESS MADE IN ADDRESSING PRIOR YEAR AUDIT FINDINGS

The Fund did not make significant progress in addressing the audit findings raised in my previous audit report. Out of six (6) audit findings raised in the previous year, three (3) were addressed, one (1) was partially addressed and two (2) were not addressed as indicated below:

3.1 Interest Income

Loan Amortisation schedules and individual statements were still not provided, and the matter has been reported on paragraph (i).

3.2 Trade Payable

The issue of outstanding municipality council rates and subscription refunds payable was not addressed and has been reported on paragraph (2.1).

3.3 Allowance for Credit Losses

This issue of a policy on allowance for credit losses was partially addressed, as a draft policy is now in place.

3.4 Disbursement of Loans

There was an increase in funds that were disbursed as loans.

3.5 Maintenance of Accounting Records

The issue was addressed as the Fund is now using the accounting package purchased by the Pension Fund.

3.6 Investments Management Agreement

The Fund now has Investment Management Agreements in place.

PUBLIC SERVICE PENSION MANAGEMENT FUND 2023 AND 2024

OBJECTIVE OF THE FUND

The purpose of the Fund is to manage employer and employee contributions pending the establishment of the State Pension Fund.

Below is a summary of the Statement of Comprehensive Income and Statement of Financial Position for the year:

Statement of Comprehensive Income

Item	Inflation Adjusted ZWG	Historical Cost ZWG
Income	19 615 163 720	9 490 711 872
Expenditure	13 308 894 358	1 278 617 534
Surplus	**6 306 269 362**	**8 212 094 338**

Statement of Financial Position

Item	Assets ZWG	Liabilities ZWG
Non-current	9 090 425 970	124 864 740 000
Current	1 644 682 642	-
Accumulated Fund (Deficit)	-	(114 129 631 388)
Total	**10 735 108 612**	**10 735 108 612**

I have audited the financial statements of the Public Service Pension Management Fund for the year ended December 31, 2024, and I issued a qualified opinion.

Qualified Opinion

In my opinion, except for the effects of the matter described in the Basis for Qualified Opinion section of my report, the financial statements presents fairly, in all material respects the financial position of Public Service Pension Management Fund as at December 31, 2024 and its financial performance and cash flows for the year then ended in accordance with the Public Finance Management Act [*Chapter 22:19*] and other relevant Statutory Instruments.

Basis for Qualified Opinion

Actuarial Valuation of Pension Fund.

Finding

Actuarial valuation had not been performed on the Pension Fund since February 2012 contrary to provisions of Section 33 of the Pensions and Provident Funds Act [*Chapter 24:32*] which states that a Fund shall cause its financial condition to be investigated and reported upon by an actuary as may be prescribed from time to time. In addition, the previous valuation conducted in 2012 did not include the liabilities of uniformed forces, spouses, children and some members who left the public service whose benefits had not yet been paid. Considering the economic changes that took place from the date of last actuarial valuation report and the changes in members' statistics, actuarial valuation in the current period was necessary. As a result, I could not ascertain the completeness, accuracy and valuation of the Fund's actuarial liabilities amounting to ZWG124 864 740 000 (2023: ZWG108 959 319 040) disclosed in the financial statements as at December 31, 2024.

Risks/Implications

The retirement benefit liabilities disclosed in the financial statements can be materially misstated.

The Fund will fail to meet the retirement benefit obligations.

Recommendation

The Fund should carry out actuarial valuations after every three years so that the amount of retirement benefits liabilities is not understated and the retirees disadvantaged.

Management Response

The procurement process for actuarial valuation services for the Public Service Pension Fund has been successfully completed, with the evaluation committee having selected and recommended the winning bidder. The vendor has signed the engagement contracts, and the implementation phase will be based on the audited financial statements for the year ended December 31, 2024, which will serve as the base year financial statements.

Material Uncertainty Related to Going Concern

I draw your attention to Note 1.3 which indicate that the Pension Fund had a net defined benefit liability position of ZWG114 370 266 947 as at December 31, 2024. In addition, the pension contribution receivables increased by 746% to ZWG952 207 561 in 2024 (2023: ZWG112 525 221) indicating the Fund's inability to timeously recover receivables. These conditions together with other matters in Note 1.3, indicate the existence of material uncertainty that may cast significant doubt on the Pension Fund to continue operating as a going concern. My opinion is not modified in respect of this matter.

Below are other issues noted during the audit.

1. GOVERNANCE ISSUES

1.1 Actuarial Liabilities

Finding

As highlighted in my previous reports, the Fund's liabilities outweigh its assets by a significant margin. This places the Fund's ability to meet its future pension obligations at risk. The financial statements showed an actuarial valuation of liabilities of ZWG124 864 740 000 while net plan assets were ZWG10 494 473 053 resulting in a shortfall of ZWG114 370 266 946.

Risk/Implication

The Fund will fail to meet the retirement benefit liability obligations.

Recommendation

The Fund should engage Treasury to have more capital injections to cover the gap between actuarial liabilities and net plan assets.

Management Response

Management acknowledges the observation. There have been ongoing engagements with Treasury to discuss and manage the deficit of ZWG114 370 266 947. Review letters

indicating the engagements aimed at resolving the issue have been availed for audit inspection.

Evaluation of Management Response

Management response is acknowledged. However, the issue has not yet been addressed.

1.2 Staff Complement

Finding

After analysing the financial statements submitted for audit, I noted that the total assets being managed by the Fund have significantly increased by over 315.6% to ZWG10 503 754 188 (2023: ZWG2 527 652 821). As a result, the Fund would require a dedicated number of staff with different expertise to manage the portfolio of assets under its custody. The current staff numbers are not commensurate with the size of activities that the Fund is carrying out and that the same staff take care of other duties for the Public Service Commission, table below refers.

Pension Management Fund Staff Members

Unit	Establishment	In Post	Shared Resource
Head of Pension Fund	1	1	1
Chief Investment Officer	1	1	0
Fund Managers	4	1	1
Back Office	6	0	6
Portfolio Office	6	6	2
Project Office	4	2	-
Compliance Office	3	3	-
Total	**25**	**14**	**10**

Risks/Implications

Critical investment decisions may be taken without adequate analysis.

High workload may result in inadequate review and approval processes.

Recommendation

Management should review current staffing levels and expertise and align them with work requirements given that the size of the portfolio of the assets is ever increasing.

Management Response

Management acknowledges the observation. Current staff levels are indeed not fully commensurate with this expanded portfolio, particularly as existing personnel also handle other duties.

The Public Service Commission (PSC) has commenced interviews for vacant posts. In 2025, the Public Service Commission also recruited five officers to bolster support in legal, investment and financial areas.

2. REVENUE COLLECTION AND DEBT RECOVERY

2.1 Pension Contribution Receivables

Finding

After analysing pension contribution returns submitted for audit, I noted that pension contribution receivables increased by over 746.2% to ZWG952 207 561 (2023: ZWG112 525 221). The continued increase in receivables will result in loss of value due to time value of money and if they are not recovered the balance of actuarial liabilities will continue to increase. Of concern is that the receivables relate to deductions that have already been made from employees' salaries paid by Public Service Commission and other Government Departments and Agencies. Section 49(2) of the Public Finance Management (Treasury Instructions), 2019 requires Officers to collect debts on due date and that adequate steps are taken to collect any sums due to Government.

Risks/Implications

Delays in recovering outstanding debts may result in the outstanding amounts being irrecoverable or the value of money may be eroded due to inflation.

Delays in growing the Fund.

Recommendation

Management should come up with effective strategies to expedite the recovery of pension receivables.

Management Response

The significant increase in receivables from ZWG112 525 221 in 2023 to ZWG952 207 561 in 2024 is being addressed by actively engaging the employers to remit their contributions. Availed for audit are review letters requesting payment to support the Pension Fund.

2.2 Cash Held by Asset Managers

Finding

After analysing the financial statements submitted for audit, I noted that Platinum Asset Managers had a cash balance of ZWG343 403 443 which represents 75.12% of the total cash balances of ZWG456 663 038 held in the bank accounts of all Asset Managers under the Fund. This concentration exceeds the prudential limits prescribed by paragraph 10 of the Public Service Pension Fund Investment Policy of 2021 which provides that asset allocation shall be based on best practices, and particularly IPEC thresholds.

Risk/Implication

There is a risk of over-investing in one Asset Manager resulting in concentration of risk.

Recommendation

Management should ensure that investments are evenly spread across all Asset Managers in line with the Fund's Investment Policy to reduce risk exposure.

Management Response

Management acknowledges the observation. As at year end, the Fund's total assets base stood at approximately ZWG10.1 billion, of which cash held with Platinum Investment Managers accounted for 3.4% of total assets. This position was temporary and transaction driven, arising from timing differences associated with project funding requirements and year end disbursements.

The elevated balance primarily resulted from December 20, 2024, capital allocations to Platinum Investment Managers, who at the time were overseeing a significant pipeline of high value development projects, including Madokero Creek, Madokero Warehouses, and Madokero Westlands. The funds were therefore deployed for immediate project execution, rather than held as idle balances. Importantly, this position did not constitute portfolio concentration risk but rather reflects short liquidity management within approved mandates.

The Fund maintains that the cash balances were temporary, justified and operationally necessary. Post period utilisation confirms the efficient and timely application of capital. The Fund remains committed to sound liquidity management, strict adherence to policy guidelines and safeguarding pensioner value.

Evaluation of Management Response

Management response is acknowledged. However, the cash balances held by Platinum represented 75.12% of the cash balances held in the bank accounts of Asset Managers.

3. PROGRESS MADE IN ADDRESSING PRIOR YEAR AUDIT FINDINGS

The Fund did not make significant progress in addressing audit findings raised in my previous audit report. Out of eight (8) findings, four (4) were addressed, one (1) was partially addressed, three (3) were not addressed as indicated below:

3.1 Actuarial Valuation of Pension Liabilities

The finding was not addressed the Fund still relies on Actuarial Valuation exercise last carried out in February 2012, as reported on paragraph (i).

3.2 Actuarial Liabilities

The finding was not addressed as the Fund's liabilities still outweigh its assets by a significant margin of ZWG114 370 266 947, as reported on paragraph 1.1.

3.3 Pension Contribution Receivable

The finding was not addressed as receivables increased by over 100%, as reported on paragraph 2.1.

3.4 Procurement of Mandara Clusters

The finding was partially addressed as the registration of the properties from Mandara Clusters (Private) Limited to Public Service Pension Management Fund is now in progress.

3.5 Supporting Documents for Investments

The finding was addressed as share certificates, nature, value and ownership of the investment were made available.

3.6 Internal Audit Reports

The finding was addressed as Internal Audit reviewed the internal processes of the Fund during the year under review.

3.7 Rental Income

The finding was addressed as evidence that the rentals paid in advance were made available.

3.8 Title Deeds

The finding was addressed as title deeds for the purchased investment properties were made available.

SKILLS ATTRACTION, RETENTION AND DEVELOPMENT FUND 2024

Objective of the Fund

The main purpose of the Fund is to attract, retain and develop capacities and competences of skilled and experienced professionals in the public service.

Below is a summary of the Statement of Comprehensive Income and Statement of Financial Position for the year 2024.

Statement of Comprehensive Income

Item	**Amount ZWG**
Income	37 504 511
Expenditure	37 707 512
Deficit	**(203 001)**

Statement of Financial Position

Item	**Assets ZWG**	**Liabilities ZWG**
Current Assets	52 961	10
Capital and Reserves	-	52 951
Total	**52 961**	**52 961**

I have audited the financial statements of Skills Attraction, Retention and Development Fund for the year ended December 31, 2024, and I issued an unmodified opinion.

Opinion

In my opinion, the financial statements present fairly, in all material respects, the financial position of the Skills Attraction, Retention and Development Fund as at December 31, 2024, and its financial performance and its cash flows for the year then ended in accordance with the Public Finance Management Act [*Chapter 22:19*] and other relevant Statutory Instruments.

Below are issues noted during the audit:

1. GOVERNANCE ISSUE

1.1 Disbursement of Skills Retention Allowances

Finding

The Fund utilized the Public Service Commission's Sub-Paymaster General bank account to disburse funds to beneficiaries, instead of using the Fund's designated bank account. Disbursements totalling ZWG31 131 251 were processed through the Commission's Sub-Paymaster General bank account. Section 10(b) of the Fund’s Constitution, require that all payments be made from the Fund’s bank account. This issue was also raised in my previous reports.

Risk/Implication

Use of the Commission's Sub-Paymaster General bank account for disbursements may compromise transparency and accuracy of the Fund's financial position and performance.

Recommendation

Management should ensure that all disbursements are made from the Fund's bank account as required by the Constitution.

Management Response

Management acknowledges the observation. Skills Attraction, Retention and Development Fund, used this disbursement method as a temporary measure. After internal deliberations, a decision was made to revert to the use of the Fund's bank account to disburse the allowances.

1.2 Payment of Condition of Service Benefits

Finding

Management did not provide minutes of the meeting where the Fund's Board approved the payment of an amount of ZWG1 027 927 (US$73 500) meant to build a condition of service house for a Chief Director from another Ministry. Section 8 of the Constitution of the Fund outlines the nature of expenditure, for instance, payment of retention allowances and renumeration for strategic consultants. Therefore, payment for a condition of service house was not covered in the Constitution of the Fund. In the absence of the minutes of the meeting, I could not validate whether the payment was above board.

Risk/Implication

Unauthorised payments may be processed from the Fund.

Recommendations

Management should avail for audit the minutes of the meeting held by the Board where the approval of the payment was made.

Management should ensure that the Fund's resources are utilised in compliance with the Constitution of the Fund.

Management Response

The observation is noted. Payment of US$73 500 was made with the sole aim to attract and entice the Chief Director to take up appointment in the Public Service. The decision was made by the Public Service Commission after considering the Constitution of the Skills Attraction, Retention and Development Fund, which states that the Fund shall be applied to attract high administrative and management skills to provide leadership in public administration at the levels of Permanent Secretaries and Chief Directors.

2. MANAGEMENT OF ASSETS

2.1 Motor Vehicle Revaluation

Finding

Audit noted that the Fund's three (3) motor vehicles have a nil carrying amount since December 31, 2016, although they were still in use. There was no evidence that the Fund was carrying out annual revaluations.

Risk/Implication

Misstatement of the value of the motor vehicles disclosed in the financial statements.

Recommendation

The Commission should annually revalue motor vehicles to fairly present the carrying amount of motor vehicles in the financial statements.

Management Response

The observation is noted. Revaluation of the Public Service Commission assets has been approved by the Accounting Officer and the date for the valuation of motor vehicles is yet to be issued. In addition, the Ministry of Finance, Economic Development and Investment Promotion advised the Commission that it is engaging relevant stakeholders to carry out a government wide motor vehicle valuation exercise.

3. PROGRESS IN ADDRESSING PRIOR YEAR AUDIT FINDINGS

The Fund did not make progress in addressing audit findings that were raised in my previous audit report. Out of the three (3) findings raised, one (1) was addressed and two (2) were not addressed as indicated below:

3.1 Disclosure of Investments

The finding was addressed after the Fund liquidated the investment.

3.2 Disbursements of Skills Retention Allowances

The Fund continued to use the Commission's Sub-Paymaster General bank account to make disbursements instead of the Fund's bank account, the issue has been reported on paragraph 1.1 above.

3.3 Motor Vehicle Revaluation

The finding on the revaluation of the three (3) motor vehicles was not addressed. The issue has been reported on paragraph 2.1 above.

ZIMBABWE CIVIL SERVICE FUNERAL ASSISTANCE FUND 2024

Objective of the Fund

The Fund was established for the purpose of rendering funeral assistance as part of the Funeral expenses of deceased civil servants with running contracts of employment in the Public Service except for those covered by State Service (Disability Benefits) Act [*Chapter 16:05*.] and members of the Uniformed Forces.

Below is a summary of Statement of Comprehensive Income and Statement of Financial Position for the year ended December 31, 2023:

Statement of Comprehensive Income

Item	**Amount ZWG**
Income	2 888 081
Expenditure	3 114 100
Deficit	**226 019**

Statement of Financial Position

Item	**Assets ZWG**	**Liabilities ZWG**
Accumulated Fund	-	1 486
Current	7 244	5 758
Total	**7 244**	**7 244**

I have audited the financial statements of the Zimbabwe Civil Service Funeral Assistance Fund for the year ended December 31, 2024, and I issued a qualified opinion.

Qualified Opinion

In my opinion, except for the effects of the matter described in the Basis for Qualified Opinion section of my report, the financial statements present fairly, in all material respects, the financial position of the Zimbabwe Civil Service Funeral Assistance Fund as at December 31, 2024, and its financial performance and its cash flows for the year then ended in accordance with the Public Finance Management Act [*Chapter 22:19*] and other relevant Statutory Instruments.

Basis for Qualified Opinion

(i) Conversion of Currency

Finding

The Fund did not follow the guidelines provided by Treasury Circular No. 3 of 2025 when it converted comparative balances in ZWL to ZWG as at December 31, 2023. The Circular stated that 2023 comparative financial statements should be translated to USD on December 31, 2023, and then converted to ZWG using the interbank exchange rate on the date of the currency change. Contrary to this requirement, the Fund used a rate of 2 498.7242 for all the opening balances.

Risk/Implication

The financial statements may be misstated.

Recommendation

Management should use the conversion rates outlined in the Treasury Circular.

Management Response

The observation is noted. Since the Fund holds no non-monetary assets and all items on the Statement of Financial Position are exclusively monetary assets and liabilities. It was appropriate and consistent with Treasury Circular No.3, paragraph 7.2 Monetary Assets and Liabilities to translate all monetary assets and liabilities denominated in Zimbabwe Dollar (ZWL$) to Zimbabwe Gold (ZWG) using the interbank exchange rate effective on the currency change date. This ensured that the conversion reflected the accurate economic effect of the currency redenomination on the Fund's financial position.

Evaluation of Management Response

Management explanation does not provide a substantive justification for deviating from the Treasury-prescribed translation process. As a result, the Fund's approach remains non-compliant with the requirements of Treasury Circular No. 3 of 2025.

Below is an issue noted during the audit:

1. GOVERNANCE ISSUE

1.1 Accounting Package

Findings

As reported in my previous report, the Fund maintained its accounting records manually instead of the recommended Public Financial Management System (PFMS) used by Government to record transactions. Further, the Fund used the Excel spreadsheet as the cashbook, journal and the ledgers. Section 13(2) of the Public Finance Management (Treasury Instruction), 2019 requires that all Statutory and other funds shall use PFMS unless authorized by Treasury to run independent systems.

Risks/Implications

Manual recording of transactions can lead to errors and omissions.

The integrity of the data will be compromised.

Recommendation

The Fund should use the PFMS to record transactions in compliance with the regulations.

Management Response

Management acknowledges the finding. The primary challenge has been that all payments from the Fund are not repeated as funeral assistance are paid once to a beneficiary, which has complicated the direct integration of these transactions into PFMS.

In response, the Commission has initiated consultations with Treasury and other relevant stakeholders to identify and implement the most appropriate module for recording non-recurrent funeral assistance disbursements within the PFMs framework. These consultations are ongoing and are aimed at ensuring that the Fund's accounting practices are fully aligned with government requirements. The Commission remains committed to adopting PFMS for the Fund as soon as a practical and compliant solution is agreed upon between the PSC and the Treasury.

2. PROGRESS IN ADDRESSING PRIOR YEAR AUDIT FINDINGS

The Fund did not make significant progress in addressing audit findings raised in my previous report. Out of two (2) findings, one (1) finding was addressed and one (1) was not addressed as indicated below:

2.1 Accounting Package

The finding was not addressed. The Fund was still maintaining its accounting records manually instead of the recommended Public Finance Management System (PFMS). The issue has been raised on paragraph 1.1 above.

2.2 Disbursement of Funeral Assistance

The finding on disbursement of funeral assistance was addressed. The payments initially rejected by the banks were later paid to the beneficiaries.

VOTE 34.- NATIONAL PROSECUTING AUTHORITY

COURT RETENTION FUND 2024

Objective of the Fund

The Fund was established for the purpose of providing resources to the Office of the Prosecutor General to enhance the effectiveness and efficiency of the administration of criminal justice systems and processes in Zimbabwe. The Fund derives its revenue from a 25% statutory share of court fines and forfeitures collected by the Judicial Service Commission (JSC) in terms of Section 8(b) of the National Prosecuting Authority Amendment Act, 2020.

Below is a Summary of the Statement of Financial Performance and Statement of Financial Position for the year.

Statement of Financial Performance

Item	Amount ZWG
Income	8 328 753
Expenditure	3 270 626
Surplus	**5 058 127**

Statement of Financial Position

Item	Assets ZWG	Liabilities ZWG
Non- Current	3 177 331	-
Accumulated Fund	-	5 058 127
Current	3 036 902	1 156 106
Total	**6 214 233**	**6 214 233**

I have audited the financial statements of the Court Retention Fund for the year ended December 31, 2024, and I issued an unmodified opinion.

Opinion

In my opinion, the financial statements present fairly, in all material respects, the financial position of the Court Retention Fund as at December 31, 2024, and its financial performance and cash flows for the year then ended in accordance with the International Public Sector Accounting Standards (IPSASs).

Below is an issue noted during the audit:

1. GOVERNANCE ISSUES

1.1 Standard Operating Procedures' (SOP) Manual

Finding

The Fund operated using a draft Standard Operating Procedures (SOP) Manual. This was contrary to the provisions of Section 50 of the Public Finance Management Act [*Chapter 22:19*] which requires every public entity to adhere to and implement the principles of sound corporate governance policies, procedures and practices.

Risk/Implication

Absence of guidance on Fund governance, financial and operational activities may result in inconsistent business practices and irregular outcomes.

Recommendation

Management should finalise the SOP Manual and have it approved.

Management Response

The draft Standard Operating Procedure (SOP) Manual is still under review to ensure alignment with the new organisational structure, in consultation with the Public Service Commission. Sections of the manual are being revised to enhance accessibility and operational efficiency. As a result, its finalisation is still work in progress.

VOTE 35. - ZIMBABWE ANTI-CORRUPTION COMMISSION

APPROPRIATION ACCOUNT 2023

Mandate

The Commission's mandate is to combat corruption, theft, abuse of power, and other improprieties in Zimbabwe through investigation, public education, prevention, and cause prosecution after thorough investigation. The Commission is further mandated to make recommendations to the Government and other persons on the measures to enhance integrity and accountability and prevent improper conduct in the public and private sector.

Below is a summary of funds allocated and spent during the year:

Original Budget ZWL$	Unallocated Reserve ZWL$	Total budget ZWL$	Expenditure ZWL$	Net Underspending ZWL$
7 378 820 000	14 377 070 519	21 755 890 519	20 910 257 423	845 633 096

I have audited the financial statements for the Zimbabwe Anti-Corruption Commission for the year ended December 31, 2023, and I issued a qualified opinion.

Qualified Opinion

In my opinion, except for the effects of the matters described in the Basis for Qualified Opinion section of my report, the financial statements present fairly, in all material respects the state of affairs of the Zimbabwe Anti-Corruption Commission as at December 31, 2023 in accordance with the Public Finance Management Act [*Chapter 22:19*] and other relevant Statutory Instruments.

Basis for Qualified Opinion

(i) Classification of Expenditure

There were discrepancies in the Commission's expenditure allocation during the period under review. Travel and subsistence expenses amounting to ZWL$162.3 million were funded from Computer, Stationery and Ammunition ledgers while funds allocated to non-financial assets amounting to ZWL$363.1 million was spent on various classes of expenditure without subsequent reclassification to the correct ledger accounts. Expenditure amounting to ZWL$266.7 million for travel and subsistence expenses and acquisition of desktops was classified under motor vehicle repairs. Contrary to Section 54(1) of the Public Finance Management (Treasury Instructions), 2019, which requires all expenditure on voted services to be classified under the appropriate subheads and items as outlined in the estimates of expenditure and as directed by Treasury.

Risks/Implications

Misstatement of financial statements.

There could be unauthorised expenditure.

Recommendation

The Commission should classify expenditure correctly under the appropriate subheads as required by Section 54(1) of the Public Finance Management (Treasury Instructions), 2019.

Management Response

The finding is noted. From beginning of 2025 financial year the Commission has corrected the mis postings by religiously processing virements to ensure correct general ledgers are used for posting expenditures.

In relation to 2023 mis-postings the Commission requires additional budget support from Ministry of Finance. The Commission has written to Treasury budgets office for budget support to ensure processing of the necessary virements and we are awaiting response.

(ii) Donor Funded Programs

The Commission did not avail supporting documentation in the form of Treasury concurrence with respect to donor funded programs amounting to USD$39 254 and ZWL$2.1 million respectively. This is contrary to Section 112 of the Public Finance Management Act (Treasury Instructions), 2019 which requires the entity to obtain authority from Treasury before acceptance of any donations.

Risk/Implication

This might undermine transparency, accountability, and oversight of public sector financing.

Recommendation

The Commission should obtain authority from Treasury before acceptance of any donations.
All donations should be recorded in the register on receipt.

Management Response

The observation is noted. In March 2024 the Commission sought Treasury concurrence for the donations in retrospect and updated the donations register.

Below are other issues noted during the audit:

1 GOVERNANCE ISSUES

1.1 Commission Composition

Finding

The Commission did not have a Deputy Chairperson during the period under review. This was contrary to Section 4(2) of the Anti- Corruption Commission Act [*Chapter 9:22*] which requires the Commission to have a Deputy Chairperson who shall act as Chairperson if the office of the Chairperson is vacant or is absent from duty.

Risk/Implication

Oversight role of the Commission may be compromised.

Recommendation

The Commission should continuously engage the appointing authority whenever there is a vacancy in the Board.

Management Response

The finding is noted. The Commission will continue to follow up with the Appointing Authority.

2 PROGRESS IN ADDRESSING PRIOR YEAR AUDIT FINDINGS

The Commission made progress in addressing the audit findings raised in my previous audit report. All the two (2) findings were addressed as indicated below.

2.1 Receipting of Funds

The findings were addressed. All transactions were receipted into the system.

2.2 Compensation of Employees

The findings were addressed. Treasury now availing a budget for exchange losses and salary reconciliations are now being done.

APPROPRIATION ACCOUNT 2024

Mandate

The Commission's mandate is to combat corruption, theft, abuse of power, and other improprieties in Zimbabwe through investigation, public education, prevention, and cause prosecution after thorough investigation. The Commission is further mandated to make recommendations to the Government and other persons on the measures to enhance integrity and accountability and prevent improper conduct in the public and private sector.

Below is a summary of funds allocated and spent during the year:

Original Budget ZWG	Unallocated Reserve ZWG	Total budget ZWG	Expenditure ZWG	Net Underspending ZWG
90 000 615	7 567 136	97 567 751	96 076 178	1 491 573

I have audited the financial statements for Zimbabwe Anti-Corruption Commission for the year ended December 31, 2024, and I issued a qualified opinion.

Qualified Opinion

In my opinion, except for the effects of the matters described in the Basis for Qualified Opinion section of my report, the financial statements present fairly, in all material respects the state of affairs of the Zimbabwe Anti-Corruption Commission as at December 31, 2024 in accordance with the Public Finance Management Act [*Chapter 22:19*] and other relevant Statutory Instruments.

Basis for Qualified Opinion

(i) Uncleared Transactions in the Sub-Paymaster General Account

The Commission had eighty-four (84) uncleared transactions in the Sub-Paymaster General Account amounting to ZWG41.5 million. These items should have been cleared from the system as per Treasury Circular Number 1 of 2025 which required that all open items be cleared prior to the preparation of annual returns. I was therefore not able to satisfy myself on whether the Commission reported all expenditure incurred.

Risk/Implication

Failure to clear open items compromises the accuracy and completeness of financial statements.

Recommendations

The Commission should prioritise the timely clearance of all outstanding transactions in the Sub-Paymaster General Account in line with Treasury Circular Number 1 of 2025.

Regular reconciliation and review processes should be implemented to ensure open items are identified and resolved before year-end.

Management Response

The finding has been noted, and the Commission is clearing these open items and as of June 16, 2025, the remaining open items were fourteen (14).

(ii) Donor Funded Programmes

The Commission did not avail Treasury authority/concurrence to support the utilisation of donor funds amounting to ZWG332 113 that was received by the Commission. This was contrary to Section 112 of the Public Finance Management Act (Treasury Instructions), 2019 and Treasury Circular Number 1 of 2025 which requires authorisation of Treasury before acceptance of any donations.

Risk / Implication

Donor funds may be misapplied, diverted, or expended for other purposes.

Recommendation

The Commission should obtain Treasury concurrence before accepting and utilizing any donations.

Management Response

The finding is noted and the Commission will seek Treasury concurrence in retrospect.

(iii) Misclassification of Expenditure

Commission expenditure amounting to ZWG905 875 was recorded in SAP ledger accounts that did not correspond with the approved budget line items. Payments were recorded under incorrect ledger codes, leading to the misclassification of expenditure. This practice is contrary to Section 54(1) of the Public Finance Management (Treasury Instructions), 2019, which requires all expenditure on voted services to be classified under the appropriate subheads and items as outlined in the Estimates of Expenditure and as directed by Treasury.

Risk / Implication

Budgetary control might be undermined.

Recommendation

The Commission should strictly adhere to the requirements of Section 54(1) of the Public Finance Management (Treasury Instructions), 2019.

Management Response

The observation is noted. The Commission has approached Ministry of Finance, Economic Development and Investment Promotion for budget support to enable processing of virements to correct the mis postings.

VOTE 39.- ZIMBABWE MEDIA COMMISSION

APPROPRIATION ACCOUNT 2024

Mandate

The mandate of the Zimbabwe Media Commission is to promote freedom of expression and equitable access of information. The Commission is also mandated to promote media development and contribute to the training of media practitioners.

Below is a summary of what was allocated and spent during the year 2024:

Original Budget ZWG	Total Allocated ZWG	Expenditure ZWG	Net Underspending ZWG
52 708 716	52 708 716	27 420 162	25 288 554

I have audited the financial statements of the Zimbabwe Media Commission for the year ended December 31, 2024, and I issued an unmodified opinion.

Opinion

In my opinion, the financial statements present fairly, in all material respects the state of affairs of the Zimbabwe Media Commission as at December 31, 2024, in accordance with the Public Finance Management Act [*Chapter 22:19*] and other relevant Statutory Instruments.

Below are issues noted during the audit;

1 GOVERNANCE ISSUES

1.1 Goods Received Notes

Finding

The Commission did not raise goods received voucher for purchases amounting to ZWG3.7 million during the year ended December 31, 2024. This was contrary to the requirement of Section 5.12 (i-iv) of the Standard Operating Procedure Manual requires the receiving officer of purchased goods to sign goods received notes to acknowledge receipt.

Risk/Implication

Purchased goods may not be delivered.

Recommendation

Management should raise goods received vouchers to acknowledge receipt of goods in line with its Standard Operating Procedure Manual.

Management Response

The GRV for ZWG3.7 million could not be located but the performance contracts were supplied.

1.2 Meeting Attendance Register

Finding

The Commission did not maintain Board and Committee meetings attendance register during the year ended December 31, 2024. This was contrary to the provisions of Section 291(t) of the Public Entities Corporate Governance Act [*Chapter 10:31*] which requires committee meetings attendance register to be in place.

Risks/Implications

Performance appraisal of committees can be compromised.

Financial loss due to paying for meetings not attended.

Recommendation

The Commission should have an attendance register for all the Board and Committee meetings.

Management Response

The observation is noted and the Commission will work on introducing registers as recommended.

1.3 Acquittal of Travelling Advances

Finding

During the year under review, the Commission did not enforce compliance with the requirement for employees to acquit travelling and subsistence allowances within the prescribed 30 working days. The total outstanding amount was ZWG65 129. Some employees had acquittal overdue by more than four (4) months. This was contrary to Section 65(15) of the Public Finance Management (Treasury Instructions), 2019 which requires travelling and subsistence advances to be acquitted within 30 days after completion of the trip.

Risks/Implications

Delayed acquittals may weaken internal controls over advances.

Payments may be made for non-existent journeys.

Recommendation

Management should enforce compliance with Section 65(15) of the Public Finance Management (Treasury Instructions), 2019 by ensuring that all employees acquit Travelling and Subsistence advances within the prescribed 30 days.

Management Response

The observation is noted. Going forward the Commission will not pay any allowance if the previous advance has not been acquitted.

2 PROCUREMENT OF GOODS AND SERVICES

2.1 Fleet Management and Vehicle Maintenance Controls

Finding

The Commission did not maintain vehicle maintenance schedules during the year under review. As a result, out of twenty-six (26) vehicles, eleven (11) were grounded with various mechanical faults. This was contrary to section 7.1.2 of the Commission's Standard Operating Procedures Manual, which requires each vehicle to have a maintenance schedule detailing service history, types of repairs and frequency of breakdowns.

Risks/Implications

Regular vehicle service and maintenance may be compromised.

Operational efficiency of the Commission may be compromised due to limited functional motor vehicles.

Recommendation

Management should have in place a maintenance schedule for each Commission's vehicle.

Management Response

The observation is noted. The Commission will start maintaining the schedules. The failure by the Commission to timeously service vehicles is as a result of inadequate funding by Treasury.

3 PROGRESS IN ADDRESSING PRIOR YEAR AUDIT FINDINGS

The Commission did not make significant progress in addressing prior year audit findings. Out of a total of four (4) findings raised, one (1) was partially addressed and three (3) were not addressed as indicated below.

3.1 Supporting Documentation

The finding was not addressed. The Commission has not yet found the missing vouchers.

3.2. Contract Management

The findings were not addressed. Two (2) vehicles were not delivered.

3.3. Risk Management and Internal Controls

The finding was partially addressed. The internal Auditor position was filled whilst other positions are still vacant.

3.4. Segregation of Duties

The finding was not addressed. The Administration unit status is still the same as the Commission is still waiting for the approval of more posts.

ANNEXURES

ANNEXURE A
MINISTRIES AND COMMISSIONS AUDIT OPINIONS

Vote No	Ministry / Commission	Financial Year	Audit Opinion	Financial Year	Audit Opinion	Financial Year	Audit Opinion	Financial Year	Audit Opinion
		2025 AG Report		2024 AG Report		2023 AG Report		2022 AG Report	
2	**Parliament of Zimbabwe**								
	Constituency Development Fund	2023	No opinion	2022	No opinion	2018 2021	No opinion	-	-
3	**Public Service, Labour and Social Welfare**								
	Cash Transfer Scheme for Urban Vulnerable Persons Fund	2024	Unmodified	2023	Qualified	2022	Unmodified	-	-
	Child Welfare Fund	2024	Unmodified	2023	Unmodified	2022	Unmodified	-	-
	Children on the Streets Fund	2024	Unmodified	2023	Unmodified	2022	Unmodified	-	-
	Community Recovery Fund	2024	Unmodified	2023	Unmodified	2022	Unmodified	-	-
	Disabled Persons Fund	2024	Unmodified	2023	Qualified	2022	Unmodified	-	-
	Drug and Substance Abuse Mitigation Fund	2024	Unmodified	2023	Unmodified	2022	-	-	-
	Older Persons Fund	2024	Unmodified	2023	Qualified	2022	Unmodified	2021	Unmodified
	Sustainable Livelihoods Fund	2024	Qualified	2023	Qualified	2022	Unqualified	-	-
	Yvonne Parfitt Homes for the Aged Fund	2024	Unmodified	2023	Unmodified	2022	Unmodified	-	-
	National Drought Fund	2024	Unmodified	-	-	-	-	-	-
4	**Defence**								
	Appropriation Account	2024	Qualified	2023	Unmodified	2022	Qualified	-	-
	National Heroes' Dependents Fund	2024	Qualified	2023	Qualified	-	-	-	-

Vote No	Ministry / Commission	Financial Year			Audit Opinion	Financial Year	Audit Opinion	Financial Year	Audit Opinion
		2025 AG Report		2024 AG Report		2023 AG Report		2022 AG Report	
	War Victims Compensation Fund	2024	Qualified	-	-	-	-	-	-
5	**Ministry of Finance, Economic Development and Investment Promotion**								
	Appropriation Account	2024	Qualified	2023	Adverse				
	CRF	2019	Qualified	-	-	-	-	-	-
	Statement of Contingent Liabilities	2021 2022 2023 2024	Qualified Qualified Qualified Qualified	2020	Qualified	-	-	-	-
	Statement of Public Debt	2021 2022 2023 2024	Qualified Qualified Qualified Qualified	2020	Qualified	-	-	-	-
	Schedule for Outstanding Revenue	2020 2021 2022 2023 2024	Qualified Qualified Qualified Qualified Qualified	-	-	-	-	-	-
	Statement of Revenue Written Off	2021 2022 2023 2024	Unmodified Unmodified Unmodified Unmodified	-	-	-	-	-	-
	Receipts and Disbursements	2020	Qualified	-	-	-	-	-	-
7	**Industry and Commerce**								
	Standards Development Fund	2024	Qualified	2023	Qualified	2022	Qualified	-	-

Vote No	Ministry / Commission	Financial Year	Audit Opinion	Financial Year	Audit Opinion	Financial Year	Audit Opinion	Financial Year	Audit Opinion
		2025 AG Report		2024 AG Report		2023 AG Report		2022 AG Report	
8	**Lands, Agriculture, Fisheries, Water and Rural Development**								
	Agriculture Revolving Fund	2024	Disclaimer	2023 2022	Disclaimer Disclaimer	-	-	2021 2020 2019	Qualified Qualified Qualified
	National Co-ordinating Unit Account	2024	Unmodified	2023 2022 2021	Unmodified Unmodified Unmodified	-	-	-	-
	Pig Levy Fund	2024	Qualified	2023	Unmodified	2022	Unmodified	2021	Unmodified
	Tobacco Levy Fund	2024	Unmodified	2023	Unmodified	2022	Unmodified	2021	Unmodified
	Water Fund	2024	Qualified	2023	Qualified				
9	**Mines and Mining Development**								
	Mining Industry Loan Fund	2024	Qualified	2023	Qualified				
	Special Gold Unit Fund	2024	Qualified	2023	Unmodified	2022	Unmodified	-	-
10	**Environment, Climate and Wildlife**								
	Meteorological Services Fund	2024	Adverse	2023 2022 2021 2020	Adverse Adverse Adverse Adverse	-	-	-	-
11	**Transport and Infrastructural Development**								
	Department of Roads Fund	2024	Adverse	2023 2022	Qualified Qualified	2021	Qualified	2020 2019	Qualified Qualified

Vote No	Ministry / Commission	Financial Year	Audit Opinion	Financial Year	Audit Opinion	Financial Year	Audit Opinion	Financial Year	Audit Opinion
		2025 AG Report		2024 AG Report		2023 AG Report		2022 AG Report	
14	**Health and Child Care**								
	Health Services Fund	2024	Adverse	2023	Adverse	2022	Adverse	2021	Qualified
15	**Primary and Secondary Education**								
	School Services Fund	2024	Adverse	2023	Adverse	2022	Qualified	2021	Qualified
	Independent Colleges Guarantee Fund	2024	Unmodified	-	-	-	-	-	-
16	**Higher and Tertiary Education, Innovation, Science and Technology Development**								
	Industrial Training and Trade Testing Fund	2022	Adverse	2019 2020 2021	Disclaimer Disclaimer Disclaimer	-	-	-	-
	Vocational and Technical Examinations	2022	Adverse						
17	**Women Affairs, Community, Small and Medium Enterprises Development**								
	Women Development Fund	2024	Qualified	2023	Unmodified	2022 2021	Qualified Qualified	2020	Qualified
	Small and Medium Enterprises Revolving Fund	2024	Unmodified	2023 2022	Unmodified Unmodified	-	-	2021 2020	Qualified Qualified
	Zimbabwe Community Development Fund	2024	Qualified	2023 2022 2021	Qualified Qualified Qualified	-	-	-	-

Vote No	Ministry / Commission	Financial Year	Audit Opinion	Financial Year	Audit Opinion	Financial Year	Audit Opinion	Financial Year	Audit Opinion
		2025 AG Report		2024 AG Report		2023 AG Report		2022 AG Report	
19	**Justice, Legal and Parliamentary Affairs**								
	Guardian's Fund	2024	Unmodified	2023	Unmodified	2022 2021	Qualified Unmodified	-	-
	Legal Aid Fund	2024	Qualified	2023 2022 2021	Qualified Qualified Qualified	-	-	2020 2019	Unmodified Unmodified
21	**Youth Empowerment, Development and Vocational Training**								
	Youth Development and Employment Creation Fund	2021 2022 2023 2024	Qualified Qualified Qualified Qualified	-	-	-	-	-	-
24	**National Housing and Social Amenities**								
	Civil Service Housing Loan Fund	2024	Unmodified	2023	Unmodified	2022 2021 2020	Qualified	2019 2018 2017	Unmodified Unmodified Unmodified
	National Housing Fund	2023	Qualified	-	-	-	-	-	-
25	**Veterans of the Liberations Struggle Affairs**								
	Veterans of the Liberations Struggle Affairs Fund	2024	Qualified	2023	Qualified	-	-	-	-

Vote No	Ministry / Commission	Financial Year	Audit Opinion	Financial Year	Audit Opinion	Financial Year	Audit Opinion	Financial Year	Audit Opinion
		2025 AG Report		2024 AG Report		2023 AG Report		2022 AG Report	
25	**Veterans of the Liberations Struggle Affairs**								
	Veterans of the Liberations Struggle Affairs Fund	2024	Qualified	2023	Qualified	-	-	-	-
30	**Public Service Commission**								
	Civil Service Funeral Assistance Fund	2024	Qualified	2023	Unmodified	2022	Unmodified	-	-
25	**Veterans of the Liberations Struggle Affairs**								
	Veterans of the Liberations Struggle Affairs Fund	2024	Qualified	2023	Qualified	-	-	-	-
30	**Public Service Commission**								
	Civil Service Funeral Assistance Fund	2024	Qualified	2023	Unmodified	2022	Unmodified	-	-
25	**Veterans of the Liberations Struggle Affairs**								
	Veterans of the Liberations Struggle Affairs Fund	2024	Qualified	2023	Qualified	-	-	-	-

Vote No	Ministry / Commission	Financial Year	Audit Opinion	Financial Year	Audit Opinion	Financial Year	Audit Opinion	Financial Year	Audit Opinion
		2025 AG Report		2024 AG Report		2023 AG Report		2022 AG Report	
30	**Public Service Commission**								
	Civil Service Training Loan Fund	2024	Unmodified	2023	Unmodified	2022	Unmodified	2021	Unmodified
	Government Employees Mutual Savings Fund	2023 2024	Qualified Qualified	2022	Qualified	2021	Unmodified	-	-
	Public Services Pension Management Fund	2023 2024	Qualified Qualified	2021 2020	Qualified Qualified	-	-	-	-
	Skills Attraction, Retention and Development Fund	2024	Unmodified	2023	Qualified	2022 2021	Unmodified Unmodified	-	-
	Zimbabwe Civil Service Funeral Assistance Fund	2024	Qualified	2023	Unmodified	2022	Unmodified	2021	Unmodified
34	**National Prosecuting Authority**								
	Court Retention Fund	2024	Unmodified	-	-	-	-	-	-
35	**Zimbabwe Anti-Corruption Commission**								
	Appropriation Account	2023 2024	Qualified Qualified	2022	Qualified	-	-	-	-
39	**Zimbabwe Media Commission**	2024	Unmodified	-	-	2023	Unmodified	2022	Qualified

ANNEXURE B
FUNDS SUBMISSION

Vote	Ministry / Commission	Financial Year Audited	Date of Initial Submission	Date of Resubmission
2	**Parliament of Zimbabwe**			
	Constituency Development Fund	2023	June 28, 2023	March 15, 2024 July 20, 2024
3	**Public Service, Labour and Social Welfare**			
	Cash Transfer Scheme for Urban Vulnerable Persons Fund	2024	August 28, 2025	-
	Child Welfare Fund	2024	March 31, 2025	-
	Children on the Streets Fund	2024	March 31, 2025	-
	Community Recovery Fund	2024	March 31, 2025	-
	Disabled Persons Fund	2024	March 31, 2025	-
	Drug and Substance Abuse Mitigation Fund	2024	March 31, 2025	-
	Older Persons Fund	2024	March 31, 2025	-
	Sustainable Livelihoods Fund	2024	March 31, 2025	-
	Yvonne Parfitt Homes for the Aged Fund	2024	March 31, 2025	-
4	**Defence**			
	Appropriation Account	2024	February 27, 2025	October 23, 2025
	National Heroes' Dependents Fund	2024	July 11, 2025	-
	War Victims Compensation Fund	2024	July 11, 2025	-
5	**Ministry of Finance, Economic Development and Investment Promotion**			
	Appropriation Account	2024	March 10, 2025	June 17, 2025 June 27, 2025 September 11, 2025
7	**Industry and Commerce**			
	Standards Development Fund	2024	April 30, 2025	June 11, 2025 July 22, 2025 September 17, 2025 December 20, 2025 December 5, 2025 December 17, 2025

Vote	Ministry / Commission	Financial Year Audited	Date of Initial Submission	Date of Resubmission
8	**Lands, Agriculture, Fisheries, Water and Rural Development**			
	Agriculture Revolving Fund	2024	September 26, 2025	December 11, 2025
	National Co-ordinating Unit Account	2024	April 29, 2025	September 16, 2025
	Pig Levy Fund	2024	August 7, 2025	-
	Tobacco Levy Fund	2024	September 25, 2025	December 11, 2025
	Water Fund	2024	October 30, 2025	November 4, 2025
9	**Mines and Mining Development**			
	Mining Industry Loan Fund	2024	May 2, 2025	June 26, 2025 July 15, 2025
	Special Gold Unit Fund	2024	May 2, 2025	July 17, 2025 July 15, 2025 July 17, 2025 September 1, 2025
10	**Environment, Climate and Wildlife**			
	Meteorological Services Fund	2024	December 24, 2025	-
11	**Transport and Infrastructure Development**			
	Department of Roads Fund	2024	May 2, 2025	July 4, 2025 January 28, 2026 March 16, 2026 April 16, 2026 April 17, 2026
14	**Health and Child Care**			
	Health Services Fund	2024	February 2, 2024	March 28, 2025 August 26, 2025 January 16, 2026
15	**Primary and Secondary Education**			
	School Services Fund	2024	June 6, 2025	September 22, 2025
	Independent Colleges Guarantee Fund	2024	May 21, 2025	July 30, 2025

Vote	Ministry / Commission	Financial Year Audited	Date of Initial Submission	Date of Resubmission
16	**Higher and Tertiary Education, Innovation, Science and Technology Development**			
	Vocational and Technical Examination Fund	2022	April 8, 2025	February 4, 2026 March 17, 2026
	Industrial Training and Trade Testing	2022	April 8, 2025	July 14, 2025 February 23, 2026 March 18, 2026
17	**Women Affairs, Community, Small and Medium Enterprises Development**			
	Women Development Fund	2024	June 30, 2025	January 9, 2026
	Small and Medium Enterprises Revolving Fund	2024	June 30, 2025	July 11, 2025
	Zimbabwe Community Development Fund	2024	June 30, 2025	March 5, 2026
19	**Justice, Legal and Parliamentary Affairs**			
	Guardian's Fund	2024	June 9, 2025	July 18, 2025 January 30, 2026 February 11, 2026
	Legal Aid Fund	2024	April 30, 2025	July 28, 2025
24	**National Housing and Social Amenities**			
	Civil Service Housing Loan Fund	2024	April 30, 2025	July 1, 2025 November 7, 2025
25	**Veterans of the Liberations Struggle Affairs**			
	Veterans of the Liberations Struggle Affairs Fund	2024	July 11, 2025	November 13, 2025
	National Heroes Dependents Assistance Fund	2024	July 11, 2025	October 20, 2025
30	**Public Service Commission**			
	Civil Service Funeral Assistance Fund	2024	April 30, 2025	June 30, 2026
	Civil Service Training Loan Fund	2024	April 30, 2025	July 11, 2025
	Public Services Pension Management Fund	2024		
	Skills Attraction, Retention and Development Fund	2024	April 30, 2025	August 6, 2025 October 30, 2025
	Government Mutual Employees Savings Fund	2024	April 30, 2025	November 11, 2025 November 27, 2025

Vote	Ministry / Commission	Financial Year Audited	Date of Initial submission	Date of Resubmission
34	**National Prosecuting Authority**			
	Court Retention Fund	2024	October 1, 2025	January 29, 2026 February 5, 2026
35	**Zimbabwe Anti-Corruption Commission**			
	Appropriation Account	2023 2024	January 2, 2024 March 29, 2025	**-** **-**
39	**Zimbabwe Media Commission**			
	Appropriation Account	2024	September 4, 2025	**-**

ANNEXURE C
List of Donor Funded Projects

1. United Nations Environment Programme (UNEP) Funded Project on Preparation of the Fourth National Communication and First Biennial Update Report (Bur) in Zimbabwe Project Number -2024
2. Initiative For Climate Action Transparency (ICAT) Project Number 2023
3. Climate Resilient Wash -2023
4. Climate Resilient Wash - 2024
5. United Nations Environment Programme (UNEP) Zimbabwe Institutional Strengthening Project Phase Xii, HCFC, Kigali HFC and HCFC-2024
6. Strengthening the Capacity of Institutions in Zimbabwe to Conform to the Transparency Requirements of the Paris Agreement Project Number- 2024
7. United Nations Environment Programme (UNEP) Funded Project for the Zimbabwe's Combined Initial Biennial Transparency Report and Fifth National Communication and Second Biennial Transparency Report (Btr1/Nc5&Btr2) to the United Nations Framework Convention on Climate Change (UNFCCC) Project-2024
8. Global Biodiversity Framework-Early Action Support Project, Project Number -2024
9. Unlocking a Sustainable and an Inclusive Wildlife Economy Potential of Hwange National Park in Tsholotsho District of the Hwange-Kazuma Landscape in Zimbabwe, Project Number (GEF)-2024
10. Small Holder Agricultural Cluster Project
11. Global Fund Grant-National Tuberculosis Control Programme Gearing to End Tuberculosis in Zimbabwe 2024
12. Global Fund Grant-Moving Towards Malaria Elimination: Strengthening Evidence Based Programming 2024